



BayernLB 2015 Annual Report and Accounts

Consolidated financial statements

BayernLB Group at a glance

Income statement (IFRS)

EUR million	1 Jan–31 Dec 2015	1 Jan–31 Dec 2014	Change in %
Net interest income	1,612	1,671	–3.5
Risk provisions in the credit business	–264	–1,498	–82.4
Net interest income after risk provisions	1,348	173	>100
Net commission income	258	249	3.4
Gains or losses on fair value measurement	–62	–25	>100
Gains or losses on hedge accounting	–24	–70	–65.9
Gains or losses on financial investments	286	419	–31.8
Administrative expenses	–1,168	–1,171	–0.3
Expenses for the bank levy and deposit guarantee scheme	–90	–4	>100
Other income and expenses	102	114	–9.9
Gains or losses on restructuring	–10	–33	–67.8
Profit/loss before taxes	640	–348	–
Income taxes	–150	99	–
Gains or losses on discontinued operations	0	–1,070	–
Profit/loss after taxes	490	–1,320	–
Cost/income ratio (CIR)	53.8%	49.7%	4.1 pp ¹
Return on equity (RoE)	5.8%	–2.6%	8.5 pp ¹

Balance sheet (IFRS)

EUR million	31 Dec 2015	31 Dec 2014	Change in %
Total assets	215,711	232,124	–7.1
Business volume	252,466	272,834	–7.5
Credit volume	175,428	182,584	–3.9
Total deposits	146,390	145,773	0.4
Securitised liabilities	34,840	44,285	–21.3
Subordinated capital	4,719	4,722	–
Equity	11,063	11,789	–6.2

Banking supervisory capital and ratios under CRR/CRD IV (after close of year)

EUR million	31 Dec 2015	31 Dec 2014	Change in %
Common Equity Tier 1 capital (CET 1 capital)	10,537	9,822	7.3
Own funds	12,214	11,715	4.3
Total RWA	69,606	76,616	–9.1
CET 1 ratio	15.1%	12.8%	2.3 pp ¹
CET 1 ratio (fully loaded)	12.0%	10.2%	1.8 pp ¹
Total capital ratio	17.6%	15.3%	2.3 pp ¹

Employees

	31 Dec 2015	31 Dec 2014	Change in %
Number of employees	7,082	6,842	3.5

Current ratings

	Long-term	Short-term	Pfandbriefs ²
Fitch Ratings	A–	F1	AAA
Moody's Investors Service	A2	P–1	Aaa

¹ Percentage points

² Applies to public Pfandbriefs and mortgage Pfandbriefs

Corporate profile

BayernLB is one of Germany's leading commercial banks and headquartered in one of Europe's strongest economic regions. Our clients include large corporates and Mittelstand companies, real estate customers, financial institutions and asset management customers, the public sector and almost every savings bank in Germany. Deutsche Kreditbank AG, Berlin (DKB), an integral part of our business model, rounds out the model by providing retail banking services as an online bank and as a specialist in the target infrastructure and business customer sectors.

As principal bank to our customers and the central bank to the Bavarian savings banks, we recognise our responsibility to the economy and to society at large. We know our customers in the large corporates and Mittelstand market segment better than other banks thanks to our deep roots and business relationships which have been built up over decades. We are a lender they can rely on and turn to for expert advice in Bavaria, Germany and around the world.

We have a particularly close relationship with the savings banks. For us, they are not only customers but also partners. Together we create tailor-made financial solutions for retail, corporate and municipal customers. By doing so we perfectly complement their range of products and services.

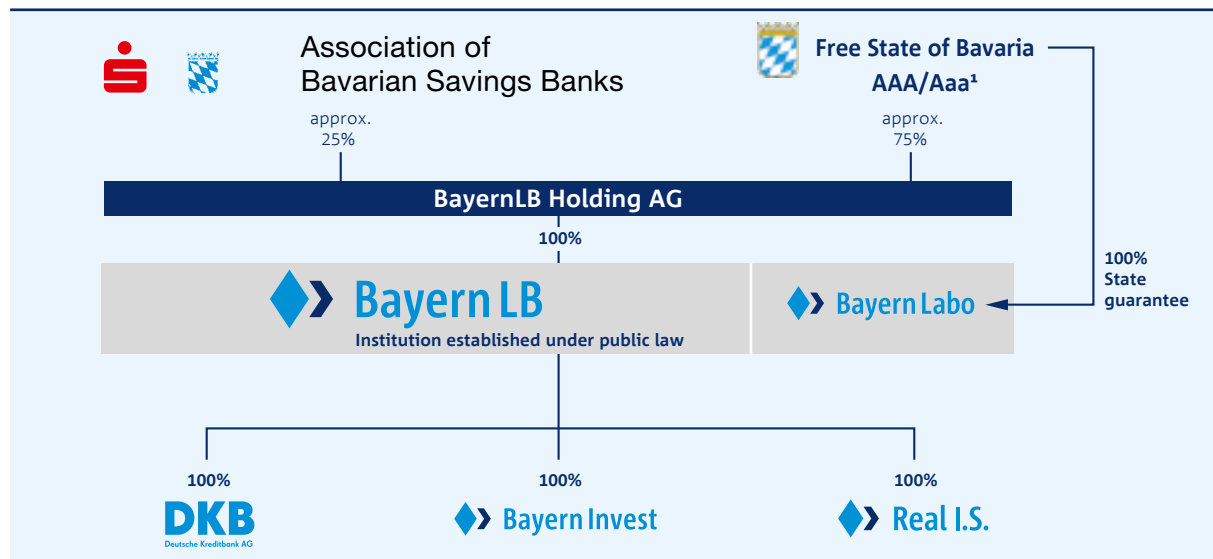
One of BayernLB's traditional core competences is real estate. Our services range from financing project developers and long-term investors right through to services such as advising customers on buying or selling real estate. We help draw up investment strategies and manage property on behalf of our customers.

At BayernLabo we work with the Free State of Bavaria to help mostly young families realise their dream of owning their own home. We help residential construction companies to build, renovate or modernise rental homes in Bavaria. For the public sector we provide a wide range of customised financing and investment solutions to state governments, local authorities and public institutions.

Our financial market experts advise our customers on how to cushion themselves against moves in prices, interest rates and exchange rates on the markets in which they operate. As a result, we help optimise their earnings and cash-flow structures. As an issuer with a proven track record, we arrange and place bonds and Schuldschein note loans for our customers and supply them with investment advice and products. We offer high quality asset management through our subsidiaries BayernInvest and Real I.S.

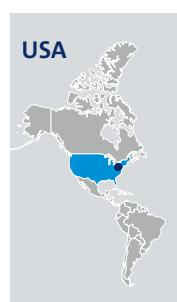
Our 100%-owned subsidiary DKB, which serves over three million customers, is one of the most successful online banks in Germany. DKB offers its retail and business customers state-of-the-art, intuitive online banking including savings products and investment products for long-term asset growth, real-estate financing and consumer loans. DKB is also very successful in business loans in the areas of renewable energy, environmental technology, housing, healthcare and agriculture.

Owners



¹ Standard & Poor's, Moody's

Locations



- **Germany**
Munich head office, Berlin, Düsseldorf, Frankfurt, Hamburg, Nuremberg, Stuttgart
- **Europe**
London, Milan, Paris branches, representative office in Moscow
- **America**
New York branch

Business areas

Core business				Non-core business (Non-Core Unit)	
Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Restructuring Unit	Other
• Corporates Large corporate customers • Mittelstand • Financial institutions (Asia, EMEA, Latin America)	• Commercial real estate customers • Savings Banks & Association • Public sector • BayernLabo Development bank	• Retail customers • Corporates • Infrastructure	• Capital market products • Treasury products • Treasury/ asset liability management • Institutional customers/ FI developed markets • BayernInvest • Real I.S.	• Portfolios that no longer belong to the core business	• Non-core activities

Contents

1

Board of Management and Supervisory Board	2
Foreword by the Board of Management	2
Board of Management	4
Report by the Supervisory Board	6

2

Selected business highlights	12
-------------------------------------	-----------

3

Taking responsibility	16
Human resources	18
Community work	24
Education and science	28
Art and culture	29
Environmental protection at BayernLB	30
Sustainable financial solutions	32

4

BayernLB Group management report	36
Overview of the BayernLB Group	38
Report on the economic position	42
Events after the reporting period	58
Report on expected developments and on opportunities and risks	59

5

BayernLB Group's consolidated financial statements	112
Statement of comprehensive income	114
Balance sheet	116
Statement of changes in equity	118
Cash flow statement	120
Notes	124
Responsibility statement by the Board of Management	227
Auditor's Report	228
Country by Country Reporting	229

6

Committees and advisory boards	230
Supervisory Board	232
General Meeting	233
Audit Committee	234
Risk Committee	235
BayernLabo Committee	236
Nominating Committee	236
Compensation Committee	237
Trustees	237
Savings Bank Advisory Council	238
Wirtschafts- und Finanzforum Bayern (Bavarian Economic and Finance Forum) – BayernLB Economic Advisory Council	239
Locations and addresses	244

Foreword

*Dear customers and business partners,
ladies and gentlemen,*

Last year BayernLB's operating profit in the core business rose to nearly one billion euro, a hefty increase, and its profit before taxes was an outstanding EUR 640 million (FY 2014: loss of EUR 348 million). The figures show that our strategy to significantly downsize and concentrate BayernLB's focus on its core competencies has paid off. We have almost completely wound down our non-core business, strengthened our capital base, significantly cut costs and made further progress in becoming a customer-focused credit and advisory bank for the Bavarian and German economy. In the retail customer business we successfully expanded DKB's position as the second-largest online bank in the German market.

Each of our customer segments made a strong contribution to BayernLB's 2015 results. The large corporates and Mittelstand customer business, the commercial real estate business, the business with the savings banks and DKB's retail customer business all turned in a very good performance. This is not just clear proof of our customers' confidence in the expertise and professionalism of our staff in all four business segments, but also a sign that our strategic initiatives and measures to accelerate and improve internal processes is bearing fruit. For example, the Bank last year signed a partnership agreement with Hamburg-based Berenberg bank, which is now scoring its first joint successes. We are now closer to our customers after opening new sales offices in Hamburg, Stuttgart, Frankfurt and Berlin. We restructured the capital markets business pooled within the Financial Markets segment and focused it strictly on customers' needs. We pumped in additional investment into digitalisation projects and, via DKB, initiated or expanded partnership agreements with innovative fintechs such as Cringle, PayPal and FinReach.

As well as restructuring and strengthening BayernLB, we made further good headway in resolving the Bank's last remaining legacy problems. Noteworthy here is the settlement of the legal disputes relating to Heta. Upon the adoption of the annual financial statements we will also be repaying EUR 1.3 billion in silent partner contributions to the Free State of Bavaria. This means that over the past few years BayernLB will have returned nearly EUR 4.4 billion to the Free State of Bavaria,

of which EUR 4.0 billion counts as state aid repayment. We will continue to strive to repay the remaining outstanding amount of EUR 1 billion before the 2019 deadline set in the agreement ending the EU state aid proceedings.

Another important development is our progress in improving our already solid capital base. Our Common Equity Tier 1 (CET 1) ratio rose to 15.1 percent as at 31 December 2015 (FY 2014: 12.8 percent). Fully loaded it rose to 12.0 percent (FY 2014: 10.2 percent).

Further optimising BayernLB's capital base will remain one of our long-term goals over the coming years, as will improving our cost structure. At the same time we will be investing in our IT platform to make our processes more standardised and provide additional digital services to our customers to simplify their banking experience. Last year we made good progress along our path to becoming a strong Bavarian bank for the German economy. We will again work hard in 2016 to successfully tackle the tasks and challenges ahead of us. On behalf of my Board of Management colleagues and all the staff at BayernLB, I would like to thank you, our customers and business partners, for the trust you have placed in us. We look forward to working with you in the future.

Sincerely,



Dr Johannes-Jörg Riegler
CEO

The Board of Management

Allocation of tasks
as at 14 April 2016



Dr Edgar Zoller
Deputy CEO

Real Estate & Savings Banks/
Association
Bayerische Landesbodenkreditanstalt

Marcus Kramer
Member of the
Board of Management
CRO

Risk Office
Restructuring Unit
Group Compliance

Dr Markus Wiegelmann
Member of the
Board of Management
CFO/COO

Financial Office
Operating Office



Dr Johannes-Jörg Riegler
CEO

Corporate Center
Deutsche Kreditbank AG

Michael Bucker
Member of the
Board of Management

Corporates & Mittelstand

Ralf Woitschig
Member of the
Board of Management

Financial Markets
BayernInvest Kapitalverwaltungs-
gesellschaft mbH
Real I.S. AG Gesellschaft für
Immobilien Assetmanagement

Report by the Supervisory Board

Ladies and gentlemen,

Over the past financial year, we advised the Board of Management on the administration of the Group and continually monitored its management of the business.

BayernLB's Board of Management kept the Supervisory Board and its committees informed of key developments at the Bank and the Group at regular intervals in 2015, both promptly and comprehensively, and in writing and orally. This included its supervisory duty to disclose deficiencies detected by Internal Audit.

We held detailed discussions with the Board of Management on BayernLB's business policy and fundamental issues relating to corporate planning, especially in its financial, investment and personnel aspects. We were also briefed on business performance, focusing especially on earnings, expenses, risks, liquidity and capital status, profitability, legal and business relations, and material events and business transactions of the Group.

Between meetings, as Chairman of the Supervisory Board, I remained in regular and close contact with BayernLB's Board of Management. The Supervisory Board was also notified in writing of important matters and, where necessary, resolutions were passed.

The Supervisory Board was involved in key decisions affecting BayernLB and gave its approval where necessary.

The Supervisory Board and Board of Management always worked together under the guiding principle of securing BayernLB's future success and growth.

From a regulatory perspective, 2015 was the year in which the first practical implications of the newly formed European Banking Union were felt. Since the start of last year the European Central Bank has been the primary supervisory authority for systemically important banks like Bayerische Landesbank.

This step has also meant some important changes for the Supervisory Board.

New European supervisory practice is based increasingly on the internationally widespread single-tier board system. In concrete terms, this means that the members of the Supervisory Board have been classified as risk takers.

Furthermore, the newly formed joint supervisory teams from the ECB and national supervisory authorities are now looking to hold regular meetings with the chairman of the board and the chairpersons of the Audit Committee and Risk Committee.

BayernLB's preliminary talks with the new European supervisory authority on corporate governance have got off to a good start.

Supervisory Board meetings – key points in the discussions

In the reporting year the Supervisory Board held a total of eleven meetings which were also attended by representatives of legal supervisory authorities and, in some cases, of banking supervisory authorities.

Besides the detailed reports of the chairpersons on the activities of the various boards and committees, all ordinary Supervisory Board meetings dealt with the regular reports of the Board of Management on the status of BayernLB's financial position and performance. One area we focused on in the past financial year in this regard was BayernLB's capital situation, particularly in light of the conditions imposed under the EU state aid proceedings.

We subjected the Board of Management's reports to the Supervisory Board to critical scrutiny and requested additional information in some cases, which was always immediately provided in full.

In the past financial year the Supervisory Board also devoted much of its time to the various issues relating to HETA Asset Resolution AG ("HETA"), even holding four special meetings for the purpose. In July 2015, in a memorandum of understanding, the Free State of Bavaria and the Republic of Austria expressed their joint desire to resolve the HETA dispute. At a special meeting on 29 October 2015, after extensively examining the financial and legal aspects of the matter with the assistance of external consultants, the Supervisory Board approved a proposed settlement on the basis of the memorandum of understanding.

Over several meetings, after taking advice from the relevant committees, we discussed Board of Management affairs, in particular the changes to the Board of Management remuneration system. In accordance with the EU state-aid ruling, the absolute upper limit on monetary remuneration for members of the Board of Management was raised from EUR 511,000 p.a. to EUR 750,000 p.a. as at 1 January 2015. Along with the introduction of a performance-based remuneration system for the Board of Management of BayernLB as at 1 January 2015, the Bank raised the annual base salaries of the Board of Management members and introduced a variable remuneration component. The absolute upper limit was not reached in most cases. We also set the targets for the Board of Management for 2015.

Also in 2015, we regularly looked at current supervisory and regulatory issues and discussed with the Board of Management their impact on BayernLB.

In January 2015, as part of the policy dialogue, the Supervisory Board took a close look at the business strategy and related sub-strategies. We also held detailed talks with the Board of Management on the Group's medium-term planning for 2015-2019, which we subsequently approved. The Board of Management also gave us its preliminary indications for the 2014 annual financial statements. We were also informed about the sale of the New York branch's office premises.

In our March meeting, which took the form of a telephone conference, we discussed in detail the business performance in 2014.

In April 2015, the focus was on the Board of Management's Report for financial year 2014, the adoption of the annual financial statements and the approval of the consolidated financial statements. The resolution was adopted on the basis of the recommendations of the Audit Committee and a subsequent detailed discussion with the auditors Deloitte & Touche GmbH Wirtschaftsprüfungsgesellschaft. In accordance with a proposal by the Audit Committee, the Supervisory Board recommended to the General Meeting that the auditing firm Deloitte & Touche GmbH be reappointed to audit the 2015 annual financial statements of BayernLB and the Group, which the General Meeting agreed to.

In our meeting in May 2015 we discussed the updating of key planning parameters and its impact on the medium-term planning for 2015-2019. The Board of Management also reported on the reorganisation of S-Finanzgruppe's guarantee scheme (joint liability scheme). Other important items on the agenda included the status report on the K2 IT project and a presentation by an external speaker on the latest developments in corporate governance in the banking industry.

In the meeting in July 2015 the Board of Management updated us on the current status of the Financial Markets project and on talks with the ratings agencies. We also deliberated on the HR report for financial year 2014 and noted the remuneration officer's remuneration review report and the status report on variable remuneration for employees in financial year 2014.

At the top of the agenda of the meeting in September 2015 was the external expert's report on the various issues relating to HETA, which we noted after careful consideration. The Board of Management also reported on the successful completion of the K2 IT project. We also discussed the status report on IT at BayernLB and noted the update to the IT strategy.

In the last meeting of the calendar year in December 2015, we focused on BayernLB's enterprise value. Other highlights of the meeting were the Board of Management's reports on regulatory and supervisory issues, such as the ECB's decision to create new supervisory requirements (SREP decision). We also approved a necessary change to the Risk Committee's rules of procedure.

Supervisory Board committees – an overview

In a total of seven meetings, the Risk Committee dealt with all major issues relating to the risk strategy agreed by the Board of Management and all aspects of BayernLB's risk situation at both Group and Bank level. It discussed the Group-wide risk strategies, which must be updated at least once a year, and approved individual loans requiring authorisation. It also examined reports by the Board of Management on sub-portfolio strategies, risk trends and especially risk-bearing capacity. The Risk Committee also checked whether the terms and conditions in the customer business were in line with the Bank's business model and risk structure.

Other areas the Committee was involved in over the course of 2015 included the impact of the low interest rate environment on BayernLB's sales units and Deutsche Kreditbank AG, the risks posed by pension liabilities and the impact of the expiry of the guarantee obligation on the Bank's liquidity profile.

The Compensation Committee carried out its legally mandated duties in a total of three meetings. It discussed in particular the Board of Management's reports on the structure of the remuneration systems (focusing mainly on their relationship to the business and risk strategy), monitored their suitability and received regular updates on specific issues. It evaluated the impact of the remuneration systems on the Bank's and Group's risk, capital and liquidity situation and discussed the setting and distribution of the bonus pool. The Committee noted the remuneration officers' report on the suitability of the remuneration systems for employees. It also devoted much of its attention to enhancing the remuneration systems for employees and for members of the Board of Management taking into account regulatory requirements.

The Compensation Committee and Risk Committee worked closely together and regularly exchanged information. The same applied to the Compensation Committee and the Nominating Committee. Both worked closely together to prepare various resolutions on Board of Management matters for the plenary session. The Nominating Committee also carried out an assessment of the Board of Management in accordance with the German Banking Act. The Committee met three times during the reporting period, two of which with the Compensation Committee.

In its three sessions the Audit Committee mainly dealt with the monitoring of the accounting process and the effectiveness of the internal control system, the internal auditing system and the system used for risk management. It also discussed in detail the monitoring of the audit of the annual financial statements and of the consolidated financial statements and the review and monitoring of the independence of the auditors, particularly the additional services performed by the auditors for the Bank. In 2015 Internal Audit and Group Compliance reported to the Audit Committee on issues including their respective work and audit findings. The Committee deliberated on the money laundering and financial crime threat analysis and conferred with the auditors Deloitte on what the audit of the 2015 annual financial statements should focus on.

In its two meetings, as required by law, the BayernLabo Committee dealt with all matters in respect of BayernLabo on behalf of the Supervisory Board and passed resolutions concerning BayernLabo's affairs which the Supervisory Board is responsible for. It also discussed the business and risk strategy, refinancing and HR planning with both the Board of Management and BayernLabo Management. The Committee was updated by the Board of Management and BayernLabo Management on business performance and it approved BayernLabo's own contribution to its internally funded programmes.

The Supervisory Board and respective committees carried out the tasks assigned to them by law, the Statutes and current Rules of Procedure.

Additional specialist training

The Supervisory Board attended two information events given by specialists from the Bank, external experts on regulatory requirements and supervisory law and representatives of the external auditors on current developments, with the focus on BayernLB. This delved into a range of areas including selected aspects of supervisory law and regulatory requirements, in particular changes to banking regulations as a result of the transfer of supervisory functions to the ECB, and also management logic and methods.

Corporate governance

The BayernLB Corporate Governance Principles set out the regulations on corporate management and corporate supervision that apply to BayernLB on the basis of binding and in-house regulations. The Supervisory Board discussed compliance with these Corporate Governance Principles in 2015 in its meeting on 16 March 2016. The Board of Management, Supervisory Board and General Meeting agreed that they were aware of no evidence that these principles had not been observed in financial year 2015.

Changes to the Supervisory Board

Dr Bernhard Schwab stepped down from the Supervisory Board on 31 October 2015 and was succeeded in his post by Dr Thomas Langer.

Audit and approval of the 2015 annual financial statements

Deloitte & Touche GmbH Wirtschaftsprüfungsgesellschaft conducted the audit of the annual financial statements and consolidated financial statements of the Bank, the management report and the Group management report and the annual financial statements and management report of BayernLabo, a legally dependent institution of the Bank. Deloitte issued an unqualified opinion. The Supervisory Board and BayernLB's BayernLabo Committee each verified the independence of the auditors of the financial statements in advance.

The financial statements documentation and audit reports were duly presented to all Supervisory Board members. The BayernLabo Committee and the Audit Committee discussed each of the documents forming part of the annual and consolidated financial statements in conjunction with the auditors' audit report and in detail with the auditors themselves. Each committee chair reported to the Supervisory Board on this matter.

In its meeting of 13 April 2016, the BayernLabo Committee adopted BayernLabo's submitted annual financial statements and approved the management report to BayernLabo's accounts.

In its meeting today, on the recommendation of the Audit Committee, and after examining the auditors' reports and the annual and consolidated financial statements documentation and discussing these in detail with the auditors, the Supervisory Board approved the findings of the audit and concluded that it had no reservations even after the final outcome of the audits.

In its meeting today, the Supervisory Board adopted the Bank's annual financial statements submitted by the Board of Management and approved the management report; it also approved the consolidated financial statements and Group management report.

The Supervisory Board also proposed to the General Meeting that the Board of Management be discharged. The General Meeting gave its approval to these proposals in its meeting today.

A thank you to the customers, the Board of Management and the staff

The Supervisory Board would like to thank all of BayernLB's customers and business partners for their loyalty over this past financial year. It also wishes to thank the members of the Board of Management and all of BayernLB's staff for all their hard work over the past year, and for their huge personal contribution.

Munich, 14 April 2016

On behalf of the Supervisory Board

Gerd Haeusler
Chairman



Selected business highlights

14 Unique customer relationships

Strong partners

Reliability, professionalism and flexibility. Qualities like these are fundamental to the working relationship between BayernLB and its customers. They are values that turn a business relationship into a true partnership.

Whether it is in Bavaria, Germany or the rest of the world, large companies and financial institutions, Mittelstand companies and savings banks value this closeness.

A glance at this selection of transactions undertaken in 2015 bears this out. They represent a broad spectrum of solutions, but are also the fruit of trusting and strong relationships.

 01/2015 ZF Friedrichshafen AG EUR 2.2 billion Terms of 3/5/7 years Joint Lead Arranger Schuldschein note loan	 2015 Flughafen München Terminal 2 EUR 640 million Syndicated loan transaction Bookrunner and Coordinator	2015		 2015 S-Plafond investments: EUR 8.0 million Kreis- und Stadtsparkasse Dillingen a. d. Donau Sector: commercial vehicles EUR 5.0 million Sparkasse Niederbayern-Mitte Sector: metalworking EUR 5.0 million Sparkasse im Landkreis Cham Sector: real estate EUR 4.0 million Taunus Sparkasse Sector: real estate
 2015 S-Kreditbasket XII EUR 515.2 million Arranger & administrator of the annual nation-wide loans basket transaction for savings banks	 2015 Orio Center Orio al Serio (Bergamo) Funding for the extension of a shopping centre in Bergamo, Italy	 2015 Funkkaserne Munich EUR 53.5 million Funding for a residential property development		
 2015 Meyer Werft GmbH & Co. KG, Papenburg EUR 167 million Sole Bookrunner, Mandated Lead Arranger, Agent Syndicated guarantee facility	 08/2015 Asklepios Kliniken GmbH EUR 580 million Terms of 5/7/10/12/15 years Joint Lead Arranger, Schuldschein note loan	 2015 JV Baywobau/Münchner Grund "anders wohnen" in Munich-Pasing Plot funding for a residential real estate development from 2016	BMW AG 09/2015 BMW Finance N.V. EUR 1.25 billion 0.875% Nov 2020 Joint Lead Manager Bond	



2015

**VAG Verkehrs-
Aktiengesellschaft, Nürnberg**

EUR 200 million
Coordinator, Bookrunner,
Mandated Lead Arranger & Agent
Syndicated loan



07/2015

pbb Deutsche Pfandbriefbank

EUR 500 million
0.250% July 2020
Joint Lead Manager
Bond



2015

Eurotower Frankfurt

EUR 239 million
Mandated Lead Arranger,
Agent
Lender



2015

Floraplast

EUR 44.99 million
Production plant (MDF panels)
Euler Hermes covered export
finance facility
ECA Lender (Brazil)



07/2015

DVB Bank

EUR 500 million
1.000% July 2019
Joint Lead Manager
Bond



Mehr als eine Klinik.

2015

**Isar-Klinik Sonnenstrasse
Munich**

EUR 99 million
Funding for a real estate
portfolio and extension for
operational purposes



2015

**TriStyle Mode GmbH,
Munich**

Mandated Lead Arranger,
Agent
Acquisition financing



2015

Nordex SE, Hamburg

EUR 1.4 billion
Bookrunner &
Mandated Lead Arranger
Syndicated loan and
guarantee facilities



2015

Precious metals

EUR 5.6 million Canadian gold
and silver coins worth
EUR 143 million
sold to German investors



2015

Zugspitzbahn

EUR 40 Mio,
Syndicated loan transaction,
Kreissparkasse Garmisch-
Partenkirchen



08/2015

**Crédit Agricole
Home Loan SFH**

EUR 1.25 billion
0.375% Oct 2021
Joint Lead Manager
Bond



2015

Axel Springer SE, Berlin

EUR 1.2 billion
Bookrunner,
Mandated Lead Arranger
Syndicated loan



2015

**Connex Frankfurter Ring,
Munich**

EUR 58 million
Funding for an office building
in cooperation with
Versicherungskammer Bayern



2015

**Grey Highlands ZEP &
Ganaraska Wind Farms, Canada**

CAD 82 million
Mandated Lead Arranger
for wind project



2015

**HanwhaQ Cells,
Thalheim**

GBP 40.3 million
Project financing for a solar
farm in Cambridgeshire,
UK



2015

Precious metals

8 tonnes of Heraeus gold bars
worth over
EUR 260 million
sold to German investors



Taking responsibility

- 18 Human resources
- 24 Community work
- 28 Education and science
- 29 Art and culture
- 30 Environmental protection at BayernLB
- 32 Sustainable financial solutions

Human resources

Stable future

2015 was a year about securing the future and also one of profound change at BayernLB. A plethora of projects and initiatives laid the foundations for a stable future. This stability must now be cemented. Human Resources was focused on driving forward the ongoing restructuring and on a range of initiatives to refine the business model, while developing a new self-image and implementing and rolling out a set of values based on it.

Changes in headcount

As at 31 December 2015, a total of 7,082 staff were employed in the Group. This was an increase of 240 on the previous year and due to the consolidation of Bayern Card Services on 1 January 2015. Excluding this consolidation, the workforce within the Group shrunk again, with headcount at BayernLB falling by 97 to 3,186.

Cost-cutting programme (KSP) continued and restructuring driven forward

The Bank-wide cost-cutting programme (KSP), which aims to significantly cut administration costs by 2017, was continued in 2015 and is still an important component of overall planning to achieve BayernLB's financial aims and comply with the repayment plan agreed with the Free State of Bavaria.

At the end of 2015, BayernLB had achieved nearly 85% (around 370 FTEs) of the approximately 440 reduction in FTE positions it had targeted in 2013. These reductions were mainly achieved through part-time employment schemes, a freeze on filling vacant positions and termination of staff by mutual agreement.

While reducing headcount, BayernLB made wide-ranging changes in its organisational structure to focus even more closely on the needs of the market. For

example, a Mid Office with a staff of around 200 was set up to handle all aspects of credit processing outside of acquisitions and credit analysis. Moreover, the Sales units Corporates and Real Estate also restructured their sales organisation and opened four new sales offices in Germany: in Hamburg, Berlin, Frankfurt and Stuttgart. The organisational structure of Financial Markets was also realigned to create extra added value for BayernLB customers and the Bank itself through a targeted range of products and services. These changes were accompanied by a large number of new appointments to managerial and staff positions.

Plenty of opportunities on offer for graduates – investing in junior staff

In partnership with the German states, business, unions and the Federal Employment Agency, the German government's Alliance for Initial and Further Training 2015-2018 programme aims to

strengthen dual vocational training. Johanna Wanka, the Federal Minister of Education and Research said: “We must raise the status of dual training even more and get the message across that vocational and academic training are of equal value.” Companies want to hold on to dually trained specialist staff for the long term and offer promising opportunities to them.

Despite the systematic Bank-wide reduction in headcount, BayernLB recruited 39 junior staff in 2015

(trainees, work-study students and apprentices). With these appointments, BayernLB has opted for a mix of dually trained specialist staff and academics.

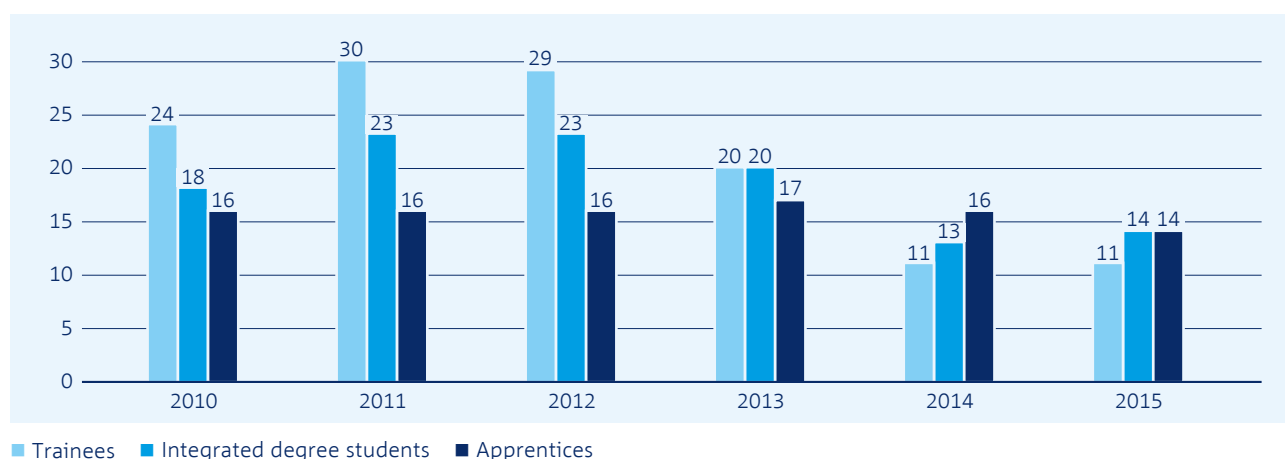
According to surveys, 35% of staff at banks and insurers leave their companies to obtain additional qualifications once they complete their training. So it is all the more gratifying that 35 junior staff (more than 80%) who completed their training at BayernLB in 2015 agreed to be taken on as employees. This

extremely welcome development is due in part to the great value BayernLB places on equipping its former junior staff with additional qualifications. 59 (former junior) staff at BayernLB are taking the opportunity following the end of their training to study and work at the same time.

Further education and skills-upgrading programmes

A good proportion of the training and further education budget was assigned to BayernLB's realign-

Recruitment of junior staff in 2010 – 2015





Some of BayernLB's cultural ambassadors

ment. EUR 2.8 million was invested in further education and skills-upgrading programmes in 2015. The head office in Munich registered 5,914 bookings for employees to attend 849 training courses, amounting to 7,357 seminar days. The focus in 2015 was on strengthening the sales skills of staff in the customer-serving units.

Our staff still have to constantly expand their knowledge to keep pace with increasing customer demands, technical and organisational changes and increased sales pressure. For example all staff in the sales units of the Corporates and Mittelstand business area underwent intensive training in a modularly structured sales improvement course. More than 100 training sessions were held. These training sessions were complemented by a broad-based change process which all staff members took part in.

The goal of this change process is to adapt the sales units to a

changing and highly competitive market environment. As a result they should work even more successfully with customers and exploit the potential in the customer business more effectively. The Real Estate, Association and Financial Markets business areas implemented similar measures to expand and improve their sales and customer businesses. The focus in 2016 will remain on training and developing staff in the sales units.

Corporate culture refined further – our corporate-image and management principles

In 2015 BayernLB further refined its corporate-image and values, which it then communicated to all staff. A key component of this corporate-image is the six corporate values: professionalism, dedication, team spirit, reliability, responsibility and motivation. BayernLB's corporate image is effectively a blueprint as to how the Bank wishes to be perceived internally and externally, how to work together and communicate within

the company and how the financial and sales targets should be met.

The corporate-image was consciously developed from the workforce itself with input from as many employees as possible. The goal was not to present the corporate-image as something handed down from the top, but to let it be developed from the "bottom up" so that as many people as possible could identify with and make a commitment to it.

So-called cultural ambassadors in each area, department and team led workshops to put the values in action and make them meaningful and real.

The first priority was to clarify the following issues:

- What do BayernLB's values mean exactly in concrete terms in day-to-day work?
- Where are we already doing well and which values are already in action?
- Where do we need to improve?

In 2015 around 150 workshops were held to firmly embed the corporate-image in the company. It is important that all staff now continue to play a constructive role in the process and deepen their common understanding of what they need to work on to ensure BayernLB's future success based on these six values of professionalism, dedication, reliability, team spirit, responsibility and motivation.

Managers bear a special responsibility in this. They play a decisive role in setting the example and implementing BayernLB's corporate image. As managers are the ones who shape and drive the corporate culture they have a special duty to implement the corporate image. For this reason BayernLB's management principles have been realigned with the six values. The management principles set out in clear terms what is expected of managers and serve as a mandatory roadmap for managers at all levels – from team leader to board member.

Employees can also see what is expected of their managers from the principles. The management principles were developed in close cooperation between managers and employees. They were then presented to all BayernLB managers at a series of workshops. Discussions were then held on the specific implications they held for each manager's work. The next step is for managers to live up to the principles and put them into practice in their daily work.

Recent changes in remuneration policy

In 2015 extensive negotiations were held between BayernLB and the General Staff Council to make further changes to the remuneration system by implementing regulatory requirements. Although a general agreement on the remuneration system is still outstanding, it was possible to reach transitional solutions in some areas. For example a new service agreement governing variable remuneration for risk-takers was agreed for 2015

and the rules for employee performance appraisals were brought into line with the new regulations. A service agreement to reward outstanding service was also concluded for the first time.

With the approval of banking supervisory authorities, staff were paid variable remuneration in acknowledgement of their performance for financial year 2014. In line with the Bank's financial situation, 50% of the guideline amount was budgeted for, which translates into a distribution of EUR 22 million.

With the publication of the European Banking Authority's (EBA) new "Guidelines on sound remuneration policies and disclosures" in December 2015, it is likely that BayernLB's remuneration system will need to be modified once again in 2016.

How BayernLB's cultural ambassadors make the six corporate values a reality



▲ **Kirsten Zang**, Supervisory Law, Capital Management Policy

I've seen this time and time again that without job satisfaction there's no motivation to perform and give one's best. Performance appraisals play a crucial role in this. They should be focused on the Bank's goals and strategies so that employees can see for themselves how their own active contribution fits into the broader picture. For me it's important here that at BayernLB we don't just concentrate on making profits, but also act ethically and responsibly.

▼ **Markus Kolbe**, Mittelstand South Bavarian Region

We need courage and strength to accept and face up to our responsibilities. A renowned German banker once said: "We must say what we think, do what we say, and be what we do." And that's how I approach life. It's the only way to get things moving and bring about change.



▲ **Lisa Köhler**, Corporate Customers, Mittelstand and Savings Banks RO

Professionalism guides all my actions. It means carrying out tasks responsibly, being a reliable partner to customers and colleagues, but also enthusiastic about my work. Professionalism also means constructively questioning one-self and one's actions each and every day.



▲ **Christine Salfer,**

BP Service & Authentication
Corporates & Mittelstand

Enthusiasm is what drives me. Enthusiasm brings happiness in all areas of life and improves the quality of life. I'm particularly enthusiastic when bringing new ideas to fruition or planning projects. When things don't run so smoothly, I'm keen to enrich my life with positive things and doing good to others.

▼ **Michael Körner-Suchanow,**

IT Workplace

Reliability for me setting an example by living up to the expectations I have of others. It begins with supposedly trivial matters, like replying quickly to requests. The same is true of dependability and punctuality. That's how reliability is best measured, both in one's private and professional life.



▲ **Susanne Köster,**

Group/Branch Financial and
P/L Accounting Team

For me team spirit means proactively supporting colleagues and not waiting to be asked. It's also about passing on information when I think it's relevant. And actively integrating new members of staff. It's an example I want to set, but also what I want from others also.

Community work



TV presenter and Sternstunden sponsor Markus Othmer and art expert Dr Brigitte Ulsess at the charity art auction for Sternstunden and the Bavarian State School for the Disabled. Volunteering as usual and full of esprit.

“We take on our responsibilities. Both as a principal bank. And as people.” It is a value that **BayernLB** and its staff do not merely pay lip service to, but actively put into practice. Clear proof is the commitment of the Bank and its employees to the community.

BayernLB’s biggest commitment is its support of the charity Sternstunden e.V., which was founded in 1993 to help children in need. As a founder member, the Bank has been a long-standing, reliable partner to the charity right from the word go. It and the other partners have laid the foundations for the work with the charity and ensuring every single cent donated to Sternstunden is used for the children’s aid projects it supports in Bavaria, the rest of Germany and worldwide.

Sternstunden helps children. That’s why we help Sternstunden.

In addition to a donation of EUR 50,000, which is traditionally handed over at the annual Sternstunden gala, BayernLB supports the charity by providing an administrative cost subsidy, making office space and equipment available, printing and sending off donation forms and the Sternstunden annual report and processing payments.

Besides this regular support, BayernLB and its staff helped out Sternstunden in a variety of ways once again during the reporting period.

For example, the athletes of the BayernLB sports club “ran up” donations in the B2Run in 2015, their motto being “Laufend Gutes tun”, which loosely translates as a “run for the money”. 128 of the

Bank’s employees manned the donation phone lines during Bayerischer Rundfunk’s Sternstunden Day. At the Sternstunden stand at the Nuremberg Christmas Market, around 40 BayernLB colleagues, mainly from the Nuremberg branch, helped raise EUR 14,517 for children in need.

BayernLB also held its traditional charity exhibition again in 2015. Every other year, schoolchildren at the Bavarian State School for the Disabled exhibit pictures and works of art they created in art projects and art therapy. The 2015 exhibition went under the motto “BUNTES WUNDER” (colourful wonder) and all exhibits were successfully auctioned off. The proceeds of EUR 30,000 were split evenly between the charity Sternstunden e.V. and the Bavarian State School for the Disabled. Dr Edgar Zoller, Deputy CEO of BayernLB,

Dr Michael Bauer, spokesperson for BayernLabo's management and Nele Lachmayr. The schoolgirl helped out at BayernLabo for a day. The occasion was the social day of the charity "Schüler helfen Leben" (children helping the lives of others), where young people's pay (including Nele's) is donated to youth and educational projects.



who is in charge of the Bank's Sternstunden commitment said: "Sternstunden helps children, that's why we help Sternstunden. Each Sternstunden project makes the world a slightly better and more humane place to live in. We support it out of conviction, from our hearts and for the long term. Sternstunden stands for solidarity and responsibility. We are proud to play a part."

Donations also came from a campaign by the Bank's picture collection. And donations for Sternstunden still keep pouring in via the "Sterntaler" donation boxes – initially installed by BayernLB to collect donations of old German Deutschmarks and foreign currencies. Since it started, the campaign has brought in a staggering EUR 2 million plus for Sternstunden.

Combating youth unemployment together

BayernLB's Corporate Volunteering scheme entered its fifth year in 2015. 203 staff members took part in 233 actions. The volunteers put in a total of 1,519.82 hours or 198.14 days, a significant increase on the previous year.

For example staff volunteered as mentors at the charity JOBLINGE AG. Launched in 2007 by The Boston Consulting Group (BCG) and the Eberhard von Kuenheim Stiftung of BMW AG, this initiative throws young people a lifeline to the working world. In a programme lasting around six months, they receive important qualifications on-the-job, train their social skills and work towards an apprenticeship or employment. BayernLB staff help out by mentoring for JOBLINGE. And as a corporate partner, BayernLB has helped improve

young people's future prospects by financing three scholarships every year since 2012. Aid to refugees was a special focus for all the volunteers helping out at the city of Munich's welfare institutions and the organisation Diakonia who pitched in to distribute donations of clothing. In the run up staff called on their colleagues to donate clothing and other gifts and had a excellent response.

BayernLabo also supports the social project of the "Schüler helfen Leben e.V" (children helping the lives of others) association and in 2015 it once again gave young people the opportunity to work one day at the Bank. Their pay for the day was donated to youth and educational projects in south eastern Europe.



futOUR summer camp run by the Deutsche Kinder- und Jugendstiftung (foundation for German children and young people), supported by the DKB foundation.

Employees at **BayernInvest Kapitalverwaltungs-gesellschaft mbH, Munich (BayernInvest)** also have had the opportunity since 2013 to do charitable work as part of the Corporate Volunteering scheme.

In connection with this, BayernInvest conducted a cooperation project once again with the Otto-Steiner school in the Hasenberg district of Munich in 2015. The Otto-Steiner school is part of the Augustinum Group and is a support centre focusing on mental development.

BayernInvest employees carried out handyman tasks in the school and renovated one of the school's corridors. There are firm plans to continue these volunteer days. In December 2015, employees were

given time off to help with the Bayerischer Rundfunk's Sternstunden Day and accepted donations by telephone in Munich's broadcasting centre.

In light of the difficult refugee situation, BayernInvest and its staff organised a collection of gifts and clothing to give to the city of Munich. It was topped up by a donation from BayernInvest.

Instead of sending a Christmas present to customers, the equivalent financial amount was given to the charity Sternstunden e.V. to help needy children in Bavaria, the rest of Germany and around the globe.

Promoting equal opportunities in society

DKB pools major parts of its corporate responsibility in the DKB foundation, which was founded in 2004. The DKB Stiftung für gesellschaftliches Engagement (DKB foundation for social commitment) independently initiates and supports projects in the areas of training and education, protection of the environment, nature and the landscape, aid for children, young people and the elderly, preservation of historical monuments and art and culture.

The DKB foundation runs its own integration company, which has operated regularly on the private labour market for more than five years and is one of the largest organisations with this focus in

An enjoyable experience for old and young is the nature trail laid at the DKB foundation location in Liebenberg (Brandenburg).



Brandenburg. More than 160 people with and without disabilities now work hand in hand at the foundation's sites in Liebenberg and Gnewikow. The foundation also provides young people, some of them socially disadvantaged, with a leg-up into the employment market in the form of an apprenticeship. In 2015 the company began using two new buildings: a workshop with a modern production site and a community hall.

To promote equal opportunities in our society, the DKB foundation supported a whole host of activities of its partners as well as its own projects. These included the utOUR summer camp run by the German child and youth foundation, STARTStiftung's scholarships programme, the EUKITEA theatre's

"tips for life theatre" project and the Berlin-Brandenburg children's choir workshop held by the Brandenburg state music council.

Help for refugees

In 2015 thousands more refugees arrived in Germany every day looking for a safe place to live. From November 2015, the DKB foundation took in families and mothers with children (80 people in total) at its youth village in Gnewikow. They were cared for by trained personnel and a number of measures were taken to integrate them into German life. DKB staff supported the campaign through corporate volunteering (see below), donating gifts such as children's bicycles, toys and clothing, and setting up computers in the refugee's language.

DKB supports its employees in their individual endeavours. To this end, the company established a Corporate Volunteering scheme in 2013. This scheme enables employees to support selected projects, for which it releases them from their duties on up to two working days a year. For example DKB employees used the corporate volunteering scheme to help integrate refugees in a number of ways, e.g. handicraft afternoons, and cooking and sports events in the DKB foundation's youth village in Gnewikow. And DKB staff once again strongly supported the "My Finance Coach" initiative, which aims to sensitise pupils between 11 and 15 years old to issues related to dealing with money. In 2015, a total of 200 staff got involved in 22 projects.

Education and science

BayernLB supports the elite Finance & Information Management (FIM) graduate studies programme, thereby helping the financial managers of the future to get the practical training and experience they need. The programme is offered by the University of Augsburg and the Technical University of Munich.

A dedicated investment-fund career path has been available since 2003 in Frankfurt and since 2005 in Munich. Since then, **BayernInvest** has been involved in training junior staff. From the start, BayernInvest attached great importance to employing the apprentices upon completion of the course, offering them career prospects and security and meeting its own demands for specialist staff. Furthermore, BayernInvest provides a valuable insight into a career in this sector in the course of a one to three-month internship. This allows the apprentice to gain more in-depth knowledge of the topics covered on the course by taking on responsibility for tasks and projects.



In 2015 **Real I.S.** and the EBS University of Business and Law sponsored the Real I.S. Innovation Award 2015. Taking part were eight project groups and 31 students on the EBS University's Real Estate Innovation & Entrepreneurship course. The two winning projects each received EUR 1,000. Jochen Schenk, Real I.S. AG board member and competition judge: "Turning innovative ideas into reality is and will always be a key challenge for the real estate industry. The students have shown us valuable ways of achieving this."

Support for the "Munich Financial Center Initiative" (fpmi)

The primary goal of the Munich Financial Center Initiative is to strengthen and improve the image of Bavaria, especially Munich, as a financial centre and to improve the area's standing outside the region. This initiative furthers the interests of all players within Bavaria's financial sector.

In addition to BayernLB, other participants include companies from the banking and insurance sectors, private equity, venture capital and leasing companies, the Bavarian State Ministry of Economic Affairs and Media, Energy and Technology, the Bundesbank, Munich's stock exchange, professional bodies, business and trade associations and research institutions linked to universities. As a member, BayernLB supports collaborative projects between Bavarian universities and financial service providers with a practical focus, a careers centre for newly qualified talent and the exchange of knowledge and experience at specially organised events, in particular.

Art and culture



In 2015 customers and visitors at the savings banks Kelheim, Bamberg and Neumarkt-Parsberg were treated to the “Gold from Bavarian rivers” exhibition featuring rare and valuable treasure made out of this special

precious metal. Rare alluvial gold ducats, loaned by Bayerische Landesbank, could also be seen at the **BayernLB** touring exhibition. BayernLB has one of the most extensive collections of these unusual pieces and loans them to

saving banks interested in putting them on display. BayernLB once again sponsored the open-air classical music concert in Munich’s Odeonsplatz in 2015. The well-established summer event attracts around 16,000 guests every year.

Environmental protection at BayernLB

For a variety of reasons the key elements of **BayernLB's** sustainability management are saving energy and water, reducing paper consumption and waste material and arranging business trips in an environmentally a friendly way as possible. Through its commitment to protecting the environment and fighting against climate change on the premises the Group is fulfilling its responsibility to conduct an ecologically compatible business strategy. It is also demonstrating it is a principled partner when it comes to providing financing solutions for environmental and climate protection. And all staff can contribute directly to protecting the environment in their working lives.

As with many banks, the origins of environmental protection within the BayernLB Group can be traced back to the management of the buildings used. As far back as the mid-1990s, the impact of the business on the environment has been assessed. Since 1999 this has been accredited under an environmental management system validated

under the Eco-Management and Audit Scheme (EMAS) Ordinance and since 2011 also certified under environmental management standard ISO 14001. The scope of the environmental management system, which typically captures the proportion of the workforce covered, has been steadily expanded in recent years. BayernLB's Nuremberg location and several DKB offices are now covered in addition to the head office in Munich. Around 60 percent of all staff within the Group work at certified locations and preparations are being made to expand coverage to other buildings.

Three-pronged approach

One long-standing focus of environmental management has been climate protection. The BayernLB Group follows a three-pronged approach: avoid, substitute and compensate. The goal is to achieve a climate neutral bank. The first and most important step here is to reduce greenhouse gases (GHG) which adversely affect the climate, for example, by upgrading and modernising the Bank's own

buildings and technical facilities to make them more energy efficient, but also by educating and actively involving staff. BayernLB has made notable progress here in the past few years.

Energy needs completely met by hydroelectric power

The same applies to the second level: the substitution of conventional energy sources for energy from renewables. For example the Munich location's energy needs are now completely met by hydroelectric power. **DKB** also gets all its electricity from certified hydroelectric power. It generates 80,000 kwh a year from photovoltaic cells on its buildings. It has also more than halved its CO₂ emissions per employee since 2010 through a variety of measures. By implementing a range of comprehensive measures in the energy field, the BayernLB Group has met all the requirements under the German law relating to energy services and other energy-efficiency measures (EDL-G), which it had to apply for the first time in 2015.

Climate-neutral in Munich since 2008

In a third step, CO₂ emissions that still could not be avoided in spite of these extensive measures are offset through the purchase and cancellation of high-value emissions rights from externally certified climate protection projects. BayernLB's considers its approach has been vindicated by the out-

come of the World Climate Summit in Paris. The concluding documents stated that the voluntary, sometimes criticised, offsetting of unavoidable emissions is playing a key contribution to achieving the goals laid down in the Paris Agreement of cutting net GHG emissions to zero in the second half of the

century. By implementing its levels-based system the Bank has already achieved its reduction targets and has been climate neutral at Munich since 2008 and at Nuremberg since 2010.



Sustainable financial solutions

Climate change also has special importance when it comes to the BayernLB Group's financial solutions. The Bank helps its customers meet the challenges ahead and leverage the business potential from the energy transition, and therefore make an important contribution to their success. BayernLB follows a tripartite approach here across all sectors, covering the following segments:

1. Environmentally friendly energy generation (renewable energy, co-generation systems)
2. Infrastructure measures (electricity and heating networks)
3. Efficiency measures in certain sectors (especially real estate, manufacturing, infrastructure)

The Group has made a significant contribution to funding renewable energy in Germany in recent years. For example, for the past 20 years DKB has provided loans for renewable energy-related projects and is now one of the largest financiers of renewable energy in Germany

(lending out EUR 9 billion). The solar, wind and biogas facilities constructed since 1996 today generate green energy for 4.3 million two-person households.

Fossil fuels as a bridging technology

Nonetheless, as a stable supply of energy is the basis of a prosperous society, BayernLB feels that, as a bridging technology, fossil fuels will continue to make an indispensable contribution to the energy supply in both the short and medium term. The Bank will therefore continue to be a reliable partner to the conventional energy industry. The BayernLB Group is conscious that implementing projects linked to power generation from atomic and fossil fuel sources may pose ecological, social and societal risks.

The Bank has therefore very strict guidelines in place when it comes to funding such projects. Those that are particularly critical are

16 Taking responsibility

18 Human resources

24 Community work

28 Education and science

29 Art and culture

30 Environmental protection at BayernLB

32 Sustainable financial solutions



not funded at all. BayernLB therefore does not finance projects to extract crude oil from oil sands, or extract natural gas by means of fracking, or mine coal by the mountain top removal (MTP) method. It also does not finance conventional energy projects carried out in nature conservation areas and World Heritage sites. Its rules also prevent it from lending to projects to construct new nuclear power plants or mine or produce nuclear fuels.

World Bank standards as guidelines

BayernLB has also incorporated the World Bank's environmental and social standards into its project financing guidelines. These standards set out, for example, how industrial facilities or infrastructure projects are to be constructed or how environmental and social

management systems must be set up to avoid or at least minimise any negative impact. The Bank has also drafted cross-sector and sector-specific guidelines which place strict requirements on project financing. BayernLB continually monitors political and social developments and amends existing rules or defines new guidelines or exclusions where necessary.

The same is true for guidelines relating to investing. Its asset manager subsidiary **BayernInvest** prohibits its proprietary retail commodities funds from investing in agricultural products or derivatives based on these. This exclusion also applies to retail funds launched by third parties which are administered or managed by BayernInvest Luxembourg S.A. Like the BayernLB Group the asset

manager also declines to invest in companies that manufacture prohibited weapons.

Attractive sustainable investments

At the same time, via BayernInvest, the Group offers its customers investment opportunities which satisfy special social and environmental requirements. Such socially responsible investments (SRI) have increasingly come onto the radar screens of private and institutional investors in recent years. Two funds are currently offered: The **DKB** ecofund invests in companies active in the climate and environmental technology industry which only engage in sustainable business practices. Companies in the DKB future fund also have to meet strict sustainability criteria. With its public participation models, DKB offers highly innovative investment opportunities with the double

bonus of attractive financial returns coupled with social and environmental added value.

BayernLB's and its subsidiaries' bonds are independently rated as socially responsible investments. For example specialised, independent sustainability rating agencies regularly rate the targets and measures of the Bank's sustainability management on behalf of investors and give it very high scores compared with the sector

as a whole. A very welcome development in this connection last year was the decision by respected rating agency oekom research to renew its prime rating for the Group as a whole and for DKB, which was separately rated for the first time. The latter achieved the best rating out of all German commercial and public-sector banks on its very first go. The sustainability analysts particularly appreciated the credit business' sustainable approach. For example,

DKB finances the construction of homes for the elderly and family housing, in and out-patient clinics, schools and day-care centres. The BayernLB Group has held coveted oekom prime status since 2001 and thereby demonstrated its continual commitment to sustainable development.

	Sustainalytics	oekom research	imug		
As at	2013	2015	2016		
Rating	65 out of 100 points	C	8.00%		
				Public Pfand-briefs	Mortgage Pfandbriefs
Ranking/ investment status	18 out of 73	"PRIME"	Positive	Positive	Unsecured bonds Neutral
Benchmark	57	D	6.91%		



BayernLB Group management report

38	Overview of the BayernLB Group
42	Report on the economic position
58	Events after the reporting period
59	Report on expected developments and on opportunities and risks

Overview of the BayernLB Group

Business model and strategy

BayernLB maintained its customer-focused strategy in 2015. The framework for the strategy is the restructuring plan hammered out with the European Commission between 2009 and 2012 and the Bank's target structure on which it is based. Sales activities were further strengthened and deepened in 2015 as part of a project initiated the year before to sustainably expand the earnings base. The overriding objective here is to structure an earnings base that will preserve capital over the long term.

BayernLB continues to be a strong corporate and commercial real estate lender focused geographically on the Bavarian and German markets as well as a reliable partner to the savings banks. Deutsche Kreditbank AG, Berlin (DKB), an integral part of the business model, rounds out the model by providing retail banking services as an online bank and as a specialist in the target infrastructure and business customer sectors.

One important milestone in resolving the existing legacy problems was reached when the Free State of Bavaria and BayernLB negotiated a settlement with the Republic of Austria on 11 November 2015. The agreement puts an end to all legal disputes between BayernLB, the Republic of Austria and Kärntner Landesholding. The Bank will seek a legally binding ruling only in respect of the EKEG proceedings in Munich dealing with the classification of capital provided as equity, which it has already won in the first instance. The proceedings revolve around the question of whether the loans to HETA Asset Resolution AG, Klagenfurt (HETA), formerly Hypo Alpe Adria Bank International AG, Klagenfurt qualify as equity-replacing shareholder loans under the Austrian Equity Capital Substitution Act (EKEG). BayernLB and HETA have agreed to a prolongation in the interests of obtaining legal clarity. The Republic of Austria paid the Free State of Bavaria EUR 1.23 billion. This amount will only be paid back when and so far as BayernLB receives proceeds from the resolution of HETA.

BayernLB has also already repaid around EUR 2.7 billion in state aid, most of it ahead of schedule. Still remaining is the repayment of EUR 2.3 billion in silent partner contributions to the Free State of Bavaria (originally EUR 3 billion) in order to comply with all major EU conditions and commitments. In Q4 2015 BayernLB applied to the ECB to repay a further EUR 1.3 billion of the silent partner contributions to the Free State of Bavaria.

Owing to its systematic focus on the core business and the steady run-off of the remaining non-core business, the BayernLB Group has reduced its total assets from EUR 421 billion in 2008 to EUR 216 billion.

The cost base, which was already favourable relative to peers, was further improved in 2015 thanks to a successful cost cutting programme. Furthermore, extensive measures were carried out as part of the plan agreed in 2014 to optimize sales by developing sales structures capable of achieving goals. In Germany, new offices were opened in Hamburg, Stuttgart and Frankfurt in addition to the existing branches in Nuremberg, Düsseldorf and Berlin. Outside Germany it still has branches in London, Milan, Paris and New York and a representative office in Moscow. One way in which the sales structure has been revamped to focus even more heavily on customer needs is the multi-faceted optimisation of IT interfaces. This will provide a good basis for expanding market share in the core business areas and leveraging new sources of earnings in the medium to long term.

38 Overview of the BayernLB Group	59	Report on expected developments and on opportunities and risks
42 Report on the economic position		
58 Events after the reporting period		

In 2015 the Bank drove forward the repositioning of the capital markets business, a key component of its goal to strengthen the commission-based business in the future. In the commercial and residential real estate businesses, the Bank exceeded its target of roughly EUR 3.7 billion by achieving new business growth of about EUR 4.4 billion. In the retail customer business area, Deutsche Kreditbank AG, Berlin (DKB) grew its customer base to about 3.2 million in 2015. The retail-like savings bank business performed well on the back of a broad and attractive range of products and services. The foreign notes, coins and precious metals business achieved double-digit growth, and BayernLB and the savings banks remained market leaders for subsidised loans in Bavaria.

BayernLB's medium and large corporates business and the associated capital market business remained stable over the year. Earnings fell marginally below expectations due to stiff competition, particularly for Mittelstand customers, combined with customers' low capital spending and very high liquidity.

The still challenging market environment in particular had an impact on BayernLB's operating business in 2015. Accordingly, the main challenges it faced in safeguarding its earnings base were persistently low interest rates, stiff competition for large corporate and Mittelstand customers, and the growing importance of non-banks.

Building upon this, in the annual strategic process, the Bank drew up and then fleshed out specific measures for all its business areas based on the strategic direction and goals. To ensure long-term competitiveness, the Bank's main aim is to increase and intensify business with existing customers while gaining new customers in the defined core segments. The Bank will work towards achieving this by making sure products and services meet customer needs and by taking measures to step up sales and further improve customer-focused sales structures, partly also by selectively digitalising sales channels.

This, coupled with a solid capital base and the good, longstanding customer relationships that the Bank enjoys, will lay the foundations for preserving existing and gaining new customers going forward.

Internal Group management system

The BayernLB Group's management system is based on managing the inter-related variables of profitability, risk, liquidity and capital. One of the main goals of the internal management system is to continuously optimise resources employed while simultaneously ensuring the Group's capital base is adequate. This should also enable BayernLB to comply with the terms of the repayment plan agreed with the EU.

The profitability of the BayernLB Group is managed using two key financial ratios that act as crucial indicators of performance. The main one is Return on Equity, or RoE. This is calculated by dividing profit or loss before taxes by average capital employed during the year. Depending on the management level, capital employed is derived from either the balance sheet or the risk-weighted assets of the individual underlying transactions in accordance with regulatory standards. Cost efficiency is monitored by means of the cost/income ratio (CIR), the ratio of

administrative expenses to gross profit. In addition to measuring return on equity and cost efficiency, BayernLB also uses other ratios. These include various measures of the profitability and expense of risk-weighted assets, and also economic value added (EVA). This expresses the profit of a company after deducting the cost of the capital employed denominated in euro. In order to ensure integrated and consistent management, the key figures RoE and CIR are used at all levels of management. The management cycle is a continuous process of carrying out annual medium-term planning, producing intrayear detailed target vs actual comparisons and making regular projections to the year-end.

Risk-bearing capacity is monitored using the Internal Capital Adequacy Assessment Process (ICAAP). The process is used in the BayernLB Group, BayernLB and DKB. The aim of ICAAP is to ensure that there is sufficient economic capital to fully cover the risks assumed or planned at all times. For risk management, BayernLB follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets. The economic capital is of suitable quality to absorb any losses and is calculated, based on the liquidation approach, by deducting from the sum of equity and subordinated capital those items that are not available in the event of liquidation (e.g. intangible assets). To produce an in-depth, forward-looking analysis of economic capital adequacy, risk-bearing capacity is calculated based on the Business Strategy and supplemented by stress tests.

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure adequate access to markets. In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. Amongst other things, operating liquidity management is based on capital flow accounts and limit utilisation ratios. Additional information can be found in the Risk Report.

Capital is managed using the Common Equity Tier 1 (CET 1) ratio and the total capital ratio as defined by the Capital Requirements Regulation and Directive (CRR/CRD IV). Besides the capital ratios, which take account of the transitional provisions currently applicable under CRR, capital is also managed using the fully-loaded capital ratios, i.e. where the transitional provisions are not applied. The capital required and the corresponding capital ratios are derived from the Business and Risk Strategies and the latest medium-term planning. Risk-weighted assets (RWA) are allocated, limited and monitored to ensure compliance at all times with the capital ratios planned and required by the regulator as a basic condition for all business activities. As part of overall bank management, target capital amounts, risk-bearing capacity and funding are combined.

Human resources

2015 was a year about securing the future and also one of profound change at BayernLB. A plethora of projects and initiatives laid the foundations for a stable future. This stability must now be cemented. Human Resources was focused on driving forward the initiatives to refine the business model and on the restructuring, while developing a new self-image and defining BayernLB's set of values based on it.

As at 31 December 2015, a total of 7,082 staff were employed by the Group. This was an increase of 240 on the previous year and primarily due to the first-time consolidation of Bayern Card-Services GmbH – S-Finanzgruppe, Munich (BCS), which took effect retrospectively on 1 January 2015. Excluding BCS, the workforce within the Group shrunk again. The number of staff at BayernLB fell by 97 to 3,186.

Corporate responsibility

One of BayernLB's stated corporate goals is to achieve commercial success while meeting its social responsibilities. The BayernLB Group therefore attaches great importance to its work in the community, the fields of education and science, the world of art and culture and sustainable development. Naturally, sustainability management and reporting play no less important roles in BayernLB's business activities.

Specialised, independent sustainability rating agencies regularly rate the targets and measures of the Bank's sustainability management on behalf of investors and give it very high scores compared with the sector as a whole. A very welcome development in this connection last year was the decision by respected rating agency oekom research to renew its prime rating for the Group as a whole and for DKB, which was separately rated for the first time.

The BayernLB Group has held coveted oekom prime status since 2001 and thereby demonstrated its continual commitment to sustainable development.

Key changes in the scope of consolidation and the investment portfolio

BCS was consolidated into the BayernLB Group with retroactive effect from 1 January 2015. More information on the changes to the scope of consolidation can be found in the notes.

Report on the economic position

Macroeconomic and sector-specific environment

Germany's economic upturn continued into 2015. As forecast, gross domestic product rose by 1.7 percent on the previous year.¹ This was driven mainly by private consumption, which was sharply up (1.9 percent) year on year. Low oil and energy prices that fell even further buoyed consumers' purchasing power. Above-inflation wage increases bolstered buying power in real terms. Domestic demand was further boosted by spending to house and aid the large influx of refugees. This not only led to increased government spending and investment in infrastructure but also spilled over to private consumption. Capital spending by companies rose 3.6 percent over the year before, in line, for example, with the Bank's 2014 forecasts. As expected, the increase in capex was somewhat more subdued than usual during an upswing due to a welter of uncertainty-fuelling geopolitical factors such as the Greek crisis, concerns about the stability of key emerging markets and an escalation in political and religious conflicts, especially in the Middle East. On balance, foreign trade made a positive contribution to growth in Germany despite higher imports as a result of strong domestic demand. However, exports rose at an even faster pace. The euro's downward drift following the ECB's decision in January to buy back bonds and the US economy's revitalisation more than counteracted the drop in demand in China. Export sales in the eurozone (Germany's most important sales market) along with the currency region's own stronger-than-expected economic renaissance (with year-on-year growth estimated at 1.4 percent) contributed to the 2015 rally in exports.²

The steady revival caused the unemployment rate to retreat to 6.3 percent from 6.5 percent.³ Strong, sustained job creation absorbed the inflows into the German labour market. On a less positive note consumer prices rose by 0.3 percent on the previous year, significantly less than in 2014 and below more optimistic forecasts.⁴ The culprit here was the oil price, which, averaged out over the year, tumbled unexpectedly to USD 53/barrel (Brent crude), compared with an average of USD 99 in 2014.

The ECB loosened monetary policy again after inflationary expectations continued to fade over the course of the year. For example, in January 2015 it agreed to start purchasing public-sector securities. Since then it has been buying back EUR 60 billion of public and private-sector bonds each month under its asset purchase quantitative easing (QE) programme.⁵ In December 2015 it once again cut the rate it pays on deposits by 10 basis points to -0.3 percent.⁶

¹ See Statistisches Bundesamt 2016, press release no. 014

² BayernLB January forecast update of 17 December 2015, published by Eurostat on 29/01/2016

³ Agentur für Arbeit, monthly report December 2015; <http://statistik.arbeitsagentur.de/Statischer-Content/Arbeitsmarktberichte/Monatsbericht-Arbeits-Ausbildungsmarkt-Deutschland/Monatsberichte/Generische-Publikationen/Monatsbericht-201512.pdf>

⁴ See Statistisches Bundesamt 2016, press release no. 002

⁵ ECB press release of 22 January 2015, https://www.ecb.europa.eu/press/pr/date/2015/html/pr150122_1.en.html.

⁶ ECB press release of 3 December 2015, <https://www.ecb.europa.eu/press/pr/date/2015/html/pr151203.en.html>.

Bank lending in Germany to companies and households picked up slightly by 2.0 percent (November year on year), but was sluggish despite the low interest rate environment.⁷

On balance in 2015 the euro lost significantly more ground against the US dollar than forecast. The factors behind this were the ECB's decision to start its bond purchases at the start of the year and implement other QE measures and the Federal Reserve's first interest rate hike at the end of the year. Over the course of the year, the large euro short positions based on this divergence in monetary policy resulted in repeated short covering during risk-off periods, pushing the currency up. This limited the depreciation in the euro against the greenback to 9 percent, to just under 1.09 USD/EUR at the end of 2015. The euro also shed more value against pound sterling than forecast. In the final quarter, however, due to weaker economic data from the UK and mounting fears of Brexit, the pound chalked up another significant fall, closing the year at nearly 0.74 GBP/EUR, the forecast at the start of the year. When the Swiss National Bank (SNB) caught everyone completely unawares by removing the EUR/CHF floor in January 2015, the franc initially traded at close to parity with the euro. By the end of 2015, as BayernLB had predicted, the franc had ticked down against the euro to almost 1.10 CHF/EUR, driven by deeply negative Swiss interest rates and the sapping effect of the "franc shock" on the economy.

In spite of high volatility over the course of the year (especially in Q2 2015 with the Flash Crash and imminent risk of Grexit), yield whipsawing in absolute terms was surprisingly modest. 10-year Bunds opened 2015 with a yield of 0.54 percent, only to close the year slightly higher on 0.63 percent. It was a similar picture for 10-year US Treasuries, the factor weighing the most on the Bunds market. Here year-end yields stood at 2.27 percent, only fractionally higher than their year-start level of 2.17 percent, despite the Fed's interest rate volta-face in December. As anticipated, risk premiums in the European market for covered bonds narrowed in the first half of 2015, only to widen in the second half, so tending sideways for the year as a whole. The ECB's announcement of large-scale bond buybacks stoked the market at the start of the year. As anticipated, further support came from the high volume of maturing instruments and regulatory preference. Risk premiums widened after that, however, due to an unexpectedly high supply on the primary market in September. On European credit markets, risk premiums on investment-grade bonds, as tracked by iBoxx Euro Corporates, widened by around 30 basis points in 2015 and failed to benefit from the start of the ECB purchases. By contrast, the primary market posted its third-best year ever with new issue volumes of around EUR 295 billion.

Although the German stock market experienced high volatility in 2015, the DAX finished the year as forecast with an overall gain of 9.6 percent to 10,743, making it the fourth year of growth in a row. In 2015 the EURO STOXX 50 (price index) trailed the DAX's performance somewhat, with a 3.8 percent rise to 3,268. But, if dividends are included, it grew by 7.3 percent.

⁷ See Deutsche Bundesbank 2015: „Banking Statistics – December 2015, Statistical Supplement 1 to the Monthly Report“, Table I 6a), p. 10, http://www.bundesbank.de/Redaktion/EN/Downloads/Publications/Statistical_Supplement_1/2015/2015_12_banking_statistics.pdf?__blob=publicationFile.

For the financial services industry, 2015 too was a year of uncertainty marked by a tough market environment. The main challenges were fierce competition, historically low interest rates, and the morass of ever more complex and numerous guidelines and regulations at national and international level.

In addition to the sustained low interest rate environment, the BayernLB Group's business activities in 2015 were primarily affected by notably sluggish capital spending by companies, and increasingly cut-throat competition in the core segments. It faces competitors in all three pillars of the German banking landscape: large German and international commercial banks, Landesbanks, and special institutions which operate in selected segments, such as real estate financing. Moreover, non-banks are also increasingly competing selectively against established banks.

In spite of falling demand for credit and the economic uncertainties in European markets, international banks continued to home in on large corporate and Mittelstand customers in Germany in 2015. The proliferation of competitors and plentiful supply of liquidity in the market had a direct impact on BayernLB as prices were cut to gain an edge. Mittelstand firms with good to very good credit ratings were assiduously courted.

The online banking market grew slightly once again in 2015. Competition among these direct banks was stiff, fuelled by the arrival of foreign banks. There was also rapid growth in fintechs: young, innovative technology companies providing financial services. Despite these conditions, DKB increased retail customer deposits once more.

Course of business

The BayernLB Group closed financial year 2015 with profit before taxes of EUR 640 million (FY 2014: loss of EUR 348 million) – at the upper end of the forecast earnings target (in the mid triple-digit millions). The Group's consolidated profit was EUR 488 million (FY 2014: loss of EUR 1,320 million). The main reason for the large consolidated loss of the previous year was the disposal of the Hungarian subsidiary MKB Bank Zrt., Budapest (MKB), which reduced gains or losses on discontinued operations by EUR 1,070 million.

The core business posted profit before taxes of EUR 987 million, a significant increase on the previous year's already healthy performance (FY 2014: EUR 672 million). All core segments made a positive contribution. Profit before taxes was weighed on by a loss of EUR 347 million in the non-core business (FY 2014: loss of EUR 1,020 million).

As at 31 December 2015 the Group had total assets of about EUR 216 billion, around 7.1 percent lower than at the end of 2014 and below the amount of about EUR 240 billion, agreed with the European Commission for the end of 2015. The lending business once again had a major impact on the Group's assets. The financial situation was solid throughout the reporting year, solvency was assured at all times and the BayernLB Group's economic situation was stable.

As at 31 December 2015 the BayernLB Group continued to enjoy a solid capital base with a CET 1 ratio of 15.1 percent and CET 1 fully loaded ratio of 12.0 percent (factoring in net profit for the year).

Results of operations

In the previous year MKB was classified as a discontinued operation under IFRS 5. As a result, MKB's profit or loss after taxes and other measurement effects were reported under the "gains or losses on discontinued operations" item. In financial year 2015, the Group did not report any gains or losses on discontinued operations.

Return on equity⁸ was 5.8 percent (FY 2014: –2.6 percent). The cost income ratio⁹ (CIR) was 53.8 percent, 4.1 percentage points higher (FY 2014: 49.7 percent). Both ratios were at the upper end of expectations for financial year 2015 of a CIR of about 55 percent and a RoE in the mid single digits.

Further information on each item can be found in the notes.

Income statement

EUR million	1 Jan–31 Dec 2015	1 Jan–31 Dec 2014	Change in %
Net interest income	1,612	1,671	–3.5
Risk provisions in the credit business	–264	–1,498	–82.4
Net interest income after risk provisions	1,348	173	>100.0
Net commission income	258	249	3.4
Gains or losses on fair value measurement	–62	–25	>100.0
Gains or losses on hedge accounting	–24	–70	–65.9
Gains or losses on financial investments	286	419	–31.8
Administrative expenses	–1,168	–1,171	–0.3
Expenses for the bank levy and deposit guarantee scheme	–90	–4	>100.0
Other income and expenses	102	114	–9.9
Gains or losses on restructuring	–10	–33	–67.8
Profit/loss before taxes	640	–348	–
Income taxes	–150	99	–
Gains or losses on continuing operations	490	–249	–
Gains or losses on discontinued operations	0	–1,070	–
Profit/loss after taxes	490	–1,320	–
Profit/loss attributable to non-controlling interests	–1	0	–
Consolidated profit/loss	488	–1,320	–

Rounding differences may occur in the tables.

⁸ RoE = profit before taxes/average reported equity.

⁹ CIR = administrative expenses/(net interest income + net commission income + gains or losses on fair value measurement + gains or losses on hedge accounting + gains or losses on financial investments + other income and expenses).

Net interest income

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014	Change in %
Interest income	6,459	7,253	–10.9
of which:			
• credit and money market transactions	4,224	4,748	–11.0
• financial investments	318	500	–36.3
• hedge accounting derivatives and derivatives in economic hedges	1,917	2,005	–4.4
Interest expenses	–4,847	–5,582	–13.2
of which:			
• from liabilities to banks and customers	–2,017	–2,387	–15.5
• for securitised liabilities	–473	–667	–29.0
• for subordinated capital	–194	–206	–6.1
• from hedge accounting derivatives and derivatives in economic hedges	–2,065	–2,201	–6.2
• other interest expenses	–98	–121	–18.7
Net interest income	1,612	1,671	–3.5

Net interest income, which mainly came from the credit business, was only slightly down on the previous year at EUR 1,612 million (FY 2014: EUR 1,671 million) despite low interest rates and a further contraction in business volumes. Both interest income and interest expenses were lower. DKB produced almost half of the net interest income.

Risk provisions in the credit business

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014	Change in %
Additions	–652	–1,848	–64.7
Direct writedowns	–15	–175	–91.4
Releases	271	417	–35.0
Recoveries on written down receivables	106	75	42.3
Other gains or losses on risk provisions	25	33	–24.9
Risk provisions in the credit business	–264	–1,498	–82.4

Net allocations to risk provisions in the credit business amounted to EUR –264 million, a sharp drop on the previous year (EUR –1,498 million), when risk provisions on receivables due from HETA weighed heavily. The low level of risk provisions reflected good portfolio quality, which was also helped by favourable economic conditions.

Net commission income

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014	Change in %
Securities business	62	53	17.6
Lending business	152	191	–20.3
Payments	–46	–40	15.1
Cards business	81	41	97.3
Other net commission income	9	5	79.8
Net commission income	258	249	3.4

Net commission income rose to EUR 258 million (FY 2014: EUR 249 million) due to the first-time consolidation of BCS, which contributed EUR 33 million to the commission income from the credit card business. The fall in lending commission was due to a contraction in business volumes, low volume of new business and Banque LBLux S.A., Luxembourg ceasing trading. The latter, renamed Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.), is in liquidation proceedings after it gave up its banking licence on 1 April 2015. Net commission expenses from payments commission arose as a result of DKB's growth-orientated business model.

Gains or losses on fair value measurement

The gains or losses on fair value measurement item posted a loss of EUR 62 million (FY 2014: loss of EUR 25 million). Losses of EUR 120 million (FY 2014: gains of EUR 17 million) arose on currency-related transactions. The writedown on the exposure to HETA compounded by the ending of the exchange rate floor for the Swiss franc in January 2015 weighed heavily on this item. The change in the own credit spread produced measurement gains of EUR 62 million (FY 2014: losses of EUR 102 million). Fair value adjustments resulted in measurement losses of EUR 37 million, significantly less than the previous year (losses of EUR 193 million). Other expenses of EUR 49 million arose from the creation of a provision in connection with negative interest rate derivatives, and a further charge of EUR 15 million from cross currency swaps (FY 2014: EUR 22 million). Customer margins on Financial Markets products rose to EUR 113 million (FY 2014: EUR 99 million).

Gains or losses on hedge accounting

Gains or losses on hedge accounting includes the mark to market value of underlying transactions and their hedges. The differences in value balance out over the terms of the instruments and are therefore only temporary. This item stood at EUR –24 million in 2015 (FY 2014: EUR –70 million).

Gains or losses on financial investments

Gains or losses on financial investments amounted to EUR 286 million (FY 2014: EUR 419 million), largely due to the proceeds from the sale of securities and the sale of equity interests. The high figure for the previous year resulted from the measurement and sale of the ABS portfolio and the closing out of the “Umbrella” guarantee agreement concluded with the Free State of Bavaria

Administrative expenses

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014	Change in %
Staff costs	–631	–596	5.8
Other administrative expenses	–497	–527	–5.7
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	–40	–48	–16.1
Administrative expenses	–1,168	–1,171	–0.3

Despite the first-time consolidation of BCS and significantly higher expenses for pensions, there was a slight fall in administrative expenses. This was due to the cost-cutting programme initiated in 2013 and another decrease in legal and consulting fees, partly due to the resolution of most of the legal disputes involving the bid to collect receivables from the HETA exposure.

Expenses for the bank levy and deposit guarantee scheme

Expenses for the bank levy and deposit guarantee scheme totalled EUR 90 million (FY 2014: EUR 4 million). Of this, EUR 39 million was for the bank levy and EUR 50 million for the deposit guarantee scheme. EUR 76 million of the total amount related to BayernLB and EUR 14 million to DKB.

Other income and expenses

The other income item of EUR 102 million (FY 2014: EUR 114 million) comprises principally non-banking income and expenses, including, for example, the Group’s real estate activities. It also includes interest income on tax reimbursements from previous years.

38	Overview of the BayernLB Group	59	Report on expected developments and on opportunities and risks
42	Report on the economic position		
58	Events after the reporting period		

Gains or losses on restructuring

Gains or losses on restructuring at the BayernLB Group came to EUR –10 million (FY 2014: EUR –33 million) with BayernLB and DKB accounting for around half each.

Income taxes

The BayernLB Group reported an income tax expense of EUR 150 million (FY 2014: income tax credit of EUR 99 million). The item comprises expenses of EUR 191 million from the netting of current tax income and expenses and a credit of EUR 41 million from the netting of deferred tax income and expenses.

Core and non-core business of the BayernLB Group

Since 2009, BayernLB has been consistently focusing on its forward-looking core business and winding down all non-core activities, which were pooled into the Non-Core Unit for this purpose.

Profit before taxes in the core business was significantly higher on the previous year in spite of persistently tough market conditions and stiff competition and the high charge for the bank levy and the deposit guarantee scheme, rising around 47 percent to EUR 987 million (FY 2014: EUR 672 million). The Bank continued to wind down its non-core business rapidly and systematically. It almost halved risk-weighted assets in the Non-Core Unit in financial year 2015, cutting them by more than EUR 4 billion.

1 Jan – 31 Dec 2015	Core business (EUR million)	Share (in percent)	Non-core business (EUR million)
Total income	2,092	96.3	80
Risk provisions	39	–	– 304
Administrative expenses	– 1,050	89.9	– 118
Expenses for the bank levy and deposit guarantee scheme	– 90	100.0	0
Gains or losses on restructuring	– 5	49.9	– 5
Profit/loss before taxes	987	> 100.0	– 347
Risk-weighted assets	64,837	93.1	4,769

Segments

The segment report is based on the monthly internal management report to the Board of Management and reflects the BayernLB Group's six segments. As at 31 December 2015, BayernLB's core business was divided into the operating segments

- Corporates & Mittelstand,
- Real Estate & Savings Banks/Association including the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo),
- DKB with the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group and subsidiary BCS, which was consolidated for the first time and
- Financial Markets including the subsidiaries Real I.S. AG Gesellschaft für Immobilien Asset-management, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest).

Also allocated to the core business is the Central Areas & Others segment which includes the consolidated subsidiary BayernLB Capital LLC I, Wilmington and the consolidation entries not allocated to any other segment.

The Non-Core Unit primarily includes the Restructuring Unit, which holds portfolios of non-core assets, the non-core activities of DKB, and other non-core activities such as the consolidated subsidiary LBLux I. L. and the loans to HETA (including their funding).

The contributions of the individual segments to the profit before taxes of EUR 640 million (FY 2014: loss before taxes of EUR 348 million) are shown below:

EUR million	1 Jan–31 Dec 2015	1 Jan–31 Dec 2014
Corporates & Mittelstand	282	198
Real Estate & Savings Banks/Association	212	250
DKB	336	190
Financial Markets	138	–17
Central Areas & Others (including Consolidation)	19	51
Non-Core Unit	–347	–1,020

Corporates & Mittelstand segment

- Profit before taxes significantly higher than in the previous year
- Earnings boosted by positive performance in risk provisions
- Fall in total earnings due to low interest rates and sluggish capital spending

The Corporates & Mittelstand segment posted profit before taxes of EUR 282 million (FY 2014: EUR 198 million), significantly higher than the previous year's EUR 198 million. The segment's results were boosted by the positive performance in risk provisioning resulting in gains of EUR 65 million (FY 2014: losses of EUR 73 million). This was mainly driven by releases and recoveries on written down receivables. Net interest income and net commission income fell to EUR 317 million (FY 2014: EUR 348 million) and EUR 115 million (FY 2014: EUR 133 million) respectively due to the low interest rates and sluggish capital spending. The drop in interest and

commission income was partly offset by a rise in gains on fair value measurement in the customer business to EUR 48 million (FY 2014: EUR 32 million). Administrative expenses were marginally higher than in the previous-year period at EUR 258 million (FY 2014: EUR 248 million). The segment posted another solid performance overall in the currently tough and highly competitive market environment. Once again the segment reported a triple-digit increase in new customers in financial year 2015.

Real Estate & Savings Banks/Association segment

- Real Estate once again posts solid earnings and growth in new business
- Subdued demand for capital market products depresses earnings in Savings Banks & Association
- Growth in earnings at BayernLabo in spite of virtually stable net interest and commission income mainly due to mark-to-market losses of the previous year

The Real Estate & Savings Banks/Association segment reported profit before taxes of EUR 212 million (FY 2014: EUR 250 million), around 15 percent lower on the previous year.

The Real Estate division made a significant contribution to the segment's earnings by posting a profit before taxes of EUR 157 million (FY 2014: EUR 180 million). With customer demand still high, the division significantly increased new business volumes on the previous year. Although total earnings were also good at EUR 180 million (FY 2014: EUR 189 million) it was not possible to repeat the figure from the year before due to low interest rates. Risk provisions boosted earnings again with a gain of EUR 37 million (FY 2014: EUR 48 million).

The Savings Banks & Association division reported profit before taxes of EUR 9 million, considerably down on the year before (FY 2014: EUR 36 million). The fall was largely due to subdued demand for capital market products in the low interest rate environment, which was reflected in the dip in total earnings to EUR 94 million (FY 2014: EUR 110 million).

BayernLabo posted profit before taxes of EUR 47 million (FY 2014: EUR 32 million). Operating performance was still stable in spite of the persistently low interest rate environment which is a challenge for development banks. This was reflected in net interest income of EUR 70 million (FY 2014: EUR 69 million) and net commission income of EUR 33 million (FY 2014: EUR 32 million), both of which were almost unchanged. The main reason for the increase in profit before taxes was the measurement losses in the previous year's figure.

DKB segment

- Business continues to perform well
- Profit before taxes up nearly EUR 150 million on year before after jump in net interest income
- More than 300,000 new customers in the retail business

The DKB segment reported earnings of EUR 336 million (FY 2014: EUR 190 million), almost all of which was produced in DKB's core business. The main impact of the first-time consolidation of subsidiary BCS was an improvement in net commission income and increase in administrative expenses. Profit before taxes was, however, minimally affected.

DKB's core business continued to perform well in financial year 2015 as reflected by the surge in profit before taxes to EUR 331 million, up by around 75 percent from EUR 189 million in the previous year. The rise in earnings resulted primarily from a sharp increase in net interest income to EUR 788 million (FY 2014: EUR 655 million). An improved funding structure and the adjustment of variable interest rates to the low interest rate environment were mainly responsible for the hike. The charge from risk provisioning fell further to EUR 64 million from the previous year's figure of EUR 110 million, as a result of good portfolio quality. There was a comparatively modest increase in administrative expenses to EUR 369 million (FY 2014: EUR 357 million) as customer numbers continued to climb. Considering the current economic situation, customer business continued to perform well. For example, receivables from infrastructure and corporate customer business climbed by a total of EUR 3.5 billion despite major early repayments. In the retail customer business, DKB further consolidated its position as Germany's second largest online bank, gaining more than 300,000 new customers

The subsidiary BCS produced a profit before taxes of EUR 4 million, comprising principally net commission income of EUR 33 million and administrative expenses of EUR 29 million. The earnings from the equity interest in the previous year's figure was EUR 1 million.

Financial Markets segment

- Profit before taxes up by more than EUR 150 million
- Earnings lifted sharply by price gains on securities and income from releases of credit value adjustments
- Earnings from the customer business stable despite persistently subdued demand for capital market products

Profit before taxes in the Financial Markets segment in the financial year amounted to EUR 138 million (FY 2014: loss of EUR 17 million), an improvement of over EUR 150 million. As usual, earnings from financial market products on behalf of the customer-serving business segments were reported under those segments. Earnings from the customer business were on par with the year-before period despite subdued demand for capital market products in the low interest rate environment. The segment's earnings were primarily boosted by price gains on securities and mark-to-market valuation of derivative transactions and own issues. The negative impact of fair value adjustments on earnings was much lower overall than in financial year 2014, partly owing to a fall in the fair values of derivative transactions. Earnings were boosted by the mark-to-market valuation of own issues (as a result of the change in the own credit spread), reversing the negative contribution of the year before. Administrative expenses were slightly down on the year before at EUR 193 million (FY 2014: EUR 208 million).

The contribution to earnings from the two consolidated subsidiaries was on par with the preceding financial year: BayernInvest and Real I.S posted profit before taxes of EUR 8 million (FY 2014: 7 million) and EUR 6 million (FY 2014: EUR 6 million) respectively.

Central Areas & Others segment

- High charge for the bank levy and deposit guarantee scheme weighs heavily on segment results
- Earnings boosted by the sale of securities and an equity interest

The Central Areas & Others segment posted earnings of EUR 19 million for the reporting period (FY 2014: EUR 51 million). The figure includes consolidation entries not allocated to the segments. The fall in earnings was largely due to the high charge for the bank levy and deposit guarantee scheme of EUR 75 million (FY 2014: EUR 2 million). In addition to income related to excessive corporation tax payments in the past, the segment's results were boosted in particular by the sale of securities and an equity interest.

Consolidation entries not allocated to the segments reduced profit before taxes by EUR 3 million (FY 2014: increased profit before taxes by EUR 20 million). These mainly arise from differences in the way internal Group transactions are measured and the application of hedge accounting to cross-divisional derivative transactions.

Non-Core Unit segment

- Segment earnings dragged down sharply by charges related to the receivables due from HETA
- Further rapid run-down of the securities and loan portfolios, thereby freeing up capital in the Restructuring Unit
- Higher risk provisions weigh heavily on DKB's non-core business

The Non-Core Unit segment posted a loss before taxes of EUR 347 million in financial year 2015 (FY 2014: loss of EUR 1,020 million). Weighing heavily on earnings once again were charges related to the receivables due from HETA, although their total amount was much lower than in the previous year. The principal factors in this were a writedown on the risk provision set aside the year before and additional legal costs from the legal disputes centred around the receivables. The writedown on the risk provisions resulted from the ending of the Swiss franc's exchange rate floor. As in the previous year, earnings were, however, boosted as a result of the exit activities in relation to LBLux i.L.

The Restructuring Unit posted a loss before taxes of EUR 94 million (FY 2014: profit of EUR 334 million), largely due to the creation of a risk provision. The main reason for the sharp drop in earnings from the year before was the impact of the sale of the ABS portfolio on the previous year's figure. Overall earnings in financial year 2015 were once again bolstered as a result of the steady winding down of the securities and loan portfolios and equity interests. The portfolio reduction also impacted administrative expenses, which were once again sharply down. Risk-weighted assets shrank by EUR 3.7 billion to EUR 3.3 billion.

The loss before taxes in DKB's non-core business amounted to EUR 99 million (FY 2014: loss of EUR 39 million). The main reason for the fall in earnings was an increase in risk provisions. This sub-segment also reported a marked fall in risk-weighted assets of around 30 percent to EUR 0.6 billion.

Financial position

Further information can be found in the notes.

Assets

EUR million	31 Dec 2015	31 Dec 2014	Change in %
Cash reserves	2,246	1,041	>100.0
Loans and advances to banks	29,423	37,091	-20.7
Loans and advances to customers	135,812	134,017	1.3
Risk provisions	-2,746	-3,039	-9.6
Portfolio hedge adjustment assets	1,145	1,602	-28.5
Assets held for trading	17,342	24,048	-27.9
Positive fair values from derivative financial instruments (hedge accounting)	1,527	2,968	-48.6
Financial investments	28,852	32,650	-11.6
Investment property	35	37	-5.0
Property, plant and equipment	351	360	-2.5
Intangible assets	106	114	-6.8
Income tax assets	475	388	22.4
Non-current assets or disposal groups classified as held for sale	205	80	>100.0
Other assets	938	767	22.2
Total assets	215,711	232,124	-7.1

Rounding differences may occur in the tables.

The BayernLB Group's total assets fell once again, by 7.1 percent or EUR 16.4 billion to EUR 215.7 billion. In addition to a decrease in assets and liabilities held for trading, securitised liabilities also shrank considerably due to the high volume of maturing instruments. Credit volume, defined as the sum of loans and advances to banks and customers and contingent liabilities from guarantees and indemnity agreements, fell by 3.9 percent to EUR 175.4 billion.

Loans and advances to banks stood at EUR 29.4 billion, 20.7 percent below the previous year's figure of EUR 37.1 billion, in line with strategy. Loans and advances to customers rose by a total of 1.3 percent to EUR 135.8 billion (FY 2014: EUR 134.0 billion). Loans to domestic customers climbed slightly to EUR 111.4 billion (FY 2014: EUR 110.4 billion).

Risk provisions in the credit business amounted to EUR 2.7 billion, a 9.6 percent fall on the previous year (FY 2014: EUR 3.0 billion).

The fair value of assets held for trading fell by 27.9 percent to EUR 17.3 billion (FY 2014: EUR 24.0 billion) as a result of central counterparty clearing via LCH.Clearnet Group Ltd., London (LCH) and Eurex AG, Frankfurt (Eurex) and a cutback in bonds.

Positive fair values from derivative financial instruments (hedge accounting under IAS 39) amounted to EUR 1.5 billion (FY 2014: EUR 3.0 billion).

The 11.6 percent reduction in financial investments to EUR 28.9 billion was primarily due to the cutback in bonds.

Liabilities

EUR million	31 Dec 2015	31 Dec 2014	Change in %
Liabilities to banks	60,360	64,138	–5.9
Liabilities to customers	86,030	81,635	5.4
Securitised liabilities	34,840	44,285	–21.3
Liabilities held for trading	12,290	17,567	–30.0
Negative fair values from derivative financial instruments (hedge accounting)	1,354	2,780	–51.3
Provisions	4,300	4,360	–1.4
Tax liabilities	221	203	9.2
Liabilities of disposal groups	0	0	–
Other liabilities	532	646	–17.7
Subordinated capital	4,719	4,722	–0.1
Equity	11,063	11,789	–6.2
Total liabilities	215,711	232,124	–7.1

Rounding differences may occur in the tables.

Liabilities to banks fell by 5.9 percent to EUR 60.4 billion (FY 2014: EUR 64.1 billion). In contrast, liabilities to customers climbed by 5.4 percent to EUR 86.0 billion.

Due to a higher volume of maturing issues, securitised liabilities contracted by 21.3 percent to EUR 34.8 billion.

The 30.0 percent reduction in liabilities held for trading to EUR 12.3 billion was primarily due to clearing measures with LCH and Eurex. As in previous years, the line item mainly comprised interest rate transactions. Negative fair values from derivative financial instruments allocated to hedge accounting under IAS 39 fell to EUR 1.4 billion (FY 2014: EUR 2.8 billion).

Provisions were stable at EUR 4.3 billion (FY 2014: EUR 4.4 billion). Of this amount, EUR 3.6 billion was for pensions and similar liabilities.

Subordinated capital remained virtually unchanged at EUR 4.7 billion. Maturing subordinated liabilities in the amount of EUR 1.3 billion were offset here by the addition of a partial repayment to the silent partner contributions held by the Free State of Bavaria in the same amount. Due to the agreed repayment of this part of the silent partner contributions in April 2016, it has been reclassified from equity to subordinated capital.

Equity

EUR million	31 Dec 2015	31 Dec 2014	Change in %
Subscribed capital	4,714	5,525	-14.7
Compound instruments (equity component)	92	143	-36.0
Capital surplus	2,182	2,356	-7.4
Retained earnings	3,653	3,305	10.5
Revaluation surplus	409	452	-9.5
Foreign currency translation reserve	0	8	-
Consolidated profit/loss	-	-	-
Profit/loss attributable to non-controlling interests	14	0	-
Equity	11,063	11,789	-6.2

Equity fell by EUR 0.7 billion to EUR 11.1 billion. As mentioned under the subordinated capital item, this was due to the planned EUR 1.3 billion repayment of part of the Free State of Bavaria's silent partner contributions. This was offset by an increase in the remaining silent partner contributions as a result of full replenishment; part of the replenishment was made from a release from the capital reserves.

Banking supervisory ratios under CRR/CRD IV for the BayernLB Group

Common Equity Tier 1 capital (CET1) amounted to EUR 9.8 billion as at 31 December 2015 (FY 2014: EUR 9.6 billion). The 9.1 percent decrease in risk-weighted assets (RWA) to EUR 69.6 billion led to another improvement in capital ratios. The CET1 ratio was a solid 14.0 percent (FY 2014: 12.5 percent). Total own funds as at 31 December 2015 amounted to EUR 11.2 billion (FY 2014: EUR 11.4 billion) and the total capital ratio rose to 16.1 percent (FY 2014: 14.9 percent).

The figures according to the supervisory reporting as at 31 December were:

EUR billion	31 Dec 2015	31 Dec 2014
Total RWA	69.6	76.6
Own funds	11.2	11.4
• Common Equity Tier 1 capital (CET 1)	9.8	9.6
Total capital ratio	16.1%	14.9%
Common Equity Tier 1 capital (CET 1) ratio	14.0%	12.5%

Based on the adopted annual financial statements as at 31 December 2015, the Group had CET 1 of EUR 10.2 billion and a CET 1 ratio of 15.1 percent (fully loaded CET 1 ratio of 12.0 percent). Based on own funds of EUR 12.2 billion, the total capital ratio was 17.6 percent.

The capital ratio under section 26a para. 1 KWG was 0.23 percent (FY 2014: -0.57 percent). Details on "country by country reporting", which is also governed under section 26a para. 1 sentence 4 KWG, can be found after the "Auditor's Report" in these financial statements.

38	Overview of the BayernLB Group	59	Report on expected developments and on opportunities and risks
42	Report on the economic position		
58	Events after the reporting period		

General overview of financial performance

The BayernLB Group's financial position and financial performance was stable in financial year 2015 despite an environment that remains challenging.

As is evident from its earnings performance in 2015, the BayernLB Group is well on track overall in its core business areas and its business model has proven effective even in the difficult market environment. Moreover, risks were reduced further and appropriate measures taken in the reporting year for the future. Proper account has been taken of the risks.

The Bank's liquidity was good throughout the reporting period. The Risk Report contains additional information on the financial position.

Events after the reporting period

The following events of major significance to the BayernLB Group occurred after the close of financial year 2015:

In its letter of 6 January 2016 the ECB approved BayernLB's request to repay part (EUR 1.3 billion) of the Free State of Bavaria's silent partner contributions, which are thereby no longer counted as regulatory capital.

No other events of major significance occurred after the close of financial year 2015.

Report on expected developments and on opportunities and risks

Report on expected developments including opportunities and risks

Economic environment

The forecasts set out in the following report relating to the BayernLB Group's performance in 2016 may differ substantially from the actual outcome should one of the following uncertain factors or other uncertainties occur or should the assumptions underlying our forecasts prove incorrect. The BayernLB Group is under no obligation to update its forecasts in light of new information or future events outside the regular reporting schedule.

Following a slight cooldown in the German economy in the second half of 2015, growth momentum is likely to pick up to a small degree in 2016. Averaged out over the year, GDP is set to grow by 1.6 percent year on year. Persistently low interest rates (which favour consumption and capital spending) coupled with the renewed fall in the oil price at the start of the year should act as an economic stimulus. Private consumption should increase significantly once again and confirm its role as one of the economy's main drivers. BayernLB also expects government spending for the influx of refugees to provide a short-term fillip. In spite of the buoyant economy, the Bank is not expecting any major increase in capital spending. The reasons for this are once again the persistently high uncertainty over the strength of the global economy and the elevated geopolitical risks, notably the concerns about the stability of the European Union against the backdrop of the Brexit referendum, Greece's unresolved problems and the refugee crisis. Low interest rates coupled with high immigration into Germany are expected to further support the labour market. Demand for residential property is forecast to remain high, especially in large metropolitan areas, and this should push up spending on (residential) construction in 2016 also. German exports should continue to be supported by the euro's weaker value against other currencies and the economic recovery in the eurozone, Germany's main market for exports. On balance, however, foreign trade is likely to stymie growth somewhat as economic weaknesses in some emerging countries and oil-exporting nations will curb robust export growth and imports are likely to pick up momentum in the wake of high consumer demand. Inflationary pressures in the eurozone and Germany will probably remain minimal partly as a result of the renewed fall in the oil price which is likely to stay low. Given fierce competition, especially in the peripheral countries, falling input prices should largely be passed on to consumers. Germany is also likely to significantly under-shoot the ECB's inflation target of under, but close to 2 percent once again. The Bank is expecting another easing of the ECB's monetary policy in March given the increased downside risks to the inflationary outlook. This should include a fresh rate cut and an expansion in the bond buyback programme. The biggest risks to economic growth in the eurozone are the notable weaknesses in emerging economies and a renewed flare up in concerns about the stability of the currency union and the European Union itself.

Regarding exchange rates, in the first half of 2016 BayernLB is expecting the euro to moderately decrease in value against the US dollar. First it assumes the ECB will take a more dovish stance in its monetary policy in March, causing the euro to fall. Second, elevated risk aversion on the markets is likely to ease, resulting in stronger capital flows out of the eurozone again. The Bank, however, expects the Federal Reserve to hold off with another rate hike in the first half of the year, probably limiting the appreciation of the greenback against the euro. The dollar is not

expected to gain ground against the euro once more until the Fed implements a second hike in September with the prospect of further increases in 2017. The Bank is expecting a USD/EUR exchange rate of 1.03 by the end of 2016, a fraction above parity. Pound sterling should also benefit from further ECB loosening. But Brexit fears and dampened interest rate expectations will probably continue to weigh on GBP. Shortly before the Brexit referendum on 23 June 2016, the currency is likely to weaken significantly to 0.80 per euro. If the country votes to stay in the EU and the Bank of England starts to tighten rates at the end of 2016, the pound will probably move back towards 0.70 per euro. BayernLB expects to see less volatility in the EUR/CHF exchange rate. The franc will probably appreciate against the euro, but only slightly, if the SNB does not respond to the ECB's renewed dovish line with a cut in its deposit rate.

In 2016, on the bond market, investors will remain heavily dependent on the central banks' forward guidance. This will trigger heightened uncertainty as the central banks themselves (for fear of committing policy mistakes in an environment that is very hard to read) only act on the basis of data and are therefore focused very much on the short term. In 2016 scarcity will continue to be a determining factor for German government bonds. Purchases of German bonds are expected to increase as a result of the extension of QE and the asset pool will be expanded as a result of the relaxation of ISIN limits and the inclusion of bonds issued by German states, but investor appetite will tend to wane. By the year-end BayernLB expects 10-year Bunds to be yielding around 0.8 per cent. Volatility risk will remain high despite only a small change in yields. On the covered bond market BayernLB forecasts spreads will narrow moderately in 2016 on the back of the boost to covered bonds when the ECB steps up QE over the course of the year. Further support will come from the high level of maturing assets and regulatory preference compared with other asset classes. After a very sobering 2015, the environment for the European corporate bond markets will stay challenging in the coming year. Even if local conditions are by no means bad, global risk factors in the shape of poor growth in emerging markets and low commodity prices will take their toll. For 2016 BayernLB expects risk premiums in investment grade (iBoxx Euro Corporates) to widen by 50–60 basis points on average.

It is also forecasting seesawing prices on equity markets in 2016. The sharp price corrections at the start of the year should be made good over the course of 2016 if investor fears about a major downturn in the global economy on the back of a slowdown in economic growth in China and the oil price slump prove exaggerated, as expected. Ultra-loose monetary policy (particularly in the case of the ECB) will also help rally stock markets in 2016. The Bank therefore does not foresee a downturn on equity markets. Given the (geo)political crisis, sustained volatility must, however, be factored in.

The BayernLB Group's future performance

BayernLB's strategy over the coming years will continue to be based on the agreements that emerged from the EU state-aid proceedings in 2013. The key condition is therefore the repayment of state aid of around EUR 1 billion to the Free State of Bavaria, which will be still outstanding after the payment to the Free State of Bavaria of EUR 1.3 billion in April 2016. For it to do so its core business must remain stable and it must wind down the remaining non-core business in the Bank's Non-Core Unit (NCU) as planned.

In 2015, as one of the key cornerstones of BayernLB's future strategic direction, the Bank defined an overarching strategic course and drew up the specific measures for achieving it. For 2016 and beyond, the focus of the Bank's overarching strategic goals will be on sustainably expanding the earnings base by growing business with customers in core business areas, strengthening the low-risk commission business and developing robust sales structures capable of achieving sales targets. Also among the strategic goals is ensuring that the Bank has a capital base suitable for its long-term needs and maintaining and further improving the healthy cost base. The BayernLB Group's market presence will continue to be shaped by its universal bank-like business model focused regionally on Bavaria and Germany. The BayernLB Group offers a comprehensive product mix to its corporate, retail, real estate and asset management customers, the savings banks and public sector.

In corporate banking, the Bank's focus in 2016 will mainly be on strengthening sales, expanding the customer base and on cross-selling. The Bank believes its expanded regional sales network will boost business, especially with Mittelstand companies. In this regard, the expansion of BayernLB's business through its strategic partnership with private bank Joh. Berenberg, Gossler & Co. KG., Hamburg (Berenberg) is already showing the first signs of success. Existing and new corporate customers of both banks have shown an interest in the expanded line of financing and investment banking products.

With regard to commercial and residential real estate customers, the focus of the strategic goals will be on boosting sales activities and increasing market penetration by offering comprehensive customer relationship management across the whole product range. BayernLB expects to achieve steady portfolio growth between now and 2019 by implementing the planned increases in business with existing customers and expanding the customer base, for example by opening new sales offices.

BayernLB's work with the savings banks and municipalities will continue to be built on a solid basis of full-service, sales-orientated customer relationships and products tailored to meet their needs. DKB's strategic focus is on ensuring stable and profitable customer relationship management by achieving a good balance in its lending and deposit business. In the retail customers business, online bank DKB will aim for more customer growth and higher wallet share through a comprehensive range of products and services. In the corporate and infrastructure customer segments it operates with a broad-based network and sector-specific expertise for the defined core customer groups.

As before, interest rates are expected to remain low. This will lead to a shift (particularly by institutional investors) to bonds and Schuldschein note loans at the long end as they pay higher interest. Market liquidity should continue to be plentiful in 2016, thanks to the continued presence of central banks looking to buy Pfandbriefs on the market. Nevertheless, the priority of funding management, as last year, will remain on diversifying the funding base more. The goal is to continue the expansion of the funding mix that occurred last year to create a secure funding base even after central banks scale back their asset purchasing programmes. This has been assured for 2016, partly by building up extensive liquidity cover assets.

In spite of a turbulent start to the year on equity markets, the Bank forecasts Europe's moderate economic recovery will continue due to an expected soft landing by the Chinese economy and portfolio quality will remain good overall in 2016. But geopolitical risks, the threat of terror attacks, the oil price, interest rates and exchange rates will be key factors fuelling uncertainty.

In terms of sub-portfolios, the quality of the Financial Institutions sub-portfolio is expected to remain good, while the quality of the Countries/Public-Sector/Non-Profit Organisations sub-portfolio should continue to be very good and stable. The Corporates sub-portfolio should also be stable overall. The macroeconomic environment for real estate investments remains attractive due to persistently low interest rates and the sound economic environment in almost all real estate assets classes. The Bank forecasts portfolio quality will remain stable in 2016.

The BayernLB Group sees opportunities if the economic data turns out better than expected. A more rapid increase in interest rates would help the contribution from investing capital, and thus net interest income. On the other hand, further falls in interest rates would also weigh on the Bank as, for example, it would need to increase pension provisions.

The American firm VISA Inc., whose head office is in San Francisco, announced on 2 November 2015 that it expected to acquire the shares in London-based VISA Europe Limited in Q2 2016 after obtaining all required approvals. In financial year 2016 the BayernLB Group expects to post earnings of around EUR 127 million from the transaction, primarily with its subsidiary DKB.

For 2016 BayernLB once again expects to post a profit before taxes in the mid triple-digit million range, however it will probably be slightly below the high figure for financial year 2015. RoE will stay in the mid one-digit range, with CIR increasing slightly, due in part to increasing regulatory costs.

It cannot be ruled out that any change in the assumptions underlying the outlook may affect the BayernLB Group, and its financial position and financial performance.

Risk report

Principles

This risk report is prepared in accordance with the requirements of IFRS 7.31 et seq. on the reporting of risks arising from financial instruments to which the Group was exposed at the end of the reporting period. Presentation of the risks is mainly based on information supplied as a basis for risk management and monitoring to the Board of Management and the Risk Committee of the Supervisory Board (management approach). Credit risk is also presented on the basis of the IFRS consolidated figures (balance sheet approach). In addition, portfolios with elevated risk profiles (as recommended by the Financial Stability Board) and information on forbearance exposure are shown within the report. The final draft of the Implementing Technical Standards (ITS) on Supervisory reporting of forbearance and non-performing exposures under article 99 (4) of Regulation (EU) No 575/2013 was published on 20 February 2014. For information on the inclusion of forborne exposures in risk-orientated management, please refer to the problem loan handling and forbearance section of the risk report. Quantitative data on forborne exposures are shown as "Renegotiated credits" in the "Portfolio overview in accordance with IFRS 7.36a (Balance Sheet Approach)" section.

The risk report further contains information required in accordance with German Accounting Standard DRS 20. The report also complies with the requirements in section 315 para. 2 no. 5 of the German Commercial Code (Handelsgesetzbuch (HGB)) in conjunction with section 315a para. 1 HGB, which require limited companies (Kapitalgesellschaften) within the meaning of section 264d HGB to describe the key features of the internal monitoring and risk management system used in the consolidated accounting process.

Key developments in 2015

- Stable risk profile
- Core business expanded in line with strategy
- Risk-bearing capacity maintained at all times
- Good liquidity

The BayernLB Group continued to have a healthy risk profile in financial year 2015.

Gross credit volume fell by EUR 9.5 billion or 3.6 percent to EUR 256.1 billion.

The Bank's good portfolio quality was maintained and supported by the expansion of the core business with good quality assets and by the positive financial and economic environment in Germany, the BayernLB Group's core market.

Thanks to strict risk discipline, the key metrics of portfolio quality remained stable, with a high investment grade share of 80.8 percent (FY 2014: 80.9 percent) and non-performing loan ratio of 2.4 percent (FY 2014: 2.5 percent). In the core business, the non-performing loan ratio was 0.7 percent (FY 2014: 0.8 percent).

Risk-bearing capacity was maintained throughout financial year 2015 as the provision of risk capital was solid. In addition, the BayernLB Group had a good supply of liquidity on hand.

Internal control and risk management system

Tasks and objectives

The BayernLB Group has established an internal control system (ICS) to ensure that its accounts are properly prepared and reliable. This includes principles, procedures and measures for ensuring the accounts are produced in an efficient and cost-effective manner. Consequently, the internal control system helps to limit risks in the accounting process and plays a key role in providing a true and fair view of the BayernLB Group's financial performance and financial position.

One key aim of the internal control system is to ensure that all transactions are fully and properly entered, processed and documented in accordance with legal requirements and standards, the Bank's statutes and other internal directives. This also ensures that risks are disclosed in line with supervisory requirements. The IT systems used by the central areas participating in the process are suitable for this purpose and the staff have been given adequate training in the legal and internal standards and in how to use the IT systems.

Management structure

BayernLB has established an appropriate management structure, which plays a significant role in ensuring risks are monitored.

Management structure



Supervisory Board and committees

The Supervisory Board monitors and advises BayernLB's Board of Management. It is assisted in its work by the committees described below:

The Audit Committee monitors the accounting process, the effectiveness of the risk management system, particularly the internal control system and Internal Audit unit, and the correction of open findings from audits and the annual accounts.

The Risk Committee mainly deals with issues relating to the risk strategies approved by the Board of Management and the risk situation on a Group-wide basis and at BayernLB itself. The Risk Committee decides on loans requiring approval by the Supervisory Board under the German Banking Act and BayernLB's competence regulations.

The BayernLabo Committee handles all matters pertaining to Bayerische Landesbodenkreditanstalt (BayernLabo) on behalf of the Supervisory Board and passes resolutions concerning BayernLabo's affairs for which the Supervisory Board is responsible.

The Nominating Committee assists the Supervisory Board to appoint new members to the Board of Management and other positions.

The Compensation Committee monitors the appropriateness of the compensation schemes for members of the Board of Management and, in particular, employees who have a significant impact on BayernLB's total risk profile.

Board of Management and committees

BayernLB's Board of Management ("Group Board of Management") is responsible for providing the BayernLB Group with a proper business organisation, which, in addition to having suitable internal monitoring processes, is capable in particular of ensuring major risks are appropriately managed and monitored at Group level. To prevent conflicts of interest, Sales and Risk Office units and Trading and Settlement units are functionally segregated within the business organisation.

The Board of Management is supported by the following committees:

The focus of the Management Committee established in 2015 is to advise and support the Group Board of Management in respect of BayernLB's strategy and implementation of the Management Agenda. Besides BayernLB's CEO, individual members of the BayernLB and DKB Boards of Management also take part in the timely and regular exchanges of information, depending on the topics under discussion. Senior management is represented by the division managers of BayernLB's and DKB's business areas, the heads of the Group Treasury, the Group Risk Control, Group IT, Organisation, HR, Group Strategy & Group Communications divisions and one representative each from the Credit Analysis division and from the Financial Office central area.

The CFO/COO Committee oversees the introduction and implementation of standards and guidelines for consistent accounting across the Group and exchanging information on current legal and technical developments in accounting, supervisory law, regulatory reporting, tax, business planning, controlling and equity planning and allocation. The committee prepares Board of Management decisions for the Group Board of Management and the relevant bodies of subsidiaries that affect the use of IT and communications technology at BayernLB Group and looks at issues relating to IT and procurement of goods and services. In addition to the CFO/COO, members include the senior management from BayernLB's and DKB's Financial Office and Operating Office.

The primary tasks of the Asset Liability Committee (ALCO) are managing and allocating the key resources of capital and liquidity, as well as managing the balance sheet structure. The Asset Liability Committee is supported by the Capital Management Committee (CMC), which mainly comprises the Chief Financial Officer, the Board member in charge of capital markets and senior management from the risk control, financial control, treasury and accounting units.

Senior Management

The following bodies support the Group Board of Management at senior management level:

The Investment Committee decides for the Corporates & Mittelstand business area on the German connectivity of customers or transactions, satisfying the conditions imposed by the EU for transactions with borrowers whose registered office is outside Germany. Moreover, the Investment Committee is a standing body in Corporates & Mittelstand and the highest decision-making body with authority to allocate capital and resources below the Board of Management member responsible for the business area. There is also a similar Investment Committee in the Real Estate & Savings Banks/Association business area for the Real Estate division. The respective division managers in the business area act as the heads of the Investment Committees.

The Group Risk Committee focuses on strengthening risk management at BayernLB and, in particular, the BayernLB Group. The Group Risk Committee votes on both loan decisions which go before the Group Board of Management and also those at DKB above a certain amount and rating structure. Moreover, the Group Risk Committee is the highest competence holder below the Group Board of Management and decides on submissions related to credit risks that do not require the approval of the Board of Management owing to their size. In addition, it also closely examines the Group's total risk profile across all types of risk

Depending on the issue, the Group Risk Committee is chaired by either the head of the Credit Analysis or Group Risk Control divisions within the Risk Office central area. Furthermore, reflecting Group risk aspects, the senior management of both BayernLB and DKB are represented.

Since the Restructuring Unit was created, credit decisions on the BayernLB portfolios to be wound down have been taken by a separate credit committee, the Restructuring Unit Credit Committee. The head of the Restructuring Unit chairs this committee. Other members include the division's department managers and/or chief specialists.

In addition to ALCO, the cross-divisional Liquidity Management Committee, under Group Risk Control, provides extra transparency on the liquidity risk and earnings situation, consults with the Group Treasury and Controlling divisions on issues such as liquidity and refinancing strategies and acts as a driving force by preparing courses of action for decisions to be taken by the Asset Liability Committee.

The Product Committee is responsible for complying with MaRisk requirements for the launch of business activities in new products. It is mainly responsible for approving new products and regularly approving the valuation models used and changes to these models. The Product Committee comprises senior management from the business areas and the relevant divisions of the central areas and is organised from the Group Risk Control division.

The Remuneration Committee advises the Board of Management on the structuring of a suitable, transparent remuneration system promoting BayernLB's sustainable growth. One of its key focuses is on variable remuneration. The Committee also supports the Remuneration Officer monitor the remuneration system in accordance with regulatory requirements (especially under section 25a of the German Banking Act (KWG), the Institution Remuneration Ordinance (Instituts-Vergütungsverordnung (IRO)) and BayernLB's business model. The head of HR chairs this committee. The Remuneration Committee also comprises the senior management of the Real Estate, Mittelstand, RO Credit Analysis, Capital Markets, Global Structured & Trade Finance, Group Risk Control, Audit, Group Compliance and Controlling divisions, the Remuneration Officer and his or her deputy.

Organisation

Besides separating the functions of the Sales and Risk Office units and the Trading and Settlement units, a business organisation must have adequate internal control procedures and mechanisms to manage and monitor key risks.

The Board of Management is chiefly supported in this task by the Risk Office, Restructuring Unit, Financial Office, and Operating Office Central Areas as well as the Corporate Center.

Risk Office

The Risk Office of BayernLB, the Group parent company, comprises the Group Risk Control, Credit Analysis, Mid Office and Research divisions.

The Group Risk Control division independently identifies, values, analyses, communicates, documents and monitors all risk types at aggregated level. For the purposes of operational management of risk types and risk-bearing capacity, Group Risk Control provides the Board of Management and other governing bodies with independent and risk-relevant reports.

In addition to periodic and ad-hoc reporting on the BayernLB Group's risk situation to internal decision-makers, communication also includes external risk reports filed in accordance with legal and supervisory requirements. This includes reports on the performance of the indicators selected in accordance with the Minimum Requirements for the Design of Recovery Plans (MaSan) and the German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG)).

Decisions regarding risk management are made in accordance with the Business Strategy and Risk Strategy, which are harmonised with each other. Credit risk management is a joint responsibility of the Sales units and Risk Office units, with functional segregation being ensured at all times. In this management process, the Credit Analysis division is responsible for analysing, assessing and managing the risk-relevant exposures in the core business (the Risk Office role). It takes the lead in setting the Credit and Country Risk Strategy for individual customers, sectors, countries and special products such as leasing, project finance and acquisition finance, is responsible for ongoing credit and transaction analysis and votes on behalf of the Risk Office in the credit approval process. The same applies to DKB.

The Mid Office division established in 2015 pools the credit-related tasks previously located in the sales and analysis units and the Restructuring Unit division. The Mid Office frees up the sales and credit analysis units to concentrate on their primary tasks and with its standardised, lean processes makes a key contribution to boosting customer business and achieving the planned business growth. The establishment of this new division was buttressed by the introduction of a more streamlined credit process, which will provide for significantly more standardised processing of new and existing customer transactions that meet certain criteria. BayernLB also brought in a new loan booking system.

The Research division is responsible for risk assessment of countries, sectors and issues, economic analyses and forecasts, and capital market studies and recommendations (including on bonds and notes from individual issuers). The division contributes to risk management at the BayernLB Group and provides analyses and forecasts for BayernLB customers and for the securities and currency business of the Financial Markets business area and the Bavarian savings banks.

Restructuring Unit

The Restructuring Unit manages non-core business activities with the aim of progressively winding them down. The overall winddown strategy set by the Board of Management lays down the objectives and general principles for planning the winddown and for the credit decisions in the Restructuring Unit. The winddown strategies for individual exposures are decided by the relevant competence holders.

The portfolios to be wound down include portions of the loan portfolio with banks and the public sector outside Germany, structured financing and commercial real estate financing in certain markets and regions and the corporates portfolio of Banque LBLux S.A. in Liquidation which has been transferred to BayernLB.

The Restructuring Unit performs the roles of both the Sales units and the Risk Office for the exposures and portfolios assigned to it for winding down. In addition, this unit also handles exposures in restructuring or liquidation.

Financial Office

Operational implementation of Group-wide accounting standards is the responsibility of the Financial Office central area, which ensures that the accounts are properly prepared. It is also responsible for establishing the accounting process and making sure it is effective.

Its key tasks include preparing the consolidated financial statements and the Group management report, establishing accounting policies, initiating accounting-related projects, and providing guidance on national and international developments in accounting.

The Financial Office central area also implements the relevant accounting standards and legal requirements on accounting, which are detailed in the directives for preparing the accounts. These directives, which are an important component of the accounting-related internal control system, are summarised and documented in the Group Accounting Manual, and in the instructions for Group companies for preparing the financial statements.

The consolidated financial statements and Group management report are compiled in accordance with the directives for preparing the annual accounts, produced by directive of the Board of Management, checked by the auditors and submitted to the Supervisory Board for approval. The Supervisory Board has set up an Audit Committee whose duties include discussing the audit reports and preparing the resolution for the Supervisory Board's approval of the consolidated financial statements and Group management report. Upon request, the auditor takes part in the discussions of the Audit Committee and Supervisory Board on the consolidated financial statements and reports on the key findings of its audit.

The Controlling division is also located in the Financial Office central area. This unit is responsible for supervisory reporting and the operational implementation of consistent rules across the Group as part of management controlling, and lays down standard methods and procedures.

Operating Office

The Operating Office central area is responsible for BayernLB's operating processes and supporting these in the Group IT, Operations & Services and Organisation divisions.

Corporate Center

The Group Compliance division monitors and ensures compliance with legal and supervisory requirements and reports directly to the Chief Risk Officer. It also coordinates the compliance activities of the subsidiaries.

The Internal Audit division audits BayernLB's business operations and reports directly to the CEO. Taking a risk-oriented auditing approach, its auditing activities embrace basically all activities and processes within BayernLB, even those that have been outsourced. It also examines the adequacy and efficacy of the internal control system and risk management.

It carries out the tasks assigned to it independently of the activities, processes and functions to be audited, in accordance with applicable legal and supervisory requirements such as the German Banking Act (KWG) and Minimum Requirements for Risk Management (MaRisk). As Group internal auditor, it also supplements the internal auditing units of subordinate companies.

The CEO is directly in charge of the Legal, the Group Strategy & Group Communications and the Human Resources divisions.

Scope of monitoring and monitoring procedures

The internal control and risk management system is governed by the internal written organisational rules (schriftlich fixierte Ordnung (SFO)).

The rules governing the accounting-related internal monitoring system are set out in the Group directives for preparing the accounts. The main component of these directives is the Group Accounting Manual, which contains key requirements for ensuring accounting policies are uniformly applied throughout the Group based on the regulations that the parent company is subject to. This is supplemented by instructions on preparing the consolidated annual accounts. These are internal guidelines for Group companies consolidated in the consolidated annual financial statements. The instructions on preparing the annual accounts include information on reconciling and eliminating intra-Group transactions, the debt consolidation process, expenses and earnings consolidation, as well as on tasks, contacts and deadlines relating to the preparation of the consolidated annual financial statements. In addition accounting-related and IT system-related changes and control procedures for ensuring high quality reporting and data, are also explained.

Based on the Group Risk Guidelines, Group and institution-specific risk management strategies are developed and implemented by means of policies and manuals. These rules govern the risk management and monitoring processes used for the timely identification, full documentation and appropriate disclosure of major risks.

As with the Group Accounting Manual and instructions for preparing the annual accounts, these rules are regularly reviewed, updated and published within the BayernLB Group.

To ensure transactions are fully and correctly processed, and that bookings, data entry and documentation are in compliance, a number of internal control procedures have been implemented within BayernLB. Measures include the segregation of duties, a differentiated access authorisation system to prevent unauthorised intruders, ongoing checks within the workflow process applying the dual control principle and checks programmed into the IT systems. The internal monitoring process reconciles ledgers and sub-ledgers, monitors manual bookings in the main ledgers and conducts posting runs. Additional checks and reconciliations are also conducted to ensure data is correctly transferred between IT systems.

When preparing the consolidated annual financial statements, checks are carried out to determine if the underlying data is properly presented, and the quality of the data in the consolidated financial statements is assessed (e.g. applying the dual control principle, conducting plausibility checks). The Group uses server-based consolidation software, for which separate editing and reading rights have been assigned. This software has a number of checks built into the program to ensure entries are properly made and correctly documented.

The consolidated accounting process is checked regularly for inherent risks, so that measures can be taken when necessary to refine the internal control system.

BayernLB has outsourced some of its services (principally IT services, rating services and securities back office operations) to external companies.

Both central and local units within BayernLB ensure these outsourced services are subject to the internal control system:

- The Outsourcing Central Registry in the Corporate Center central area sets the rules for the outsourcing process in BayernLB and provides centralised status reports on outsourcing to the Board of Management.
- The outsourcing officer locally monitors and manages external service providers as required by section 25b KWG and MaRisk AT 9, in the functional units responsible for accepting the services.
- The Group Risk Control division records and evaluates outsourcing risks and submits regular cross-divisional risk reports to the Board of Management.
- Companies performing outsourced activities are also regularly checked by BayernLB's Internal Audit division.

Risk-oriented management

Group Risk Strategy

Decisions regarding risk management are made in accordance with the Business Strategy and Risk Strategy, which are harmonised with each other.

The Group Risk Strategy, which is based on the Group Business Strategy and reviewed regularly, is set by the Board of Management and discussed with the Risk Committee of the Supervisory Board. The general objectives and guidelines of the Risk Strategy and the strategic requirements for the different types of risk are drawn up based on the Business Strategy.

The Group Risk Strategy sets the following main objectives and guidelines:

Objectives:

- Ensure on a sustainable basis that the amount and quality of capital is appropriate from both a regulatory and economic perspective
- Ensure the BayernLB Group is solvent at all times
- Achieve sustainable earnings using value-based management of RWA

Guidelines:

- The BayernLB Group only takes on risks it is able to assess and manage
- In those areas where the strategy allows for portfolio growth, quality takes priority over quantity
- Sales and Risk units are jointly responsible for earnings after risk provisions
- The BayernLB Group applies high ethical principles in its business activities

The economic capital available for allocation in the BayernLB Group is based on the long-term capital available and was allocated within the BayernLB Group by risk type in line with the Risk Strategy in force for 2015.

The basis for setting the Risk Strategy is the annual risk inventory carried out in accordance with MaRisk and the risk-bearing capacity calculation. The risk inventory examines not only BayernLB but also the participations and special purpose entities in the BayernLB Group, regardless of whether they are consolidated under German commercial law or supervisory requirements. The BayernLB Group's risk profile is then shown in the risk map within the risk inventory and presented to the Board of Management for information purposes. The BayernLB Group's core risks are counterparty risks resulting from credit and country risks, market risks including risks from pension liabilities, operational risks, participation risks, the risk of a rise in the cost of liquidity, business and strategic risks including reputational risks, and real estate risks from the real estate in the BayernLB Group's portfolio. The report will look at the individual risk types in greater detail further on.

Capital management

Capital management is based on a planning process that incorporates strategic, risk-based and regulatory factors into a long-term operational plan. As part of this process, the Group Risk Strategy, which is developed on the basis of the Business Strategy, is reviewed and modified as necessary.

Integrated risk and earnings reporting

The instruments used to manage and monitor the achievement of business and risk strategy goals are constantly refined at Group level. The Asset Liability Committee (ALCO) is the umbrella entity where earnings targets and risk management objectives are brought together. As a committee of the Board of Management, the primary tasks of ALCO are managing and allocating the key resources of capital and liquidity, as well as managing the balance sheet structure. ALCO also manages the risk/reward profile of the Bank's portfolio of its invested own funds. As well as initiating and voting on Group rules, ALCO takes suitable measures within the Group when a liquidity crisis arises.

ALCO is supported by the Capital Management Committee (CMC), which mainly comprises the Chief Financial Officer and senior management from the risk control, financial control, treasury and accounting units. The CMC's task is to recommend capital management actions for approval by ALCO taking account of framework conditions such as directives from the Bank's owners and regulatory or EU requirements. Capital management deals with, among other things, changes in

target regulatory capital ratios, the type and amount of the capital base and the allocation of RWA and entails ongoing monitoring of changes. Hence the CMC is an important source of input for ALCO and the Board of Management and prepares suitable recommendations for action on matters related to capital.

In addition to the Group Risk Report produced by Group Risk Control, the main elements of the risk and earnings reporting system are the ALCO report and the MIS (Management Information System) report.

The processes involved in managing regulatory capital adequacy and internal capital adequacy are described in the sections below.

Regulatory capital adequacy (solvency)

To ensure the BayernLB Group has the proper amount of regulatory capital, the objectives, methods and processes below have been defined. The starting point for allocating regulatory capital is the own funds planning at the Group level. Own funds are defined as Common Equity Tier 1 capital (CET 1), additional Tier 1 capital and supplementary capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and the state support mechanism of the Free State of Bavaria, less various supervisory corrections and deductions. Additional Tier 1 capital is mainly silent partner contributions. Supplementary capital comprises profit participation certificates and long-term subordinated liabilities.

Own funds planning is based largely on the internal target Common Equity Tier 1 capital ratio (ratio of Common Equity Tier 1 capital to RWA) and an internally set target total capital ratio (ratio of own funds to RWA) for the BayernLB Group. It establishes upper limits for credit risks, market risk positions and operational risks arising from business activities in the planning period.

Regulatory capital is distributed in the planning process to each planning unit through RWA. The planning units (Group units) are the defined business areas/central areas within BayernLB, BayernLabo and DKB.

Risk-weighted assets (RWA) are allocated to the Group units through a top-down distribution approved by the Board of Management for credit, market and operational risks, combined with an internally assumed capital ratio of 10 percent. Compliance with RWA limits available to each Group unit is constantly monitored by ALCO. The Board of Management receives monthly reports on current RWA utilisations.

Information on the changes in the BayernLB Group's supervisory ratios can be found in the management report of BayernLB's annual accounts under "Banking supervisory ratios under CRR/CRD IV for the BayernLB Group". BayernLB publishes additional information in the disclosure report in accordance with section 26a KWG. The disclosure report can be found on BayernLB's website under "Disclosure Report".

Economic capital adequacy (risk-bearing capacity)

Economic capital adequacy (risk-bearing capacity) is monitored using the Internal Capital Adequacy Assessment Process (ICAAP) at the BayernLB, DKB and BayernLB Group levels. The aim of ICAAP is to

ensure that there is sufficient economic capital at all times for the risks assumed or planned.

For risk management, BayernLB follows a liquidation-based approach in ICAAP that is designed to protect senior creditors. This is computed using internal target standards for the accuracy of risk measurement, which correspond to a confidence level of 99.95 percent. The method for calculating risk-bearing capacity is assessed and refined on a regular basis to ensure it takes adequate account of external factors and internal strategic targets.

The economic capital is of suitable quality to absorb any losses and is calculated in accordance with the liquidation approach by deducting from the sum of equity and subordinated capital those items that are not available in the event of liquidation (e.g. intangible assets). A buffer for risk types that are not managed at the business unit level and/or are of only minor significance for ICAAP management is also deducted (e.g. business and strategic risk, the risks of a rise in the cost of liquidity, and the risks from real estate in the BayernLB Group's portfolio).

The Group Risk Strategy, in tandem with the Business Strategy, sets the risk appetite and the framework for risk planning. The risk capital requirement for business and strategic risks, real estate risks and the risks of a rise in the cost of liquidity are deducted directly from economic capital. The remaining available economic capital can be allocated to credit, country and market risks, risks from pension liabilities, operational risk and participation risk. The Risk Strategy allows only a proportion of the available economic capital to be allocated to risk types in the course of business activities. The upper limit for the Group in 2015 was EUR 7.5 billion and corresponds to 64.3 percent (FY 2014: 76.0 percent) of the available economic capital (EUR 11.7 billion (FY 2014: EUR 13.2 billion)).

The planning of economic risks for the risk-bearing capacity calculation and the planning of the economic capital are integral parts of the Group planning process described under the "Regulatory capital adequacy" section. For an in-depth, forward-looking analysis of economic capital adequacy, the calculation of risk-bearing capacity is based on the Business Strategy and is supplemented by stress tests. Both scenario and sensitivity analyses are carried out for this purpose. In addition to historical scenarios, the impact of adverse changes in risk factors both on specific risk types and across all risk types is also analysed using hypothetical scenarios. The latter in particular have a major role in the analysis of situational scenarios.

The liquidation-based analysis of risk-bearing capacity is supplemented by a going concern perspective by means of the five-year loss scenario. This analyses capital adequacy with respect to the sustainability of the business model in the event of a loss that is statistically probable only once over a rolling five-year planning horizon.

Sensitivity analysis also plays a part in the comprehensive analysis of risk-bearing capacity by increasing awareness of the impact of potential changes in individual risk factors (such as the impact of changes in interest rates).

Risk-bearing capacity is quantified routinely and as required from both a liquidation and a going concern perspective and is reported monthly to the Board of Management as part of the regular ongoing internal risk reporting, together with the results and key assumptions of the stress tests performed.

Current situation

The table below shows year-on-year changes in economic capital requirements at BayernLB.

Risk capital requirements

EUR million	31 Dec 2015	31 Dec 2014
Risk capital requirements	4,225	3,305
• credit risk and country risk (counterparty risk)	1,211	1,393
• market risk	2,415	1,354
• operational risk	488	462
• investment risk	112	96

The increase in the risk capital requirement was largely due to market risk and associated risks relating to pension liabilities in the amount of EUR 1.3 billion (FY 2014: EUR 723 million).

The BayernLB Group had adequate risk-bearing capacity at all times during the financial year and as at 31 December 2015.

As part of BayernLB's stress testing programme, the possibility of a severe economic downturn (ICAAP stress scenario) is routinely calculated. Under the severe recession scenario, the risk capital requirement for the individual risk types rises to a total of EUR 8.6 billion (FY 2014: EUR 9.4 billion).

A severe economic downturn (ICAAP stress scenario) would see 78.6 percent utilisation of available economic capital (FY 2014: 77.8 percent). The regulatory minimum capital ratios were met in the going concern scenario.

Inverse stress testing

Inverse stress tests were conducted at the BayernLB Group level as an integral element of the stress testing programme. Contrary to the logic of conventional stress tests, scenarios that could potentially jeopardise the existence of the BayernLB Group's current business model are identified using a retrograde procedure. Inverse stress tests are conducted for both individual risk types and across all risk types. The integration of different divisions in the scenario parameters makes it possible to analyse varying perspectives of the BayernLB Group's risk and earnings situation simultaneously and integrate them into the stress testing in a consistent manner. Both qualitative and quantitative analyses are carried out, based in particular on the effects of current developments in external and internal risk factors on the BayernLB Group.

Recovery plan

The BayernLB Group has had a recovery plan in place since 2013, in accordance with the German Recovery and Resolution Directive (Sanierungs und Abwicklungsgesetz (SAG)) and the Minimum Requirements for the design of Recovery Plans (MaSan). This sets out the options open to the BayernLB Group to ensure it has sufficient capital and liquidity even in situations of financial stress. Thresholds for one and two-stage indicators are continuously monitored so that early action can be taken to ensure solvency. The status of these indicators is reported to the Asset Liability Committee and the Board of Management monthly and to the Risk Committee of the Supervisory Board quarterly in the risk reporting.

The recovery plan is updated annually and was revised in 2015, largely to meet the EBA's supervisory requirements. The thresholds for the one and two-stage indicators in the recovery plan based on the German Recovery and Resolution Directive (Sanierungs- und Abwicklungsgesetz (SAG) and Minimum Requirements for the Design of Recovery Plans (MaSan) were complied with by comfortable margins. Against this background, no recommendations for action needed to be sent to the ALCO, which has taken over the tasks of the dissolved Recovery Committee.

Liquidity management

The strategic principles for dealing with liquidity risk within the BayernLB Group are set out in the Group Risk Strategy. The overriding priority of liquidity risk management and monitoring is to ensure that the BayernLB Group can meet its payment obligations and obtain funding at all times. In addition to stringently ensuring solvency, the primary goal of BayernLB's liquidity management is to ensure long-term access to the market.

These strategic goals are detailed in the Group Guidelines in conjunction with the emergency plan for safeguarding liquidity for daily management. These define the processes, management tools and hedging instruments needed to avert potential or address real acute crises. They also contain an escalation mechanism, which comes into operation when early warning signals are triggered.

In the BayernLB Group, daily limits are placed on liquidity risks at the operating unit level based on defined scenarios. This ensures that liquidity risks taken are managed and escalated in a consistent and effective manner at all times.

During FY 2015, responsibility for strategic and operational liquidity management at the BayernLB Group belonged to the Group Treasury and the Structuring & Trading divisions of the Financial Markets business area. This is also where adequate liquidity reserves are ensured at all times and operational liquidity is managed on the market. Liquidity overviews (e.g. capital flow accounts, limit utilisation ratios and Group-wide risk monitoring of liquidity risks) are produced in the Group Risk Control division of the Risk Office central area. The cross-divisional Liquidity Management Committee, under Group Risk Control, consults with the Group Treasury and the Controlling divisions on issues such as liquidity and refinancing strategies and acts as a driving force by preparing courses of action for decisions to be taken by the Asset Liability Committee.

BayernLB started early to increase both the quantity and quality of its substantial liquidity reserves in order to comply with the future requirements under MaRisk and the Capital Requirements Regulation (CRR). This created a stable basis for active management of liquidity reserves in 2015.

The active management of liquidity reserves also includes complying with the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) requirements contained in CRR. In line with regulatory requirements BayernLB's figures for ratios are regularly reported.

Regulatory changes relating to liquidity risk in addition to these are constantly monitored so that they can be implemented as scheduled in close cooperation with all units affected. These mainly involve the new liquidity rules under CRR/CRD IV and the related technical standards issued by the EBA on the Additional Liquidity Monitoring Metrics (ALMM). This ensures reporting requirements can be met and liquidity can be efficiently managed in the future.

Credit risk

In accordance with its business model as a corporate and real estate lender and partner to the savings banks with a regional focus on Bavaria and Germany, the largest risk for the BayernLB Group is credit risk.

Definition

Counterparty risks arise if a transaction results in a claim against a borrower, issuer of securities or counterparty. If these fail to meet their obligations, the Bank suffers a loss equal to the unpaid amount less the value of any realised collateral plus the related settlement costs. This definition covers both lending and guarantee risks from the credit business, and issuer and counterparty risks from trading activities.

Risks from changes in the credit rating of securities are managed primarily through the management of interest rate risks. When managing interest rate risks, a distinction is made between market-related and credit rating-related interest rate risks; this is also reflected in the separate presentation of the risk capital requirements for counterparty risks and market risks.

Country risks, which are another type of counterparty risk, are also measured, managed and monitored. Country risk is defined in the narrow sense as the risk of a country or a business partner whose registered office is located in another country failing to meet its obligations on time or at all due to sovereign acts or economic or political problems (transfer and conversion risks). Country ratings are a key tool for measuring individual country risk. At the BayernLB Group, both country risk in the narrow sense and the sum of the assumed counterparty risks of individual customers in the respective countries (domicile principle) with the exception of Germany are considered when measuring and limiting risks.

Credit Risk Strategy and approval process

The Credit and Country Risk Strategy – which is part of the comprehensive Risk Strategy – is set by the Board of Management for BayernLB and the Group taking account of risk-bearing capacity considerations. A detailed credit policy is drawn up from the Credit Risk Strategy and used as a basis for operational implementation.

Before transactions are concluded, the Investment Committees check compliance with the Credit and Country Risk Strategy and the guidelines laid down for sectors and transactions, especially compliance with the conditions imposed by the EU that customers/transactions have a connection with Germany.

The credit approval process at BayernLB consists of several stages. The Competence Regulations define the authority of the different competence holders based on the loan volume to be approved, the business area it is allocated to and the rating classification. Credit decisions that ultimately require approval by the Board of Management or Risk Committee of the Supervisory Board must first go through the Group Risk Committee, which itself is a competence holder. Credit decisions on the portfolios to be wound down are taken by the Restructuring Unit Credit Committee. The Supervisory Board's Risk Committee decides on all credits that require the approval of the Supervisory Board under the German Banking Act or the Competence Regulations.

New products and products for new markets are subjected to a stringent new product process.

The decision-making process at DKB is similarly organised. In addition, members of BayernLB's Board of Management sit on DKB's Supervisory Board and its committees.

Risk measurement

Risk classification procedure

In accordance with the Internal Ratings Based Approach (IRBA), BayernLB uses rating procedures that are approved by the supervisory authorities. To maintain and refine the rating procedures, BayernLB works mainly with RSU Rating Service Unit GmbH & Co. KG and Sparkassen Rating und Risikosysteme GmbH. All rating procedures are subject to an ongoing validation process to ensure they are able to correctly determine the default probabilities in each customer and financing segment. This process draws on quantitative and qualitative analyses. These assess the rating factors, the accuracy and calibration of the procedure, the data quality and the design of the model using statistical and qualitative analyses, and users' feedback.

The rating procedures demonstrated their robustness and accuracy during the recession. It became clear that taking account of market-induced factors significantly improved the capture of the volatility of financial markets during the crisis. As far as possible, this additional information will continue to be integrated into the rating systems.

Exposure at default

Exposure at default is the expected claim amount taking account of a potential (partial) draw-down of open lines and contingent liabilities that would negatively impact risk-bearing capacity in the event of a default. For trading transactions the current market value is taken as the basis. Any replacement risks are taken account of by means of an add-on.

Collateral valuations and loss ratios

The starting point for valuing collateral is the market value. This is reviewed on both a scheduled and ad-hoc basis and adjusted whenever there is a change in valuation-relevant parameters. Based on these individual collateral valuations, the Bank estimates the size of the loss upon default, which is principally calculated using differentiated models for realisation ratios (average expected proceeds from the realisation of collateral) and for recovery rates (share of proceeds from the unsecured portion of a claim). These models are likewise maintained and improved in partnership with RSU Rating Service Unit GmbH & Co. KG using pooled data and internal loss data. All models are regularly validated and, if necessary, checked for their representativeness.

Expected loss

Expected loss per transaction/per borrower is a risk ratio which not only takes account of the expected claim amount at the time of default but also the customer's credit rating/assigned probability of default and the estimate of losses upon default. This ratio can be used as an indicator of a portfolio's expected risk level.

Expected losses are also relevant for the calculation of standard risk costs, which are used to calculate the risk-adjusted credit terms in the preliminary calculation of the individual transaction (credit pricing). Expected losses are also incorporated into the calculation of flat-rate risk provisions for impairments.

Unexpected loss

BayernLB calculates unexpected loss at portfolio level using a simulated credit portfolio model, which estimates default risks on a one-year horizon. Dependencies among borrowers in the portfolio are estimated using a country and sector-specific correlation model. In addition, the effects of rating migrations and uncertainties in calculating loss ratios are also taken into account. The impact of an unexpected loss by an individual business partner on the whole portfolio is also calculated for risk analysis purposes.

Risk monitoring

The following instruments are used for monitoring and limiting credit risks in the BayernLB Group:

Early warning

All relevant borrowers and exposures are monitored daily using the Bank's internal early warning system. The goal is to identify negative changes in the risk profile by means of suitable early risk warning indicators (e.g. based on market price information such as CDSs or share prices) so there is sufficient scope for action to avoid or minimise risk.

Risk capital requirements

BayernLB manages unexpected losses/risk capital requirements using appropriate limits at Bank and business-area levels. In addition, the sensitivity of key risk input parameters (mainly probabilities of default, loss ratios and correlations) is calculated regularly and supplemented by various stress tests, which in different forms (hypothetical, on the basis of historical data) are used to assess risk bearing capacity.

Counterparty default risk limits for borrowers/borrower units

In keeping with MaRisk, counterparty risks at borrower and borrower unit level are monitored daily using a limitation system. BayernLB and DKB each conduct their own monitoring. The monitoring takes account of various transaction features using different credit limit types (e.g. issuer risk limit). When the limits within the BayernLB Group add up to at least EUR 400 million per economic borrower unit, a Group-wide (Group) limit is required. BayernLB's Group Risk Control division monitors the Group limit centrally. To limit large credit risks, the maximum gross credit volume for each economic borrower unit is limited to EUR 500 million Group-wide. The Board of Management or the Risk Committee of BayernLB's Supervisory Board may approve exceptions to this limit in well-founded individual cases (e.g. good credit rating, profitability, strategy). Approved exceptions are individually listed in the quarterly Group Risk Report with their Group limit and gross credit volume.

Sector and country limits

To prevent risk concentrations, risk-based limits are set for sectors and countries. Sector and country limits apply Group-wide. Gross credit volumes are limited. Limits are set by BayernLB's Board of Management. These are based in part on the sector, country and portfolio structure analysis and vote by the Risk Office central area. In addition to the sector limits, additional specific guidelines are set for each sector and approved by the Board of Management to safeguard portfolio quality. Sector and country limits and guidelines are monitored centrally by BayernLB's Group Risk Control division. Sector and country strategies are reviewed annually. Irrespective of this, strategies can be changed as events arise.

Collateral

Another key way in which risks are limited is by accepting the usual types of bank collateral and valuing them on an ongoing basis. When deciding what collateral is needed, particular account is taken of the type of financing, the borrower's available assets, their value and liquidity and whether the relative costs are reasonable (costs of acceptance and ongoing valuation).

Collateral is processed and valued in accordance with the relevant directives which set out the procedures for valuing the collateral, any discounts to be applied, and how often the valuation must be reviewed. Net risk positions are calculated on the basis of the liquidation value of the collateral.

As part of its IRBA approval, the German Federal Financial Supervisory Authority (BaFin) has granted BayernLB approval to lower its regulatory capital requirements through the use of real estate liens, ship mortgages, registered liens on aircraft, guarantees, financial collateral in the form of securities, cash deposits and credit derivatives.

Derivative instruments are used to reduce market and counterparty risks. In derivatives trading, the usual practice is to conclude master agreements for the purposes of close-out netting. Collateral agreements exist with certain business partners restricting the default risk associated with certain trading partners to an agreed maximum and authorising a call for additional collateral should this limit be exceeded. Banks and public-sector customers are the main counterparties in the derivatives business. Limits are imposed as part of the generally applicable limitation process for counterparty risk. Furthermore, large credit risks are subject to both regulatory and internal management methods.

In credit default swaps (CDSs), BayernLB takes positions as both protection seller and protection buyer, but its focus is not on actively trading credit derivatives. CDS positions are valued and monitored daily at individual transaction level. Gains and losses on these positions are calculated daily on the basis of these valuations.

Problem loan handling and forbearance

Problem exposures are classified in accordance with the standard international categories ("special mention", "substandard", "doubtful" and "loss") in terms of their level of risk, and a special restructuring and risk monitoring process is implemented if warranted.

By initiating suitable measures as part of an intensive support or problem loan handling process at an early stage, BayernLB aims to minimise or completely prevent defaults from occurring.

BayernLB defines problem loans in the substandard and doubtful categories as forbearance exposures.

Exposures which have been restructured in order to minimise the risk of default are defined as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties. Concessions are defined as the modification of the terms and conditions of the original loan agreement (e.g. a deferral, waiver or standstill agreement) and/or its refinancing.

Exposures cease to be reported as in forbearance if all of the following criteria apply:

- They have not been classified as non-performing (rating 22 to 24) for more than two years (probationary period).
- Interest payments and repayments have been duly made during the probationary period on a material portion of payments due.
- None of the borrower's exposure is more than 30 days overdue at the end of the probationary period.

Quantitative data on forborne exposures are shown as "Renegotiated credits" in the "Portfolio overview in accordance with IFRS 7.36a (Balance Sheet Approach)" section.

Please see the accounting policies in the Notes for details of how risk provisions are calculated and assets written down.

Risk provisions

Where necessary, proper account has been taken of the risks in the credit business through risk provisions. The principles governing loan loss provisioning and writedowns for problem loans establish how loans at risk of default are to be handled, valued and reported (see the note on risk provisions).

Current situation

The following presentation of credit risk uses the management approach, which is based on the figures used for internal reporting to the Board of Management and the Risk Committee of the Supervisory Board. In certain aspects, the figures derived from the financial situation (such as taking account of undrawn internal current account facilities) therefore deviate from the rules applicable for balance sheet purposes

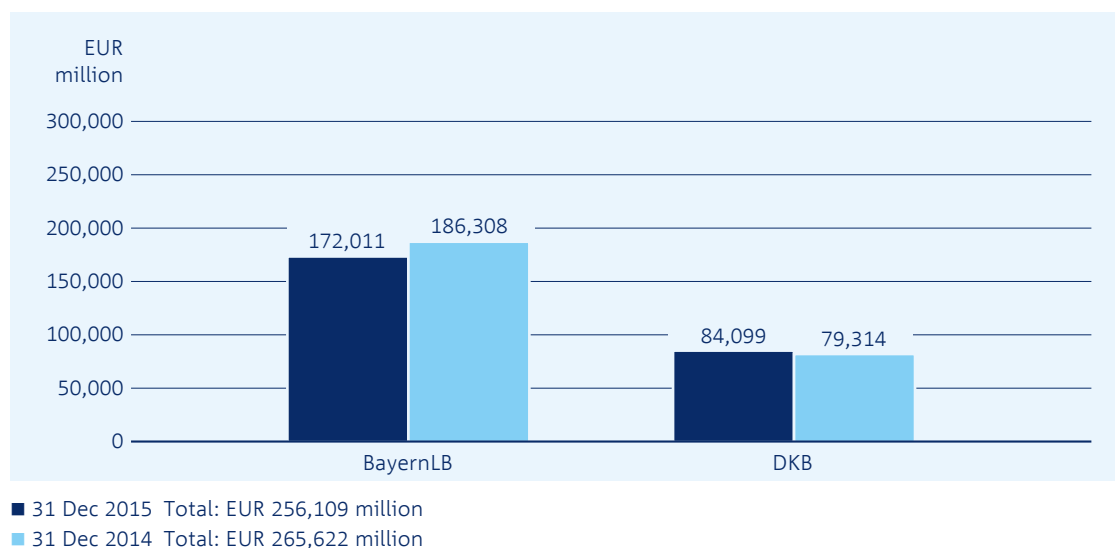
Credit risk is also presented using the balance sheet approach, which is based on balance sheet figures and focuses on the value of the financial assets shown in the balance sheet.

Similarly, the materiality thresholds for including equity interests in the MaRisk risk inventory for internal risk management may differ from those used to determine the scope of consolidation in the balance sheet.

Credit portfolio in accordance with IFRS 7.34a (Management Approach)

The figures for the management approach include BayernLB and DKB.

Gross credit volume by unit



Credit volume comprises the gross volume of credit transactions (drawdowns plus unutilised commitments and undrawn internal current account facilities) and the risk-weighted amounts of trading transactions (market values and the credit equivalent amount from derivatives transactions).

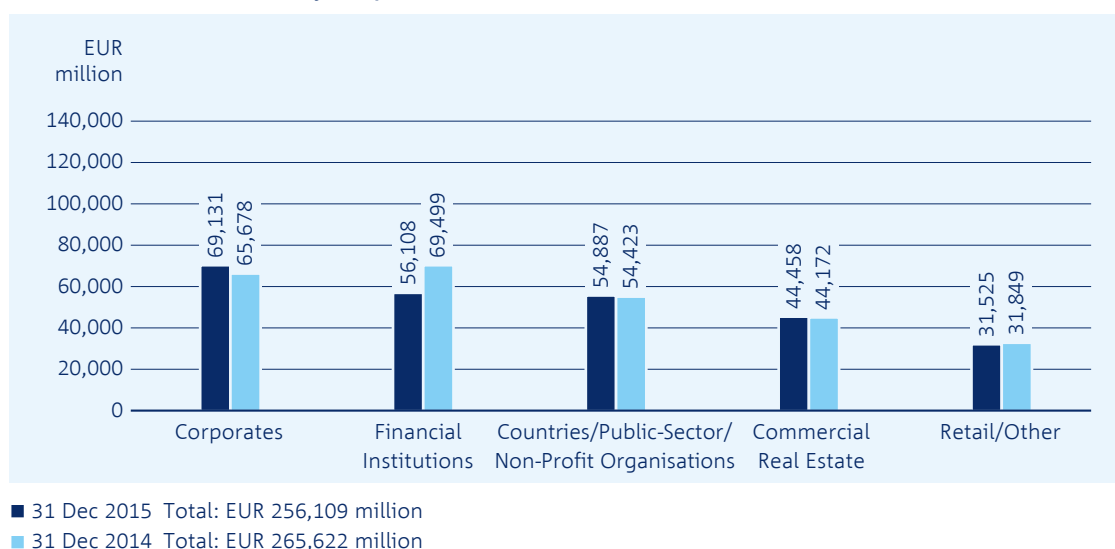
In 2015 the gross credit volume was largely affected by two key developments: the repayment of government-guaranteed bonds and its partial compensation by an expansion into new business with corporate customers in target sectors and commercial real estate customers. Against this background, gross credit volume at the BayernLB Group fell year-on-year by EUR 9.5 billion or 3.6 percent to EUR 256.1 billion.

BayernLB's gross credit volume was significantly reduced by the repayment of government-guaranteed transactions with Landesbanks and savings banks falling due (EUR 9.1 billion). Gross credit volume also fell as a result of the reduction in undrawn internal current account limits for other financial institutions in the amount of EUR 1.9 billion and winding down of the non-core portfolio. Noteworthy here was the targeted new business with corporate customers and real estate customers despite the difficult interest rate environment and excessive liquidity in the market. Overall, gross credit volume fell to EUR 172.0 billion (FY 2014: EUR 186.3 billion).

In line with strategy, gross credit volume at DKB rose by a further EUR 4.8 billion or 6.0 percent to EUR 84.1 billion (FY 2014: EUR 79.3 billion). The main increase was in the Sovereigns, Real Estate and Corporates sub-portfolios with a focus on utilities and renewable energy.

Gross credit volume in the BayernLB Group is broken down below by sub-portfolio, rating category, region, issuer risk and size.

Gross and net credit volume by sub-portfolio



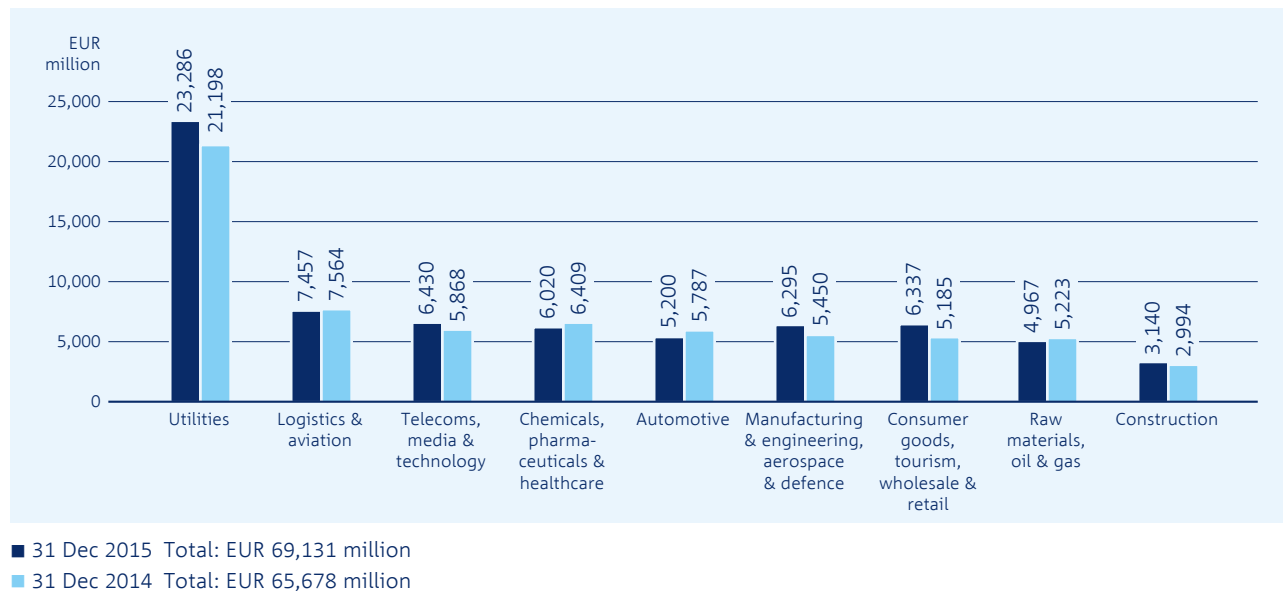
EUR million	Gross			Net		
	31 Dec 2015	31 Dec 2014	Change (in %)	31 Dec 2015	31 Dec 2014	Change (in %)
Corporates	69,131	65,678	5.3%	52,824	50,736	4.1%
Financial Institutions	56,108	69,499	−19.3%	54,440	66,821	−18.5%
Countries/Public-Sector/Non-Profit Organisations	54,887	54,423	0.9%	53,036	52,522	1.0%
Commercial Real Estate	44,458	44,172	0.6%	12,835	12,956	−0.9%
Retail/Other	31,525	31,849	−1.0%	17,960	17,216	4.3%
• of which Retail	31,153	31,387	−0.7%	17,621	16,782	5.0%
Total	256,109	265,622	−3.6%	191,094	200,252	−4.6%

Net credit volume is calculated as gross exposure less the value of collateral and business that has been placed. Net credit volume fell by EUR 9.2 billion or 4.6 percent, mainly as a result of expired government-guaranteed transactions and reduced undrawn internal current account limits.

Corporates sub-portfolio

The Corporates sub-portfolio is now the largest sub-portfolio within the BayernLB Group after growing significantly by EUR 3.5 billion or 5.3 percent to EUR 69.1 billion (FY 2014: EUR 65.7 billion) The German share remained stable at 71.2 percent (FY 2014: 71.4 percent).

Sector breakdown within the Corporates sub-portfolio



Sector performance was mixed.

The biggest volume increase (EUR 2.1 billion or 9.8 percent) took place in the utilities sector, mainly at DKB (EUR 1.9 billion). In addition to traditional corporate financing, financing renewable energy projects such as wind farms was an area of focus, accounting for 52.1 percent of credit volume. The portfolio's regional focus is Germany. The fact that the sub-sector is highly granular can be clearly seen in the share of customers with a gross credit volume of less than EUR 50 million: 89.0 percent, 81.9 percent of which relates to exposures in Germany.

Gross credit volume also increased in other areas including the target sectors of consumer goods, wholesale & retail, manufacturing, and telecoms, media & technology. Most of the new business in these sectors was in Germany, other western European countries and the US.

Exposures to customers in the raw materials, oil and gas industry sector were wound down in line with strategy, especially in the Non-Core Portfolio. As at the reporting date the portfolio with customers in the oil and gas industry accounted for 47.6 percent or EUR 2.4 billion of the gross credit volume (FY 2014: EUR 2.7 billion); the remainder of the sub-portfolio consists mainly of customers in the steel industry.

Gross credit volume with the automotive industry also declined.

Despite a reduction in the share of customers with a gross credit volume of less than EUR 50 million to 50.6 percent (FY 2014: 53.6 percent), the sub-portfolio still had a highly granular structure.

The investment grade share remained stable at 69.0 percent (FY 2014: 68.5 percent).

The non-core portfolio fell by EUR 1.2 billion or one-third to EUR 2.1 billion. The remaining exposure contains mainly smaller exposures with gross credit volumes of up to EUR 50 million.

Financial Institutions sub-portfolio

The Financial Institutions sub-portfolio was one of the main areas to feel the effects of the above portfolio changes, slimming down by EUR 13.4 billion or 19.3 percent in 2015. With a volume of EUR 56.1 billion, it is now the second largest sub-portfolio by corporate customer.

Gross credit volume in the banks/savings banks sector fell due to the maturing of transactions with Landesbanks (EUR 7.9 billion) and savings banks (EUR 1.2 billion) backed by government guarantees and a reduction in undrawn internal current account limits for other financial institutions (EUR 1.9 billion). Exposure to the banks sector also fell partly due to repayments by individual customers in emerging markets during the ordinary course of business. This was partly compensated by liquidity stockpiling with large European and North American companies. At DKB the main increase in credit volume occurred as a result of new business with German and northern European banks.

Gross credit volume in the insurance sector remained steady at EUR 4.5 billion (FY 2014: EUR 4.6 billion). Transactions with insurance companies in Germany and Switzerland continued to account for over 90 percent of the volume.

Despite the reduction in the government guarantee-backed transactions mentioned above, the quality of the Financial Institutions sub-portfolio remained stable.

The investment grade share remained virtually stable at 92.7 percent (FY 2014: 93.0 percent).

Countries/Public-Sector/Non-Profit Organisations sub-portfolio

The gross credit volume of the Countries/Public-Sector/Non-Profit Organisations sub-portfolio within the Group remained stable overall at EUR 54.9 billion (FY 2014: EUR 54.4 billion).

The foreign share in this portfolio rose overall due to the year-on-year increase in exposure to the US and UK central banks, Canadian municipalities and the Italian state; business with municipalities in Switzerland, however, contracted. Gross credit volume to German public-law institutions dropped significantly by EUR 1.5 billion compared to the year-before period. In contrast, business with the German Bundesbank and German government increased. Customer relationships in this sub-portfolio were utilised in part for liquidity management.

The investment grade share remained virtually stable at 97.4 percent (FY 2014: 97.1 percent).

Commercial Real Estate sub-portfolio

The total exposure in the Commercial Real Estate sub-portfolio was almost unchanged at EUR 44.5 billion (FY 2014: EUR 44.2 billion) after the Bank steadily expanded the core business, while winding down the non-core business as planned. DKB accounts for 54.0 percent of the total sub-portfolio (FY 2014: 53.1 percent).

While the main focus at BayernLB was on business with new and existing residential and commercial real estate customers, the focus at DKB was on residential construction. As a result of new business in 2015, the core portfolio increased through the addition of residential real estate and office buildings mainly in Germany. Accordingly, the German share rose to 87.5 percent (FY 2014: 85.2 percent). DKB's share of the core portfolio remained stable at 56.8 percent (FY 2014: 57.0 percent).

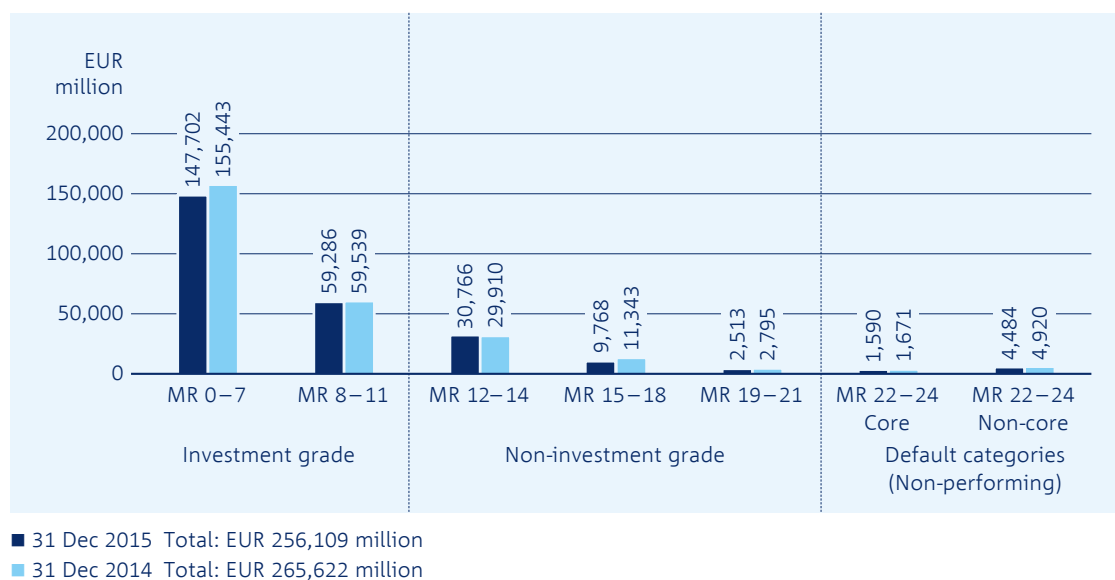
Customers with a gross credit volume of less than EUR 50 million accounted for a high proportion (more than 60 percent) of the sub-portfolio, underscoring its highly granular structure. Customers with DKB were largely responsible for this.

The investment grade share rose to 76.5 percent (FY 2014: 74.4 percent). The average rating remained stable at MR 12. The collateralisation ratio at both BayernLB and DKB also remained stable at over 70 percent. Most of the EUR 1.2 billion or 28.5 percent decrease in the Non-Core Portfolio occurred at BayernLB as a result of repayments in western Europe.

Retail/Other sub-portfolio

In Retail/Other, the smallest sub-portfolio, gross credit volume fell slightly by EUR 325 million or 1.0 percent to EUR 31.5 billion. DKB's retail customer business remained stable at the previous year's level. The following table shows gross credit volume by rating category and sub-portfolio.

Gross credit volume by rating category and sub-portfolio



31 Dec 2015								
Rating categories (EUR million)	MR 0–7	MR 8–11	MR 12–14	MR 15–18	MR 19–21	MR 22–24	(of which non-core)	Total
Corporates	18,829	28,891	13,769	5,120	1,108	1,415	765	69,131
Financial Institutions	47,928	4,067	793	456	2	2,863	2,755	56,108
Countries/Public-Sector/ Non-Profit Organisations	52,510	978	1,105	268	25	2	–	54,887
Commercial Real Estate	20,690	13,317	6,615	2,058	503	1,275	936	44,458
Retail/Other*	7,745	12,035	8,483	1,867	877	519	27	31,525
Total	147,702	59,286	30,766	9,768	2,513	6,074	4,484	256,109

31 Dec 2014								
Rating categories (EUR million)	MR 0–7	MR 8–11	MR 12–14	MR 15–18	MR 19–21	MR 22–24	(of which non-core)	Total
Corporates	18,705	26,287	12,957	5,324	985	1,420	711	65,678
Financial Institutions	60,056	4,573	1,048	657	16	3,150	2,980	69,499
Countries/Public-Sector/ Non-Profit Organisations	52,038	782	1,062	487	51	3	–	54,423
Commercial Real Estate	17,843	15,028	6,158	3,055	746	1,342	573	44,172
Retail/Other*	6,801	12,870	8,685	1,820	997	676	656	31,849
Total	155,443	59,539	29,910	11,343	2,795	6,591	4,920	265,622

* of which gross credit volume in Retail of EUR 31.2 billion as at 31 December 2015 and EUR 31.4 billion as at 31 December 2014.

The slightly higher credit volume in master rating (MR) category 12–14 compared to the year before includes some new business in the Corporates and Commercial Real Estate sub-portfolios. Credit volume fell in all other rating categories. The significant decrease in the credit volume in rating category MR 0–7 was due to maturing government-guaranteed transactions in the Financial Institutions sub-portfolio.

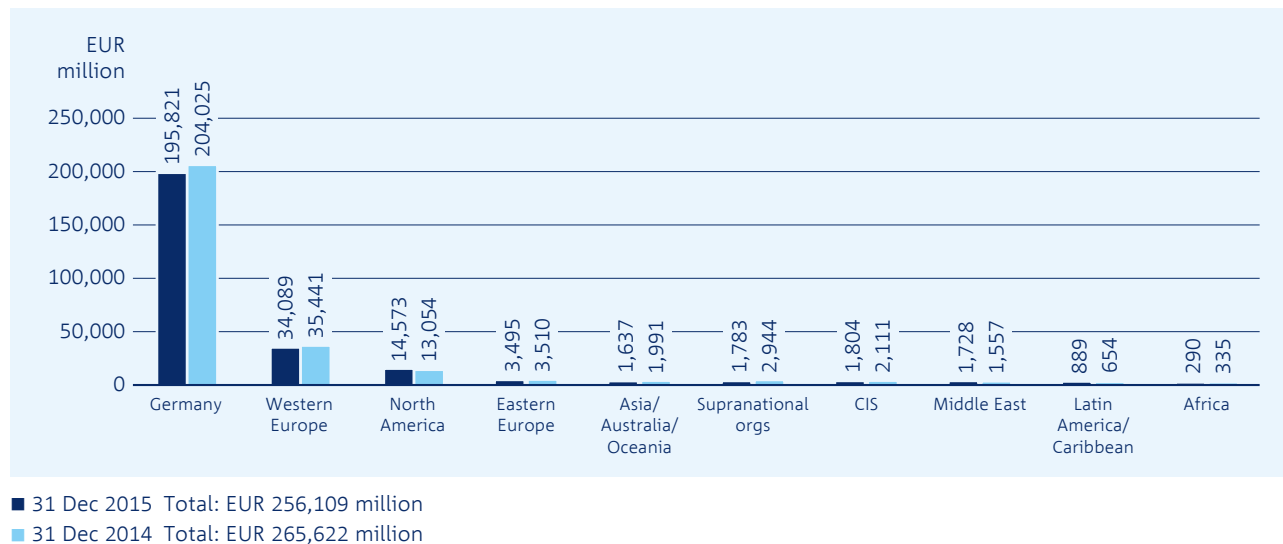
The investment grade share remained stable at 80.8 percent (FY 2014: 80.9 percent).

The non-performing loan ratio (NPL ratio) was 2.4 percent as at the reporting date (FY 2014: 2.5 percent). In the core business, the NPL ratio was 0.7 percent (FY 2014: 0.8 percent). In the non-core business, the NPL ratio rose to 36.0 percent (FY 2014: 27.5 percent, adjusted¹⁰), mostly due to the significant fall in exposure in the non-core portfolio to EUR 12.5 billion. Adequate risk provisions were set aside to cover loans added to the default categories.

¹⁰ Due to adjustments to system settings.

The following table shows gross credit volume by region.

Gross credit volume by region



In line with the Business and the Risk Strategy, Germany accounted for a dominant share of the BayernLB Group's lending at 76.5 percent (FY 2014: 76.8 percent). Gross credit volume there amounted to EUR 195.8 billion (FY 2014: EUR 204.0 billion).

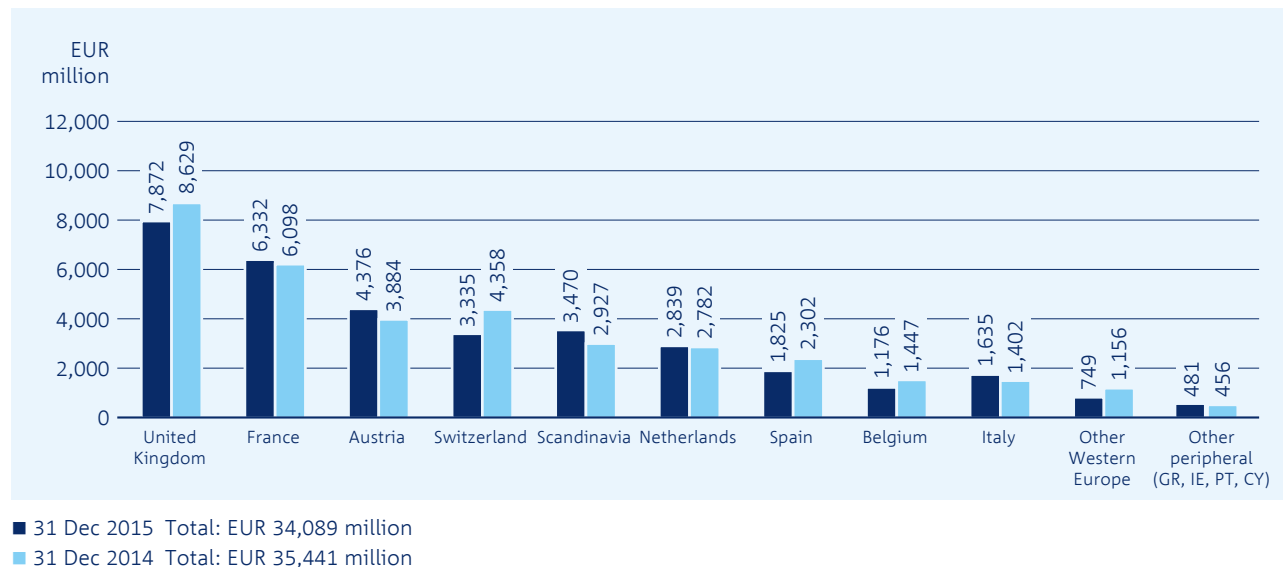
Credit volume in Germany decreased proportionally slightly more than abroad mainly due to the maturing of government-guaranteed bonds.

On a regional basis, credit volumes in North America jumped to EUR 14.6 billion from EUR 13.1 billion in the year before partly for liquidity management purposes. Higher holdings of US Treasury bonds and USD liquidity as well as an increase in the credit volume in Canada to EUR 1.7 billion (FY 2014: EUR 1.0 billion) accounted for this. Business with corporate customers also rose.

Significant increases in new business outside Europe, although at much lower volumes, occurred mainly in Brazil at EUR 0.6 billion (FY 2014: EUR 0.3 billion), Australia at EUR 0.5 billion (FY 2014: EUR 0.3 billion) and the United Arab Emirates at EUR 0.6 billion (FY 2014: EUR 0.4 billion). In contrast, credit volumes declined in most countries in the Far East.

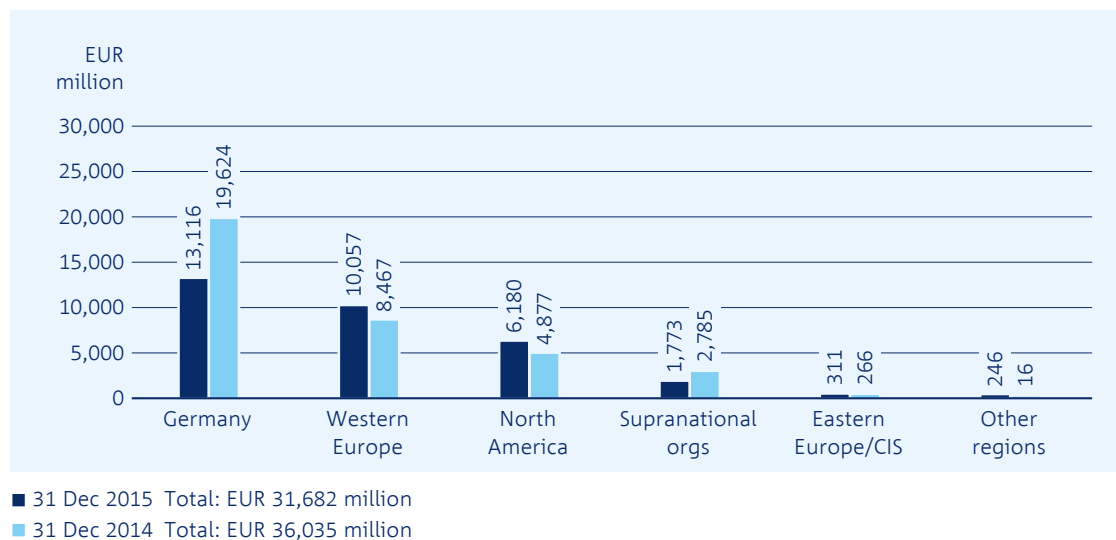
In light of global developments (increasing political tensions, decline in the oil price, slowdown in emerging market growth), country risks and risk/return ratios in the foreign business are generally being very closely managed and monitored.

Gross credit volume in Western European countries



Exposure to government bonds and Pfandbriefs in western Europe significantly increased (mainly in France, the Netherlands and Scandinavia) in FY 2015 to comply with the Liquidity Coverage Ratio (LCR) regulatory requirement. New business in corporate loans was relatively brisk in certain countries. Transactions in the peripheral countries affected by the sovereign debt crisis were limited to a few in Ireland. The existing portfolio of Greek, Portuguese and Cypriot assets, some of which are impaired, was further wound down in FY 2015. As a result of the fall in business with banks and insurance companies, there was a reduction in countries with strong financial sectors such as the UK and Switzerland. The following table shows gross issuer risk by region.

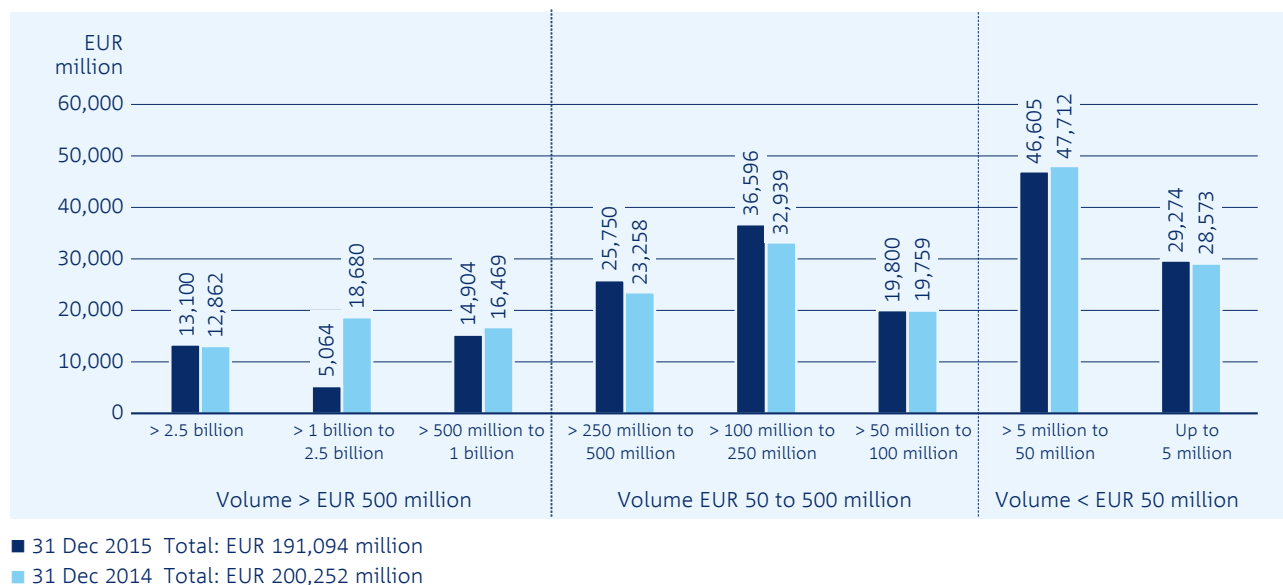
Gross issuer risk by region



Gross issuer risk fell in the reporting period. The almost full repayment of bonds from German Landesbanks backed by government guarantee was partly offset by an increase in Pfandbriefs and government bonds, diversified by country. Volumes from German issuers also fell sharply, partly the result of low interest rates.

The following table shows net credit volume by size.

Net credit volume by size



Exposure in the largest size category (net credit volumes of more than EUR 2.5 billion) increased slightly to EUR 13.1 billion (FY 2014: EUR 12.9 billion). This was mostly in the form of loans and advances to investment grade public-sector entities.

Net credit volumes with customers in the EUR 500 million to EUR 2.5 billion category fell by 43.2 percent, especially in the Financial Institutions sub portfolio.

The net credit volume in the EUR 5 million to EUR 100 million exposure category remained stable. The most granular part of the portfolio (exposures to customers with a net credit volume of less than EUR 5 million) was slightly higher than the previous year at EUR 29.3 billion or 15.3 percent (FY 2014: EUR 14.3 percent).

Summary

In summary, the quality of the credit portfolio is very good, as reflected in the investment-grade share which remains above 80 percent. The portfolio's high granularity rose further: exposures with a net credit volume of less than EUR 500 million increased significantly over the previous year to 82.7 percent (FY 2014: 76.0 percent). The fall in gross credit volumes in the Financial Institutions sub-portfolio, partly due to maturing government-guaranteed transactions, was offset in part by new business with target customers in the Corporates and Commercial Real Estate sub-portfolios. The Bank continued to wind down the non-core portfolio in line with strategy, while building up the core business.

Portfolio overview in accordance with IFRS 7.36a (Balance Sheet Approach)

Maximum credit risk

Based on data from the IFRS consolidated financial statements, the presentation below shows the BayernLB Group's maximum credit risk under IFRS 7.36 a taking account of IFRS 7.B9. The gross carrying amounts are reduced by the offsetting amounts calculated in accordance with IAS 32 and impairment losses calculated in accordance with IAS 39. Credit risks included under "non-current assets or disposal groups classified as held for sale" are allocated to the relevant positions in the following tables (for individual amounts see the details in note 52). Information on forbearance exposures is also included.

The figures used in the balance sheet approach for the maximum credit risk pursuant to IFRS 7.36a are based on the IFRS scope of consolidation. Besides BayernLB and DKB, these include mainly Real I.S. AG and Bayern Card-Services GmbH.

Maximum credit risk

EUR million	31 Dec 2015	31 Dec 2014
Cash reserves	2,246	1,041
• Loans and receivables	2,246	1,041
Loans and advances to banks	29,310	36,572
• Loans and receivables	29,307	36,562
• Fair value option	3	10
Loans and advances to customers	133,458	131,673
• Loans and receivables	132,743	130,925
• Available for sale	12	18
• Fair value option	703	729
Assets held for trading*	17,068	23,654
• Held for trading	17,068	23,654
Positive fair values from derivative financial instruments	1,527	2,968
• Held for trading	1,527	2,968
Financial investments*	27,964	31,799
• Available for sale	27,610	22,398
• Fair value option	11	11
• Loans and receivables	343	9,390
Contingent liabilities	10,202	11,489
Irrevocable credit commitments	21,468	24,065
Total	243,243	263,260

* Excluding equity instruments.

Financial assets that are neither past due nor impaired

31 Dec 2015 in %	Maximum credit risk						
	Rating categories						Total
	0–7	8–11	12–17	18–21	Default categories	Unrated	
Cash reserves	0.9	0.0	–	–	–	0.0	0.9
• Loans and receivables	0.9	0.0	–	–	–	0.0	0.9
Loans and advances to banks	10.5	1.3	0.3	0.0	0.1	0.0	12.0
• Loans and receivables	10.5	1.3	0.3	0.0	0.1	0.0	12.0
• Fair value option	0.0	–	–	–	–	–	0.0
Loans and advances to customers	26.8	13.2	11.9	1.3	0.1	0.1	53.5
• Loans and receivables	26.6	13.2	11.8	1.3	0.1	0.1	53.2
• Fair value option	0.2	0.0	0.1	–	–	0.0	0.3
Assets held for trading	5.3	1.4	0.2	0.0	0.0	–	7.0
• Held for trading	5.3	1.4	0.2	0.0	0.0	–	7.0
Positive fair values from derivative financial instruments	0.6	0.0	–	–	–	–	0.6
• Held for trading	0.6	0.0	–	–	–	–	0.6
Financial investments	10.9	0.5	0.0	–	0.0	0.0	11.5
• Available for sale	10.9	0.4	0.0	–	0.0	0.0	11.3
• Fair value option	–	0.0	–	–	–	–	0.0
• Loans and receivables	0.1	0.1	0.0	–	–	–	0.1
Contingent liabilities	1.9	1.1	1.0	0.1	0.0	0.0	4.2
Irrevocable credit commitments	3.6	3.3	1.8	0.1	0.0	0.0	8.8
Total	60.6	20.9	15.2	1.6	0.0	0.1	98.4

31 Dec 2014 in %	Maximum credit risk						
	Rating categories						
	0–7	8–11	12–17	18–21	Default categories	Unrated	Total
Cash reserves	0.4	0.0	–	–	–	0.0	0.4
• Loans and receivables	0.4	0.0	–	–	–	0.0	0.4
Loans and advances to banks	10.9	2.4	0.5	0.0	0.0	0.0	13.8
• Loans and receivables	10.9	2.4	0.5	0.0	0.0	0.0	13.8
• Fair value option	0.0	–	–	–	–	–	0.0
Loans and advances to customers	22.7	13.0	9.8	1.5	0.0	1.7	48.6
• Loans and receivables	22.5	13.0	9.8	1.5	0.0	1.7	48.3
• Fair value option	0.2	0.0	0.0	0.0	0.0	0.1	0.3
Assets held for trading	6.7	1.9	0.3	0.0	0.0	–	9.0
• Held for trading	6.7	1.9	0.3	0.0	0.0	–	9.0
Positive fair values from derivative financial instruments	1.1	0.1	–	–	–	–	1.1
• Held for trading	1.1	0.1	–	–	–	–	1.1
Financial investments	11.7	0.3	0.1	0.0	–	0.0	12.1
• Available for sale	8.3	0.2	0.0	–	–	0.0	8.5
• Fair value option	–	0.0	–	–	–	–	0.0
• Loans and receivables	3.3	0.1	0.1	0.0	–	–	3.6
Contingent liabilities	2.2	1.1	1.0	0.1	0.0	0.0	4.4
Irrevocable credit commitments	4.9	2.7	1.3	0.1	0.0	0.0	9.1
Total	60.4	21.4	13.0	1.8	0.0	1.8	98.5

Financial assets that are past due but not impaired*

31 Dec 2015 EUR million	Maximum credit risk					Fair value collateral
	Time past due					
	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total	
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	–	–	0.5	3.4	3.9	0.7
• Loans and receivables	–	–	0.5	3.4	3.9	0.7
Loans and advances to customers	43.8	283.0	74.5	24.4	425.7	30.6
• Loans and receivables	43.8	283.0	74.5	24.4	425.7	30.6
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	111.7	–	–	–	111.7	–
• Available for sale	111.7	–	–	–	111.7	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	–	–	–	–	–	–
Total	155.5	283.0	75.0	27.8	541.4	31.3
Fair value collateral	3.9	4.7	15.2	1.8	25.7	

31 Dec 2014	Maximum credit risk					
	Time past due					Fair value collateral
	≤ 30 days	> 30 days to 3 months	> 3 months to 1 year	> 1 year	Total	
EUR million						
Cash reserves	–	–	–	–	–	–
Loans and advances to banks	0.0	–	1.2	4.0	5.3	–
• Loans and receivables	0.0	–	1.2	4.0	5.3	–
Loans and advances to customers	272.9	197.2	10.0	21.3	501.4	75.5
• Loans and receivables	272.9	197.2	10.0	21.3	501.4	75.5
Assets held for trading	–	–	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–	–	–
Financial investments	2.9	–	–	–	2.9	–
• Available for sale	2.9	–	–	–	2.9	–
Contingent liabilities	–	–	–	–	–	–
Irrevocable credit commitments	–	–	–	–	–	–
Total	275.8	197.2	11.3	25.3	509.6	75.5
Fair value collateral	51.6	9.3	3.1	11.5	75.5	

* The portfolio reflects the creation of portfolio loan loss provisions: “not impaired” in this context means “no specific loan loss provision was made”.

Financial assets that are impaired

EUR million	Maximum credit risk		Fair value collateral	
	31 Dec 2015	31 Dec 2014	31 Dec 2015	31 Dec 2014
Cash reserves	–	–	–	–
Loans and advances to banks	193.4	213.8	–	–
• Loans and receivables	193.4	213.8	–	–
Loans and advances to customers	2,999.7	3,239.5	1,025.3	1,235.9
• Loans and receivables	2,987.8	3,221.5	1,011.1	1,218.2
• Available for sale	12.0	18.0	14.2	17.7
Assets held for trading	–	–	–	–
Positive fair values from derivative financial instruments	–	–	–	–
Financial investments	0.0	1.7	–	–
• Available for sale	0.0	1.6	–	–
• Loans and receivables	–	0.0	–	–
Contingent liabilities	23.9	24.6	–	–
Irrevocable credit commitments	54.7	79.9	–	–
Total	3,271.8	3,559.4	1,025.3	1,235.9

Renegotiated credits

Forbearance exposures

31 Dec 2015 EUR million	Forbearance/deferrals	Impairments	Collateral/financial guarantees received
Loans and advances to banks	197.2	–96.8	0.0
Loans and advances to customers	4,724.9	–1,732.5	803.6
Financial investments	17.1	–0.7	0.0
Credit commitments	168.4	50.3	2.6
Total	5,107.6	–1,779.7	806.2

31 Dec 2014 EUR million	Forbearance/deferrals	Impairments	Collateral/financial guarantees received
Loans and advances to banks	0.0	0.0	0.0
Loans and advances to customers	5,228.2	–1,889.9	1,061.8
Financial investments	18.8	–0.8	0.0
Credit commitments	145.3	5.0	46.0
Total	5,392.3	–1,885.6	1,107.8

Collateral realisation

In accordance with IFRS 7.38, financial and non-financial assets that were acquired in the reporting period by taking possession of collateral must be disclosed separately. In financial year 2015, realised collateral in the amount of EUR 1 (FY 2014: EUR 1 million) was posted to the BayernLB Group's consolidated balance sheet. These assets comprise shares in a company which is expected to be deleted from the commercial register in 2016.

Portfolio overview pursuant to the Financial Stability Board

The Financial Stability Board, which was established by the supervisory authorities and governments of countries in which the world's leading financial centres are located, issued recommendations in 2008 on the disclosure of information on portfolios with elevated risk profiles. The greater transparency is intended to strengthen trust among financial market participants.

Portfolios with elevated risk profiles as defined by the Financial Stability Board contain transactions structured exclusively for customers, leveraged finance transactions and the indirect exposure to US monolines.

Customer transactions

The nominal volume of transactions structured for customers rose to a total of EUR 2.0 billion in the reporting period (FY 2014: EUR 1.7 billion).

Of this amount, EUR 2.0 billion (FY 2014: EUR 1.6 billion) involved transactions structured on behalf of BayernLB's target customers. Trade, leasing receivables and accounts receivable from target customers are financed via the Corelux S.A. ABCP programme, which exists solely for this purpose.

Only one transaction that is not related to target customers remains. The transaction, in the amount of EUR 45 million (FY 2014: EUR 45 million), is being wound down in the Restructuring Unit under close observation.

Monolines

BayernLB's indirect exposure to US monolines (insurance companies that specialise in hedging structured securities) rose to a nominal volume of EUR 109 million due solely to the exchange rate (31 December 2014: EUR 98 million). The rest of BayernLB's indirect credit exposure is scheduled for run-off and will shrink as transactions gradually mature.

With regard to its indirect exposure, the monolines are not direct borrowers but serve as guarantors. BayernLB always based its credit decision in these cases primarily on the credit standing of the actual borrower or issuer or on the financing structure. The monoline guarantee was viewed at the time the transaction was concluded only as an additional hedging instrument.

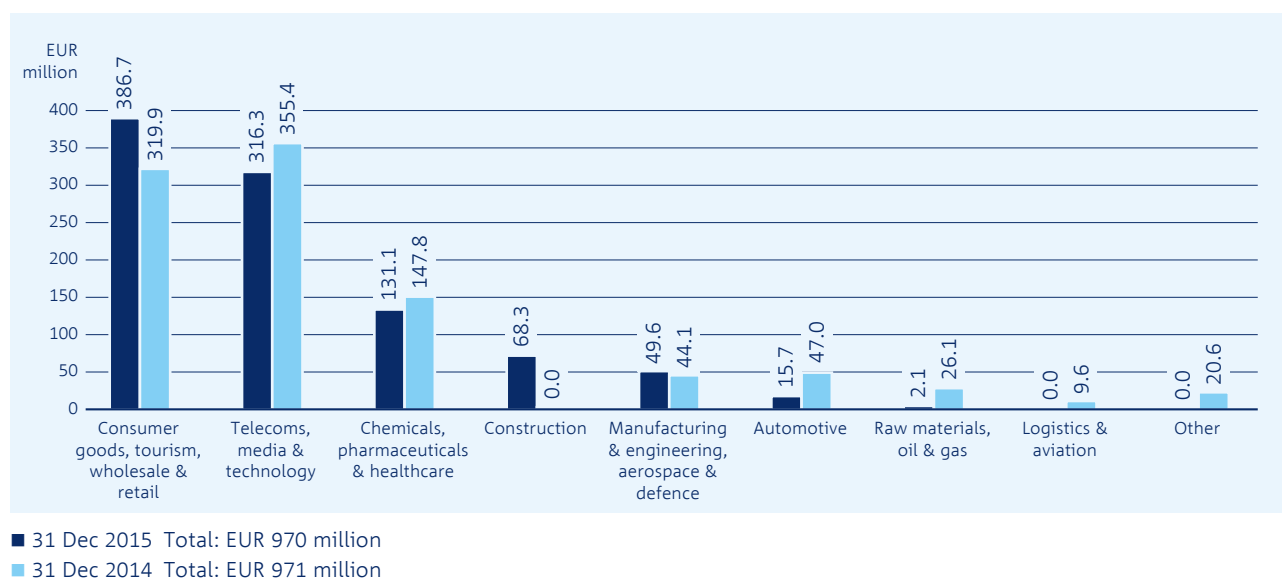
Leveraged finance

This includes leveraged buyouts (corporate acquisitions by financial investors) and corporate to corporate transactions (corporate acquisitions by strategic investors). As financing is normally on a non-recourse basis, repayments are mostly funded by the future cash flows of the acquired entity. Acquisition financing is typically highly leveraged, long dated (usually over five years), involves extensive covenants and collateral and a large number of contractual restrictions (e.g. on acquisitions, investments, distributions and additional debt).

Credit volumes within the BayernLB Group were mostly unchanged at EUR 970 million (FY 2014: EUR 971 million). The decrease in non-core business was offset by new transactions with target customers. Germany's share rose to 87 percent (FY 2014: 84 percent), while western Europe's share declined to 13 percent (FY 2014: 16 percent).

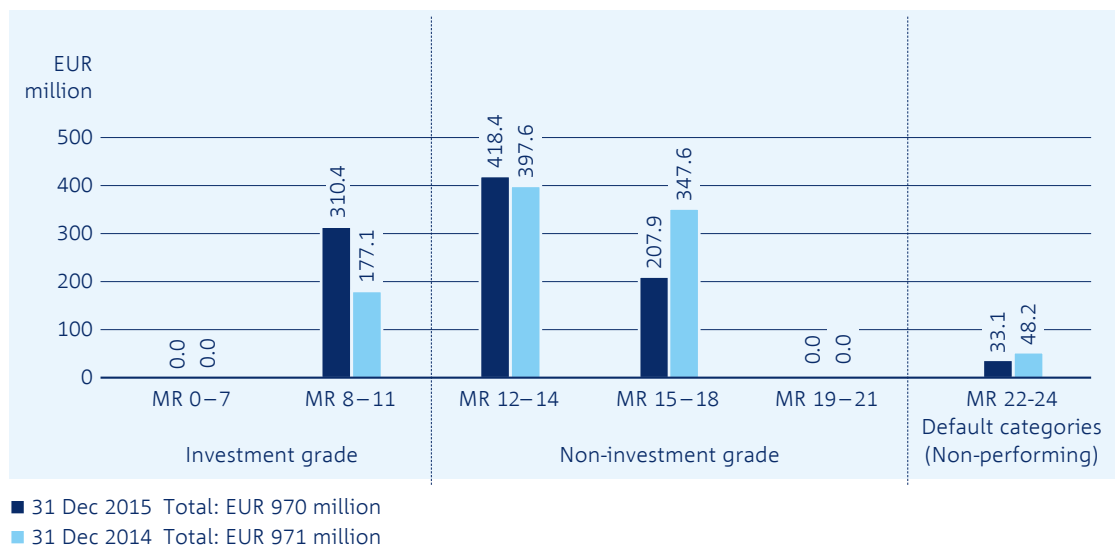
Leveraged finance transactions are solely at BayernLB and break down by sector and rating category as follows:

Gross credit volume by sector



The sector breakdown has been aligned with the structure used in the management approach. Accordingly, some sub-sectors have been merged together. Within the sectors, the rankings of the sub-sectors are largely unchanged on the previous year. The largest sub-segments in terms of volume were, as in the previous year, wholesale & retail at EUR 186 million (FY 2014: EUR 136 million), media at EUR 161 million (FY 2014: EUR 186 million) and technology at EUR 142 million (FY 2014: EUR 120 million).

Gross credit volume by rating category



Portfolio quality improved markedly over the reporting period. In addition to the good economic performance in Germany, this was due to the good quality of new business. The investment grade share of the portfolio rose to 32 percent (FY 2014: 18.2 percent). The proportion in master rating category MR 15–18 fell, however, significantly to 21.4 percent (FY 2014: 35.8 percent). The risk provision set aside for problem loans dropped to 2.0 percent (FY 2014: 2.3 percent).

Summary

This sub-portfolio was marked by a slightly higher volume in the customer transaction portfolio, higher quality leveraged finance transactions and a manageable indirect exposure to monolines.

Investment risk

Definition

Investment risk (shareholding risk) comprises the BayernLB Group's counterparty (default) risk arising from its shareholdings.

This risk entails a potential loss in value arising from the following:

- The provision of equity or equity-like financing (e.g. silent partner contributions), such as suspension of dividends, partial writedowns, losses on disposals, or reductions in hidden reserves
- Liability risks (e.g. letters of comfort) and/or profit and loss transfer agreements (e.g. assumption of losses)
- Capital contribution commitments

Group Risk Control is responsible for setting standards and reporting at portfolio level. BayernLB has an independent central unit with the authority to issue guidelines for all methods and processes relating to investment risk monitoring. Operational implementation of the risk management instruments is the responsibility of the business units concerned.

Risk Strategy

The target portfolio comprises stakes in companies that complement the business model, help to expand customer and market potential or support operating processes, and also miscellaneous investments. The Group's strategic subsidiaries are DKB, BayernInvest Kapitalverwaltungs-gesellschaft mbH and Real I.S. AG.

As part of the resizing of BayernLB, the disposal of non-core shareholdings is, however, being planned and, in some instances, sale negotiations are already under way.

Investment risks are handled in accordance with the Group Risk Strategy, which is derived from the Business Strategy. The Bayerische Landesbank Act, the Statutes and the Rules of Procedure of the BayernLB Board of Management set further conditions for the Group Risk Strategy.

Measuring and monitoring risk

A classification procedure for identifying and measuring risk with clear guidelines on the early detection of risks has been implemented for all investments held by BayernLB. Key factors in this regard are the maximum potential loss and early warning indicators.

A similar process applies for DKB. It is also built into the entire Group strategy, planning, management and monitoring process.

For CRR/CRD IV reporting purposes, investment risks are measured using the simple risk-weighted method unless they fall under the grandfathering method under article 495 para. 1 CRR.

Risk capital requirements for investment risk are measured in ICAAP using the PD/LGD method in accordance with CRR/CRD IV.

Risks from investments are reported to the Group Board of Management in the regular risk reporting process as well as in an annual investments report using the relevant procedures (classification, early warning). If early warning signals are triggered, decision-makers are notified without delay. Major shareholdings with difficulties are monitored in the intensive support or problem-loan processes and reported to the Board of Management on a quarterly basis. The investment report sets out in particular recommendations for action and the implementation status of measures already executed.

Where BayernLB provides both equity and debt capital, it examines any additional risks, particularly those arising from its status as a lender.

Summary

The changes in the investment portfolio during the year under review were in line with strategy and complied with the conditions set by the EU.

Market risk

Definition

Market risk is the risk of potential losses in value from changes in market prices (interest rates, credit spreads, exchange rates, equity and commodity prices) and other factors (correlations, volatility) that affect prices. Accordingly, BayernLB breaks down its market risks into general and specific interest rate risk, currency risk, equity price risk, commodity risk and volatility risk. Risks from pension liabilities are also shown under market risks.

Risk Strategy

The Risk Strategy sets out the strategic principles for handling market risks and prescribes the amount of economic capital to be made available for them. Market risks may only be taken on within approved limits and are regularly measured and monitored.

The amount of economic capital provided for market risks is broken down by risk unit and individual market risk type and implemented in the form of value-at-risk (VaR) limits.

In accordance with the current Business and Risk Strategy, market risks are normally only assumed as a result of transactions on behalf of customers, including related hedge transactions. Moreover, market risks may also result from transactions for liquidity management, asset/liability management or the non-core businesses that are being wound down.

New products and products for new markets are subjected to a stringent new product process.

Risk measurement

For operational monitoring and management, the calculation of market risk normally uses a VaR procedure based on a one-day holding period and a confidence level of 99 percent. BayernLB and DKB both use the historical simulation approach. Customer deposits at DKB are modelled using the dynamic replication method.

In 2015, the following changes were made to the methodology for calculating pension risks: Starting from the daily report on 8 May 2015, the pension risks for risk-bearing capacity are calculated fully using a scenario-based method for all risk types with general interest rate risks from pension obligations no longer shown in the VaR report. One reason for this change is that, besides interest rate risks, credit spread risks and biometric and economic factors play a role in pension risks. In addition, the conservative scaling of operative 1-day VaR values over a holding period of 250 days simulated potential losses for the risk-bearing capacity which did not adequately show the interest rate risks from pension obligations.

Market risk measurement methods are constantly checked for the quality of their forecasting. In the backtesting process, the risk forecasts are compared with actual outcomes (gains or losses). As at 31 December 2015, the forecasting quality of the market risk measurement methods used at BayernLB, in accordance with the Basel traffic light approach, was classified as good. At DKB, an add-on factor for risk-bearing capacity is used because the forecasting quality of the backtesting for total VaR as at 31 December 2015 was only satisfactory.

The outcomes of value-at-risk based risk measurement must always be looked at in the context of the assumptions used in the model (mainly the confidence level selected, a one-day holding period, and the use of historical data over a period of around one year to forecast future events). For this reason, stress tests are conducted monthly on the risk positions at each Group institution simulating extraordinary changes in market prices and then the potential risks are analysed. Additional stress tests are used at the individual bank level. Stress tests take into account all relevant types of market risk, are regularly reviewed, and their parameters modified if necessary.

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for trading transactions.

For risk-bearing capacity one-day VaR is scaled to a one-year horizon, i.e. it is assumed risk positions are closed or hedged over a one-year time horizon. This ensures particular account is taken of market liquidity risk, i.e. of risk positions being closed on terms that are less favourable than had been expected. Valuation discounts for market liquidity-relevant factors (e.g. bid-ask spreads), which are relevant for accounting and reporting, are also modelled.

Risk monitoring

In the BayernLB Group, several tools are used to monitor and limit market risks, including VaR and related VaR limits, risk sensitivity and stress tests, all of which form part of the mix in the assessment of risk-bearing capacity to various degrees.

Subsidiaries are responsible for monitoring their own market risks internally with their own risk-monitoring units. Their market risks are included in BayernLB's daily risk reports. Market risks are monitored and reported independently of Trading. This is done daily at BayernLB for the trading book and the banking book, and at DKB daily for the A custody account and weekly for the banking book. Besides implementing regulatory requirements, the unit monitoring trading activities ensures risk transparency and regular reporting to those responsible for positions. If a VaR limit is breached, appropriate measures are taken as part of an escalation procedure.

Interest rate risk in the banking book forms part of the regular risk calculation and monitoring processes of the risk-controlling units. Contractual or legal termination rights are modelled as options and incorporated into the risk calculation.

In addition, an interest rate shock scenario of ± 200 basis points is also calculated for the interest rate risk in the banking book at individual entity level and Group-wide. As at 31 December 2015, the calculated change in present value relative to liable capital at both BayernLB and the BayernLB Group was well below the 20 percent limit set in BaFin's criterion for "institutions with elevated interest rate risk".

As part of Group risk reporting the Board of Management is informed monthly and the Risk Committee of the Supervisory Board is informed quarterly about the market risk situation.

Current situation

At BayernLB Group, the main factor affecting VaR is general interest rate risk. All other types of risk play a much less significant role by comparison.

VaR contribution by risk type (confidence level 99 percent)

EUR million	31 Dec 2015	31 Dec 2014	1 Jan 2015 to 31 Dec 2015		
			Average	Maximum	Minimum
General interest rate VaR	38.0	55.1	52.0	106.0	30.9
incl. pension oblig. (to 7 Jul. 2015	--	55.1	82.0	106.0	55.3
not incl. pension oblig. (from 8 Jul. 2015)	38.0	40.0**	36.3	46.2	30.9
Specific interest rate VaR (credit spreads)*	11.6	6.2	9.5	12.0	6.2
Currency VaR	3.9	2.0	3.6	9.8	1.0
Equities VaR	5.6	4.5	4.6	5.9	3.2
Commodities VaR	1.0	0.6	0.9	1.2	0.6
Volatility VaR	3.2	0.7	1.5	3.7	0.3
Total VaR*	45.8	58.2	58.4	111.2	36.9
incl. pension oblig. (to 7 Jul. 2015	--	58.2	86.8	111.2	59.5
not incl. pension oblig. (from 8 Jul. 2015)	45.8	40.5**	43.6	54.1	36.9

* In addition to calculating VaR, premiums for credit rating risk from money market transactions and OTC derivatives at BayernLB are also taken into account when calculating the risk capital requirement for the risk-bearing capacity.

** The VaR contribution as at 31 December 2014 was calculated without pension obligations for comparison purposes.

General interest rate risk fell significantly compared to 31 December 2014 as a result of changes to the methodology for calculating risks from pension obligations. Specific interest rate risk rose as a result of building up positions (purchases of European financial assets and sovereign debt and also US Treasuries as part of liquidity management).

Currency risk increased due to a CHF option position to hedge currency risks on the balance sheet, which also accounts for part of the rise in volatility risk. There was also increased use of swaptions to manage interest rate risk in the banking book.

Equity risk rose mostly at DKB and was due to higher market volatility.

Summary

General interest rate risk fell significantly overall as a result of changes to the methodology for calculating risks from pension obligations, while all other risk types rose slightly mainly due to the build up of positions.

Liquidity risk

Definition

The BayernLB Group defines liquidity risk as the risk of not being able to meet payment obligations in full or as and when they fall due (liquidity risk in the narrow sense). It also considers it to be the risk – for example, in a liquidity crunch – that funding cannot be obtained at all or only at above-market rates (refinancing risk) or that assets can only be sold at increased discounts to their market prices. This section looks first at liquidity risk in the narrow sense before moving on to refinancing risk, by indicating changes in the funding mix.

Risk Strategy

Further information on the risk strategy for managing liquidity risks is given above in the section “Liquidity management”.

Risk measurement

The BayernLB Group produces daily liquidity overviews to measure, analyse, monitor and report on liquidity risk. These project and compare to an accuracy of one day the liquidity gaps, i.e. the net deterministic and non-deterministic future payment inflows and outflows, and the realisable liquidity counterbalancing capacity.

The liquidity counterbalancing capacity quantifies in terms of volumes and timing the ability of the BayernLB Group to obtain cash at the earliest opportunity at market rates and in accordance with supervisory restrictions. It indicates the ability to cover liquidity gaps and therefore all cash flow-based liquidity risks. The most important components of liquidity counterbalancing capacity are the holdings of highly liquid securities eligible as collateral at the central bank and other collateral eligible for discounting at the central bank.

Liquidity risks from an off-balance sheet conduit are fully incorporated. Model assumptions are regularly validated using backtesting and adjusted.

To be adequately prepared for various risk situations, the BayernLB Group also calculates and limits its liquidity on the basis of the management scenario and several stress scenarios (systemic and idiosyncratic stress scenarios, and a combination of both).

BayernLB regularly analyses the sensitivity of the liquidity risk profile to a series of extreme hypothetical stress scenarios. A check is also carried out to identify conditions that represent inverse scenarios which could jeopardise normal operations at the BayernLB Group.

Potential concentrations in the liquidity situation and refinancing structure are constantly analysed and monitored. There were no significant concentrations during the year under review.

At BayernLB level, a net cash flow figure for the next 180 days is calculated daily for the public Pfandbrief register and the mortgage register. In accordance with section 27 of the Pfandbrief Act (Pfandbriefgesetz), the results and other indicators with respect to the register of cover are reported quarterly to the Board of Management. The balance of cumulative cash flows and available liquidity indicated there was surplus liquidity throughout 2015.

Risk management

To safeguard solvency even in times of crisis, the BayernLB Group has a suitable portfolio of liquidity reserves comprising highly liquid securities, central bank facilities and economic capital in the registers of cover. The liquid funds that these can generate serve to cover unplanned payment obligations, even in a stress scenario.

The medium to long-term structure of the liquidity is managed over all maturities. To safeguard the solvency of the BayernLB Group and its ability to refinance, suitable tools are used to create a refinancing structure that is balanced in terms of maturities, instruments and currencies. The key management tool is the Group-wide refinancing planning, which is regularly adjusted in line with the current liquidity situation.

The liquidity transfer price system set up in BayernLB is another instrument to efficiently manage liquidity risks. This ensures that all relevant liquidity risks, costs and benefits are matched up internally to avoid misallocations in liquidity management.

The quality of assets in the register of cover for Pfandbriefs is set by law. This, combined with matching currencies and maturities, ensures that Pfandbriefs issued by BayernLB meet high standards. BayernLB's Collateral Management makes sure that standards are maintained. This ensures that BayernLB has an ongoing ability to issue bonds in the Pfandbrief segment.

Operational liquidity management (observation period of up to one year) also ensures compliance with the supervisory requirements of the Liquidity Ordinance (Liquiditätsverordnung (LiqV)). In the year under review, BayernLB had a liquidity ratio of between 1.85 and 2.29 (FY 2014: between 1.73 and 2.23). The supervisory requirement that there always be sufficient available cash to cover callable payment obligations over the same period (ratio always in excess of 1.0) was therefore observed at all times.

The Group also met the Liquidity Coverage Ratio (LCR) at all times in the reporting year through its integrated management of operational liquidity. The BayernLB Group benefited from the fact that it had already carried out measures to achieve an adequate LCR before the legal requirements came into force. The LCR is calculated by comparing highly liquid assets with the net cash outflows for the following 30 days. In the reporting year there was a regulatory requirement that highly liquid assets cover at least 60 percent of the net cash outflow. Over the next few years, the ratio will be gradually increased to 100 percent.

The strategic subsidiary DKB has measures in place to ensure it complies with its specific Liquidity Coverage Ratio. The key requirements were complied with during the period under review.

Risk monitoring

Group Risk Control independently monitors liquidity risks and calculates and limits ratios derived from the daily scenario-based liquidity overview. The risk appetite set by the BayernLB Group limits operational and structural liquidity surpluses separately by currency and across all currencies combined. The available liquidity thus calculated is a key parameter for the amount the managing units can use each day. To support the limiting of liquidity risks, BayernLB has established uniform escalation thresholds in the Group which are likewise monitored daily.

In addition to observing the maximum utilisation of available liquidity, ensuring that the time-to-wall figures in the stress scenarios are sufficient is key to complying with the liquidity risk limits. Time-to-wall shows the earliest point at which the forecast liquidity requirement ceases to be met by the liquidity counterbalancing capacity. The time-to-wall to be observed every day and the scenario-dependant minimum liquidity surplus limits to be observed at the BayernLB Group are set in the Group Risk Strategy.

In 2015 the limitation of liquidity risks once again ensured the BayernLB Group was solvent and able to fund itself at all times and made a valuable contribution to optimising the management of short-term and structural liquidity.

The BayernLB Group will continue to adapt the monitoring of liquidity risk as market circumstances and regulatory requirements change so as to optimise liquidity management. To this end, BayernLB has set up an early warning system for risks and regularly conducts backtesting and validation processes within the Group.

The liquidity overviews, minimum available room to the limit and other relevant ratios form part of the risk reports submitted regularly to the Board of Management, the Asset Liability Committee (ALCO), the Liquidity Management Committee (LMC) and the responsible managing units.

Current situation

The liquidity situation as at 31 December 2015 is shown based on both IFRS 7.39 maturity structures and an economic approach. In accordance with IFRS 7.39, the breakdown of financial liabilities by contractual maturity structure is shown below:

Contractual maturities of financial liabilities*

EUR million	up to 1 month	up to 3 months	up to 1 year	up to 5 years
31 Dec 2015				
• Financial liabilities	57,409	70,766	86,620	126,137
• Liabilities from derivatives	–21	107	102	818
Total	57,388	70,873	86,722	126,955
31 Dec 2014				
• Financial liabilities	47,975	63,935	93,190	136,425
• Liabilities from derivatives	–42	–187	–307	342
Total	47,933	63,747	92,883	136,767

* The contractual cash flows reported are not discounted and include interest payments. Thus they may differ from the carrying amounts on the balance sheet.

Liabilities in the up to one year and up to five years categories decreased compared to the previous year as government-guaranteed liabilities matured by the end of 2015. The BayernLB Group's open irrevocable commitments decreased to EUR 21.5 billion (FY 2014: EUR 24.1 billion). The volume of contingent liabilities from guarantees and indemnity agreements fell to EUR 10.2 billion (FY 2014: EUR 11.5 billion). However, in contrast to the economic approach used below, call probabilities have not been factored into these volumes.

Liquidity overviews are compiled for the purpose of managing and monitoring liquidity risks. This involves calculating the liquidity surplus by subtracting in each maturity band the cumulative liquidity gaps from the realisable liquidity counterbalancing capacity. Expected economic cash flows from non-deterministic products are based partly on modelling assumptions.

The BayernLB Group management scenario showed the following results as at 31 December 2015 compared to 31 December 2014:

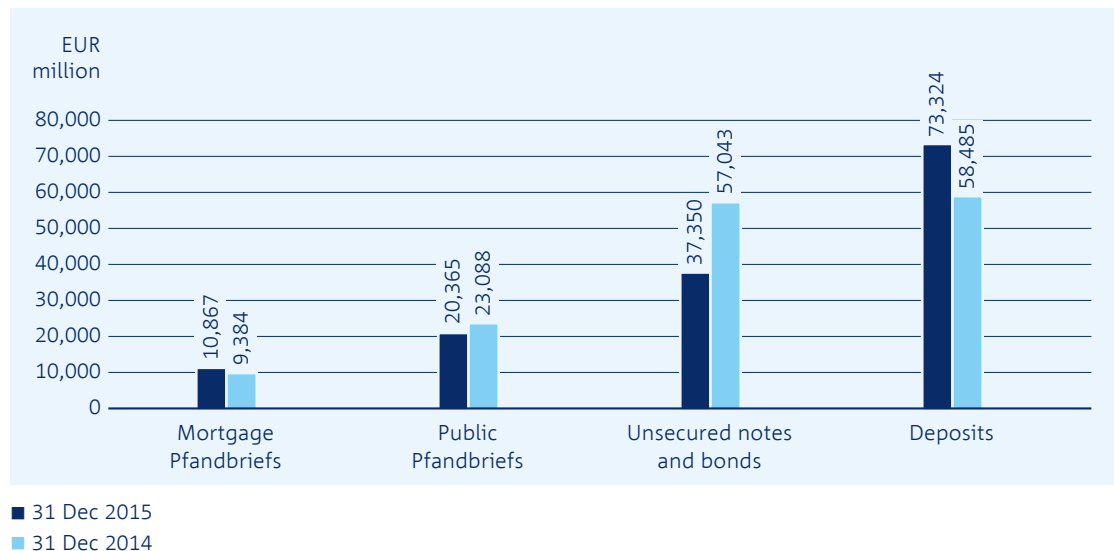
31 Dec 2015	up to	up to	up to	up to
Cumulative figures in EUR million	1 month	3 months	1 year	5 years
Liquidity surplus	16,674	17,070	10,153	11,265
arising from				
• liquidity counterbalancing capacity	36,472	40,483	33,357	13,374
less				
• liquidity gap	19,798	23,412	23,204	2,110
31 Dec 2014	up to	up to	up to	up to
Cumulative figures in EUR million	1 month	3 months	1 year	5 years
Liquidity surplus	19,393	16,895	6,321	4,121
arising from				
• liquidity counterbalancing capacity	38,409	36,278	27,594	9,968
less				
• liquidity gap	19,016	19,383	21,273	5,847

In the first half of 2015, inflows from margin payments were switched to a market-value based model as part of the revisions to the liquidity risk scenarios (modified in line with IAS 8.32 – see note 2).

The changes in liquidity overviews between 31 December 2014 and 31 December 2015 continued to be marked by the focus on core business areas. By implementing timely measures to counter the liquidity effects from the government-guaranteed issues expiring in 2015, the BayernLB Group not only offset, but actually improved its liquidity surplus, particularly in maturity bands of up to one year and up to five years.

In 2015 the Group subsidiary DKB built on its already strong position in the retail business. The growth in customer deposits also boosted the liquidity surplus across the BayernLB Group. The liquidity surplus as at 31 December 2015 indicates that the BayernLB Group's liquidity is good. The change in the refinancing structure of BayernLB Group for 2015 compared to the previous year was as follows:

Refinancing structure*



* including registered securities and Schuldschein note loans

2015 was marked by a targeted reduction in total assets and a high volume of maturing government-guaranteed issues.

As the maturing liabilities almost completely matched securities, loans and other assets falling due, refinancing BayernLB's volumes proved not to be quite so much of a challenge as in the previous year. The Bank's refinancing management focused again on improving the quality of the refinancing structure and optimising the funding mix, while complying with supplementary conditions arising under supervisory requirements and ratings (loss given failure analysis). The qualitative improvements included refining the process for differentiating unsecured funding curves by investor group to increase attractiveness to a broad selection of investors and continuously expanding the deposit base in unsecured funding.

ECB policy aimed at creating the conditions for cheap money helped lower German banks' refinancing costs, particularly on the secured capital market.

Pfandbriefs are viewed internationally as a safe haven not just on account of the tight rules of the German Pfandbrief Act, but also because their cover pool assets are concentrated in Germany. Demand was further stoked not just by regular purchases under the ECB bond buying programme, but also by regulatory preference in respect of LCR, risk weightings and bail-in eligibility. BayernLB's ability to regularly issue Pfandbriefs on the market is ensured by the steady generation of cover pool assets through its business model, e.g. from commercial real estate customers, Pfandbrief pooling with the Bavarian savings banks or transfers of cover assets from BayernLabo. The most recent flip side of low money market rates, which are close to those of the deposit facility, was the negative interest rates on deposits at the ECB.

In 2015 rating agencies Moody's and Fitch rated BayernLB's Pfandbriefs as AAA and its unsecured issues at A3 outlook negative and A- outlook stable respectively. On 26 January 2016, Moody's raised BayernLB's long-term issuer rating one notch from A3 to A2. The outlook was upgraded from negative to stable.

In 2015 DKB once again successfully pursued its long-term refinancing strategy of managing and maintaining a stable depositor base, while safeguarding its presence on the capital market through secured benchmark bonds. Although deposit conditions steadily deteriorated over the course of the year in parallel with the developments on the money market, it grew its deposit base by around EUR 2.5 billion, mostly in granular retail deposits. DKB took advantage of the attractive capital market environment to generate more long-term funds (around EUR 1.7 billion) exclusively through the issue of Pfandbriefs.

BayernLabo did not need all the refinancing it had planned because major municipal and public-sector borrowers did not have to finance their revenue gaps due to a healthy economy and accompanying rise in tax receipts. No mutual refinancing was carried out in the BayernLB Group in 2015.

Besides the familiar geopolitical risks, the narrative on money and capital markets in 2016 will be dictated by central bank policy. The low oil price will prove a major hurdle for the ECB's inflation target. The divergence in monetary policy between the Fed on the one hand and the ECB and central banks of other developed countries on the other will make its mark most acutely on the structure of curves, spreads and currency exchange rates. All in all BayernLB Research does not expect capital markets in 2016 to perform all that differently from how they did in 2015, i.e. it expects comparatively small changes in yields along with high volatility.

In the coming years liquidity management and monitoring at BayernLB will continue to revolve around the refinancing options available and focus on ensuring liquidity reserves are always adequate, even in stress situations.

As well as actively managing liquidity reserves, the management of supervisory and economic liquidity risk at BayernLB will continue to be built around a broadly-diversified refinancing structure, supported by a reliable base of domestic investors and retail customer deposits at its DKB subsidiary.

Summary

Thanks to its forward-looking liquidity management, the BayernLB Group had good liquidity throughout the period under review.

Operational risk

Definition

In line with the regulatory definition in CRR, the BayernLB Group defines operational risk (OpRisk) as the risk of loss resulting from inadequate or failed internal processes, people and systems, or from external events. This includes legal risks.

Legal risks are risks of loss from non-compliance with legal provisions and rulings due to ignorance, lack of diligence in applying the respective law or delays in reacting to changes in the legal framework. Legal risks do not include the risk of loss from changes in the legal framework that could make BayernLB's future business activities more difficult.

Risk Strategy

The treatment of operational risks is set out in the Risk Strategy, operating instructions and an OpRisk handbook. The strategic objective is to minimise or avoid risk in such a way that the costs of doing so do not exceed the risk of loss from operational risks. This requires operational risks to be identified and assessed as completely as possible. The risk strategy sets the own funds backing for operational risks in risk-bearing capacity (ICAAP).

Risk measurement

Since 31 January 2015, the operational risk for the calculation of risk-bearing capacity has been quantified using the risk-sensitive operational value at risk (OpVaR) calculation. The calculation is based on losses arising at BayernLB and DKB, external losses collected by a data consortium and scenario analyses (potential losses) of BayernLB and DKB. It includes losses from IT and legal risks. The calculation is based on a loss distribution approach. A confidence level of 99.95 percent is used to calculate the OpVaR in the risk-bearing capacity. The key model assumptions and parameters used in the model are validated once a year. As at 31 December 2015 the risk capital requirement was EUR 488 million.

The standard approach is used at BayernLB and DKB to calculate the regulatory capital backing for operational risks.

Risk management and monitoring

Operational risk is managed and monitored both centrally in the Group Risk Control division and locally in the individual business areas and central areas. The Group Risk Control division has the authority to establish guidelines for all methods, processes and systems. Responsibility for OpRisk management resides with the business areas and central areas. DKB manages its operational risk through its own risk-controlling units; relevant investments are included in the loss reporting procedure for the BayernLB Group. When it comes to monitoring operational risks both the BayernLB Group loss data and external loss data are taken into consideration, via the OpRisk data consortium DakOR and the ÖffSchOR loss database for publicly known OpRisk losses. Other risk management instruments such as scenario analysis are used, which go beyond pure quantification of own funds backing and stress scenarios. The stress scenarios are an integral part of the cross-risk type stress scenarios in ICAAP. Operational risk management is rounded off by measures management.

Reporting

Operational risk at the BayernLB Group is reported to the Board of Management every quarter as part of the regular reporting on overall risk and on an ad-hoc basis as required. The operational risk loss situation and trends and the risk-bearing capacity and stress analyses (ICAAP) form a

major part of the regular reporting. This ensures that operational risks are systematically included in stress analyses and the monitoring of risk-bearing capacity across all types of risk and integrated into the overall management of risk and the Risk Strategy.

Business continuity management

Business Continuity Management (BCM) is used at the BayernLB Group to manage risks to the continuation of business operations and deal with crisis situations. BCM establishes core procedures for continuing/restoring operations and has an integrated emergency/crisis management procedure for handling events that could have a sustained negative impact on the Bank's activities and resources.

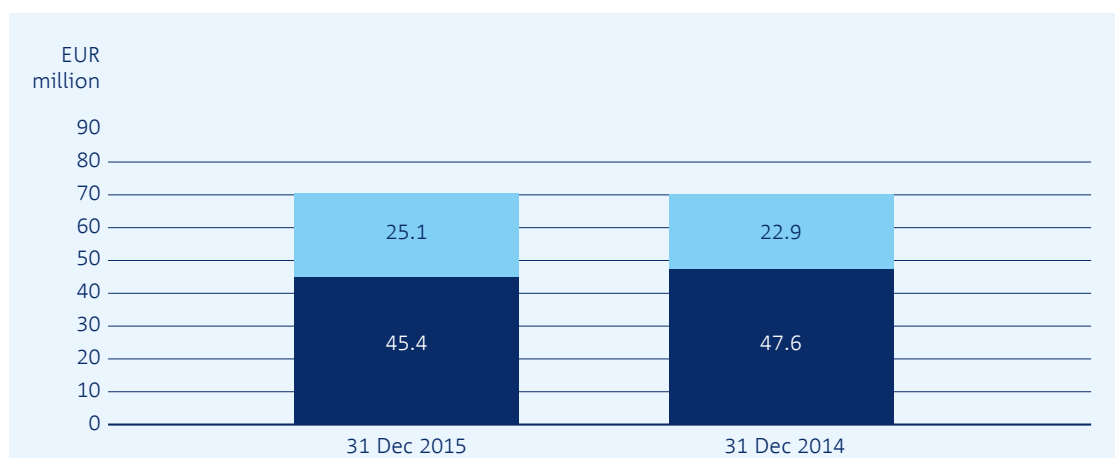
BCM is embedded in the Group Risk Strategy and the Data Security Principles.

The Group Risk Strategy contains the requirements for BCM, which the Group companies flesh out in their BCM strategies, making allowance for the requirements of supervisory law. The requirements include identifying time-critical activities and processes and specifying business continuity and restart procedures to protect these. They also cover regular testing of the efficiency and suitability of the measures defined. Care is taken to ensure that the interfaces between disruption, emergency and crisis management are clearly defined and that clear escalation and de-escalation processes are in place. As a key component of BCM, emergency planning features in the Data Security Principles.

Current situation

The graph below shows the changes in operational risk losses recorded at the BayernLB Group in 2015 compared to 2014. The losses from the now sold MKB (EUR 4.7 million) and Banque LBLux S.A. in Liquidation (EUR 0.1 million) as at 31 December 2014 are no longer shown.

Losses by Group unit



31 Dec 2015 Total: EUR 70.5 million

31 Dec 2014 Total: EUR 70.5 million

■ BayernLB ■ DKB

BayernLB's losses in the 2015 consolidated financial statements mainly relate to risks from the ongoing period of low interest rates as these may result in negative interest rates in certain transactions with customers that have not been contractually agreed.

The DKB Group's risk profile is mainly affected by its internet-based business model for retail customers under which processes and transactions are done online. The main sources of operational risks are: the availability of IT systems to permit trouble-free processing of all transactions, a potential crash of the Bank's internet portal caused by external agents, the need to protect data from unauthorised access, account opening and credit fraud using falsified documentation and fraud through cashless means of payment. In addition, recent consumer protection rulings regarding the rights of retail customers have sharply increased operational risks, leading in particular to greater legal risks. Losses from operational risks in 2015 were slightly higher than the year before. The main reasons for the increase in OpRisk losses were consumer protection rulings ordering the repayment of processing fees and the handling of cancellation policies that were incorrectly drawn up. In the reporting year EUR 1.8 million was spent to deal with these issues, and a total of EUR 13.8 million was set aside as provisions for court and litigation costs.

Summary

The amount of operational risk losses at the BayernLB Group in 2015 was in line with expectations.

Summary and outlook

All in all the BayernLB Group had a stable risk profile in financial year 2015.

The BayernLB Group had adequate risk-bearing capacity in the financial year and as at 31 December 2015. The stress scenarios conducted also confirm that adequate capital is held. In addition, BayernLB has a good supply of liquidity on hand. Risk provisions take appropriate account of known risks. Regulatory solvency requirements were met. Own funds available to cover risks amounted to EUR 12.2 billion. For more details please see the section "Banking supervisory ratios under CRR/CRD IV for the BayernLB Group" in the management report.

The risk management and controlling system at the BayernLB Group has appropriate processes to ensure compliance with regulatory requirements while managing risks from an economic viewpoint.



BayernLB Group's consolidated financial statements

114	Statement of comprehensive income
116	Balance sheet
118	Statement of changes in equity
120	Cash flow statement
124	Notes
227	Responsibility statement by the Board of Management
228	Auditor's Report
229	Country by Country Reporting

Statement of comprehensive income

Income statement

EUR million	Notes		1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
• Interest income		6,459		7,253
• Interest expenses		–4,847		–5,582
Net interest income	(27)		1,612	1,671
Risk provisions in the credit business	(28)		–264	–1,498
Net interest income after risk provisions			1,348	173
• Commission income		643		630
• Commission expenses		–386		–381
Net commission income	(29)		258	249
Gains or losses on fair value measurement	(30)		–62	–25
Gains or losses on hedge accounting	(31)		–24	–70
Gains or losses on financial investments	(32)		286	419
Administrative expenses	(33)		–1,168	–1,171
Expenses for the bank levy and deposit guarantee scheme	(34)		–90	–4
Other income and expenses	(35)		102	114
Gains or losses on restructuring	(36)		–10	–33
Profit/loss before taxes			640	–348
Income taxes	(37)		–150	99
Gains or losses on continuing operations			490	–249
Gains or losses on discontinued operations	(38)		–	–1,070
Profit/loss after taxes			490	–1,320
Profit/loss attributable to non-controlling interests			–1	–
Consolidated profit/loss			488	–1,320

Rounding differences may occur in the tables.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Statement of comprehensive income

EUR million	Notes	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
Profit/loss after taxes as per the income statement		490	–1,320
Components of other comprehensive income temporarily not recognised in profit or loss			
• Changes in the revaluation surplus	(61)	–43	489
– <i>change in measurement</i>		35	618
– <i>reclassification adjustment due to realised gains and losses</i>		–170	34
Change not including deferred taxes		–135	652
Change in deferred taxes		92	–163
• Currency-related changes	(61)	–8	102
– <i>change in measurement</i>		–8	–9
– <i>reclassification adjustment due to realised gains and losses</i>		–	112
Change not including deferred taxes		–8	102
Change in deferred taxes		–	–
Components of other comprehensive income permanently not recognised in profit or loss			
• Changes due to remeasurement of defined benefit plans	(61)	–26	–732
– <i>change in measurement</i>		80	–860
Change not including deferred taxes		80	–860
Change in deferred taxes		–106	128
Other comprehensive income after taxes		–77	–141
Total comprehensive income recognised and not recognised in profit or loss		413	–1,461
• attributable:			
– to BayernLB shareholders		412	–1,464
– to non-controlling interests		1	3
• Total comprehensive income attributable to BayernLB shareholders:			
– from continuing operations		412	–393
– from discontinued operations		–	–1,070

Rounding differences may occur in the tables.

Balance sheet

Assets

EUR million	Notes	31 Dec 2015	31 Dec 2014
Cash reserves	(7, 39)	2,246	1,041
Loans and advances to banks	(8, 40)	29,423	37,091
Loans and advances to customers	(8, 41)	135,812	134,017
Risk provisions	(9, 42)	–2,746	–3,039
Portfolio hedge adjustment assets	(10)	1,145	1,602
Assets held for trading	(11, 43)	17,342	24,048
Positive fair values from derivative financial instruments (hedge accounting)	(12, 44)	1,527	2,968
Financial investments	(13, 45)	28,852	32,650
Investment property	(14, 46)	35	37
Property, plant and equipment	(14, 47)	351	360
Intangible assets	(15, 48)	106	114
Current tax assets	(25, 49)	144	74
Deferred tax assets	(25, 49)	331	314
Non-current assets or disposal groups classified as held for sale	(16, 50)	205	80
Other assets	(17, 51)	938	767
Total assets		215,711	232,124

Rounding differences may occur in the tables.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Liabilities

EUR million	Notes	31 Dec 2015	31 Dec 2014
Liabilities to banks	(18, 52)	60,360	64,138
Liabilities to customers	(18, 53)	86,030	81,635
Securitised liabilities	(18, 54)	34,840	44,285
Liabilities held for trading	(19, 55)	12,290	17,567
Negative fair values from derivative financial instruments (hedge accounting)	(20, 56)	1,354	2,780
Provisions	(21, 57)	4,300	4,360
Current tax liabilities	(25, 58)	217	175
Deferred tax liabilities	(25, 58)	4	28
Other liabilities	(22, 59)	532	646
Subordinated capital	(23, 60)	4,719	4,722
Equity	(61)	11,063	11,789
• Equity excluding non-controlling interests		11,049	11,789
– subscribed capital		4,714	5,525
– compound instruments (equity component)	(23)	92	143
– capital surplus		2,182	2,356
– retained earnings		3,653	3,305
– revaluation surplus		409	452
– foreign currency translation reserve		–	8
– net retained profits/net accumulated losses		–	–
• Profit/loss attributable to non-controlling interests		14	–
Total liabilities		215,711	232,124

Rounding differences may occur in the tables.

Statement of changes in equity

	Parent								Non-controlling interests	
EUR million	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 1 Jan 2014	6,846	145	3,893	4,102	−37	−92	−	14,857	30	14,886
Changes in the revaluation surplus					489			489		489
Currency-related changes						99		99	3	102
Changes due to remeasurement of defined benefit plans				−732				−732		−732
Other comprehensive income				−732	489	99		−144	3	−141
Consolidated profit/loss							−1,320	−1,320		−1,320
Total comprehensive income				−732	489	99	−1,320	−1,464	3	−1,461
Transactions with owners				−789				−789		−789
Capital increase/capital decrease	−832	−1						−833		−833
Changes in the scope of consolidation and Other	−489	−1		18				−472	−32	−505
Allocations to/withdrawals from reserves			−1,536	706			1,320	489		489
Withdrawals from compound instruments (equity component)								−		−
Distributions on silent partner contributions, profit participation rights and specific-purpose capital								−		−
Distribution of profits								−		−
As at 31 Dec 2014	5,525	143	2,356	3,305	452	8	−	11,789	−	11,789

Rounding differences may occur in the tables.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

	Parent								Non-controlling interests	
EUR million	Subscribed capital	Compound instruments (equity component)	Capital surplus	Retained earnings	Revaluation surplus	Currency translation reserve	Consolidated profit/loss	Equity before non-controlling interests		Consolidated equity
As at 1 Jan 2015	5,525	143	2,356	3,305	452	8	–	11,789	–	11,789
Changes in the revaluation surplus					–43			–43		–43
Currency-related changes						–8		–8		–8
Changes due to remeasurement of defined benefit plans				–26				–26		–26
Other comprehensive income				–26	–43	–8		–77		–77
Consolidated profit/loss							488	488	1	490
Total comprehensive income				–26	–43	–8	488	412	1	413
Transactions with owners								–		–
Capital increase/capital decrease								–		–
Changes in the scope of consolidation and Other	–811	–52		201				–661	15	–647
Allocations to/withdrawals from reserves			–174	173			–488	–489		–489
Withdrawals from compound instruments (equity component)								–		–
Distributions on silent partner contributions, profit participation rights and specific-purpose capital								–		–
Distribution of profits								–	–2	–2
As at 31 Dec 2015	4,714	92	2,182	3,653	409	–	–	11,049	14	11,063

Rounding differences may occur in the tables.

Details on equity can be found in note 61.

Cash flow statement

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
Profit/loss after taxes	490	–1,320
Items in consolidated profit/loss not affecting the cash flow and carryforwards to cash flow from operating activities		
• Depreciation, impairment losses and reversals of impairment losses on receivables and fixed assets	381	1,808
• Changes to provisions	339	1,251
• Changes to other items not affecting cash flow	–580	–2,713
• Gains or losses on the sale of assets	–76	–62
• Other adjustments (net)	–1,171	–405
Sub-total	–617	–1,440
Changes to assets and liabilities from operating activities		
• Loans and advances		
– to banks	7,352	5,450
– to customers	–1,524	356
• Securities (unless financial investments) and derivatives	5,646	10,556
• Other assets from operating activities	–167	–110
• Liabilities		
– to banks	–3,888	–6,592
– to customers	4,175	–1,934
• Securitised liabilities	–9,474	–8,119
• Other liabilities from operating activities	–536	5
• Cash flows from hedging derivatives	509	286
Interest and dividends received	12,350	18,389
Interest paid	–11,166	–16,932
Income tax payments	–13	–74
Discontinued operations	–	–206
Cash flow from operating activities	2,646	–366

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
Proceeds from the sale of		
• financial investments	129	214
• interests in companies measured at equity	–	–
• investment property	18	–
• property, plant and equipment	1	63
• intangible assets	–	1
Payments for the acquisition of		
• financial investments	–12	–24
• interests in companies measured at equity	–	–17
• investment property	–	–1
• property, plant and equipment	–10	–50
• intangible assets	–14	–46
Effects from changes in the scope of consolidation		
• Proceeds from the sale of subsidiaries and other business units	–	–
• Payments for the acquisition of subsidiaries and other business units	–	–
• Discontinued operations	–	–9
Cash flow from investment activities	112	130
Cash inflows from allocations to equity	–	–
Disbursements to company owners and minority shareholders	–5	–834
Changes in cash from subordinated capital (net)	–1,338	–295
Cash outflow/inflow from an increase in non-controlling interests	–	–
Cash flow from financing activities	–1,342	–1,129
Cash and cash equivalents at end of previous period	1,041	3,160
+/- cash flow from operating activities	2,646	–366
+/- cash flow from investment activities	112	130
+/- cash flow from financing activities	–1,342	–1,129
+/- exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	–210	–754
Cash and cash equivalents at end of period	2,246	1,041

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 71.

of which cash flow from discontinued operations

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
Profit/loss after taxes	–	–219
Items in consolidated profit not affecting the cash flow and carryforwards to cash flow from operating activities		
• Depreciation, impairment losses and reversals of impairment losses on receivables and fixed assets	–	74
• Changes to provisions	–	149
• Changes to other items not affecting cash flow	–	287
• Gains or losses on the sale of assets	–	26
• Other adjustments (net)	–	–133
Sub-total	–	184
Changes to assets and liabilities from operating activities		
• Loans and advances		
– to banks	–	–611
– to customers	–	–10
• Securities (unless financial investments) and derivatives	–	–237
• Other assets from operating activities	–	5
• Liabilities		
– to banks	–	–273
– to customers	–	188
• Securitised liabilities	–	–7
• Other liabilities from operating activities	–	–31
• Cash flows from hedging derivatives	–	–
Interest and dividends received	–	234
Interest paid	–	–100
Income tax payments	–	–1
Discontinued operations	–	–
Cash flow from operating activities	–	–659

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

EUR million	1 Jan – 31 Dec 2015	1 Jan – 31 Dec 2014
Proceeds from the sale of		
• financial investments	–	–26
• interests in companies measured at equity	–	6
• investment property	–	–
• property, plant and equipment	–	1
• intangible assets	–	–
Payments for the acquisition of		
• financial investments	–	–2
• interests in companies measured at equity	–	–
• investment property	–	–1
• property, plant and equipment	–	–5
• intangible assets	–	–8
Effects from changes in the scope of consolidation		
• Proceeds from the sale of subsidiaries and other business units	–	–
• Payments for the acquisition of subsidiaries and other business units	–	–
• Discontinued operations	–	–
Cash flow from investment activities	–	–35
Cash inflows from allocations to equity	–	267
Disbursements to company owners and minority shareholders	–	–
Changes in cash from subordinated capital (net)	–	–163
Cash outflow/inflow from an increase in non-controlling interests	–	–
Cash flow from financing activities	–	104
Cash and cash equivalents at end of previous period	–	672
+/- cash flow from operating activities	–	–659
+/- cash flow from investment activities	–	–35
+/- cash flow from financing activities	–	104
+/- exchange-rate, scope of consolidation and measurement-related changes in cash and cash equivalents	–	92
Cash and cash equivalents at end of period	–	174

Rounding differences may occur in the tables.

Details on the cash flow statement can be found in note 71.

Notes

1	Notes to the consolidated financial statements	126
2	Accounting policies	126
	(1) Principles (2) Changes on the previous year (3) Scope of consolidation (4) Consolidation principles (5) Currency translation (6) Financial instruments (7) Cash reserves (8) Loans and advances (9) Risk provisions (10) Portfolio hedge adjustment assets (11) Assets held for trading (12) Positive fair values from derivative financial instruments (hedge accounting) (13) Financial investments (14) Investment property and property, plant and equipment (15) Intangible assets (16) Non-current assets or disposal groups classified as held for sale (17) Other assets (18) Liabilities (19) Liabilities held for trading (20) Negative fair values from derivative financial instruments (hedge accounting) (21) Provisions (22) Other liabilities (23) Hybrid capital instruments (24) Leasing (25) Tax	
3	Segment reporting	153
	(26) Notes to the segment report	
4	Notes to the statement of comprehensive income	160
	(27) Net interest income (28) Risk provisions in the credit business (29) Net commission income (30) Gains or losses on fair value measurement (31) Gains or losses on hedge accounting (32) Gains or losses on financial investments (33) Administrative expenses (34) Expenses for the bank levy and deposit guarantee scheme (35) Other income and expenses (36) Gains or losses on restructuring (37) Income taxes (38) Gains or losses on discontinued operations	
5	Notes to the balance sheet	167
	(39) Cash reserves (40) Loans and advances to banks (41) Loans and advances to customers (42) Risk provisions (43) Assets held for trading (44) Positive fair values from derivative financial instruments (hedge accounting) (45) Financial investments (46) Investment property (47) Property, plant and equipment (48) Intangible assets (49) Current and deferred tax assets (50) Non-current assets or disposal groups classified as held for sale (51) Other assets (52) Liabilities to banks	

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(53)	Liabilities to customers	(57)	Provisions
(54)	Securitised liabilities	(58)	Current and deferred tax liabilities
(55)	Liabilities held for trading	(59)	Other liabilities
(56)	Negative fair values from derivative financial instruments (hedge accounting)	(60)	Subordinated capital
		(61)	Equity

6 Notes to financial instruments 189

(62)	Fair value of financial instruments	(67)	Net profit or loss from financial instruments
(63)	Financial instrument measurement categories	(68)	Offsetting of financial instruments
(64)	Reclassification of financial assets	(69)	Derivative transactions
(65)	Fair value hierarchy of financial instruments	(70)	Transfer of financial assets
(66)	Financial instruments designated at fair value through profit or loss		

7 Notes to the cash flow statement 205

(71)	Notes on items in the cash flow statement
------	---

8 Supplementary information 206

(72)	Subordinated assets	(79)	Letters of comfort
(73)	Assets and liabilities in foreign currency	(80)	Shareholdings
(74)	Collateral received	(81)	Unconsolidated structured entities
(75)	Leasing	(82)	Capital management
(76)	Trust transactions	(83)	Administrative bodies of BayernLB
(77)	Contingent assets, contingent liabilities and other commitments	(84)	Related party disclosures
(78)	Other financial obligations	(85)	External auditor's fees
		(86)	Human resources

Notes to the consolidated financial statements

The consolidated financial statements for Bayerische Landesbank, an institution established under public law, Munich, Germany (BayernLB), for financial year 2015 were prepared in accordance with International Financial Reporting Standards (IFRS) pursuant to Commission Regulation 1606/2002 of the European Parliament and Council of 19 July 2002 (including all addenda), as well as supplementary provisions applicable under section 315a para. 1 of the German Commercial Code (HGB). In addition to the IFRS standards, IFRS also comprise the International Accounting Standards (IAS) and the interpretations of the IFRS Interpretations Committee (IFRIC) and the Standing Interpretations Committee (SIC). All standards and interpretations that are mandatory within the EU for financial year 2015 have been applied.

The consolidated financial statements contain the statement of comprehensive income including the income statement, the balance sheet, the statement of changes in equity, the cash flow statement, and the notes including the segment report. The presentation currency is the euro.

Unless otherwise stated, all amounts are given in EUR million and rounded up or down to the nearest whole figure. Rounding differences may occur in the tables. Plus or minus symbols are not inserted in front of figures except where they are needed for clarity.

The Group Management Report, which also contains the information required under IFRS 7.31 to IFRS 7.42, has been published in a separate section of the Annual Report.

Accounting policies

(1) Principles

Pursuant to IFRS 10.19, the BayernLB Group's accounts are prepared in accordance with Group-wide accounting and valuation policies. Items are recognised and measured on a going concern basis.

Income and expenses are treated on an accruals basis and recognised in the period to which they are economically attributable.

Estimates and assessments required for recognition and measurement pursuant to IFRS are made in accordance with the respective standards. They are regularly checked and are based on past experience and other factors such as expectations of future events. No assurance as to the reliability of estimates can be given, particularly when calculating the value of risk provisions, provisions, deferred taxes, and the fair value of financial instruments.

An asset is recognised when it is probable that the economic benefits will flow to the BayernLB Group in the future and its cost can be measured reliably.

A liability is recognised when it is probable that an outflow of resources embodying economic benefits will result from its settlement and the settlement amount can be measured reliably.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Impact of amended and new International Financial Reporting Standards

In the reporting year the following amended or newly issued standards and interpretations were to be applied for the first time:

• IFRIC 21

The new interpretation IFRIC 21 "Levies" deals with the recognition of liabilities for paying levies imposed by a government. No material impact on BayernLB's consolidated financial statements as at 31 December 2015 arose from the implementation of IFRIC 21.

• Improvements to IFRS – 2011–2013 cycle

In the annual improvements to IFRS, several changes were made including minor amendments to IFRS 3 "Business Combinations", IFRS 13 "Fair Value Measurement" and IAS 40 "Investment Property". The changes had no impact on the consolidated financial statements of BayernLB as at 31 December 2015.

Voluntary, early application of the following amended standards incorporated into European law by the European Commission, whose application becomes mandatory for the first time for the BayernLB Group in financial year 2016, was waived as permitted.

• IFRS 11

In May 2014 the International Accounting Standards Board (IASB) published amendments to IFRS 11 "Joint Arrangements", which were incorporated into European law in November 2015. These contained guidance on the accounting for acquisitions of interests in joint operations constituting a business as defined by IFRS 3. The amendments take effect in financial years beginning on or after 1 January 2016. BayernLB does not expect any impact on its consolidated financial statements as a result of these amendments.

• IAS 1

In December 2014 the IASB published amendments to IAS 1 "Presentation of Financial Statements". They provide clarifications in respect of the materiality and aggregation of items in financial statements, rules on the presentation of subtotals in the balance sheet and statement of comprehensive income, the structure of the notes and the information on the significant accounting policies applied. In addition, interests in entities accounted for using the equity method must be recognised as a separate item in other comprehensive income. The amendments were incorporated into European law in December 2015 and take effect in financial years beginning on or after 1 January 2016.

• IAS 16 and IAS 38

In May 2014, the IASB issued amendments to IAS 16 "Property, Plant and Equipment" and IAS 38 "Intangible Assets", which prohibited the use of a revenue-based depreciation method for property, plant and equipment and clarified that a revenue-based amortisation method is appropriate only in certain circumstances for intangible assets. The amendments were incorporated into European law in December 2015 and take effect in financial years beginning on or after 1 January 2016. No impact on BayernLB's consolidated financial statements is expected from these amendments.

- **IAS 16 and IAS 41**

In June 2014 the IASB published amendments to IAS 16 “Property, Plant and Equipment” and IAS 41 “Agriculture” to include bearer plants related to agricultural activity; these were incorporated into European law in November 2015. The amendments take effect in financial years beginning on or after 1 January 2016. They will have no impact on BayernLB’s consolidated financial statements.

- **IAS 19**

In November 2013 the IASB issued amendments to IAS 19 “Employee Benefits”. These specify that contributions from employees to defined benefit plans in the period in which the related service was rendered may be deducted from the current service cost provided that the contributions are not linked to the number of service years. The amendments were incorporated into European law in January 2015 and take effect for EU entities in financial years beginning on or after 1 February 2015. BayernLB does not expect any material impact on its consolidated financial statements as a result of these amendments.

- **IAS 27**

In August 2014 the IASB published amendments to IAS 27 “Separate Financial Statements” on the application of the equity method in separate financial statements. The amendments were incorporated into European law in December 2015 and take effect in financial years beginning on or after 1 January 2016. No impact on BayernLB’s consolidated financial statements is expected from these amendments.

- **Improvements to IFRS – 2010–2012 cycle and 2012–2014 cycle**

In December 2013, in its Annual Improvement Cycle the IASB published several changes including minor consequential amendments to standards IFRS 2 “Share-based Payment”, IFRS 3 “Business Combinations”, IFRS 8 “Operating Segments”, IAS 16 “Property, Plant and Equipment”, IAS 24 “Related Party Disclosures”, and IAS 38 “Intangible Assets”, which were incorporated into European law in January 2015. In September 2014, the IASB published minor consequential amendments to the standards IFRS 5 “Non-current Assets Held for Sale and Discontinued Operations”, IFRS 7 “Financial Instruments: Disclosures”, IAS 19 “Employee Benefits” and IAS 34 “Interim Financial Reporting”, which were incorporated into European law in December 2015. The amendments take effect for EU entities in financial years beginning on or after 1 February 2015 (2010–2012 cycle) or 1 January 2016 (2012–2014 cycle). No material impact on BayernLB’s consolidated financial statements is expected as a result.

The IASB has also issued the following amended and new standards which have not yet been incorporated into European law:

- **IFRS 9**

In July 2014, the IASB finished its project to replace the current Standard IAS 39 “Financial Instruments: Recognition and Measurement” by publishing the final version of IFRS 9. IFRS 9 contains new requirements on the classification and measurement of financial instruments, new rules on the recognition of impairments of assets and the treatment of hedge accounting. The Standard takes effect in financial years beginning on or after 1 January 2018. The Bank is currently evaluating the new amendments, and its initial forecasts suggest they will have a

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

moderate impact on the BayernLB Group's capital. Given the period of time until first-time application, the current uncertainties and the broad scope for interpretation, its impact cannot, however, be reliably estimated at present.

• *IFRS 10, IFRS 12 and IAS 28*

In September 2014, the IASB issued changes to IFRS 10 "Consolidated Financial Statements" and IAS 28 "Investments in Associates and Joint Ventures" providing clarification in respect of the recognition of gains and losses from the sale or contribution of an investor's assets to an associate or joint venture. If a transaction involves a business as defined in IFRS 3, the gains or losses must be recognised in full in the investor's financial statements. If, however, the transaction involves assets that do not constitute a business, a partial gain or loss must be recognised. In December 2014, other amendments to IFRS 10, IAS 28 and IFRS 12 "Disclosure of Interests in Other Entities" were agreed providing clarifications on the application of the exemption of investment entities from consolidation requirements. Although the amendments published in December 2014 take effect in financial years beginning on or after 1 January 2016, the date for first-time mandatory application of the amendments issued in September 2014 was postponed in December 2015 to a date to be determined by the IASB. No impact on BayernLB's consolidated financial statements is expected as a result.

• *IFRS 14*

In January 2014, the IASB published new interim Standard IFRS 14, which permits first-time adopters of IFRS under certain circumstances to continue to recognise amounts related to rate regulation in accordance with their previous GAAP requirements. The Standard takes effect in financial years beginning on or after 1 January 2016. In October 2015 the European Financial Reporting Advisory Group (EFRAG) announced that the European Commission would recommend interim Standard IFRS 14 is not incorporated into European law. IFRS 14 will have no impact on BayernLB's consolidated financial statements.

• *IFRS 15*

In May 2014, the IASB issued the new Standard IFRS 15, which deals with the recognition of revenue from contracts with customers. IFRS 15 replaces standards IAS 11 "Construction Contracts" and IAS 18 "Revenue", the interpretations IFRIC 13 "Customer Loyalty Programmes", IFRIC 15 "Agreements for the Construction of Real Estate", IFRIC 18 "Transfers of Assets from Customers" and SIC-31 "Revenue-Barter Transactions Involving Advertising Services" and contains a five-step model for determining when to recognise revenue. IFRS 15 also expands disclosure requirements in this area. Collection of income from financial instruments does not fall within the scope of IFRS 15, but is governed in IAS 39/IFRS 9. With the changes to IFRS 15 published by the IASB in September 2015, the mandatory first-time application of the Standard was deferred to financial years beginning on or after 1 January 2018. BayernLB is currently assessing the impact of this new Standard on its consolidated financial statements.

- **IFRS 16**

In January 2016, the IASB published the new Standard IFRS 16, which contains new rules on the recognition of leases. IFRS 16 replaces Standard IAS 17 “Leases” and the interpretations IFRIC 4 “Determining Whether an Arrangement Contains a Lease”, SIC-15 “Operating Leases – Incentives” and SIC-27 “Evaluating the Substance of Transactions in the Legal Form of a Lease”. The Standard takes effect in financial years beginning on or after 1 January 2019. The impact on BayernLB’s consolidated financial statements when the new Standard is implemented is being evaluated.

- **IAS 7**

In January 2016 the IASB issued amendments to IAS 7 “Cash Flow Statements”, which will improve the information made available on an entity’s financing activities. The amendments take effect in financial years beginning on or after 1 January 2017. The impact on BayernLB’s consolidated financial statements when the amended Standard is implemented is being evaluated.

- **IAS 12**

In January 2016 the IASB published amendments to IAS 12 “Income Taxes”, which provides clarifications on how to account for deferred tax assets related to non-realised losses on debt instruments measured at fair value. The amendments take effect in financial years beginning on or after 1 January 2017. The impact of these amendments on BayernLB’s consolidated financial statements is currently being evaluated.

(2) Changes on the previous year

Changes in accordance with IAS 8.14 et seq.

With the changes to the rules of the EU deposit guarantee scheme and the bank levy, the contributions have been calculated since financial year 2015 using methodology brought in line with the new regulatory requirements. In the reporting year the BayernLB Group’s expenses for the EU deposit guarantee scheme and bank levy amounted to EUR 50 million and EUR 39 million respectively. Since financial year 2015 the BayernLB Group has reported these expenses together under the expenses for the bank levy and deposit guarantee scheme item as the expenses for the two are logically similar (see note 34). No adjustments were made to the previous year as the new rules must be applied prospectively.

Changes under IAS 8.32 et seq.

In the reporting year the BayernLB Group made changes to estimates of measurement parameters for calculating liabilities under IAS 19 and refined measurement methods. Overall the changes in measurement produced a gain of EUR 154 million, increasing retained earnings by EUR 150 million. Of this amount, the increase in the discount rate for pension obligations accounted for EUR 171 million, estimated future social insurance pensions for EUR 24 million, estimated future medical costs for pension obligations for EUR –26 million and the refinement of measurement methods for EUR –18 million. The increase in the discount rates for restructuring liabilities, the increase in estimated future medical costs for restructuring liabilities and the

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

refinement of measurement methods had an impact of EUR 3 million on gains or losses on restructuring. As a result of the adjustments, pension obligations fell by EUR 150 million and restructuring liabilities fell by EUR 3 million. The changes in estimates and refinement of measurement methodology will also have an impact on future periods which currently cannot be reliably estimated.

In the reporting year, based on new findings, the DKB sub-group also revised certain assumptions which it made to model hedge accounting in the past. These assumptions relate to the allocation of the hedging adjustments carried out. The change in estimates is expected to have the following impact on gains or losses on hedge accounting which will cancel out as they mature:

EUR million	2015	2016	2017	2018	2019–2036
Gains or losses on hedge accounting	12	4	–8	–4	–4

The impact of the change in estimates on future periods is mainly linked to market interest rate trends going forward and changes in holdings.

In the management report (risk report), refinements were made to the estimates of maximum credit risk under IFRS 7.36 and liquidity risk under IFRS 7.39 in the reporting year. With respect to credit risk, the estimates in rating calculations for certain exposures were refined. The business partners' country was considered along with the sector resulting in changes to the rating allocations in the table "Financial assets that are neither past due nor impaired", which are not systematically calculated. Within liquidity risk, the modelling of inflows from margin payments from derivatives where margins are mandatory was switched over to a market-oriented approach to improve risk management. This narrowed the liquidity gap, thereby increasing the liquidity surplus by EUR 992 million in the maturity band of up to one year and by EUR 1,344 million in the maturity band of up to 5 years. The refinements will also have an impact on future periods which currently cannot be reliably estimated.

Changes under IAS 8.41 et seq.

The sensitivity of receivables secured by real estate measured at fair value and allocated to Level 3 was not disclosed in the 2014 Annual Report. A 5 percentage point increase (decrease) in the realisable value would have increased fair value by EUR 0.9 million (decreased by EUR 0.8 million) as at 31 December 2014.

As at 31 December 2014 the fair values of liabilities to banks measured at amortised cost of EUR 1,300 million, liabilities to customers of EUR 3,503 million and securitised liabilities of EUR 4,094 million were allocated from Level 2 to Level 3. The previous year's figures were restated accordingly.

In the 2014 Annual Report, under offsetting of financial instruments, pledged collateral for liabilities held for trading/negative fair values from derivative financial instruments (hedge accounting) were overstated by EUR 13 million and liabilities to banks were understated by EUR 2,619 million. The previous year's figures were restated accordingly.

Certain assets and liabilities from interests in investment funds as at 31 December 2014 were understated: loans and advances to customers by EUR 3 million, assets held for trading by EUR 15 million, liabilities to customers by EUR 53 million and liabilities held for trading by EUR 5 million. The fund assets in the investment fund were also under-reported by EUR 308 million. The previous year's figures were restated accordingly.

In financial year 2014, property, plant and equipment and changes in intangible assets were misreported under both "cost" and "depreciation and impairment reversals". This produced a total impact of EUR 26 million within property, plant and equipment and EUR 3 million within intangible assets. The carrying amounts were correctly reported. The previous year's figures were restated accordingly.

(3) Scope of consolidation

Besides the parent company, the group of companies consolidated within BayernLB comprises 13 (FY 2014: 14) subsidiaries that are fully consolidated in accordance with IFRS 10. As in the previous year, the scope of consolidation does not include any companies measured at equity.

Changes at BayernLB

Bayern Card-Services GmbH - S-Finanzgruppe, Munich (BCS) was included within the scope of consolidation for the first time on 1 January 2015 after exceeding a key materiality criterion. It provides credit card services, particularly for the Bavarian savings banks and BayernLB. This had no material impact on the consolidated financial statements.

Changes in the consolidated Banque LBLux S.A. in Liquidation sub-group

After the banking licence was given up on 31 March 2015 and liquidation proceedings opened on 1 April 2015, Banque LBLux S.A., Luxembourg (LBLux) was renamed Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.).

On 22 December 2015 BayernLB sold 89.99 percent of its equity interest in Immo 3 Rue Jean Monnet S.à.r.l., Luxembourg, which holds LBLux' land and office buildings. The subsidiary was fully consolidated in the LBLux sub-group in the previous year and already recognised under IFRS 5 as at 31 December 2014. The deconsolidation resulted in the disposal of assets in the amount of EUR 18 million. A deconsolidation gain of EUR 41 million was recognised under gains or losses on financial investments. With the sale of the only fully consolidated subsidiary, LBLux i.L. ceased to be a sub-group.

Changes in the consolidated Deutsche Kreditbank Aktiengesellschaft sub-group

Under the merger agreement of 26 June 2015 fully consolidated SKG BANK AG, Saarbrücken was merged into Deutsche Kreditbank AG, Berlin. The merger took place retrospectively on 1 January 2015 through a transfer of all of its assets by dissolution without liquidation.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

In a merger agreement of 6 August 2015 the as yet unconsolidated subsidiaries DKB IT-Services GmbH, Potsdam and LBG Liebenberger Betriebsgesellschaft mbH, Löwenberger Land OT Liebenberg were both merged into the fully consolidated DKB Service GmbH, Potsdam. The mergers also took place retrospectively on 1 January 2015 through a transfer of all of their assets by dissolution without liquidation.

Determining the scope of consolidation

BayernLB's scope of consolidation is determined by materiality criteria. 125 (FY 2014: 136) companies were neither consolidated nor measured at equity due to their negligible importance individually or collectively to the financial position and financial performance of the Group. The impact on the balance sheet of the contractual relationships between Group entities and these non-consolidated entities is recognised in the consolidated financial statements.

The list of shareholdings shows all the subsidiaries included in the consolidated financial statements (see note 80).

(4) Consolidation principles

BayernLB, the parent company, and the subsidiaries within the scope of consolidation are presented in the consolidated financial statements as an economic unit. The subsidiaries comprise all entities controlled by the BayernLB Group regardless of their legal structure. These also include structured entities where voting or similar rights are not the dominant factor in deciding who controls the entity. This also includes entities whose relevant activities are predetermined by a narrowly defined purpose in the articles of association or in other contractual arrangements or where control of decisions by the governing body is permanently limited. Structured entities are included in the scope of consolidation if they are subsidiaries and material for the financial position and financial performance of the BayernLB Group.

A subsidiary is controlled if the BayernLB Group is exposed to variable returns as a result of its involvement with this entity or has rights to them and the ability to influence these returns through its power over decisions affecting the entity. The BayernLB Group has control over an entity if it has rights that give it the current ability to direct the relevant activities of the entity. Relevant activities are those that, depending on the nature and the purpose of the entity, significantly affect its returns. Variable returns are all returns that have the potential to vary as a result of the entity's performance. Returns from involvement with an entity may therefore be positive or negative. Variable returns include dividends, fixed and variable interest, remuneration and fees, changes in the value of the investment and other economic benefits.

When assessing whether control exists, all facts and circumstances must be considered. These include voting rights and other contractual rights to direct relevant activities if no economic or other obstacles to the exercise of existing rights exist. Control is exercised on the basis of voting rights if the BayernLB Group holds more than 50 percent of the voting rights based on equity instruments or contractual arrangements and its share of these voting rights gives it substantive power over the relevant activities. Other contractual rights that may give it controlling influence

are primarily rights of appointment to or removal from corporate bodies, and rights of liquidation and other decision-making rights. Contractual arrangements designed to protect only the interests of the BayernLB Group as creditor or minority shareholder (protective rights) do not constitute control.

The BayernLB Group therefore also controls a subsidiary if control is exercised by a third party in the interest of and for the benefit of the BayernLB Group (agency relationship). In such cases, if another party with decision-making rights acts as an agent for the BayernLB Group, it does not control the subsidiary as it is only exercising decision-making rights delegated by the BayernLB Group (the principal). To determine whether such delegated decision-making powers exist, an assessment is carried out based on the scope of its decision-making authority, the rights of other parties, the remuneration and the agent's exposure to risk.

In some cases, due to ongoing insolvency proceedings, the BayernLB Group holds more than 50 percent of the voting rights, but without the corresponding controlling influence. Conversely, in certain other cases, the BayernLB Group has contractual rights giving it controlling influence, but holds less than 50 percent of the voting rights.

Subsidiaries are included in the consolidated financial statements of the BayernLB Group through full consolidation. A subsidiary is consolidated from the date on which the BayernLB Group gains control over it.

When accounting for an acquisition, the cost of acquiring the subsidiary is eliminated against the Group's share of the completely remeasured equity on the date of acquisition. This equity is the balance of the assets and liabilities of the acquired company measured at their fair value at the time of initial consolidation adjusted for deferred taxes. If any differences between the higher cost of acquisition and the Group's share of the remeasured equity remain on the assets side, they are recognised in the consolidated balance sheet as goodwill under intangible assets.

Interests in subsidiaries not owned by the parent company are disclosed under the Equity item as non-controlling interests.

If additional shares are acquired in a company that is already fully consolidated, the transaction is not classified as a business combination as defined in IFRS 3 as control already existed. The acquisition of an interest is reported instead as a transaction with the minority shareholders. The positive or negative differences remaining after eliminating against equity the additional interests acquired are therefore offset against retained earnings and not recognised through profit or loss.

If first-time consolidation takes place at a later date on materiality grounds, it is not classified as a business combination as defined in IFRS 3 as control already existed. The positive or negative differences remaining after eliminating against equity are therefore offset against retained earnings and not recognised through profit or loss.

Joint arrangements are based on contractual arrangements which give two or more partners joint control. Joint control exists if the partners must cooperate together to direct the relevant activities of the joint arrangement and decisions require the unanimous consent of the partners sharing control. A joint venture is a joint arrangement whereby the partners that have joint control have

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

rights to the net assets of the arrangement. If, however, the partners have rights to the assets, and obligations for the liabilities relating to the joint arrangement, then the arrangement is a joint operation. A joint venture in principle exists if a joint arrangement is embodied in the form of a legally independent person or a corporation with its own assets, so that the BayernLB Group, based on its share of interests in the entity, only has a proportional claim to the net assets of the entity. If a joint arrangement is conducted in a separate vehicle whose legal form does not confer separation of the vehicle's assets and liabilities from the partners, an assessment must be carried out to determine whether it is a joint venture or a joint operation based on the contractual arrangements and the purpose of the joint arrangement. If neither the legal form nor the contractual provisions or other facts and circumstances give any indication as to whether the BayernLB Group has direct rights to the assets or obligations for the liabilities of the joint arrangement, it is deemed to be a joint venture.

Associates are entities over which the BayernLB Group exercises significant but not controlling influence either directly or indirectly through subsidiaries. Significant influence is the power to participate in the financial and operating policy decisions of another entity without exercising control. Significant influence exists if the BayernLB Group holds, as an investor, 20 percent or more of the voting rights either directly or indirectly through subsidiaries. An entity can also be an associate if the BayernLB Group holds less than 20 percent of the voting rights, but, on the basis of other factors, it has the power to participate in the financial and operating policy decisions of the entity. This particularly applies to cases where the BayernLB Group is represented on the entity's governing body and has contractual rights to manage or realise assets, including making investment decisions.

In certain cases, the BayernLB Group holds at least 20 percent of the voting rights in the entity, but cannot exercise significant influence due to contractual or legal restrictions.

Joint ventures and associates that are material for the Group's financial position and financial performance are measured using the equity method and recognised under interests in companies measured at equity. The costs of acquiring these ownership interests and the goodwill are measured on initial consolidation in accordance with the same principles used for subsidiaries.

Subsidiaries cease to be consolidated on the date the BayernLB Group loses control over the subsidiary.

The financial statements of the entities included in the consolidated financial statements are prepared as at the parent company's reporting date.

When consolidating debt and earnings and eliminating intragroup earnings from subsidiaries, all receivables and liabilities, income and expenses and intragroup earnings from transactions within the Group are eliminated provided their importance is not negligible.

Interests in subsidiaries, joint ventures and associates not consolidated or measured at equity due to their negligible importance and other ownership interests are reported in the balance sheet under financial investments and measured at fair value.

(5) Currency translation

On initial recognition, assets and liabilities denominated in a foreign currency are translated into the functional currency at the spot rate applicable on the date of the business transaction. In subsequent periods, when translating currency, a distinction is made between monetary and non-monetary items. Monetary assets and liabilities denominated in a foreign currency are translated at the exchange rate at the end of the reporting period. Non-monetary items measured at historical cost are translated using the exchange rate on the date of the transaction. Non-monetary items measured at fair value are translated at the exchange rate on the date the fair value was calculated. Income and expenses in a foreign currency are translated into the functional currency at an average exchange rate. Gains or losses on currency translation are recognised in gains or losses on fair value measurement. Currency translation differences from equity instruments in the available-for-sale category are reported in the revaluation surplus and not recognised through profit or loss.

The balance sheet items of the subsidiaries and foreign branches included in the consolidated financial statements are, if their functional currency is not the euro, translated into euros at the exchange rate of the respective currency on the reporting date and the expenses and income translated into euros at an average exchange rate. Currency exchange rate differences arising from this translation are reported in the currency translation reserve within equity.

(6) Financial instruments

Recognition and measurement

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. Financial instruments are recognised in the balance sheet from the date on which the entity drawing up the balance sheet becomes a contractual party and entitled to receive the agreed services or obliged to render the agreed services. Purchases or sales of financial assets (regular-way contracts) are normally recognised on the date of the trade. Derivatives (as defined in IAS 39) are always recognised on the date of the trade.

All financial instruments, including derivative financial instruments as defined under IAS 39, must be recognised in the balance sheet and assigned to measurement categories. Financial instruments are initially recognised at fair value, which is the cost of acquisition as a rule.

Financial instruments are subsequently measured in accordance with the measurement category to which they have been assigned. These categories are defined as follows:

Financial assets and financial liabilities at fair value through profit or loss

These include financial instruments and derivatives which are held for trading and reported on the balance sheet in accordance with IAS 39 (held for trading), and financial instruments which are not held for trading for which the fair value option was elected (financial instruments designated at fair value through profit or loss). Derivative financial instruments which are used as hedges and meet hedge accounting criteria under IAS 39 do not come under this category.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

- Held-for-trading financial instruments and derivatives:

These instruments are measured at fair value. Measurement results are reported under gains or losses on fair value measurement. Realised and current income are also normally reported under this item. Current income from derivatives in economic hedges is recognised in net interest income. Derivatives in economic hedges include derivatives for hedging fair value option transactions and derivatives in other economic hedges. These derivatives do not meet hedge accounting criteria under IAS 39. They are used for risk management and have not been concluded for trading purposes. Held-for-trading financial instruments are largely reported under the assets held for trading and liabilities held for trading items.

- Financial instruments designated at fair value through profit or loss (fair value option):

The fair value option is applied to reduce or eliminate accounting mismatches and to avoid bifurcating embedded derivatives which must be separated. These instruments are measured at fair value. Measurement results are recognised under gains or losses on fair value measurement. Current income is reported under net interest income. Financial instruments (particularly structured issues and liabilities with embedded derivatives) designated at fair value (fair value option) are mainly reported under loans and advances to banks/customers, financial investments, liabilities to banks/customers, securitised liabilities and subordinated capital.

Held-to-maturity financial investments

These are non-derivative financial assets with fixed or determinable payments and fixed maturities traded on an active market which the BayernLB Group intends to, and is able to, hold until they mature. These instruments are measured at amortised cost. Tests for permanent impairment are carried out regularly. All realised and unrealised gains or losses are reported under gains or losses on financial investments. Current income is recognised under interest income.

At the end of the reporting period, the BayernLB Group held no financial investments designated as held to maturity.

Loans and receivables

These include non-derivative financial assets with fixed or determinable payments which are not quoted on an active market and not held for trading, not designated at fair value through profit or loss (fair value option), and not designated as available for sale. They are measured at amortised cost.

This category includes loans that are mainly reported under loans and advances to banks/customers. The treatment of impairment is described in note 9 on risk provisions. Current income is reported under interest income.

This category also includes securities that were not traded on an active market on the date of recognition or reclassification, and where there is no intention to sell them in the short term. Any necessary impairments are deducted from the carrying amount of the asset. Tests for permanent impairment are carried out regularly. Impairments include specific loan loss provisions and portfolio provisions. Impairments of securities are determined in exactly the same way as for risk

provisions (see note 9). Losses arising from impairments and realised gains or losses are recognised under gains or losses on financial investments. Current income and unwinding are reported under interest income. Securities in the loans and receivables category are recognised under financial investments.

Available-for-sale financial assets

These include non-derivative financial assets (mainly securities and interests) which are classified as available for sale or are not assigned to any of the categories described. They are measured at fair value.

Any difference between fair value and amortised cost is shown as a separate item in equity (in the revaluation surplus) and not recognised through profit or loss until the asset is either disposed of or permanently impaired. Gains or losses on their sale or permanent impairment are reported under the gains or losses on financial investments item, and current income in interest income. Available-for-sale financial assets are regularly assessed for objective evidence of impairment (e.g. significant financial difficulties of the issuer or obligor, a breach of contract such as a default or delinquency in interest or principal repayments, high probability of bankruptcy or other financial reorganisation) that has an impact on future expected incoming cash flows. If the asset is an equity instrument, a prolonged or significant decline in the fair value below its cost is also objective evidence of impairment. If the asset is a debt instrument, an additional indicator of impairment, besides the qualitative criteria of IAS 39.59, is a significant decline in the fair value below amortised cost. Where there is no further reason for impairment, writedowns on debt instruments are reversed directly in the income statement up to the value of the amortised cost had there been no impairment and the difference to fair value is recognised in the revaluation surplus in equity. Reversals of equity instrument impairments are recognised directly in the revaluation surplus in equity. Most available-for-sale financial instruments are reported under financial investments.

Financial liabilities measured at amortised cost

Financial liabilities measured at amortised cost include financial instruments not used for trading purposes and for which the fair value option has not been elected. They are measured at amortised cost. Current expenses are reported in interest expenses. Most financial instruments in this category are reported on the balance sheet in the items liabilities to banks/customers, securitised liabilities and subordinated capital.

Renegotiated financial assets (forbearance)

BayernLB defines exposures in problem loan treatment which have been restructured in order to minimise the risk of default as forbearance exposures. An exposure has been restructured if concessions have been granted to a counterparty in financial difficulties. Concessions are defined as the modification of the terms and conditions of the original loan agreement (e.g. a deferral, waiver or standstill agreement) or its financing.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Where a restructuring is credit-rating related, objective evidence of impairment exists. If future incoming payments are likely to be affected, a specific loan loss provision is made in the case of a loan. For a security, the required impairment is deducted from the asset's carrying value and the difference between fair value and amortised costs is recognised through profit or loss.

Restructuring measures that modify the terms of the contract so extensively that they essentially create a new asset must be recognised on the balance sheet by the disposal of the original asset and addition of the new asset. If the carrying amount of the asset to be disposed of differs from the fair value of the asset to be added, the difference between the two must be recognised directly in the income statement.

For more information on forbearance exposures please refer to the Group management report (risk report).

Offsetting

Financial assets and financial liabilities are offset against each other in accordance with IAS 32.42 if a legally enforceable right to set off the recognised amounts currently exists and an intention exists to settle on a net basis or to realise the asset and settle the liability simultaneously.

Derecognition

Financial assets are derecognised if the contractual rights to cash flows from the assets have lapsed or the BayernLB Group has transferred substantially all risks and rewards of ownership. Financial liabilities are derecognised if the contractual liabilities are discharged, cancelled or expire.

Fair value

The fair value of a financial instrument is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Market participants are knowledgeable, willing partners that are independent of each other and able to enter into a transaction for the asset or liability. The relevant market for measuring fair value is the most active market that the BayernLB Group has access to (principal market). If no principal market exists, the most advantageous market is used.

Fair value is calculated where possible by reference to a quoted (unadjusted) price on an active market for an identical financial instrument. A market is considered active for a financial instrument if transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If no active market exists, fair value is calculated using a range of measurement methods including measurement models based on discounted cash flow methods and indicative valuation prices. The objective is to estimate the price at which an orderly transaction to sell the asset or transfer the liability would take place between market participants at the measurement date under current market conditions. The valuation techniques used maximise the use of observable inputs and minimise the use of non-observable inputs.

Valuation models

The methods used to calculate fair values include recognised valuation models based mainly on observable market data. The discounted cash flow method and option pricing models are among the valuation models used.

If a quoted price is not available for an identical financial instrument, the discounted cash flow method is used for interest-bearing financial instruments. This method calculates the instruments' value based on their cash flow structures, taking account of their nominal values, residual maturities and the agreed day-count convention. If the financial instrument has a contractually agreed fixed cash flow, the cash flow structure is calculated using the agreed cash flows. In the case of variable rate instruments, cash flows are determined using forward curves. Cash flows are discounted using matching currency and maturity and secured and unsecured yield curves, and a risk-adjusted spread. Market data is used where spreads are publicly available. Bid-ask valuations must be used for fair value measurement. As mid-rate data is usually one of the input parameters for measuring the theoretical fair value of derivatives, a fair-value discount is applied to the measurement of these transactions to take account of bid-ask spreads. For OTC derivatives, counterparty risk and own default risk is taken into account by considering any netting agreements (credit valuation adjustment/debit valuation adjustment). Any allocations to individual transactions are made on the basis of the relative credit adjustment approach. In the case of uncollateralised OTC derivatives, account is taken of bank-specific financing conditions using a funding valuation adjustment.

Options and other derivative financial instruments with option characteristics are measured largely using the Black-Scholes option pricing model. The displaced diffusion model was used to perform valuations when interest rates were negative. The Black-Scholes model was used here again after parallel shifting of the strike price and forward price parameters (depending on the product type and currency). The following valuation parameters are used when measuring options and other derivatives: cumulative probability distribution function for standard normal distribution, option strike prices, continuously compounding risk-free interest rates (for different currencies and maturities), volatility, time to option expiry, estimated dividends, interest rate and pricing barriers, discounts, increments and probability of occurrence.

For options with several possible exercise dates, a binomial model is used. Publicly accessible market data is also used here in the measurement.

Credit derivatives are measured using the hazard rate model based on the latest credit spreads.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Summary of the key valuation models by derivative product group

Product group	Principal valuation model
Interest rate swaps	Discounted cash flow method
Forward rate agreements	Discounted cash flow method
Interest rate options	Black 76, displaced diffusion
Forward exchange deals	Discounted cash flow method
Currency swaps/cross-currency swaps	Discounted cash flow method
Foreign exchange options	Black 76, Trinomial tree (Cox-Ross-Rubinstein)
Equity/index options	Black-Scholes, Roll-Geske-Whaley
Commodity caps/floors	Vorst
Credit derivatives	Hazard rate model

Structured products are concluded within structured issues. These structures are each hedged with mirror swaps. Besides using the above methods, these structures are measured largely using short-rate and BGM models (Libor market model) and Monte Carlo simulations.

In the case of equity instruments not traded on an active market, fair value is calculated using recognised valuation methods, particularly the German income method (Ertragswertverfahren). Expected cash flows are based on the forecasts of the entities in question.

To calculate the fair values of lending transactions measured at amortised cost, cash flows are discounted using the risk-free yield curve adjusted by a transaction-specific spread. The spread comprises a margin held constant over the term to cover the costs, the expected gains and a credit component reflecting changes in the creditworthiness of the business partner. On conclusion of a transaction the initial full spread is determined by interpolation. The transaction is measured at its carrying amount (or at par if the transaction is prior to the first-time application of IFRS). At the end of the following month, the current expected loss is determined and used to break down the spread into its margin and credit-rating related portions (on conclusion of the transaction). At the end of each reporting period, the fair value is calculated using the constant margin spread and the credit spread determined on the expected loss applicable at the time.

In the case of deposit-taking business, cash flows are discounted using the risk-free yield curve, and a credit rating and liquidity spread. This spread reflects BayernLB's current credit rating and varies according to the currency and the transaction's collateral status (secured, unsecured, unsecured with guarantee obligation, or subordinated). The added spreads are based on the internal pricing curves of Asset Liability Management and tested for plausibility independently of Trading using the external market interest rate.

The valuation models presented above are used to calculate the fair values of financial instruments in the categories held for trading, fair value option, loans and receivables, available for sale, and financial liabilities measured at amortised cost. The balance sheet items most affected are loans and advances to banks/customers, assets held for trading, positive fair values from derivative financial instruments (hedge accounting), financial investments, liabilities to banks/customers, securitised liabilities, liabilities held for trading, negative fair values from derivative financial instruments (hedge accounting) and subordinated capital.

Embedded derivatives

Embedded derivative financial instruments are recognised as independent derivatives and measured at fair value if they have to be separated from the host contract. If this is the case, the host contract is recognised and measured according to its measurement category. In the case of structured products, no separation is made if the fair value option has been applied.

Hedge accounting

To manage interest rate, currency, equity and other price risks, and credit risks, derivative financial instruments are used to hedge assets or liabilities on the balance sheet. At present, only fair value hedges meet hedge accounting criteria for hedging relationships as defined under IAS 39. Assets or liabilities (or a portion of them) on the balance sheet, or a portfolio of financial instruments, are hedged against changes in fair value resulting from interest rate or currency risk which could affect the earnings for the period. A high degree of effectiveness is needed to ensure changes in the fair value of the hedged underlying transaction in terms of the hedged risk and the hedging derivative lie within a range of 80–125 percent. In the BayernLB Group, fair value hedge accounting is applied in the form of micro fair value hedges, portfolio hedges in the narrow sense and portfolio hedges in the broader sense. Portfolio hedges in the narrow sense are reported in the same way as the underlying and hedging transactions of micro fair value hedges.

The main hedging instruments used are interest rate and currency swaps. Derivatives used to hedge the fair value of assets and liabilities on the balance sheet are measured at fair value and changes in their value are recognised through profit or loss. The carrying amounts of the underlying transactions in micro hedges and in portfolio hedges in the narrow sense are adjusted in line with the measurement results attributable to the hedged risk and recognised through profit or loss. Where the hedging of the fair value on a portfolio basis is carried out in the broader sense in the BayernLB Group, the cumulative measurement results attributable to the hedged risk for financial assets are recognised in the balance sheet under portfolio hedge adjustment assets and the carrying amounts of the underlying transactions left at amortised cost.

Derivative financial instruments in economic hedges that do not meet hedge accounting criteria are recognised and measured in accordance with their categorisation as held for trading. Unlike current income and expenses of held-for-trading derivative financial instruments, the current income and expenses arising from these derivatives are reported under net interest income.

(7) Cash reserves

Cash reserves comprise cash and balances at central banks. They are recognised at nominal value.

(8) Loans and advances

Loans and advances to banks and customers are non-derivative financial assets with fixed or determinable payments that are not quoted on an active market or held for trading purposes. They are measured at amortised cost if they are not categorised as available for sale, fair value option receivables or underlying transactions in an effective fair value hedge. Premiums and discounts are spread over their term and reported in interest income.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Impairments of receivables in the loans and receivables category are reported separately in the balance sheet under risk provisions and shown on the assets side.

(9) Risk provisions

Risk provisions for credit products in the loans and receivables category are reported as a separate item on the assets side. They comprise specific loan loss provisions and portfolio provisions for transactions on the balance sheet. BayernLB exercised its option of making flat-rate specific loan loss provisions for non-material receivables.

To calculate risk provisions, customer relationships in the BayernLB Group are analysed at quarterly intervals as a rule. If objective indications of impairment exist, an examination is carried out to determine if a risk provision needs to be made. These objective indications include interest and principal arrears of more than 30 days or a rating of 19 or worse on a 25-tier scale. If future incoming payments are likely to be affected, a specific loan loss provision is made.

The size of the specific loan loss provision is the difference between the carrying amount of the receivable and the present value of future expected incoming cash flows calculated on the basis of the original effective interest rate using the discounted cash flow method. Additions to or releases of risk provisions are made if expectations of cash flows change. Unwinding – a change in the present value of future expected incoming cash flows over the period – is reported as interest income; the actual interest payments received are subsequently recognised as repayments, and not as interest income. For portfolios composed of similar, immaterial receivables, flat-rate specific loan loss provisions are made on the basis of collective risk assessment. These are also reported under the specific loan loss provisions.

For material and immaterial receivables for which no indications of impairment have been detected on individual examination and no flat-rate specific loan loss provisions have been made, portfolio provisions based on creditworthiness factors are calculated on the basis of historical probabilities of default and loss rates. The procedure for this uses parameters derived from the Basel II rules that are regularly assessed.

Country risks (transfer risk and general political risk) are reflected by making a portfolio provision on the basis of country risk-specific probabilities of default and loss rates if these risks have not already been taken into account through specific loan loss provisions.

Non-recoverable receivables are derecognised; this is carried out by utilising specific loan loss provisions that have already been made. Bad debt losses for which no or insufficient loan loss provisions have been made are charged to existing portfolio provisions (utilisation). An addition of the same size is made to the portfolio provision, which is reported as a direct writedown in risk provisions in the credit business.

Expenses for additions to risk provisions, income from the release of risk provisions and recoveries on written-down receivables are reported in the income statement under risk provisions in the credit business.

(10) Portfolio hedge adjustment assets

This balance sheet item shows the changes in value of the underlying transactions for which fair value hedge accounting in the form of portfolio hedges in the broader sense was used.

(11) Assets held for trading

Assets held for trading comprise all held-for-trading financial assets and derivative financial instruments with positive market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income from assets held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(12) Positive fair values from derivative financial instruments (hedge accounting)

This balance sheet item includes derivative financial instruments with positive market values which are used as hedges and meet hedge accounting criteria as defined in IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(13) Financial investments

Financial investments comprise financial assets in the fair value option, loans and receivables and available-for-sale categories. Interests in unconsolidated subsidiaries, joint ventures and associates not measured at equity and other interests are classified as available for sale and reported under financial investments unless they are classified as held for sale. Financial investments are measured according to their respective measurement category.

(14) Investment property and property, plant and equipment

Land or buildings leased to third parties or primarily held for capital appreciation is reported on the balance sheet under investment property. Property, plant and equipment comprise owner-occupied property, furniture and office equipment. Mixed-use property that can be disposed of separately is allocated proportionately to the investment property and the property, plant and equipment items. If the property cannot theoretically be divided, the entire property is recognised as investment property only if an insignificant portion of the property (less than 10 percent) is held for internal operations.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Investment property is measured at amortised cost, i.e. assets subject to wear and tear are depreciated on a straight-line basis in accordance with their useful life. In the case of buildings, the components are depreciated over their specific useful life (component approach). Any impairments are also deducted. BayernLB applies the cost model option in IAS 40 to measure investment property.

The criteria for useful life were as follows:

- Buildings 28–90 years
- Furniture and office equipment 3–25 years

When an asset is impaired, an impairment loss is reported. If the reasons for impairment cease to apply, an impairment reversal is made up to the value of the amortised cost.

Subsequent costs are capitalised if they add to the economic benefit of these assets.

Maintenance costs are reported as expenses in the financial year they are incurred.

Depreciation of investment property is reported under other income and expenses, and depreciation of property, plant and equipment under administrative expenses. Impairment reversals are reported in other income and expenses.

(15) Intangible assets

Intangible assets comprise goodwill from consolidated subsidiaries, intangible assets produced in-house (proprietary software) and other intangible assets.

Goodwill

Goodwill is allocated to cash-generating units and tested for impairment at least once a year or whenever there is objective evidence of impairment. The carrying amount of the cash-generating unit including allocated goodwill is compared against its recoverable amount. The recoverable amount is the greater of value in use or the fair value less cost to sell. If the original expected benefits are no longer expected, impairment is charged initially against the unit's goodwill. Any remaining impairment charge that exceeds the unit's goodwill is charged proportionately against the other assets of the cash-generating unit.

Impairment of goodwill is recognised in other income and expenses; impairment reversals are not recognised.

Intangible assets produced in-house and other intangible assets

The costs for software development are capitalised where its production is likely to result in an inflow of economic benefits and costs can be determined reliably. If the criteria for capitalisation are not met, the development costs are immediately expensed in the income statement.

Intangible assets produced in-house and other intangible assets are measured at amortised cost. They are amortised on a straight-line basis over an expected useful life of usually four or five years or up to ten years in certain cases.

If impairment is indicated, this is reported as an impairment loss. If the reasons for impairment cease to apply, an impairment reversal is made up to the value of the amortised cost.

Amortisation of intangible assets produced in-house and other intangible assets are recognised under administrative expenses; impairment reversals are reported in other income and expenses.

(16) Non-current assets or disposal groups classified as held for sale

This item comprises both non-current assets in the held-for-sale category and the assets of disposal groups in the held-for-sale category.

They are designated as held for sale if their carrying amount is to be recovered principally through a sale transaction rather than through continuing use and the non-current asset or disposal group can be sold immediately in its present condition and the sale is highly probable.

Non-current assets or disposal groups classified as held for sale are recognised at the end of the reporting period at the lower of carrying amount and fair value less costs of sale if there are no measurement exceptions in accordance with IFRS 5.

The earnings or losses of disposal groups which meet the criteria for classification as discontinued operations are not reported in the income statement under gains or losses on continuing operations, but separately under the line item gains or losses on discontinued operations.

(17) Other assets

Other assets comprise assets not allocated to one of the other items on the assets side. It includes pre-paid expenses, precious metals and claims from reinsurance.

(18) Liabilities

Liabilities to banks and customers and securitised liabilities are measured at amortised cost if they are not allocated to the fair value option category or if they are not underlying transactions in an effective fair value hedge. Premiums and discounts are spread over the term of the transaction and recognised in interest expenses.

(19) Liabilities held for trading

Liabilities held for trading comprise all held-for-trading financial liabilities and derivative financial instruments with negative market values reported on the balance sheet in accordance with IAS 39 and not designated as hedging instruments in accordance with hedge accounting criteria under IAS 39. Measurement results and realised and current income or expenses from liabilities held for trading are normally recognised in gains or losses on fair value measurement except for current income from derivatives in economic hedges, which is recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(20) Negative fair values from derivative financial instruments (hedge accounting)

This balance sheet item comprises derivative financial instruments with negative market values, which are used as hedges and meet hedge accounting criteria in accordance with IAS 39. The derivative instruments are measured at fair value. Changes in the fair value of hedging instruments and changes in the fair value of hedged underlying transactions arising from the hedged risk are reported under gains or losses on hedge accounting. Interest income and expenses from hedging derivatives are recognised in net interest income.

If the requirements for netting financial assets against financial liabilities are met, derivative financial instruments are recognised at the net value of their market price and any variation margin paid or received.

(21) Provisions

Provisions for pensions and similar obligations and other provisions are recognised under this item.

Provisions for pensions and similar obligations

Occupational retirement benefits within the BayernLB Group are based on a range of pension schemes. Employees acquire rights to benefit entitlements based on a direct pension commitment, where the size of the benefit is defined and dependent on factors such as salary, age and length of service (defined benefit plans). Alternatively employees acquire rights to benefit entitlements based on an indirect pension commitment, which is funded through defined contributions to a pension institution (external benefit provider) (defined contribution plans). There is no legal or de facto obligation to provide benefits beyond these terms for these plans, which predominantly relate to foreign branches. Most pension commitments in the BayernLB Group are in the form of cash-based defined benefit plans for employees in Germany.

In the BayernLB Group, the core element of the promised defined benefit obligations provided directly by the employer is the full benefits package (Gesamtversorgungszusage) modelled on the pension system for civil servants ("pension eligibility"). The size of the pension commitments for defined benefit plans is based largely on each employee's salary, length of service and other criteria. Civil-servant style pension benefits were agreed in individual employment contracts. Only employees with at least 20 years of eligible service who also meet other criteria such as positive performance evaluations and no negative health issues were eligible for these pension benefits. The full benefits package also includes entitlements to allowances in the event of illness.

In essence, no more employees are being added to the number of employees eligible for civil-servant style pension benefits, as BayernLB cut off new entrants at the end of the first quarter of 2009. In a suit brought by employees who were originally entitled to qualify for the civil-servant style benefits under the terms of their employment agreements, the German Federal Employment Court in Erfurt, Germany ruled on 15 May 2012 in favour of the plaintiffs to restore their eligibility to these pension benefits, provided they meet certain criteria.

BayernLB also has two legally independent pension funds (Versorgungskasse) for its indirect benefit obligations in Germany: Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse I) and Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich (Versorgungskasse II). Versorgungskasse I primarily manages obligations to former employees entitled to or in receipt of vested benefits, while Versorgungskasse II manages the portion of the benefits package that had already been earned when the arrangements were changed in respect of some occupational retirement benefits in financial year 2010. BayernLB makes regular contributions to the pension funds in accordance with thresholds defined by fiscal law.

Defined benefit pension obligations are partly funded by assets and qualifying insurance policies. To qualify as plan assets, they must be separated from the employer's other assets (e.g. by placing them in a separate fund held by a legally independent benefit provider) and only used to provide employees' benefits. The plan assets invested in Germany by Versorgungskasse I and in the United Kingdom are administered by externally managed funds and insurance companies. BayernLB sets the general investment guidelines for these funds, but does not take specific investment decisions. The assets in the pension plan in the United Kingdom are also subject to a legal minimum funding requirement. This obliges the trustees and the Bank as the sponsoring undertaking to ensure sufficient plan assets are available to cover pension liabilities. Under the trust deed, the trustee is required to regularly check the value of the plan assets and to arrange for additional funding if the value of the plan assets falls below that of the pension liabilities.

To fund the pension obligations of Versorgungskasse II, BayernLB purchased reinsurance in the amount of the existing rights to entitlements, which is managed by an external trustee. In addition, the rights to entitlements are protected from insolvency. The assets managed in trust by the trustee do not qualify as plan assets. As the beneficial owner, BayernLB reports the claims from reinsurance as an asset on the balance sheet under the "other assets" item. These assets from the claims from reinsurance (reimbursement claims) are equivalent to the benefit entitlements in terms of size and maturity, so that the assets and indirect pension obligations via Versorgungskasse II are recognised in the same amount.

Under the 2005 and 2010 pension schemes, BayernLB employees in Germany acquire rights to benefit entitlements based on indirect pension commitments. To fund these pension commitments, BayernLB and current employees pay defined contributions to two external benefit providers not part of the Group (ÖBAV Unterstützungskasse e. V., Munich and BVV Versorgungskasse des Bankgewerbes e. V., Berlin). These providers conclude reinsurance to fund occupational retirement benefits. The contributions to the pension institutions comprise in terms of the basic provision employer-funded allowances based on a defined percentage of annual remuneration. In addition to the basic provision, employees can also pay contributions through deferred compensation via the employer to the pension institution. The benefits promised by BayernLB are essentially the same as the ones the external benefit providers have agreed to provide. However, the external benefit providers are not under an explicit obligation to provide annual pension raises. As an annual pension raise is not explicitly ruled out in the contract, BayernLB still has a de facto obligation to provide the benefits. Consequently these indirect pension obligations are treated formally like defined benefit plans in accordance with IAS 19, but accounted for as defined contribution plans due to their economic substance. This means that the contribution payments made to the

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

external benefit providers are recognised as pension costs and therefore in administrative expenses, while the net present value of the benefit obligations and the plan assets used to cover them are of the same size so that no pension provisions for these pension schemes are reported on the BayernLB Group's balance sheet. Based on the current outlook, it is unlikely that the annual pension raise guarantee will be utilised.

All direct obligations from pensions and allowances in the event of illness and other indirect pension obligations within the BayernLB Group are calculated each year in actuarial reports produced by independent actuaries.

The size of the defined benefit plan obligations is calculated using the projected unit credit method, which measures the obligations on the basis of the proportion of the defined benefit entitlements acquired at the end of the reporting period. Assumptions about future trends of certain parameters such as salaries and pensions, and the discount rate are made when conducting the measurement. The discount rate is based on yields on high-quality corporate bonds on the respective markets. The values of the parameters used to measure plan assets, especially the discount rate, have a major impact on the amount of the benefits in the pension plans.

The following actuarial assumptions are used:

in %	2015	2014
Discount rate	2.3	2.0
Salaries	2.7	2.8
Benefits ¹	2.3	2.3
Medical costs	4.5	4.3

¹ In addition to this, BayernLB's benefits in Germany were estimated to grow at a rate of 1.25 percent.

They are measured in Germany on the basis of Professor Dr Klaus Heubeck's biometric probabilities (in the "Richttafeln 2005G" actuarial tables) and in other countries on the basis of country-specific mortality tables.

The qualifying plan assets used to cover pension obligations are measured at fair value on the reporting date. If pension assets exceed pension obligations, the surplus asset is accounted for under the asset ceiling rules. The asset is recognised when future economic benefits are available taking account of charges for a reduction in future contributions due to existing minimum funding requirements being met.

To calculate the amount of the pension provision, the fair value of any plan assets is deducted from the present value of the pension obligation (pension deficit or surplus). The potential impact from the pension asset ceiling is then incorporated.

The impact from the remeasurement of defined benefit plans, such as actuarial gains and losses arising from the difference between expected and actual values or changed assumptions, is now recognised directly in the period it arises in retained earnings within equity and not through the income statement and in parallel in pension provisions. The rules therefore specify these amounts cannot be reclassified to the income statement in future periods.

Regular contributions to fund pension obligations and pension schemes will have a negative impact on the BayernLB Group's liquidity in future periods. The Group's pension obligations are not fully funded by plan assets, i.e. pension obligations exceed plan assets at Group level, resulting in a shortfall in funding. Even marginal changes in the actuarial assumptions used to measure pension plans, notably the discount rate and future growth of salaries and pensions, would produce a change in the funding situation and by extension the pension provisions. The value of externally invested plan assets is also subject to capital market volatility, which is outside of BayernLB's control. Plan assets are invested in a range of asset classes to prevent risk concentrations. The investment strategy matches the maturity structure of the assets with the expected pension payout dates. This is especially the case for plan assets of a foreign branch, whose funds for covering pension obligations are invested in several asset classes such as equities and fixed-interest securities. Unfavourable capital market performance could lead to material shortfalls in the coverage of its pension obligations and increase the BayernLB Group's pension obligations. Such an increase could have a negative impact on BayernLB's financial situation as additional funds would have to be injected to fund the pension obligations. BayernLB must also pay contributions to the healthcare costs of current and former employees, which could also rise in the future.

The risks arising from the BayernLB Group's pension plans are addressed in the Group-wide asset liability management strategy. To reduce the risks from defined benefit plans, new plans have been introduced in recent years at BayernLB in Germany, and at a foreign branch, some pension obligations and their related pension assets were transferred to external pension funds.

Other provisions

Provisions in the credit business are made for both single transactions and portfolios to meet contingent liabilities and other commitments where there is a risk of default.

Other provisions are made in accordance with IAS 37 for present legal or de facto obligations if it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations.

(22) Other liabilities

Other liabilities comprise liabilities not allocated to one of the other items on the liabilities side. It includes deferred income and accruals.

(23) Hybrid capital instruments

Debt and equity instruments are classified in accordance with IAS 32, taking account of IDW statement HFA 45 on the presentation of financial instruments under IAS 32. A financial instrument is therefore recognised in equity if for example

- it evidences a residual interest in the assets of an entity after deducting all of its liabilities (IAS 32.11) and
- it contains no contractual obligation to deliver cash or another financial asset to the contractual partner (IAS 32.16)

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

The contractual terms of the hybrid capital instruments used by BayernLB result in the following accounting treatment and measurement in the consolidated financial statements.

Perpetual silent partner contributions not callable by the lender meet the criteria for disclosure under equity.

As they are compound financial instruments, dated silent partner contributions, including those that are callable by the lender, and profit participation certificates, must be divided into their equity and debt components (split accounting). The fair value of the debt component was initially measured by discounting the nominal value of the compound instrument as a whole by its effective interest rate. The value is recognised in the balance sheet in the subordinated capital item. In subsequent years, interest on the debt component accrues and the resulting expense is reported in net interest income. The equity component – which as a residual interest as defined in IAS 32.11 corresponds to the present value of expected future distributions – is recognised in equity in the compound instruments (equity component) sub-item. Distributions on compound instruments are made only if their payment does not produce or increase a net accumulated loss in the separate accounts prepared under the German Commercial Code (HGB).

If a compound financial instrument shares in the losses, this affects the repayment of the nominal value of the compound instrument and therefore the debt component whose present value must be adjusted as necessary to take account of the changed cash flow expectations in accordance with IAS 39 AG8. The income resulting from the change in the present value (or expenses resulting from replenishing the instrument in subsequent years) is recognised in other income and expenses.

Subordinated innovative financial products (e.g. preferred shares), which are classified as Tier 1 capital under banking supervisory law, are reported as hybrid capital under the subordinated capital item on the balance sheet.

(24) Leasing

In accordance with IAS 17, leases are divided into finance leases and operating leases. Agreements are classified on the basis of the distribution of economic risks and rewards from the leased property. A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership to the lessee.

The BayernLB Group as lessor

In finance leases, the assets arising from the leasing agreement are recognised as receivables due from the lessee at their net investment value. Lease payments received from the lessee are apportioned into an interest component and principal component. The interest component is reported as interest income. The principal component reduces the receivable with no impact on the income statement.

In operating leases, leased property is measured at amortised cost and recognised as investment property or as property, plant and equipment. Lease payments received and impairments and depreciation are reported in other income and expenses.

The BayernLB Group as lessee

In finance leases, leased items are recognised either as investment property or as property, plant and equipment, and the obligations to the lessor as a liability. Lease payments to be made are apportioned into an interest component and a principal component. The interest portion is recognised as interest expenses. The principal component reduces the liability with no impact on the income statement.

Lease payments payable by the BayernLB Group in operating leases are recognised under administrative expenses.

(25) Tax

Current tax assets and liabilities are measured by applying the currently applicable tax rates. Income tax receivables and liabilities are recognised in the amount of the expected refund or payment.

Deferred tax assets and liabilities result from the temporary differences between the carrying amount of an asset or a liability and the tax base and from unused loss carryforwards and tax credits. This creates tax liabilities or assets expected in the future. Deferred taxes are recognised where permitted. They are measured for each of the companies consolidated within the Group, at the specific applicable income tax rate expected to be applicable for the period of the reversal of the temporary differences based on tax laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets are only reported if it is probable that taxable profit in future periods will be sufficiently high to offset the as yet unused tax losses carried forward and deductible temporary differences. The amount of deferred tax assets recognised is calculated on the basis of the tax planning for the company in question or – if a tax group exists – for the consolidated tax group in question. When recognising deferred tax assets from interest carryforwards, the same accounting policies as used for deferred tax assets from tax loss carryforwards are applied.

Deferred taxes are not discounted. Deferred tax assets and liabilities are created and carried through profit or loss if the underlying item is recognised in the income statement, or are created and carried in equity if the underlying item is recognised in equity.

Income tax expenses and income to be charged against profit before taxes are reported in the consolidated income statement as income taxes. Other taxes not based on income are reported under other income and expenses.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Segment reporting

(26) Notes to the segment report

The segment report reflects the business structure of the BayernLB Group. A total of six segments are shown comprising the operating business segments, the Central Areas & Others segment, including the Consolidation column, and the Non-Core Unit. The earnings of the consolidated subsidiaries and units are also allocated to the segment to which they have been assigned.

Segment reporting is based on IFRS 8 and therefore on the monthly management reports submitted to the Board of Management, which serves as the chief operating decision maker as defined in IFRS 8.7. The management reports – and therefore the segmentation – are based on the accounting policies used in the consolidated financial statements under IFRS. Segment reporting does not therefore need to be reconciled with the IFRS accounting policies used in the consolidated financial statements. The earnings contributions reported under the segments are generated largely from financial services. Net interest income and net commission income are shown respectively as net figures comprising interest income and interest expenses and commission income and commission expenses. The additional information about products and services required under IFRS 8.32 and on non-current assets by geographical region required under IFRS 8.33 (b) is not available and the costs of providing the information would be excessive.

In line with the business model of the BayernLB Group, the segment structure has been modified somewhat from that as at 31 December 2014. The business segments are now: Corporates & Mittelstand (Corporates, Mittelstand & Financial Institutions up to 31 December 2014), Real Estate & Savings Banks/Association, Deutsche Kreditbank (DKB) and Financial Markets (Markets up to 31 December 2014). In addition, there are the Central Areas & Others and the Non-Core Unit segments. All segments were affected by the changes discussed below, although the impact is very minor in some segments.

At the beginning of financial year 2015, most of the Financial Institutions division was transferred from the Corporates, Mittelstand & Financial Institutions segment to the Financial Markets segment. This involved mostly BayernLB's business relationships with banks in the developed markets, insurers and other institutional customers, which are primarily focused on capital market-oriented products. At the same time, the subsidiary Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.), which was in the Real Estate & Savings Banks/Association segment in the previous year, was transferred to the Financial Markets segment. The subsidiary Bayern Card-Services GmbH - S-Finanzgruppe, Munich (BCS) was consolidated for the first time on 1 January 2015 and assigned to the DKB segment. The earnings contributions arising from the equity interest in BCS were previously reported under the Central Areas & Others segment.

The equity interest in gewerbegründ Projektentwicklungsgesellschaft (gpe) mbH, Munich is no longer part of the core business. Accordingly this equity interest including its associated business relationships were transferred to the "Non-Core Unit" segment (previously Central Areas & Others) from 1 January 2015.

Due to the ongoing restructuring of the Group and in order to ensure more systematic allocation to financial sources, selected adjustments were also made to the allocation of earnings contributions from subsidiaries and to consolidation entries, which will be booked as far as possible under the segments. Besides the Consolidation column, this affected the DKB, Central Areas & Others and Non-Core Unit segments. The remaining consolidation entries not allocated to the segments are shown under the Consolidation column. This mainly relates to the measurements results in the net interest income, gains and losses on fair value measurement and other income and expenses items. These mainly arise from differences in the way internal Group transactions are measured and the application of hedge accounting to cross-segment derivatives transactions. The adjustments significantly reduced the net impact on profit before taxes arising from the consolidation entries not allocated to any segment.

The quantitative segment figures for the comparison period were adjusted in accordance with the new structure and the allocation of earnings contributions from subsidiaries and consolidation entries.

In accordance with internal management reporting, the Central Areas & Others segment and the Consolidation column are aggregated. A breakdown of the Central Areas & Others segment and consolidation entries not allocated to the segments is shown separately.

For the purposes of internal management, economic capital is allocated to the segments on the basis of the risk-weighted assets taken on in accordance with the applicable supervisory regulations. In the Consolidation column, which is aggregated with the Central Areas & Others segment, economic capital is reconciled with reported equity on the balance sheet.

The risk-weighted assets (RWA) include the figures on the reporting date for credit risk, market risk positions and operational risk. The reported return on equity (RoE) has been calculated at segment level by dividing profit before taxes by economic capital actually allocated; the cost/income ratio (CIR) is the ratio of administrative expenses to the sum of net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, gains or losses on financial investments and other income and expenses.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Segment reporting as at 31 December 2015

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Non-Core Unit	Group
Net interest income	317	244	789	100	79	81	1,612
Risk provisions in the credit business	65	38	-64	-	-	-304	-264
Net commission income	115	81	22	36	-6	11	258
Gains or losses on fair value measurement	48	50	15	50	-103	-121	-62
Gains or losses on hedge accounting	-	-2	-40	14	3	-	-24
Gains or losses on financial investments	-	-	11	107	94	74	286
Administrative expenses	-258	-191	-398	-193	-10	-118	-1,168
Expenses for the bank levy and deposit guarantee scheme	-	-1	-14	-	-75	-	-90
Other income and expenses	-6	-2	14	24	37	35	102
Gains or losses on restructuring	-	-5	-	-	-	-5	-10
Profit/loss before taxes	282	212	336	138	19	-347	640
Risk-weighted assets (RWA)	22,196	7,110	24,806	8,543	2,182	4,769	69,606
Average economic/reported equity	2,239	780	2,853	1,010	3,418	691	10,992
Return on equity (RoE) (%)	12.6	27.2	11.8	13.7	0.5	-50.2	5.8
Cost/income ratio (CIR) (%)	54.4	51.4	49.0	58.4	9.7	146.9	53.8
Average number of employees (FTE)	346	453	3,108	3,108	1,805	176	6,453

Segment reporting as at 31 December 2014¹

EUR million	Corporates & Mittelstand	Real Estate & Savings Banks/ Association	DKB	Financial Markets	Central Areas & Others (including Consolidation)	Non-Core Unit	Group
Net interest income	348	279	656	272	102	13	1,671
Risk provisions in the credit business	-73	49	-110	70	-	-1,433	-1,498
Net commission income	133	75	-6	25	-7	29	249
Gains or losses on fair value measurement	32	18	18	-140	-64	111	-25
Gains or losses on hedge accounting	-	6	-32	-50	5	-	-70
Gains or losses on financial investments	-	-1	15	-5	10	400	419
Administrative expenses	-248	-176	-357	-208	-13	-168	-1,171
Expenses for the bank levy and deposit guarantee scheme	-	-	-2	-	-2	-	-4
Other income and expenses	5	-1	8	19	46	36	114
Gains or losses on restructuring	-	-	-	-	-25	-7	-33
Profit/loss before taxes	198	250	190	-17	51	-1,020	-348
Risk-weighted assets (RWA)	21,218	8,581	25,217	9,982	2,692	8,926	76,616
Average economic/reported equity	2,120	847	2,964	1,127	4,274	1,839	13,172
Return on equity (RoE) (%)	9.3	29.5	6.4	-1.5	1.2	-55.4	-2.6
Cost/income ratio (CIR) (%)	47.8	46.6	54.1	171.1	14.8	28.6	49.7
Average number of employees (FTE)	489	502	2,781	584	1,705	284	6,345

¹ Adjusted as per IFRS 8.29.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2015

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	46	34	79
Net commission income	-6	-	-6
Gains or losses on fair value measurement	-68	-35	-103
Gains or losses on hedge accounting	3	-	3
Gains or losses on financial investments	92	2	94
Administrative expenses	-15	5	-10
Expenses for the bank levy and deposit guarantee scheme	-75	-	-75
Other income and expenses	46	-9	37
Gains or losses on restructuring	-	-	-
Profit/loss before taxes	22	-3	19
Risk-weighted assets (RWA)	2,182	-	2,182
Average economic/reported equity	285	3,133	3,418

Breakdown of the aggregated Central Areas & Others segment results and consolidation entries not allocated to the segments as at 31 December 2014¹

EUR million	Central Areas & Others	Consolidation	Central Areas & Others (including Consolidation)
Net interest income	53	49	102
Net commission income	-8	-	-7
Gains or losses on fair value measurement	-31	-33	-64
Gains or losses on hedge accounting	1	4	5
Gains or losses on financial investments	10	-	10
Administrative expenses	-17	4	-13
Expenses for the bank levy and deposit guarantee scheme	-2	-	-2
Other income and expenses	50	-3	46
Gains or losses on restructuring	-25	-	-25
Profit/loss before taxes	31	20	51
Risk-weighted assets (RWA)	2,692	-	2,692
Average economic/reported equity	507	3,767	4,274

¹ Adjusted as per IFRS 8.29.

Notes on delimitation of segments

The Corporates & Mittelstand segment serves large German Mittelstand companies, large German corporations and international companies with a connection to Germany. These include in particular DAX and MDAX-listed companies, and family-owned or operated businesses which conduct international business from their German home market. To better serve our customers' export and trade finance needs as well as provide payment services, this segment also includes relationships with banks in emerging markets. In addition, the Corporates & Mittelstand segment conducts the syndicated loan business together with the Bavarian savings banks for their corporate customers. The following core activities are conducted in this segment: traditional loan financing, including working capital, capex and trade financing, leasing finance and also project and export financing for globally operating customers focussing on the infrastructure, energy and renewable energy sectors. It also acts as lead manager for its customers in syndicated loans and plays a leading role in placing corporate bonds and Schuldschein note loans on the market in cooperation with the Financial Markets business area.

The Real Estate & Savings Banks/Association segment incorporates business with commercial and residential real estate customers, the savings banks and the public sector. In addition, the legally dependent institution Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) is allocated to this segment. The Real Estate division focuses on long-term commercial real estate financing in

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Bavaria and Germany and business with residential construction companies and residential property developers. BayernLB offers commercial real estate customers a comprehensive range of services related to real estate financing. The Savings Banks & Association division now forms the central hub for collaboration with savings banks and public sector customers in Germany. Its activities include BayernLB's business with savings banks in Germany, particularly Bavaria, and the state-subsidised loan business. The savings banks are a fundamental part of BayernLB's business model as both customers and as sales partners. The division also serves state and municipal customers and public agencies in Germany which BayernLB, as a partner, provides with a wide range of products and tailor-made solutions. BayernLabo is responsible for the non-competitive residential construction and urban development business under public mandate on behalf of BayernLB. It also provides financing for local authorities in Bavaria.

The DKB segment consists of the core business activities of the Deutsche Kreditbank Aktiengesellschaft, Berlin (DKB) sub-group. The subsidiary BCS, which was consolidated for the first time, also comes under this segment. In retail banking, DKB operates as an internet bank providing standardised products at transparent conditions. In addition, its business activities include the infrastructure and corporate customers markets. It specialises here largely on promising sectors with long-term growth potential such as residential property, healthcare and education and research, agriculture and renewable energy. BCS's business activities are focused on credit card services.

The Financial Markets segment comprises the business area of the same name and the consolidated subsidiaries BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest) and Real I.S. The Financial Markets business area combines all trading and issuing activities as well as asset and liability management. BayernLB's business relationships with banks in developed markets, insurers and other institutional customers which are primarily focused on capital market products are assigned to this segment. The Financial Markets segment also provides a range of capital market and Treasury products that are cross-sold to BayernLB's Corporates, Mittelstand, Savings Banks and Real Estate customers. Market and default risks are hedged and solvency assured at all times through risk and liquidity management.

The Central Areas & Others segment is aggregated with the Consolidation column in accordance with internal management reporting. It comprises earnings contributions from the central areas Corporate Center, Financial Office, Operating Office and Risk Office. The segment also includes core business transactions that cannot be allocated to either a business area or a central area. The consolidated subsidiary BayernLB Capital LLC I, Wilmington is also allocated to this segment. The Consolidation column includes consolidation entries not allocated to any segment.

All non-core activities have been transferred to the Non-Core Unit segment. It contains the Restructuring Unit, the non-core activities of DKB, the Other NCU sub-segment, including the consolidated subsidiary Banque LBLux S.A. in Liquidation, Luxembourg, and the loans to HETA Asset Resolution AG, Klagenfurt, including their funding.

Earnings from typical banking operations after risk provisions (net interest income, net commission income, gains or losses on fair value measurement, gains or losses on hedge accounting, and gains or losses on financial investments) were EUR 1,806 million (FY 2014: EUR 746 million), including EUR 25 million (FY 2014: EUR –43 million) in Europe excluding Germany, and EUR 130 million (FY 2014: EUR 774 million) in America. Of the risk-weighted assets (RWA) in the amount of EUR 69,606 million (FY 2014: EUR 76,616 million) recognised instead of non-current assets, EUR 1,378 million (FY 2014: EUR 4,279 million) relate to Europe excluding Germany and EUR 2,539 million (FY 2014: EUR 2,585 million) relate to America.

Notes to the statement of comprehensive income

(27) Net interest income

EUR million	2015	2014
Interest income	6,459	7,253
• From lending and money market transactions	4,224	4,748
of which:		
– from unwinding	46	36
• From bonds, notes and other fixed-income securities	292	469
• Current income from equities and other non-fixed income securities	3	3
• Current income from interests in non-consolidated subsidiaries, joint ventures, associates and other interests	10	14
• Current income from profit-pooling and profit transfer agreements	4	2
• Current income from other financial investments	9	12
• From hedge accounting derivatives	897	997
• From derivatives in economic hedges	1,019	1,008
Interest expenses	4,847	5,582
• For liabilities to banks and customers	2,009	2,368
• For securitised liabilities	473	667
• For subordinated capital	194	206
• For hedge accounting derivatives	1,205	1,343
• For derivatives in economic hedges	860	857
• Other interest expenses	105	140
Total	1,612	1,671

Net interest income includes a negligible amount of negative interest.

Interest income from financial assets and financial liabilities not carried at fair value in the income statement totalled EUR 4,513 million (FY 2014: EUR 5,213 million). Interest expenses totalled EUR 2,518 million (FY 2014: EUR 3,066 million).

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(28) Risk provisions in the credit business

EUR million	2015	2014
Additions	652	1,848
Direct writedowns	15	175
Releases	271	417
Recoveries on written down receivables	106	75
Other gains or losses on risk provisions	25	33
Total	264	1,498

The amounts include on-balance sheet and off-balance sheet credit transactions.

(29) Net commission income

EUR million	2015	2014
Securities business	62	53
Broker fees	-14	-18
Lending business	152	191
Payments	-46	-40
Foreign commercial operations	3	3
Trust transactions	18	19
Miscellaneous	83	42
Total	258	249

Net commission income includes EUR 109 million (FY 2014: EUR 110 million) from financial instruments. This commission primarily relates to financial assets and financial liabilities not carried at fair value in the income statement.

(30) Gains or losses on fair value measurement

EUR million	2015	2014
Net trading income	-118	35
• Interest-related transactions	-14	-52
• Equity-related and index-related transactions and transactions with other risks	-1	3
• Currency-related transactions	-120	17
• Credit derivatives	-2	74
• Other financial transactions	39	35
• Refinancing of trading portfolios	-7	-19
• Trading-related commission	-14	-23
Fair value gains or losses from the fair value option	57	-59
Total	-62	-25

Net trading income includes realised and unrealised gains or losses attributable to these trading activities, the interest and dividend income related to these transactions, and gains or losses on foreign currency translation.

Current income and expenses from financial instruments in the fair value option category and from derivatives in economic hedges are reported under net interest income.

(31) Gains or losses on hedge accounting

EUR million	2015	2014
Gains or losses on micro fair value hedges	16	-38
• Measurement of underlying transactions	207	-502
• Measurement of hedging instruments	-191	464
Gains or losses on portfolio fair value hedges	-40	-32
• Measurement of underlying transactions	62	413
• Amortisation of the portfolio hedge adjustment	-516	-502
• Measurement of hedging instruments	415	56
Total	-24	-70

(32) Gains or losses on financial investments

EUR million	2015	2014
Gains or losses on financial investments in the loans and receivables category	29	182
• Gains or losses on sales	26	60
• Income from impairment reversals	3	132
– specific loan loss provisions	–	53
– portfolio provisions	3	79
• Expenses from impairments	1	11
– specific loan loss provisions	–	1
– portfolio provisions	1	9
Gains or losses on financial investments in the available-for-sale category	257	254
• Gains or losses on sales	311	-510
• Income from impairment reversals	–	861
• Expenses from impairments	53	97
Gains or losses on deconsolidation	–	-17
Total	286	419

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(33) Administrative expenses

EUR million	2015	2014
Staff costs	631	596
• Salaries and wages	491	477
• Social security contributions	62	60
of which:		
– employer contributions to statutory pension scheme	31	31
• Expenses for pensions and other employee benefits	78	60
of which:		
– expenses for defined contribution plans	9	9
Other administrative expenses	497	527
• Owner-occupied property	60	57
• Data processing costs	156	158
• Office costs	3	3
• Advertising	39	41
• Communication and other selling costs	50	52
• Membership, legal and consulting fees	155	186
• Miscellaneous administrative costs	33	30
Amortisation and depreciation of property, plant and equipment and intangible assets (not including goodwill)	40	48
Total	1,168	1,171

(34) Expenses for the bank levy and deposit guarantee scheme

EUR million	2015	2014
Expenses for the bank levy	39	4
Expenses for the deposit guarantee scheme	50	–
Total	90	4

(35) Other income and expenses

EUR million	2015	2014
Other income	391	379
• Rental income	5	5
of which:		
– rental income from investment property	3	4
• Gains on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory	6	43
• Gains on the sale of receivables	108	4
• Gains on the sale of underlying transactions from hedge accounting	12	63
• Gains on repurchases of own issues	10	7
• Income from the release of provisions	26	27
• Interest income from tax refunds due	87	20
• Sundry other income	136	208
Other expenses	288	265
• Current expenses from investment property	2	–
– leased property	2	–
• Losses on the sale of investment property, property, plant and equipment, intangible assets, and property held as inventory	2	1
• Depreciation of investment property and property held as inventory	2	2
• Losses on sales of receivables	109	1
• Losses on the sale of underlying transactions from hedge accounting	–	6
• Losses on repurchases of own issues	28	77
• Expenses from establishing provisions	17	5
• Expenses from loss transfers	6	5
• Expenses from other taxes	15	7
• Interest expenses from tax arrears	39	19
• Sundry other expenses	69	144
Total	102	114

The remainder of other income and the remainder of other expenses includes principally income and expenses that are not typical for banks. This is primarily income from fund transactions. In the previous year the item also included income and expenses from energy sales and trading.

(36) Gains or losses on restructuring

EUR million	2015	2014
Income from restructuring measures	4	–
Expenses for restructuring measures	15	33
Total	–10	–33

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(37) Income taxes

EUR million	2015	2014
Current income taxes	191	-7
• Domestic and foreign corporation tax including solidarity surcharge	54	-11
• Municipal trade tax/foreign local taxes	137	4
Deferred income taxes	-41	-91
• Domestic and foreign corporation tax including solidarity surcharge	-29	-39
• Municipal trade tax/foreign local taxes	-12	-52
Total	150	-99

The tax expense totalled EUR 150 million in the reporting year (FY 2014: tax income of EUR 99 million). Deferred tax income of EUR 41 million (FY 2014: EUR 91 million) arose from changes in the value of deferred tax assets on loss carryforwards, tax credits and temporary differences.

The change to the income tax rates for certain companies liable to taxes produced a tax expense of EUR 3 million (FY 2014: tax income of EUR 23 million). This was primarily due to changes in the tax rate applicable to the New York foreign branch.

The effective tax expense recognised in the reporting year was EUR 55 million lower (FY 2014: EUR 12 million lower tax income) than the estimated tax expense. The factors responsible for this difference are shown in the table below:

EUR million	2015	2014
Profit/loss before taxes	640	-348
Group tax rate (in %)	32.0	32.0
Estimated tax expense (+)/ or income (-)	205	-111
Effects from differing local tax rates	-2	133
Effects from taxes from previous years recognised in the reporting year	-256	-297
Effects from changes in tax rates	3	-23
Effects from non-deductible losses on sales or writedowns of interests and shareholder loans and from deconsolidation	87	430
Effects from additions to/deductions of municipal trade tax	20	78
Effects from other non-deductible operating expenses	16	110
Effects from tax-free income	-59	-91
Effects from permanent accounting differences	4	-611
Effects from writedowns/corrections	150	282
Other	-18	1
Effective tax expense (+) or income (-)	150	-99
Effective tax rate (in %)	23.4	28.4

Estimated income tax expenses/income were calculated using the tax rate for companies liable to taxes in Germany. In the reporting year, based on the applicable tax rates for corporate income tax, the solidarity surcharge and municipal trade tax, the Group tax rate was 32.0 percent as at the reporting date (FY 2014: 32.0 percent).

The main factors affecting the effective tax rate in FY 2015 were tax effects from previous years recognised in the financial year, non-deductible losses from equity interests, and writedowns and corrections.

The tax income from previous years recognised in the financial year of EUR 256 million (FY 2014: EUR 297 million) arose mainly from the recognition of deferred taxes on loss carryforwards in the Bank's domestic units (EUR 113 million), tax refunds due on loss carryforwards at the New York branch (EUR 101 million) and the recognition of tax refunds for previous years in the consolidated tax group of the Bank's domestic units (EUR 34 million).

The non-tax deductible reductions in earnings from equity interests produced tax expenses of EUR 87 million (FY 2014: EUR 430 million).

The tax effects from writedowns and corrections (totalling EUR 150 million) arose from deferred taxes not yet recognised on temporary differences and loss carryforwards, and the offsetting effect of losses retrospectively claimed against taxes. In the reporting year these mainly arose at the New York branch (EUR 64 million), the consolidated tax group of the Bank's domestic units (EUR 61 million), and the London branch (EUR 20 million).

(38) Gains or losses on discontinued operations

EUR million	2015	2014
Net interest income	–	135
Risk provisions in the credit business	–	66
Net commission income	–	56
Gains or losses on fair value measurement	–	19
Gains or losses on financial investments	–	–7
Income from interests in companies measured at equity	–	–2
Administrative expenses	–	114
Expenses for the bank levy and deposit guarantee scheme	–	44
Other income and expenses	–	–190
Profit/loss before taxes	–	–214
Income taxes	–	1
Gains or losses on measurement (at fair value less costs of disposal) or from disposal	–	–855
Total	–	–1,070

In the reporting year the BayernLB Group did not report any gains or losses on discontinued operations.

As at 31 December 2014 this item included EUR 10 million of interest income from unwinding.

As at 31 December 2014 interest income from financial assets and financial liabilities not carried at fair value in the income statement totalled EUR 184 million. Interest expenses totalled EUR 59 million.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

As at 31 December 2014 risk provisions in the credit business included EUR 131 million of expenses and EUR 65 million of income.

As at 31 December 2014, net commission income included EUR 36 million from financial instruments. This commission primarily related to financial assets and financial liabilities not carried at fair value in the income statement.

Notes to the balance sheet

(39) Cash reserves

EUR million	2015	2014
Cash	51	27
Deposits with central banks	2,195	1,014
Total	2,246	1,041

(40) Loans and advances to banks

EUR million	2015	2014
Loans and advances to domestic banks	20,876	24,257
Loans and advances to foreign banks	8,547	12,834
Total	29,423	37,091

Loans and advances to banks by maturity

EUR million	2015	2014
Payable on demand	1,265	1,678
With residual maturity of	28,158	35,413
• up to 3 months	9,971	14,320
• between 3 months and 1 year	4,059	6,362
• between 1 year and 5 years	7,011	7,271
• more than 5 years	7,117	7,461
Total	29,423	37,091

(41) Loans and advances to customers

EUR million	2015	2014
Loans and advances to domestic customers	111,351	110,359
• Government entities/companies under public law	25,931	27,713
• Private companies/private individuals	85,419	82,646
Loans and advances to foreign customers	24,462	23,658
• Government entities/companies under public law	2,072	2,169
• Private companies/private individuals	22,390	21,489
Total	135,812	134,017

Loans and advances to customers by maturity

EUR million	2015	2014
With residual maturity of	134,076	131,118
• up to 3 months	15,850	15,020
• between 3 months and 1 year	10,535	10,852
• between 1 year and 5 years	41,696	37,525
• more than 5 years	65,996	67,720
Perpetual maturities	1,736	2,899
Total	135,812	134,017

(42) Risk provisions

EUR million	2015	2014
Specific loan loss provisions	2,518	2,864
Portfolio provisions	228	175
Total	2,746	3,039

Changes in specific loan loss provisions

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2015	2014	2015	2014	2015	2014
As at 1 Jan	520	522	2,344	1,929	2,864	2,451
Changes recognised in income statement	-49	-2	313	1,515	263	1,513
• Additions	1	—	520	1,841	521	1,841
• Releases	50	2	161	281	211	283
• Unwinding	—	—	47	45	47	45
Changes not recognised in income statement	-357	—	-252	-1,099	-609	-1,100
• Currency-related changes	1	2	64	-4	66	-1
• Changes in the scope of consolidation	—	—	—	-7	—	-7
• Utilisation	359	3	315	348	674	351
• Transfers/other changes	—	—	-1	-741	-1	-741
As at 31 Dec	113	520	2,405	2,344	2,518	2,864

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Specific loan loss provisions by sector

EUR million	2015	2014
Banks/financial services providers	1,358	1,696
Real estate	258	345
Logistics	204	185
Retail customers	188	242
Renewable energy	149	136
Construction	72	45
Hotels	66	–
Non-ferrous metals/iron and coal mining	40	37
Steel	35	8
Aviation	19	9
Utilities	14	53
Media	14	19
Telecommunications	13	19
Automotive	13	15
Food & beverages	13	6
Technology	9	8
Healthcare	8	11
Wholesale & retail	2	17
Gas	2	2
Defence	1	1
Countries/public sector	1	–
Consumer durables	–	2
Manufacturing & engineering	–	1
Other sectors	42	8
Total	2,518	2,864

Changes in portfolio provisions

EUR million	Loans and advances to banks		Loans and advances to customers		Total	
	2015	2014	2015	2014	2015	2014
As at 1 Jan	9	22	166	196	175	218
Changes recognised in income statement	85	-13	-17	87	68	74
• Additions	86	4	16	246	102	250
• Releases	1	16	33	159	34	176
Changes not recognised in income statement	-	-	-15	-117	-15	-117
• Utilisation	-	-	15	172	15	172
• Transfers/other changes	-	-	-	56	-	56
As at 31 Dec	94	9	134	166	228	175

Risk provisions for contingent liabilities and other commitments are shown as provisions for risks in the credit business (see note 57).

(43) Assets held for trading

EUR million	2015	2014
Bonds, notes and other fixed-income securities	2,313	3,017
• Money market instruments	333	149
• Bonds and notes	1,980	2,868
Equities and other non-fixed income securities	277	395
• Equities	277	395
Receivables held for trading	1,029	1,151
• Schuldschein note loans	1,029	1,151
Positive fair values from derivative financial instruments (not hedge accounting)	13,722	19,486
Total	17,342	24,048

Assets held for trading by maturity

EUR million	2015	2014
With residual maturity of	17,065	23,654
• up to 3 months	1,317	1,167
• between 3 months and 1 year	1,750	2,050
• between 1 year and 5 years	5,357	8,265
• more than 5 years	8,640	12,171
Perpetual maturities	277	395
Total	17,342	24,048

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(44) Positive fair values from derivative financial instruments (hedge accounting)

EUR million	2015	2014
Positive fair values from micro fair value hedges	1,527	2,968
Total	1,527	2,968

Positive fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2015	2014
With residual maturity of		
• up to 3 months	–	2
• between 3 months and 1 year	18	422
• between 1 year and 5 years	388	803
• more than 5 years	1,122	1,742
Total	1,527	2,968

(45) Financial investments

EUR million	2015	2014
Financial investments in the fair value option category	218	169
• Bonds, notes and other fixed-income securities	11	11
• Equities and other non-fixed income securities	73	71
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	134	88
Financial investments in the loans and receivables category	343	9,390
• Bonds, notes and other fixed-income securities	343	9,390
Financial investments in the available-for-sale category	28,291	23,091
• Bonds, notes and other fixed-income securities	27,610	22,374
• Equities and other non-fixed income securities	218	218
• Interests in non-consolidated subsidiaries, joint ventures, associates and other interests	311	353
• Other financial investments	151	146
Total	28,852	32,650

Financial investments in the loans and receivables category arose from the reclassification of securities in the available-for-sale category (see note 64).

The sub-items “bonds, notes and other fixed-income securities” and “equities and other non-fixed income securities” comprise:

EUR million	2015	2014
Bonds, notes and other fixed-income securities	27,964	31,775
• Money market instruments	158	449
• Bonds and notes	27,806	31,325
Equities and other non-fixed income securities	291	288
• Equities	10	28
• Investment units	281	260

Financial investments by maturity

EUR million	2015	2014
With residual maturity of	28,250	31,993
• up to 3 months	1,088	2,292
• between 3 months and 1 year	1,904	8,860
• between 1 year and 5 years	14,674	13,445
• more than 5 years	10,584	7,397
Perpetual maturities	602	657
Total	28,852	32,650

(46) Investment property

EUR million	2015	2014
Land and buildings for rental	35	37
Total	35	37

Changes in investment property

EUR million	2015	2014
Cost		
• As at 1 Jan	58	130
• Currency-related changes	–	–2
• Additions	–	1
• Transfers	–	–70
• As at 31 Dec	58	58
Depreciation and impairment reversals		
• As at 1 Jan	21	30
• Depreciation	2	3
• Transfers	–	–12
• As at 31 Dec	23	21
Carrying amount		
• As at 1 Jan	37	99
• As at 31 Dec	35	37

Additions to investment property in the previous year include EUR 1 million from one acquisition.

In the reporting year no investment property was reclassified to property, plant and equipment (FY 2014: EUR 3 million). No reclassifications were made to non-current assets or disposal groups classified as held for sale (FY 2014: EUR 58 million) either.

On the reporting date, the fair value of investment property was EUR 66 million (FY 2014: EUR 60 million). The fair value was calculated by independent experts and based on the German income method (Ertragswertverfahren) using market and geodata. The main inputs are unobservable (Level 3 in the fair value hierarchy).

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(47) Property, plant and equipment

EUR million	2015	2014
Owner-occupied property	322	330
Furniture and office equipment	30	30
Total	351	360

Changes in property, plant and equipment

EUR million	Owner-occupied property		Furniture and office equipment		Total	
	2015	2014	2015	2014	2015	2014
Cost						
• As at 1 Jan	379	726	145	273 ¹	523	999
• Currency-related changes	–	–7	3	–1	3	–8
• Changes in the scope of consolidation	–	–149	1	–37	1	–186
• Additions	–	38	11	12	11	50
• Transfers	–	–201	–2	–94	–2	–295
• Disposals	1	29 ¹	27	9 ¹	27	38
• As at 31 Dec	378	379	131	145	509	523
Depreciation and impairment reversals						
• As at 1 Jan	48	183 ¹	115	198 ¹	163	381
• Currency-related changes	–	–1	3	–	3	–1
• Changes in the scope of consolidation	–	–84	1	–25	1	–109
• Depreciation	8	13	9	17	17	30
• Impairments	–	–	–	2	–	2
• Transfers	–	–53	–	–69	–	–122
• Disposals	–	9 ¹	25	8 ¹	25	17
• As at 31 Dec	56	48	102	115	158	163
Carrying amount						
• As at 1 Jan	330	543	30	75	360	619
• As at 31 Dec	322	330	30	30	351	360

¹ Adjusted as per IAS 8.42 (see note 2).

In the previous year owner-occupied property with a carrying amount of EUR 148 million and furniture and office equipment with a carrying amount of EUR 26 million were classified as non-current assets or disposal groups held for sale.

(48) Intangible assets

EUR million	2015	2014
Goodwill	–	–
Intangible assets produced in house	77	78
Other intangible assets	29	36
Total	106	114

Other intangible assets comprise purchased software.

Changes in intangible assets

EUR million	Goodwill		Intangible assets produced in house		Other intangible assets		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Cost								
• As at 1 Jan	–	6	142	116	194	334 ¹	336	456
• Currency-related changes	–	–	–	–	1	–7	1	–7
• Changes in the scope of consolidation	–	–6	–	–	3	17	3	11
• Additions	–	–	9	27	5	19	14	46
• Transfers	–	–	–	–	2	–163	2	–163
• Disposals	–	–	–	1	26	6 ¹	26	7
• As at 31 Dec	–	–	151	142	179	194	329	336
Depreciation and impairment reversals								
• As at 1 Jan	–	6	64	59	159	236 ¹	223	302
• Currency-related changes	–	–	–	–	1	–4	1	–4
• Changes in the scope of consolidation	–	–6	–	–	2	11	2	5
• Depreciation	–	–	10	5	13	24	23	29
• Impairments	–	–	–	–	–	3	–	3
• Transfers	–	–	–	–	–	–105	–	–105
• Disposals	–	–	–	1	26	6 ¹	26	7
• As at 31 Dec	–	–	74	64	149	159	223	223
Carrying amount								
• As at 1 Jan	–	–	78	57	36	97	114	154
• As at 31 Dec	–	–	77	78	29	36	106	114

¹ Adjusted as per IAS 8.42 (see note 2).

In the previous year other intangible assets with a carrying amount of EUR 57 million were reclassified as non-current assets or disposal groups held for sale.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(49) Current and deferred tax assets

EUR million	2015	2014
Current tax assets	144	74
• Germany	124	51
• Abroad	20	23
Deferred tax assets	331	314
• Germany	314	312
• Abroad	17	2
Total	475	388

The current tax assets arose principally from income-tax related reimbursement rights of the previous years.

The balance sheet included the following deferred tax assets and liabilities resulting from recognition and measurement differences in individual balance sheet items and tax loss carryforwards and tax credits (including non-current assets or disposal groups classified as held for sale):

	Deferred tax assets	Deferred tax liabilities	Deferred tax assets	Deferred tax liabilities
EUR million	2015	2015	2014	2014
Loans and advances to banks and customers including risk provisions in Germany	10	437	92	39
Assets held for trading	93	953	1,648	42
Positive fair values from derivative financial instruments (hedge accounting)	14	841	15	1,427
Financial investments	24	271	26	385
Property, plant and equipment	3	49	3	46
Non-current assets or disposal groups classified as held for sale	–	19	–	4
Other assets	97	60	109	78
Liabilities to banks and customers	787	–	711	–
Securitised liabilities	170	2	323	2
Liabilities held for trading	858	–	77	1,978
Negative fair values from derivative financial instruments (hedge accounting)	435	–	657	–
Provisions	261	9	381	15
Other liabilities	98	244	86	176
Subordinated capital	26	–	75	–
Loss carryforwards and other	336	–	274	–
Sub-total	3,212	2,885	4,477	4,192
Less netting	2,881	2,881	4,163	4,163
Total deferred taxes less provisions and netting	331	4	314	28

The deferred tax assets and liabilities of each reporting unit subject to taxation and of the consolidated tax group of the Bank's domestic units were fully netted, as the applicable tax laws permit actual tax liabilities to be offset against actual tax assets.

The EUR 41 million change (FY 2014: EUR 106 million) in the net of deferred tax assets and liabilities corresponds to deferred tax income of EUR 41 million (FY 2014: EUR 91 million). This was primarily due to the changes in deferred taxes not recognised in the income statement; these offsetting effects were the result of:

- the increase in deferred tax liabilities recognised in the revaluation surplus in the amount of EUR –10 million (FY 2014: EUR –48 million), offset against
- a correction of the loss carryforwards not carried through profit and loss in the previous years in the amount of EUR 11 million (FY 2014: EUR 68 million).
- the addition of deferred tax assets of EUR 1 million due to the first-time consolidation of Bayern Card-Services GmbH - S-Finanzgruppe, Munich (FY 2014: EUR 5 million loss of deferred tax assets from deconsolidation).

Tax loss carryforwards, tax credits and instalments for which a deferred tax asset has been recognised, not recognised or for which a writedown has been made, are listed separately in the table below for all types of loss and tax credits relevant to the BayernLB Group. The tax loss carryforwards for the consolidated tax group of the Bank's domestic units was calculated based on the audit of the units. The period of time in which unrecognised loss carryforwards may still be used according to the tax law applicable in each case is also shown. Tax loss carryforwards of companies liable to taxes in Germany may be used indefinitely.

EUR million	2015	2014
Corporation tax		
• Loss carryforwards	4,411	3,898
– loss carryforwards for which a deferred tax asset has been recognised	798	687
– loss carryforwards for which a provision has been established	179	179
– loss carryforwards for which no deferred tax asset has been recognised	3,434	3,032
expire after 10 years	2,113	1,720
may be used indefinitely	1,321	1,312
Municipal trade tax		
• Loss carryforwards	2,968	2,230
– loss carryforwards for which a deferred tax asset has been recognised	931	829
– loss carryforwards for which a provision has been established	2	2
– loss carryforwards for which no deferred tax asset has been recognised	2,035	1,399
expire after 10 years	591	259
may be used indefinitely	1,444	1,140
Tax credits		
• Tax credits	11	9
– tax credits for which a deferred tax asset has been recognised	11	–
– tax credits for which no deferred tax asset has been recognised	–	9
may be used indefinitely	–	9

No deferred tax assets were recognised for deductible temporary differences of EUR 1,441 million (FY 2014: EUR 1,199 million).

In the case of Group companies generating a tax loss in the current or a previous financial year, deferred tax assets of EUR 34 million (FY 2014: EUR 308 million) were recognised. Their realisation depends on future taxable earnings being higher than the earnings impact from the reversal of existing taxable temporary differences. The amount is recognised on the basis of the tax planning for the relevant company or consolidated tax group.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

No deferred tax liabilities were recognised for the EUR 15 million (FY 2014: EUR 7 million) in taxable temporary differences from interests in subsidiaries and joint ventures as it is unlikely that the temporary differences will be reversed in the foreseeable future.

(50) Non-current assets or disposal groups classified as held for sale

EUR million	2015	2014
Loans and advances to customers	51	–
Assets held for trading	3	–
Financial investments	151	40
Investment property	–	14
Property, plant and equipment	–	26
Total	205	80

LB-RE S.A., Luxembourg, which is the subsidiary of Banque LBLux S.A. in Liquidation, Luxembourg (LBLux i.L.), was classified as held for sale on 30 June 2014, as a sale within the next year was expected. The sales process could not be completed in reporting year 2015 due to events outside the BayernLB Group's control. A sale is expected in 2016. The criteria for classification under IFRS 5 were met as at 31 December 2015. Classification as held for sale did not result in an impairment. Cumulative income of EUR 8 million is recognised in the revaluation surplus.

On 22 December 2015 BayernLB disposed of an 89.99 percent equity interest in Immo 3 Rue Jean Monnet S.à r.l., Luxembourg, a subsidiary of LBLux i.L., which had been classified in the previous year as held for sale. The remaining equity interest did not meet the criteria for classification under IFRS 5.

Control over Stadtwerke Cottbus GmbH in accordance with IFRS 10 ended with the sale of tranche A (25.05 percent) of the interests in Stadtwerke Cottbus GmbH to the city of Cottbus, which was contractually agreed in 2014. Tranches B (24.925 percent) and C (24.925 percent), classified as held for sale in the previous year, were sold in January 2015.

The real estate in Berlin classified as held for sale in the previous year, was sold in July 2015.

In November 2015, it was decided to sell a loan and its swap, which together form a disposal group. Classification as held for sale did not result in an impairment.

The BayernLB Group is a principal member of Visa Europe Limited, London, which, according to an announcement by the company, will be acquired by Visa Inc., San Francisco in Q2 2016. The criteria for classification as held for sale were met as at 21 December 2015. The BayernLB Group expects to receive a cash payment and equity stake in Visa Inc., San Francisco in consideration for the planned acquisition. Classification as held for sale did not result in an impairment. Cumulative income of EUR 127 million is recognised in the revaluation surplus.

(51) Other assets

EUR million	2015	2014
Emissions certificates	440	208
Claims from reinsurance	218	213
Precious metals	96	165
Pre-paid expenses	13	12
Other assets	170	168
Total	938	767

EUR 158 million (FY 2014: EUR 181 million) of other assets are due after more than 12 months.

(52) Liabilities to banks

EUR million	2015	2014
Liabilities to domestic banks	50,792	54,511
Liabilities to foreign banks	9,568	9,628
Total	60,360	64,138

Liabilities to banks by maturity

EUR million	2015	2014
Payable on demand	6,273	5,050
With residual maturity of	54,088	59,088
• up to 3 months	9,334	9,784
• between 3 months and 1 year	5,398	8,518
• between 1 year and 5 years	16,895	18,024
• more than 5 years	22,460	22,762
Total	60,360	64,138

Liabilities to banks by product

EUR million	2015
Schuldschein note loans/issues	6,123
• Schuldschein note loans	2,961
• Registered public Pfandbriefs issued	1,362
• Mortgage Pfandbriefs issued	544
• Other registered securities	1,257
Book-entry liabilities	54,238
• Pass-through business/subsidised loans	31,097
• Overnight and time deposits	12,425
• Current account liabilities	5,671
• Securities repurchase transactions	2,065
• Other liabilities	2,979
Total	60,360

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(53) Liabilities to customers

EUR million	2015	2014
Liabilities to domestic customers	80,000	76,612
• Government entities/companies under public law	16,383	16,838
• Private companies/private individuals	63,617	59,775
Liabilities to foreign customers	6,029	5,023
• Government entities/companies under public law	2,049	1,689
• Private companies/private individuals	3,980	3,334
Total	86,030	81,635

Liabilities to customers by maturity

EUR million	2015	2014
With residual maturity of		
• up to 3 months	56,682	51,679
• between 3 months and 1 year	6,095	5,587
• between 1 year and 5 years	7,610	8,426
• more than 5 years	15,642	15,943
Total	86,030	81,635

Liabilities to customers by product

EUR million	2015
Schuldschein note loans/issues	22,157
• Schuldschein note loans	3,192
• Registered public Pfandbriefs issued	8,974
• Mortgage Pfandbriefs issued	3,809
• Other registered securities	6,183
Book-entry liabilities	63,873
• Overnight and time deposits	13,888
• Current account liabilities	24,310
• Other liabilities	25,675
Total	86,030

(54) Securitised liabilities

EUR million	2015	2014
Bonds and notes issued	33,539	44,118
• Mortgage Pfandbriefs	5,206	4,629
• Public Pfandbriefs	11,268	11,811
• Other bonds	17,066	27,678
Other securitised liabilities	1,301	167
• Money market instruments	1,301	167
Total	34,840	44,285

Securitised liabilities by maturity

EUR million	2015	2014
With residual maturity of		
• up to 3 months	1,508	3,712
• between 3 months and 1 year	3,664	13,217
• between 1 year and 5 years	14,674	15,016
• more than 5 years	14,995	12,340
Total	34,840	44,285

(55) Liabilities held for trading

EUR million	2015	2014
Trading portfolio liabilities	643	518
• Liabilities from short sales	195	199
• Other liabilities	448	319
Negative fair values from derivative financial instruments (not hedge accounting)	11,647	17,048
Total	12,290	17,567

Liabilities held for trading by maturity

EUR million	2015	2014
With residual maturity of		
• up to 3 months	1,202	963
• between 3 months and 1 year	1,880	2,039
• between 1 year and 5 years	3,548	5,910
• more than 5 years	5,660	8,655
Total	12,290	17,567

(56) Negative fair values from derivative financial instruments (hedge accounting)

EUR million	2015	2014
Negative fair values from micro fair value hedges	879	1,313
Negative fair values from portfolio fair value hedges	476	1,466
Total	1,354	2,780

Negative fair values from derivative financial instruments (hedge accounting) by maturity

EUR million	2015	2014
With residual maturity of		
• up to 3 months	–	19
• between 3 months and 1 year	89	115
• between 1 year and 5 years	550	1,215
• more than 5 years	716	1,431
Total	1,354	2,780

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(57) Provisions

EUR million	2015	2014
Provisions for pensions and similar obligations	3,602	3,649
Other provisions	699	711
• Provisions in the credit business	92	76
• Restructuring provisions	292	342
• Miscellaneous provisions	314	292
Total	4,300	4,360

EUR 477 million (FY 2014: EUR 476 million) of other provisions are due after more than 12 months.

Provisions for pensions and similar obligations

The provisions for pensions recognised in the balance sheet are broken down as follows:

EUR million	2015	2014
Present value of defined benefit obligations	3,741	3,792
Fair value of plan assets	–149	–144
Effects of the asset ceiling	10	–
Recognised pension provisions	3,602	3,649

Reimbursement rights of EUR 215 million (FY 2014: EUR 210 million) are recognised as assets in the BayernLB Group and reported under other assets. These are rights from insurance contracts (reinsurance) which correspond in terms of their size and maturity to the benefits from the related pension obligations to be paid.

Changes in provisions for pensions

EUR million	2015	2014
As at 1 Jan	3,649	2,741
Changes in the scope of consolidation	–	2
Current service cost	57	43
Net interest expenses	74	94
Employer contributions	–81	861
Changes arising from remeasurement	–10	–8
Benefits paid	–88	–83
As at 31 Dec	3,602	3,649

The changes arising from remeasurement comprise actuarial gains and losses from the change in the present value of defined benefit obligations of EUR –101 million (FY 2014: EUR 869 million), expenses from plan assets of EUR –10 million (FY 2014: EUR 4 million) and changes arising from the asset ceiling of EUR 10 million (FY 2014: EUR –4 million). These are shown in retained earnings within equity (see note 61).

Change in the present value of defined benefit obligations

EUR million	2015	2014
As at 1 Jan	3,792	2,861
Currency-related changes	5	5
Changes in the scope of consolidation	–	2
Current service cost	57	43
Net interest expenses	78	99
Changes arising from remeasurement	–101	869
Benefits paid	–91	–87
As at 31 Dec	3,741	3,792

The changes arising from the remeasurement of the present value of defined benefit obligations are due to changes in actuarial assumptions. Of this, EUR –180 million (FY 2014: EUR 845 million) relates to changes in financial assumptions and EUR 79 million (FY 2014: EUR 24 million) to experience-based changes. The change in financial assumptions takes account of gains arising from rising market rates.

On the reporting date, the present value of the BayernLB Group's defined benefit obligations was EUR 3,741 million (FY 2014: EUR 3,792 million). Of this, EUR 2,616 million (FY 2014: EUR 2,718 million) relates to salary-related entitlements, EUR 514 million (FY 2014: EUR 454 million) to allowances in the event of illness, and EUR 611 million (FY 2014: EUR 620 million) to other defined benefit plans, which are determined largely on the basis of contributions to legally independent benefits providers.

The assumptions concerning the measurement parameters have an impact on the size of the present value of the defined benefit obligations and therefore the pension expense. To calculate the impact of changes in assumptions on the present value of the defined benefit obligations, a sensitivity analysis is conducted for each major measurement parameter in the same way as for the original measurement of the present value of the defined benefit obligations using the projected unit credit method.

A change in the assumptions used to calculate the present value of pension obligations in reporting year 2015 (see note 21) of 0.5 percentage points in each case would, as at 31 December 2015, impact the present value of the pension obligations as follows:

EUR million	0.5 percentage point increase		0.5 percentage point decrease	
	2015	2014	2015	2014
Discount rate	–303	–321	347	369
Salaries and benefits ¹	292	322	–257	–285
Medical costs	63	51	–57	–45

¹ In the sensitivity calculations, changes in estimated future salaries and benefits are observed together. These incorporate the offsetting impact from a change in the social insurance pension trend by +/- 0.25 percentage points.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

An increase in life expectancy (biometrics) by one year has an impact of EUR 119 million (FY 2014: EUR 187 million).

Change in the fair value of plan assets

EUR million	2015	2014
As at 1 Jan	144	124
Currency-related changes	5	5
Interest income	4	5
Changes arising from remeasurement	–10	4
Employer contributions	10	8
Benefits paid	–4	–3
As at 31 Dec	149	144

The BayernLB Group's plan assets comprise:

EUR million	Prices not quoted on active markets	
	2015	2014
Cash and cash equivalents	44	34
Equity Instruments	59	62
• Fund units	59	62
Debt instruments	46	48
• Corporate bonds	11	8
• Government bonds	15	20
• Fund units	9	–
• Reinsurance	5	13
• Other debt instruments	5	7
Total	149	144

Change in the fair value of the reimbursement rights reported as an asset

EUR million	2015	2014
As at 1 Jan	210	206
Interest income	6	7
Benefits paid	–2	–2
As at 31 Dec	215	210

In the BayernLB Group, rights from insurance contracts were capitalised as reimbursement claims. These were acquired by BayernLB in its role as employer to provide funding that matches employee's entitlements in Germany in Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich.

Changes in the impact of asset ceiling

EUR million	2015	2014
As at 1 Jan	–	4
Changes arising from remeasurement	10	–4
As at 31 Dec	10	–

As at 31 December 2015, the pension plan of a foreign branch reported pension assets in excess of pension obligations.

The pension expenses recognised in the income statement comprise:

EUR million	2015	2014
Current service cost	–57	–43
Interest income/expenses	–68	–87
Total	–125	–130

The total pension expenses in the reporting year of EUR –125 million (FY 2014: EUR –130 million) were recognised under the net interest income item in the amount of EUR –68 million (FY 2014: EUR –87 million) and under administrative expenses in the amount of EUR –57 million (FY 2014: EUR –43 million).

The current pension obligations have an average term (capital tie-up period) of 19 years. Contributions to the BayernLB Group's pension plans in financial year 2015 are estimated to be EUR 103 million.

Other provisions

EUR million	Provisions in the credit business							
	Individual transaction level		Portfolio level		Restructuring provisions		Miscellaneous provisions	
	2015	2014	2015	2014	2015	2014	2015	2014
As at 1 Jan	52	68	24	30	342	354	292	310
Currency-related changes	–	–	–	–	2	2	–	–3
Changes in the scope of consolidation	–	–	–	–	–	–	10	–
Utilisation	3	–	–	–	57	45	260	98
Releases	19	13	8	7	2	–	21	46
Additions	41	26	3	7	6	5	292	278
Interest	1	1	–	–	3	6	3	4
Changes in discount rate	–	–	–	–	–1	21	–	9
Transfers/other changes	1	–29	–	–5	–	–	–2	–161
As at 31 Dec	73	52	20	24	292	342	314	292

The restructuring provision was created mainly due to BayernLB's cost-cutting programme and includes, in particular, future expenses from planned reductions in headcount.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

The other provisions item includes personnel-related provisions which are mainly short-term in nature. This line item also includes provisions in connection with equity interests, litigation costs and for loss events.

The size of each provision corresponds to the best, i.e. uncertain, estimate of the amount of the liability which is likely to be utilised. In the case of legal disputes, neither the length of the proceedings nor the amount can be reliably predicted when the provision is created.

(58) Current and deferred tax liabilities

EUR million	2015	2014
Current tax liabilities	217	175
• Germany	214	167
• Abroad	4	8
Deferred tax liabilities	4	28
• Germany	—	14
• Abroad	4	14
Total	221	203

Deferred tax liabilities and assets are listed in note 49.

(59) Other liabilities

EUR million	2015	2014
Accruals	291	256
Deferred income	28	26
Other liabilities	213	365
Total	532	646

Other liabilities in the previous year included positions from Payments Clearing.

EUR 13 million (FY 2014: EUR 5 million) of other liabilities are due after more than 12 months.

(60) Subordinated capital

EUR million	2015	2014
Subordinated liabilities	2,950	4,275
Profit participation certificates (debt component)	372	353
Dated silent partner contributions (debt component)	1,322	23
Hybrid capital	76	70
Total	4,719	4,722

Subordinated capital by maturity

EUR million	2015	2014
With residual maturity of	4,698	4,700
• up to 3 months	56	82
• between 3 months and 1 year	1,678	1,323
• between 1 year and 5 years	2,341	2,697
• more than 5 years	623	598
Perpetual maturities	22	22
Total	4,719	4,722

In January 2009, the Free State of Bavaria and BayernLB concluded a silent partnership agreement. A contribution was subsequently made, which under IFRS, was reported in equity as a perpetual silent partner contribution. When the planned partial repayment in the amount of EUR 1,300 million is made in April 2016, the criteria for classification as an equity instrument will no longer be met. This will result in its disposal as an equity instrument and addition as a debt instrument within dated silent partner contributions.

(61) Equity

EUR million	2015	2014
Equity excluding non-controlling interests	11,049	11,789
• Subscribed capital	4,714	5,525
– statutory nominal capital	2,800	2,800
– capital contribution	612	612
– perpetual silent partner contributions	1,302	2,113
• Compound instruments	92	143
– profit participation certificates (equity component)	80	132
– dated silent partner contributions (equity component)	11	11
• Capital surplus	2,182	2,356
• Retained earnings	3,653	3,305
– statutory reserve	1,268	1,268
– other retained earnings	2,386	2,038
• Revaluation surplus	409	452
• Foreign currency translation reserve	–	8
• Net retained profits/net accumulated losses	–	–
Non-controlling interests	14	–
Total	11,063	11,789

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Subscribed capital

BayernLB Holding AG, Munich holds 100 percent of BayernLB's nominal capital. As at 31 December 2015, the Free State of Bavaria's equity interest in BayernLB Holding AG was 75 percent and the equity interest of the Association of Bavarian Savings Banks, Munich was 25 percent.

The capital contribution, reported as specific-purpose capital up to 31 December 2012, was created by a contribution in kind by the Free State of Bavaria in the form of subsidised loans in 1994/1995. Its basis was the law on the formation of special-purpose assets through the transfer of receivables held in trust belonging to the Free State of Bavaria to the liable equity capital of Bayerische Landesbank Girozentrale of 23 July 1994, as most recently amended by the law of 9 May 2006, and the contribution agreements of 15 December 1994 and of 28 December 1995, each as most recently amended by agreement on 23 December 2005. The specific-purpose capital transferred is used to construct social housing. To ensure various equity components are recognised as Common Equity Tier 1 capital under the CRR/CRD IV requirements applicable from 1 January 2014, specific-purpose capital was modified and transferred to the capital contribution reported in subscribed capital with effect from 1 January 2013.

In the reporting year, BayernLB replenished the undated silent partner contributions, which absorbed some of the losses of the previous year, in accordance with contractual conditions. The amount replenished was EUR 489 million and is a component of the appropriation of profits in equity.

In January 2009 the Free State of Bavaria and BayernLB concluded an agreement governing the silent partner contributions of EUR 3,000 million. The contribution was reported as a perpetual silent partner contribution. Following the partial termination of the January 2009 agreement and partial repayment of EUR 700 million on 19 December 2014, the nominal value of the undated silent partner contributions was still EUR 2,300 million. As the Bank plans to make another partial repayment of EUR 1,300 million after its separate financial statements (HGB) are approved in April 2016, this partial amount was reclassified from an equity instrument to a financial liability and reported under subordinated capital as at 31 December 2015.

Compound instruments

As a residual interest as defined in IAS 32.11, the equity components of profit participation certificates and dated silent partner contributions reported in this sub-item correspond to the present value of expected future distributions. Deferred capital distributions are also reported here if there is an obligation to pay them at a future date. In the reporting year, the Bank paid the deferred distributions on profit participation certificates for 2013 and 2014 in full and paid out the current distribution. No distribution was made on silent partner contributions.

Capital surplus

The capital surplus is derived from additional contributions to the parent company's equity.

As reported in the HGB separate financial statements, EUR 174 million was taken out of the capital surplus in the reporting year.

Retained earnings

Undistributed earnings from previous years and the reporting year are reported in the retained earnings item.

In addition, the retained earnings item includes the impact from the remeasurement of defined benefit pension plans and the "shareholder transaction" (guarantee agreement with the Free State of Bavaria ("Umbrella")), which expired in 2014.

Revaluation surplus

Gains or losses on the measurement of available-for-sale financial instruments are reported in this sub-item in equity.

EUR million	2015	2014
As at 1 Jan	452	-37
Currency-related changes	5	-10
Changes in the scope of consolidation	-	-8
Changes in value not recognised in the income statement	39	679
Changes in deferred taxes not recognised in the income statement	96	-175
Changes in value/realisations recognised in the income statement	-184	6
Non-controlling interests/other changes	-	-2
As at 31 Dec	409	452

Foreign currency translation reserve

The foreign currency translation reserve includes principally the exchange rate differences arising from the translation of the separate financial statements of the subsidiaries and foreign branches incorporated in the consolidated financial statements whose functional currency is not the euro.

Net retained profits/net accumulated losses

The net retained profits/net accumulated losses of the BayernLB Group corresponds to the consolidated profit after changes in reserves.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Notes to financial instruments

(62) Fair value of financial instruments

	Fair value	Carrying amount	Fair value	Carrying amount
EUR million	2015	2015	2014	2014
Assets				
• Cash reserves	2,246	2,246	1,041	1,041
• Loans and advances to banks ¹	29,814	29,423	36,733	37,091
• Loans and advances to customers ¹	140,245	135,812	140,185	134,017
• Assets held for trading	17,342	17,342	24,048	24,048
• Positive fair values from derivative financial instruments (hedge accounting)	1,527	1,527	2,968	2,968
• Financial investments	28,863	28,852	32,679	32,650
• Non-current assets or disposal groups classified as held for sale	205	205	40	40
Liabilities				
• Liabilities to banks	61,707	60,360	65,952	64,138
• Liabilities to customers	88,332	86,030	84,300	81,635
• Securitised liabilities	35,344	34,840	45,134	44,285
• Liabilities held for trading	12,290	12,290	17,567	17,567
• Negative fair values from derivative financial instruments (hedge accounting)	1,354	1,354	2,780	2,780
• Subordinated capital	4,816	4,719	4,858	4,722

¹ Carrying amounts not including deductions of risk provisions for loans and advances to banks in the amount of EUR 207 million (FY 2014: EUR 528 million) and loans and advances to customers in the amount of EUR 2.539 million (FY 2014: EUR 2.510 million).

Information on the fair value measurement of financial instruments recognised at amortised cost is given in note 6.

(63) Financial instrument measurement categories

EUR million	2015	2014
Assets		
• Financial assets at fair value through profit or loss	18,269	24,956
– held-for-trading financial assets	17,345	24,048
assets held for trading	17,342	24,048
non-current assets or disposal groups classified as held for sale	3	–
– fair value option	924	908
loans and advances to banks	3	10
loans and advances to customers	703	729
financial investments	218	169
• Loans and receivables	167,157	180,782
– cash reserves	2,246	1,041
– loans and advances to banks ¹	29,420	37,082
– loans and advances to customers ¹	135,097	133,269
– financial investments	343	9,390
– non-current assets or disposal groups classified as held for sale	51	–
• Available-for-sale financial assets	28,455	23,149
– loans and advances to customers	12	18
– financial investments	28,291	23,091
– non-current assets or disposal groups classified as held for sale	151	40
• Positive fair values from derivative financial instruments (hedge accounting)	1,527	2,968
Liabilities		
• Financial liabilities at fair value through profit or loss	20,198	26,577
– held-for-trading financial liabilities	12,290	17,567
liabilities held for trading	12,290	17,567
– fair value option	7,908	9,011
liabilities to banks	236	271
liabilities to customers	3,773	4,029
securitised liabilities	3,852	4,662
subordinated capital	46	49
• Financial liabilities measured at amortised cost	178,042	185,770
– liabilities to banks	60,124	63,867
– liabilities to customers	82,257	77,606
– securitised liabilities	30,988	39,623
– subordinated capital	4,673	4,673
• Negative fair values from derivative financial instruments (hedge accounting)	1,354	2,780

¹ Not including deduction of risk provisions.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(64) Reclassification of financial assets

Pursuant to the amendments by the International Accounting Standards Board to IAS 39 and IFRS 7 "Reclassification of Financial Assets" and to Commission Regulation (EC) No 1004/2008, BayernLB reclassified certain available-for-sale securities as loans and receivables as at 1 July 2008.

No active market exists for the securities reclassified from the available-for-sale category to the loans and receivables category. There is also no short-term intention to sell or trade them. BayernLB has the intention and the ability to hold them for the foreseeable future.

No other reclassifications were made during the reporting year.

The fair values and the carrying amounts of the reclassified securities at the end of the reporting period in accordance with IAS 39 in conjunction with IFRS 7.12A (b) were:

	Fair value	Carrying amount	Fair value	Carrying amount
EUR million	2015	2015	2014	2014
Available-for-sale securities reclassified as loans and receivables	354	343	9,419	9,390
Total	354	343	9,419	9,390

As at the reporting date the nominal volume of the reclassified securities was EUR 318 million (FY 2014: EUR 9,320 million).

In the following table, in accordance with IAS 39 in conjunction with IFRS 7.12A, the changes in value, whether recognised or not in profit or loss, as well as current income, are shown "without reclassification" as compared with the corresponding "with reclassification" values. All earnings effects including current earnings components have been recognised.

	Without reclassification ¹	With reclassification ²	Without reclassification ¹	With reclassification ²
EUR million	2015	2015	2014	2014
Reclassification from the available-for-sale category				
• Net interest income	49	49	135	137
– interest income from bonds, notes and other fixed-income securities	49	49	135	137
• Gains or losses on hedge accounting	–20	–20	–31	–31
– measurement of underlying transactions	–20	–20	–31	–31
• Gains or losses on financial investments	26	29	4	182
– gains or losses on sales	26	26	–420	60
– income from writeups	–	3	424	132
– expenses from writedowns	–	1	–	11
• Change in the revaluation surplus	–13	3	330	346
Total	41	61	438	633

¹ Taking account of the category before reclassification.

² Taking account of the category after reclassification.

(65) Fair value hierarchy of financial instruments

The fair value hierarchy divides the inputs used to measure the fair value of financial instruments into three levels:

- Unadjusted quoted prices for identical financial instruments in active markets that the BayernLB Group can access at the measurement date (Level 1),
- Inputs other than quoted prices included within Level 1 that are observable either directly or indirectly, i.e. quoted prices for similar financial instruments in active markets, quoted prices in markets that are not active, other observable inputs that are not quoted prices, and market-corroborated inputs (Level 2) and
- Unobservable inputs (Level 3).

Financial instruments measured at fair value

In the overviews below, financial instruments recognised at fair value in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Assets								
• Loans and advances to banks	–	–	3	10	–	–	3	10
• Loans and advances to customers	–	–	703	729	12	18	715	747
• Assets held for trading	587	872	16,169	22,410	586	766	17,342	24,048
• Positive fair values from derivative financial instruments (hedge accounting)	–	–	1,527	2,967	–	1	1,527	2,968
• Financial investments	10,740	5,746	17,292	17,001	477	514	28,509	23,260
• Non-current assets or disposal groups classified as held for sale	–	–	3	–	151	40	155	40
Total	11,326	6,618	35,697	43,117	1,226	1,339	48,250	51,074
Liabilities								
• Liabilities to banks	–	–	236	271	–	–	236	271
• Liabilities to customers	–	–	3,773	4,029	–	–	3,773	4,029
• Securitised liabilities	228	18	3,625	4,644	–	–	3,852	4,662
• Liabilities held for trading	220	147	12,044	17,386	26	34	12,290	17,567
• Negative fair values from derivative financial instruments (hedge accounting)	–	–	1,354	2,780	–	–	1,354	2,780
• Subordinated capital	–	–	46	49	–	–	46	49
Total	448	165	21,079	29,158	26	34	21,552	29,357

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Fair values calculated on the basis of unobservable market data (Level 3) by risk type

EUR million	Interest rate risks		Currency risks		Equity and other price risks		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Assets								
• Loans and advances to customers	12	18	–	–	–	–	12	18
• Assets held for trading	565	720	19	46	1	–	586	766
• Positive fair values from derivative financial instruments (hedge accounting)	–	1	–	–	–	–	–	1
• Financial investments	–	–	–	–	477	514	477	514
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	151	40	151	40
Total	577	739	19	46	630	554	1,226	1,339
Liabilities								
• Liabilities held for trading	–	–	26	34	–	–	26	34
Total	–	–	26	34	–	–	26	34

Reclassifications between Levels 1 and 2

EUR million	Reclassifications			
	to Level 1 from Level 2		to Level 2 from Level 1	
	2015	2014	2015	2014
Assets				
• Assets held for trading	37	16	28	34
• Financial investments	2,326	239	733	1,320
Total	2,362	254	761	1,354
Liabilities				
• Securitised liabilities	190	–	17	22
• Liabilities held for trading	26	–	4	4
Total	216	–	21	26

In the reporting year, financial instruments were reclassified between Level 1 and Level 2, as they will be measured again/will no longer be measured using prices quoted on active markets. The amounts reclassified were calculated on the basis of the fair value at the end of the reporting year.

Changes in fair values calculated on the basis of unobservable market data (Level 3) – assets

EUR million	Loans and advances to customers		Assets held for trading		Positive fair values from derivative financial instruments (hedge accounting)		Financial investments		Non-current assets or disposal groups classified as held for sale		Total	
	2015	2014	2015	2014	2015	2014	2015	2014	2015	2014	2015	2014
As at 1 Jan	18	–	766	1,150	1	–	514	3,193	40	135	1,339	4,478
Currency-related changes	–	–	27	104	–	–	3	408	–	–	30	511
Changes in the scope of consolidation	–	–	–	–	–	–	–2	–13	–	–4	–2	–17
Income and expenses recognised in the income statement	–	–	–27	43	–1	–	–9	743	–	48	–37	835
Changes in the revaluation surplus	–2	–	–	–	–	–	–1	71	117	–46	114	24
Purchases	–	–	–	–	–	–	5	22	–	–	6	22
Sales	4	–	43	18	–	–	29	119	16	134	92	272
Settlements	1	–	–	785	–	–	–	3,762	–	–	1	4,547
Reclassifications to Level 3 from Levels 1 and 2	–	18	23	272	–	1	–	–	–	–	23	291
Reclassifications from Level 3 to Levels 1 and 2	–	–	180	–	–	–	–	–	–	–	180	–
Transfers/other changes	–	–	19	–	–	–	–4	–29	10	42	26	13
As at 31 Dec	12	18	586	766	–	1	477	514	151	40	1,226	1,339
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	–1	–	24	9	–	–	–9	95	–	–	14	104

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Changes in fair values calculated on the basis of unobservable market data (Level 3) – liabilities

EUR million	Liabilities held for trading		Total	
	2015	2014	2015	2014
As at 1 Jan	34	236	34	236
Currency-related changes	43	18	43	18
Income and expenses recognised in the income statement	40	–133	40	–133
Sales	–	121	–	121
Reclassifications to Level 3 from Levels 1 and 2	1	34	1	34
Reclassifications from Level 3 to Levels 1 and 2	112	–	112	–
Transfers/other changes	19	–	19	–
As at 31 Dec	26	34	26	34
Income and expenses recognised in the income statement during the financial year for financial instruments held at 31 Dec	45	–35	45	–35

The income and expenses recognised in the income statement are shown under the gains or losses on fair value measurement item if they are not measurement gains or losses from hedge accounting (recognised in gains or losses on hedge accounting), impairments of financial investments in the available-for-sale category (recognised in gains or losses on financial investments) or writedowns of receivables in the available-for-sale category (recognised in other income and expenses). Changes in the revaluation surplus are a component of other comprehensive income.

In the reporting period, the materiality of the unobservable inputs was assessed based on fair value. As a result financial instruments were reclassified to Level 3 from Level 1 and Level 2 and from Level 3 to Level 1 and Level 2.

The models used to calculate fair value must conform with financial valuation methods and take account of all factors market participants would consider reasonable when setting a price. Within the BayernLB Group, the models used, including any major changes, are reported to the Board of Management for approval mainly by Group Risk Control and Group Strategy in the form of a separate resolution or as part of their regular reporting. All calculated fair values are subject to internal controls and are independently checked or validated by risk-control units and the units with responsibility for equity interests in accordance with the dual control principle. The procedures used for this are contained in the guidelines approved by the Board of Management for the BayernLB Group. Fair values are reported on a regular basis to the management of the divisions concerned and to the Board of Management.

Financial instruments with embedded derivative structures are allocated to Level 3 of the fair value hierarchy. These financial instruments are in economic hedges with the associated hedging derivatives. As at 31 December 2015, the sensitivity of these hedge packages to changes in key factors was

- for a ten-basis point upward (downward) shift in the euro yield curve:
EUR –0.1 million (EUR +0.1 million) (31 December 2014: EUR –0.1 million (EUR +0.1 million)),
- for a ten-basis point increase (decrease) in the measurement spread:
EUR –1.7 million (EUR +1.7 million) (31 December 2014: EUR –2.2 million (EUR +2.2 million)),

Other derivative financial instruments whose significant inputs for measuring fair value are not observable on the market are also allocated to Level 3 of the fair value hierarchy. As at 31 December 2015, the sensitivity of these financial instruments to changes in key factors was:

- for a 10-percentage point increase (decrease) in expected loss given default:
EUR –1.5 million (EUR +1.6 million) (31 December 2014: EUR –4.9 million (EUR +5.1 million)),
- for a one notch improvement (deterioration) in the ratings:
EUR +1.2 million (EUR –1.3 million) (31 December 2014: EUR +3.5 million (EUR –4.3 million)),

Also receivables secured by real estate that were purchased on the non-performing loan market were allocated to Level 3 of the fair value hierarchy as there was no current market activity in these or similar loans and advances. As at 31 December 2015, the sensitivity of these real estate secured receivables to changes in key factors was:

- for a 5-basis point increase (decrease) in the realisable value:
EUR +0.6 million (EUR –0.6 million) (31 December 2014: EUR +0.9 million (EUR –0.8 million))¹,
- for a 6-month extension (reduction) in the realisation period:
EUR 0 million (EUR 0 million) (31 December 2014: EUR 0 million (EUR 0 million))¹.

There are also interests in Visa Europe Limited, London, which, according to an announcement by the company, will be acquired by Visa Inc., San Francisco in Q2 2016. The BayernLB Group expects to receive a cash payment and equity stake in Visa Inc., San Francisco as a result of the planned acquisition. The fair value of the BayernLB Group's equity interest in Visa Europe Limited, London is based on the equity stake and cash payment. The fair value was originally calculated on a conversion ratio of 50 percent. As at 31 December 2015, the sensitivity of this financial instrument to changes in key factors was

- for a 10-basis point upward (downward) movement in the conversion ratio:
EUR +2.1 million (EUR –2.1 million)

As at 31 December 2015, the sensitivity of equity interests whose fair value is calculated using the German income method (Ertragswertverfahren) to changes in key factors was

- for a 25-basis point upward (downward) movement in the base interest rate:
EUR –4.7 million (EUR +5.0 million) (31 December 2014: EUR –8.3 million (EUR +8.7 million)),
- for a 25-basis point upward (downward) movement in the market risk premium:
EUR –4.5 million (EUR +4.7 million) (31 December 2014: EUR –6.2 million (EUR +6.3 million)),

¹ Adjusted as per IAS 8.42 (see note 2).

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

The underlying base interest rate moved within a range of 1.25–1.75 percent (average: 1.5 percent), while the underlying market risk premium moved within a range of 6.25–6.75 percent (average: 6.5 percent).

Financial instruments measured at amortised cost

In the overview below, the fair values of the financial instruments recognised at amortised cost in the balance sheet are classified according to whether they are measured with prices quoted on active markets (Level 1), their fair value is calculated using measurement methods whose key inputs can be directly or indirectly observed (Level 2) or are not based on observable market data (Level 3).

EUR million	Level 1		Level 2		Level 3		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Assets								
• Cash reserves	–	–	–	–	2,246	1,041	2,246	1,041
• Loans and advances to banks	–	–	–	–	29,811	36,723	29,811	36,723
• Loans and advances to customers	–	–	–	–	139,530	139,438	139,530	139,438
• Financial investments	69	205	285	8,994	–	220	354	9,419
• Non-current assets or disposal groups classified as held for sale	–	–	–	–	51	–	51	–
Total	69	205	285	8,994	171,638	177,422	171,992	186,621
Liabilities								
• Liabilities to banks	–	–	8,146	6,916 ¹	53,324	58,765 ¹	61,470	65,681
• Liabilities to customers	–	–	15,045	17,522 ¹	69,514	62,749 ¹	84,559	80,271
• Securitised liabilities	5,671	3,883	25,495	36,050 ¹	326	539 ¹	31,492	40,472
• Subordinated capital	468	203	2,796	3,588	1,506	1,019	4,770	4,810
Total	6,139	4,086	51,482	64,076	124,670	123,071	182,291	191,233

1 Adjusted as per IAS 8.42 (see note 2).

(66) Financial instruments designated at fair value through profit or loss

The maximum default risk for loans and receivables in the “fair value option” category was EUR 706 million as at the reporting date (FY 2014: EUR 739 million). The rating-related change in the fair value of these financial assets was EUR 0 million in the reporting year (FY 2014: EUR 0 million), and, since designation, EUR 9 million (FY 2014: EUR 9 million).

The rating-related change in the fair value of financial liabilities in the fair value option category was EUR 62 million in the reporting year (FY 2014: EUR –102 million) and, since designation, EUR –45 million (FY 2014: EUR –115 million). The difference between the carrying amount of the financial liabilities and the redemption amount at maturity was EUR 695 million on the reporting date (FY 2014: EUR 963 million).

The change in fair value caused by changes in ratings was calculated by taking the difference between the fair value based on the credit spreads at the end of the reporting year and the fair value based on the credit spreads at the beginning of the reporting year.

(67) Net profit or loss from financial instruments

The net profit or loss from financial instruments in each category incorporates the gains or losses from measurement and realisation.

EUR million	2015	2014
Financial assets and financial liabilities at fair value through profit or loss	-61	-4
• Held-for-trading financial instruments ¹	-118	53
– gains or losses on fair value measurement	-118	35
– gains or losses on discontinued operations	–	18
• Financial instruments at fair value through profit or loss (fair value option)	57	-57
– gains or losses on fair value measurement	57	-59
– gains or losses on discontinued operations	–	2
Loans and receivables	-243	-1,400
• Risk provisions in the credit business	-272	-1,518
• Gains or losses on financial investments	29	182
• Other income and expenses	–	3
• Gains or losses on discontinued operations	–	-67
Available-for-sale financial assets	257	1,051
• Gains or losses on financial investments	257	254
• Gains or losses on discontinued operations	–	797
Financial liabilities measured at amortised cost	-18	-70
• Other income and expenses	-18	-70

¹ Includes current income (except for derivatives in economic hedges) and gains or losses from currency translation.

Gains or losses from the fair value measurement of available-for-sale financial assets in the amount of EUR 39 million (FY 2014: EUR 773 million) were reported in the revaluation surplus in equity (see note 61).

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(68) Offsetting of financial instruments

When conducting derivatives transactions and securities repurchase transactions, the BayernLB Group regularly concludes bilateral netting agreements in the form of master agreements with business partners. Among the standard master agreements used are the ISDA Master Agreement for Financial Derivatives, the German Master Agreement for Financial Derivatives Transactions and the Global Master Repurchase Agreement for securities repurchase transactions. Agreements granting rights of set-off include the clearing conditions of Eurex Clearing AG, LCH.Clearnet Limited, European Commodity Clearing AG, and the client clearing agreements for indirect clearing. The netting agreements provide for conditional rights of set-off in the form of close-out netting for receivables and liabilities covered by these agreements, i.e. only if previously defined conditions, e.g. cancellation of the master agreement, default or insolvency, occur can the legal right of set-off be enforced.

Besides the master agreements for financial derivatives, collateral agreements are concluded with business partners to safeguard the net claim or liability left after offsetting. The main ones used are the Credit Support Annex to the ISDA Master Agreement and the collateral addendum to the German Master Agreement for Financial Derivatives Transactions. The master agreements for securities repurchase transactions and the derivatives clearing agreements contain similar collateral rules. Collateral agreements usually grant the protection buyer an unrestricted right of disposal over the collateral, which is normally cash or securities collateral. Collateral agreements with no or a limited right of disposal are rare. Bilateral master agreements mainly provide for the realisation of collateral through offsetting.

The tables below give information on recognised financial instruments offset in accordance with IAS 32.42 and recognised financial instruments with a legally enforceable right of set-off or which are subject to a similar agreement. The "Set-off amount" column shows the amounts offset in accordance with IAS 32.42. These relate to transactions with central counterparties. The "Effect of netting arrangements" column shows the amounts relating to financial instruments subject to a netting agreement, but not offset on the balance sheet as the criteria under IAS 32.42 were not met. The "Collateral" column shows the fair value of received or pledged financial collateral.

Offsetting of financial assets and financial liabilities as at 31 December 2015 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	26,650	–11,405	15,245	–7,806	–1,628	5,811
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	26,647	–11,405	15,242	–7,806	–1,628	5,808
• Non-current assets or disposal groups classified as held for sale	3	–	3	–	–	3
Securities repurchase transactions	5,068	–	5,068	–553	–4,388	126
• Loans and advances to banks	4,197	–	4,197	–553	–3,521	122
• Loans and advances to customers	870	–	870	–	–867	3
Total	31,718	–11,405	20,313	–8,359	–6,016	5,937

Offsetting of financial assets and financial liabilities as at 31 December 2015 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	27,293	–14,292	13,002	–7,806	–2,266	2,929
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	27,293	–14,292	13,002	–7,806	–2,266	2,929
Securities repurchase transactions	2,040	–	2,040	–553	–1,442	44
• Liabilities to banks	2,040	–	2,040	–553	–1,442	44
Total	29,333	–14,292	15,041	–8,359	–3,709	2,973

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Offsetting of financial assets and financial liabilities as at 31 December 2014 – assets

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	30,957	-8,503	22,454	-14,296	-1,315	6,843
• Assets held for trading/ Positive fair values from derivative financial instruments (hedge accounting)	30,957	-8,503	22,454	-14,296	-1,315	6,843
Securities repurchase transactions	8,391	-	8,391	-1,700	-6,640	51
• Loans and advances to banks	8,320	-	8,320	-1,687	-6,582	50
• Loans and advances to customers	72	-	72	-13	-58	1
Total	39,348	-8,503	30,845	-15,996	-7,956	6,894

Offsetting of financial assets and financial liabilities as at 31 December 2014 – liabilities

EUR million	Gross carrying amount	Set-off amount	On-balance net carrying amount	Effect of netting agreements	Collateral	Net amount
Derivatives transactions	30,485	-10,658	19,827	-14,296	-2,424	3,107
• Liabilities held for trading/ Negative fair values from derivative financial instruments (hedge accounting)	30,485	-10,658	19,827	-14,296	-2,424 ¹	3,107
Securities repurchase transactions	5,501	-	5,501	-1,700	-3,730	71
• Liabilities to banks	5,453	-	5,453	-1,687	-3,695 ¹	71
• Liabilities to customers	49	-	49	-13	-35	1
Total	35,986	-10,658	25,328	-15,996	-6,154	3,179

¹ Adjusted as per IAS 8.42 (see note 2).

(69) Derivative transactions

The tables below show interest rate and foreign currency-related derivatives still open at the end of the reporting period and other forward transactions and credit derivatives. Most were concluded to hedge fluctuations in interest rates, exchange rates or market prices or were trades for the account of customers.

EUR million	Nominal value		Positive fair value		Negative fair value	
	2015	2014	2015	2014	2015	2014
Interest rate risks	904,342	856,248	23,227	27,775	23,091	26,786
• Interest rate swaps	551,886	525,794	22,064	26,314	21,664	25,044
• FRAs	277,192	218,927	49	25	49	22
• Interest rate options	18,226	21,108	907	1,080	1,272	1,558
– call options	6,977	8,504	866	1,039	33	38
– put options	11,250	12,605	41	41	1,239	1,520
• Caps, floors	12,463	24,019	200	343	75	90
• Exchange-traded contracts	43,658	62,734	1	4	1	3
• Other interest-based forward transactions	917	3,665	5	9	30	70
Currency risks	120,021	105,865	2,869	2,669	3,589	3,145
• Forward exchange deals	83,274	60,825	1,822	1,498	1,632	1,436
• Currency swaps/cross-currency swaps	31,044	39,882	991	1,080	1,911	1,625
• Foreign exchange options	5,560	4,957	51	89	46	81
– call options	3,169	2,575	43	75	19	12
– put options	2,392	2,382	7	14	27	70
• Other currency-based forward transactions	142	201	6	3	1	2
Equity and other price risks	4,871	5,989	555	503	545	499
• Equity forward transactions	235	351	-	-	24	25
• Equity/index options	407	411	10	6	2	1
– call options	366	372	10	6	-	-
– put options	40	38	-	-	2	1
• Exchange-traded contracts	641	771	-	1	21	13
• Other forward transactions	3,589	4,457	545	496	498	460
Credit derivative risks	920	1,427	1	2	2	2
• Protection buyer	228	447	1	2	1	-
• Protection seller	692	980	-	-	1	2
Total	1,030,154	969,530	26,651	30,950	27,227	30,432

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Derivative transactions by maturity

EUR million	Nominal value							
	Interest rate risks		Currency risks		Equity and other price risks		Credit derivative risks	
	2015	2014	2015	2014	2015	2014	2015	2014
Residual maturities								
• up to 3 months	47,155	67,040	45,930	29,245	1,004	1,176	–	–
• between 3 months and 1 year	322,104	309,321	36,508	37,628	1,384	1,946	35	600
• between 1 year and 5 years	308,175	290,218	27,558	28,793	2,124	2,431	840	781
• more than 5 years	226,908	189,670	10,024	10,200	358	436	45	46
Total	904,342	856,248	120,021	105,865	4,871	5,989	920	1,427

Derivative transactions by counterparty

EUR million	Nominal value		Positive fair value		Negative fair value	
	2015	2014	2015	2014	2015	2014
OECD banks	273,369	372,566	10,243	16,537	11,119	17,100
Non-OECD banks	758	1,634	10	12	14	139
Public-sector entities within the OECD	17,057	17,398	951	972	548	673
Other counterparties ¹	738,969	577,932	15,448	13,429	15,546	12,521
Total	1,030,154	969,530	26,651	30,950	27,227	30,432

¹ Including exchange-traded contracts.

Derivatives for trading purposes

EUR million	Nominal value		Positive fair value		Negative fair value	
	2015	2014	2015	2014	2015	2014
Interest rate derivatives	771,398	752,241	19,215	23,211	18,873	22,745
Currency derivatives	108,508	93,565	2,503	2,486	3,066	2,711
Equity derivatives	3,988	5,326	537	465	515	475
Credit derivatives	792	1,302	1	2	2	2
Total	884,686	852,434	22,256	26,164	22,455	25,933

(70) Transfer of financial assets

The following transactions were executed at standard market terms and conditions.

Transferred financial assets that are not derecognised in their entirety

On the reporting date the volume of financial assets transferred as collateral that are not derecognised was EUR 53,208 million (2014: EUR 50,446 million)).

These include genuine securities repurchase agreements, where the BayernLB Group sold securities with a repurchase obligation. As the risks (interest rate, currency, equity and other price risks and credit risks) and rewards (particularly capital gains and current income) are largely retained by the BayernLB Group, the financial assets are not derecognised. The obligation of the lender to return the payment received as collateral for the transferred security is recognised as a financial liability. The lender has an unrestricted right of disposal over the securities once they are delivered.

The BayernLB Group also passes on funds received from development institutions for specific purposes on their own terms through savings banks or directly to end-borrowers. The loans and advances to savings banks and end-borrowers are recognised as assets and the liabilities to development institutions as liabilities. The loans and advances to savings banks and to end-borrowers and any pledged collateral are assigned as collateral to the development institutions and may be realised by them in the event of loss. The BayernLB Group retains default risk in respect of the loans and advances to the savings banks and end-borrowers.

The BayernLB Group has also pledged collateral for funding, largely for tender operations with the European Central Bank. Collateral has also been pledged to the European Investment Bank and for transactions on the European Exchange (EUREX), as well as other exchanges and clearing systems. The financial assets transferred as collateral for the corresponding (contingent) liabilities are not derecognised as the risks and rewards are largely retained by the BayernLB Group.

The carrying amount of transferred financial collateral relates to the following items:

EUR million	2015	2014
Loans and advances to banks	15,624	15,731
of which:		
• collateral received which may be sold or pledged on	3	11
Loans and advances to customers	24,428	19,797
of which:		
• collateral received which may be sold or pledged on	—	—
Assets held for trading	169	1,036
of which:		
• collateral received which may be sold or pledged on	—	767
Financial investments	12,987	13,882
of which:		
• collateral received which may be sold or pledged on	1,485	2,461
Total	53,208	50,446

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

The transferred financial assets are matched against liabilities of EUR 20,495 million (FY 2014: EUR 19,615 million) and contingent liabilities of EUR 3 million (FY 2014: EUR 11 million).

The assets in the cover pool are managed in accordance with the German Pfandbrief Act (Pfandbriefgesetz). On the reporting date the volume of the cover funds was EUR 46,897 million (FY 2014: EUR 54,979 million) for an outstanding volume of mortgage-backed Pfandbriefs and public Pfandbriefs of EUR 31,903 million (FY 2014: EUR 32,473 million).

The BayernLB Group also pledged cash collateral of EUR 17 million for the utilisation of irrevocable payment obligations in connection with the bank levy (see note 78).

Transferred financial assets that are derecognised in their entirety

On the reporting date there was no material continuing involvement in transferred financial assets that are derecognised in their entirety.

Notes to the cash flow statement

(71) Notes on items in the cash flow statement

The cash flow statement shows the cash flows of the financial year classified into operating activities, investing activities and financing activities.

The cash and cash equivalents line corresponds to the cash reserves item in the balance sheet and comprises the cash balance and deposits with central banks. Cash and cash equivalents are not subject to any drawing restrictions.

Cash flows from operating activities comprises payments from loans and advances to banks and to customers, from securities (not including financial investments), derivatives, and other assets. Payments from liabilities to banks/customers, securitised liabilities, and from other liabilities also fall under this category. Likewise included are interest and dividend payments from operating activities.

Cash flows from investment activities include payments for financial investments, investment property and property, plant and equipment (including intangible assets). The impact from changes to the scope of consolidation is also reported under this item.

Distributions to company owners and minority shareholders, and changes in subordinated capital and non-controlling interests are likewise part of cash flow from financing activities.

In the reporting year one subsidiary was added to the scope of consolidation for the first time. In addition, three companies were also merged into two consolidated subsidiaries. This did not result in a cash outflow. The total consideration received for the sale of a subsidiary was EUR 61 million, without resulting in a cash inflow.

The impact of this on assets and liabilities was:

EUR million	Increase	Reduction
Assets		
• Loans and advances to banks	35	–
• Financial investments	12	–
• Deferred tax assets	1	–
• Non-current assets or disposal groups classified as held for sale	–	18
• Other assets	5	3
Liabilities		
• Liabilities to banks	4	–
• Provisions	10	–
• Other liabilities	9	–

Supplementary information

(72) Subordinated assets

Subordinated assets are recognised in the following items on the balance sheet:

EUR million	2015	2014
Loans and advances to banks	67	160
Loans and advances to customers	608	576
Financial investments	159	180
Total	834	915

(73) Assets and liabilities in foreign currency

EUR million	2015	2014
Foreign currency assets	25,491	25,939
• CAD	509	749
• CHF	2,831	3,848
• GBP	6,241	5,985
• HKD	2	2
• JPY	183	300
• USD	15,100	14,121
• Other currencies	625	934
Foreign currency liabilities	17,537	18,033
• CAD	196	1,700
• CHF	803	1,408
• GBP	2,601	3,621
• HKD	1	18
• JPY	582	1,140
• USD	13,077	9,761
• Other currencies	277	386

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(74) Collateral received

Certain assets that have been pledged as collateral through securities repurchase transactions may be sold on or repledged even if the collateral provider has not defaulted. As at the reporting date, their fair value was EUR 8,380 million (FY 2014: EUR 12,625 million).

EUR 4,488 million (FY 2014: EUR 5,841 million) of this collateral was either sold on or repledged. An obligation to return this collateral exists.

These transactions were executed at standard market terms and conditions.

(75) Leasing

Finance leases

The BayernLB Group as lessee

As a lessee in finance leases, the BayernLB Group recognised no leases as at the reporting date (FY 2014: net carrying amount of EUR 0 million). As at 31 December 2014, certain components of IT equipment were recognised under property, plant and equipment. The related net present value of the outstanding minimum lease payments is calculated as follows:

EUR million	2015	2014
Minimum lease payments	–	2
Present value of minimum lease payments	–	2

Minimum lease payments and their present value by maturity

EUR million	Minimum lease payments		Present value of minimum lease payments	
	2015	2014	2015	2014
Residual maturities				
• up to 1 year	–	1	–	1
• between 1 year and 5 years	–	1	–	1
• more than 5 years	–	–	–	–
Total	–	2	–	2

Operating leases

The BayernLB Group as lessor

The BayernLB Group is a lessor in operating leases. The leases are for real estate. The future minimum lease payments from non-cancellable operating leases are broken down as follows:

EUR million	2015	2014
Residual maturities		
• up to 1 year	3	3
• between 1 year and 5 years	4	6
• more than 5 years	3	3
Total	10	12

The BayernLB Group as lessee

The BayernLB Group's current commitments from operating leases are primarily for leases for office space with options to extend the lease or clauses to adjust prices. The future minimum lease payments based on non-cancellable operating leases are broken down as follows:

EUR million	2015	2014
Residual maturities		
• up to 1 year	20	27
• between 1 year and 5 years	62	73
• more than 5 years	45	40
Total	128	140

In the reporting year minimum lease payments of EUR 23 million (FY 2014: EUR 31 million) were recognised as an expense.

(76) Trust transactions

EUR million	2015	2014
Assets held in trust	5,044	5,151
• Loans and advances to banks	43	56
• Loans and advances to customers	5,000	5,095
• Other assets	1	1
Liabilities held in trust	5,044	5,151
• Liabilities to banks	12	13
• Liabilities to customers	5,031	5,138
• Other liabilities	1	1

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(77) Contingent assets, contingent liabilities and other commitments

EUR million	2015	2014
Contingent liabilities	10,228	11,737
• Liabilities from guarantees and indemnity agreements	10,193	11,477
• Other contingent liabilities	35	261
Other commitments	21,484	24,082
• Placement and underwriting commitments	26	29
• Irrevocable credit commitments	21,458	24,053
Total	31,712	35,819

Contingent liabilities and other commitments are possible liabilities arising from the occurrence of an uncertain future event whose settlement amount and date cannot be reliably estimated. The other contingent liabilities includes possible liabilities arising from legal disputes.

EUR 7,822 million (FY 2014: EUR 7,886 million) of contingent liabilities and EUR 14,464 million (FY 2014: EUR 13,899 million) of other liabilities are due after more than 12 months.

As at the reporting date there were also contingent assets from income taxes in the double-digit millions and contingent assets from legal disputes where the Bank considers an inflow of economic benefits that cannot be reliably estimated at present to be probable.

(78) Other financial obligations

Other financial obligations arise principally from agency, rental, usage, service, maintenance consulting and marketing agreements.

As at the reporting date there were call commitments for capital not fully paid up of EUR 25 million (FY 2014: EUR 28 million) and uncalled liabilities from German limited partnership (Kommanditgesellschaft) interests of EUR 29 million (FY 2014: EUR 29 million). Liabilities to subsidiaries not incorporated in the consolidated financial statements totalled EUR 41 million (FY 2014: EUR 42 million).

As at the reporting date, the BayernLB Group had EUR 17 million of irrevocable payment obligations in connection with the bank levy. Cash collateral was pledged in the full amount for this (see note 70).

In the previous year BayernLB's liability as a member of the guarantee fund of the Landesbanks and central giro institutions was EUR 152 million. Following the implementation of the Deposit Guarantee Scheme Act (EinSiG), which became law on 3 July 2015, agreement was reached on a new system for calculating the target volume in the guarantee scheme. Member institutions have until 3 July 2024 to achieve the target volume of funds for the guarantee scheme (the fill-up phase). The amount of the target volume will be calculated each year based on the data as at 31 December of the previous year. By 31 May of any given year, the German Savings Bank Association (DSGV), the body responsible for the guarantee scheme, will calculate the mandatory annual contribution.

Under the terms of the statutes of the deposit insurance fund run by the Association of German Public Banks, VÖB, e. V. (VÖB), BayernLB has undertaken to exempt the VÖB from any losses arising from measures taken on behalf of a private credit institution in which it has a majority stake.

Under the terms of the contract to spin off Bayerische Landesbausparkasse (LBS AÖR-alt) to LBS Bayerische Landesbausparkasse (LBS AÖR-neu) on 10 December 2012, BayernLB and LBS AÖR-neu are joint and severally liable for the liabilities that were created up until the date of spin-off and assigned to LBS AÖR-neu in the spin-off agreement. BayernLB is liable for the liabilities within the meaning of the preceding sentence only if they mature within five years of the date of spin-off and the resulting claim has been legally enforced against BayernLB. Due to the stable financial position and financial performance of LBS AÖR-neu there is currently no risk of a claim being brought.

(79) Letters of comfort

BayernLB provides its subsidiaries with significant benefits in the form of improved business terms and better financing conditions by issuing them and their creditors letters of comfort. BayernLB also benefits as the value of its subsidiaries is enhanced. At the same time, however, it is also potentially liable for losses.

BayernLB is liable for ensuring that Deutsche Kreditbank Aktiengesellschaft, Berlin is able to fulfil its contractual obligations in proportion to the size of its equity interest except in cases of political risk.

Expiry of the letter of comfort for LB(Swiss) Privatbank AG as at 21 December 2009 and for Landesbank Saar as at 21 June 2010

Prior to the reporting year, BayernLB issued letters of comfort for LB(Swiss) Privatbank AG, Zurich (LB(Swiss)) and Landesbank Saar, Saarbrücken (SaarLB). At the end of 21 December 2009 BayernLB transferred its equity interest in LB(Swiss) to Landesbank Hessen-Thüringen, Frankfurt/Main and at the end of 21 June 2010 sold its 25.2 percent interest in the share capital of SaarLB to the Saarland. SaarLB therefore no longer qualifies as an associate of BayernLB under section 271, paragraph 2 HGB (German Commercial Code). As a result the letter of comfort for LB(Swiss) expired at the end of 21 December 2009 and for SaarLB at the end of 21 June 2010. The liabilities of LB(Swiss) created after the end of 21 December 2009 and the liabilities of SaarLB created after the end of 21 June 2010 are not covered by the letters of comfort and therefore any previous declarations have been revoked.

Expiry of the letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg as at 1 May 2015

BayernLB previously issued a letter of comfort for Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation), Luxembourg. As stated in the Events after the reporting period section of the 2014 Annual Report, BayernLB rescinded this letter of comfort with effect from the end of 30 April 2015. As a result, the letter of comfort will in particular no longer cover liabilities of Banque LBLux S.A. (since renamed Banque LBLux S.A. in Liquidation) that were created after 30 April 2015, and all previously issued letters were also rescinded.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Expiry of the letter of comfort issued by Deutsche Kreditbank Aktiengesellschaft, Berlin for SKG BANK AG, Saarbrücken as at 13 July 2015

Deutsche Kreditbank Aktiengesellschaft, Berlin previously issued a letter of comfort for SKG BANK AG, Saarbrücken. This letter of comfort became void when the merger between SKG BANK AG, Saarbrücken and Deutsche Kreditbank Aktiengesellschaft, Berlin took effect on 13 July 2015.

(80) Shareholdings

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Subsidiaries included in the consolidated financial statements				
Banque LBLux S.A. i.L., L - Luxembourg	Direct	100.0	95,825	1,822
Bayern Card-Services GmbH - S-Finanzgruppe, Munich	Direct	50.1	26,213	9,848
BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich ¹	Direct	100.0	18,754	—
BayernLB Capital LLC I, USA - Wilmington ²	Direct	100.0	108	9
BayernLB Capital Trust I, USA - Wilmington ²	Direct	100.0	1	—
Deutsche Kreditbank Aktiengesellschaft, Berlin ¹	Direct	100.0	2,335,912	—
Subsidiaries included in the Deutsche Kreditbank Aktiengesellschaft sub-group:				
• DKB Finance GmbH, Berlin	Indirect	100.0	11,645	—
• DKB Grundbesitzvermittlung GmbH, Berlin	Indirect	100.0	101	—
• DKB PROGES GmbH, Berlin	Indirect	100.0	480	—
• DKB Service GmbH, Potsdam	Indirect	100.0	7,133	—
• FMP Forderungsmanagement Potsdam GmbH, Potsdam	Indirect	100.0	3,411	1,290
• MVC Unternehmensbeteiligungsgesellschaft mbH, Berlin	Indirect	100.0	2,469	107
Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich ¹	Direct	100.0	45,455	—
Subsidiaries not included in the consolidated financial statements				
Bauland GmbH, Baulandbeschaffungs-, Erschließungs- und Wohnbaugesellschaft, Munich	Indirect	94.5	—10,106	—
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH & Co. Objekt Fürth KG, Munich	Indirect	100.0	—	—
Bavaria Immobilien-Beteiligungs-Gesellschaft mbH, Munich	Indirect	100.0	10	—5
Bayerische Landesbank Europa-Immobilien-Beteiligungs-GmbH, Munich	Indirect	100.0	109	—
Bayerische Landesbank Immobilien-Beteiligungs-Gesellschaft mbH & Co. KG, Munich	Direct	100.0	31,585	2,398
Bayerische Landesbank Immobilien-Beteiligungs-Verwaltungsgesellschaft mbH, Munich	Direct	100.0	47	2
Bayern Bankett Gastronomie GmbH, Munich ¹	Direct	100.0	514	—
Bayern Corporate Services GmbH, Munich	Indirect	100.0	205	—
Bayern Facility Management GmbH, Munich ¹	Direct	100.0	2,560	—
BayernFinanz Gesellschaft für Finanzmanagement und Beteiligungen mbH, Munich ¹	Direct	100.0	725	—
Bayernfonds Australien 4 GmbH, Munich	Indirect	100.0	25	—
Bayernfonds BestEnergy 1 GmbH & Co. KG, Oberhaching	Indirect	100.0	31,571	—9,104
Bayernfonds Immobilien Concept GmbH, Munich	Indirect	100.0	65	—3

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Bayernfonds Immobiliengesellschaft mbH, Munich	Direct and indirect	100.0	4,907	159
Bayernfonds Kambara GmbH, Munich	Indirect	100.0	25	–
Bayernfonds Opalus GmbH, Munich	Indirect	100.0	25	–
BayernInvest Luxembourg S.A., L - Munsbach	Indirect	100.0	1,327	4
BayernLB Capital Partner GmbH, Munich	Direct	100.0	1,264	32
BayernLB Capital Partner Verwaltungs-GmbH, Munich	Direct	100.0	40	3
BayernLB Mittelstandsfonds GmbH & Co. Unternehmensbeteiligungs KG, Munich	Direct and indirect	100.0	34,506	502
BayernLB Private Equity GmbH, Munich	Direct	100.0	34,773	–16,673
BayTech Venture Capital II GmbH & Co. KG, Munich	Direct and indirect	47.6	5,511	273
BayTech Venture Capital Initiatoren GmbH & Co. KG, Munich	Indirect	46.8	42	–5
Berchtesgaden International Resort Betriebs GmbH, Munich ¹	Direct	100.0	9,368	–
Berthier Participations SARL, F - Paris	Direct	100.0	470	–113
BestLife 3 International GmbH & Co. KG, Munich	Indirect	50.4	16,348	–78
BGFM Bayerische Gebäude- und Facilitymanagement AG & Co. KG, Munich	Indirect	100.0	90	–18
BGV IV Verwaltungs GmbH, Munich	Indirect	100.0	36	3
BGV VI Verwaltungs GmbH, Munich ³	Indirect	100.0		
BGV V Verwaltungs GmbH, Munich	Indirect	100.0	30	4
BLB-Beteiligungsgesellschaft Sigma mbH, Munich ¹	Direct	100.0	971	–
BLB-VG22-Beteiligungsgesellschaft mbH, Munich	Direct	100.0	4,728	369
DKB Immobilien Beteiligungs GmbH, Potsdam	Indirect	100.0	2,164	156
DKB Stiftung Liebenberg gGmbH, Löwenberger Land/ OT Liebenberg ⁴			562	2
DKB Stiftung Schorssow UG, Schorssow ⁴			–	184
DKB Stiftung Vermögensverwaltungsgesellschaft mbH, Fürth ⁴			24	72
DKB Wohnen GmbH, Berlin	Indirect	94.5	25	–
DKB Wohnungsbau- und Stadtentwicklung GmbH, Berlin	Indirect	100.0	2,500	–
GbR Olympisches Dorf, Potsdam	Indirect	100.0	151	151
German Centre for Industry and Trade Shanghai Co. Ltd., PRC - Shanghai	Indirect	100.0	34,765	2,158
German Centre for Industry and Trade Taicang Co. Ltd., PRC - Taicang ³	Indirect	100.0		
German Centre Limited, BVI - Tortola	Direct	100.0	27,090	982
gewerbegründ AIRPORT GmbH Beteiligungsgesellschaft, Munich	Indirect	100.0	62	1
gewerbegründ Airport GmbH & Co. Hallbergmoos KG, Munich	Indirect	100.0	6,504	–1,109
gewerbegründ Bauträger GmbH & Co. Objekt IGG KG, Munich	Indirect	100.0	54	–3
gewerbegründ Projektentwicklungsgesellschaft (gpe) mbH, Munich ¹	Direct	100.0	50	–
Global Format GmbH & Co. KG, Munich	Direct	52.4	1,521	10
Global Format Verwaltungsgesellschaft mbH, Munich	Indirect	100.0	28	1
Hausbau Dresden GmbH, Munich	Indirect	100.0	47	–1
Hörmannshofer Fassaden GmbH & Co. Halle KG, Halle/Saale	Indirect	100.0	157	387

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
Hörmannshofer Fassaden GmbH & Co. Niederdorf KG, Niederdorf by Chemnitz	Indirect	80.0	157	168
Hörmannshofer Fassaden Süd GmbH & Co. KG, Marktoberdorf	Indirect	100.0	223	668
Hörmannshofer Unternehmensgruppe GmbH, Marktoberdorf	Indirect	52.6	2,790	-12,172
Hörmannshofer Verwaltungs GmbH, Pöttmes/Augsburg	Indirect	100.0	130	15
Koch - Betontechnik GmbH & Co. KG, Pöttmes/Augsburg	Indirect	100.0	32	-
LB Immobilienbewertungsgesellschaft mbH, Munich ¹	Direct	100.0	827	-
LB-RE S.A., L - Luxembourg	Indirect	100.0	5,082	-
Melhoria Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	305	172
Oberhachinger Bauland GmbH, Wohnbau- und Erschließungsgesellschaft, Munich	Indirect	91.0	-2,416	-
Potsdamer Immobiliengesellschaft mbH, Potsdam	Indirect	100.0	45	20
PROGES DREI GmbH, Berlin	Indirect	100.0	467	51
PROGES ENERGY GmbH, Berlin	Indirect	100.0	287	215
PROGES Sparingberg GmbH, Berlin	Indirect	100.0	618	13
PROGES VIER GmbH, Berlin	Indirect	100.0	159	3
PROGES ZWEI GmbH, Berlin	Indirect	100.0	972	-527
Real I.S. Australia Pty. Ltd., AUS - Buderim QLD	Indirect	100.0	243	393
Real I.S. Beteiligungs GmbH, Munich	Indirect	100.0	74	9
Real I.S. Finanz GmbH, Munich ¹	Direct	100.0	25	-
Real I.S. Fonds Service GmbH, Munich ¹	Direct	100.0	42	6
Real I.S. France SAS, F - Paris	Indirect	100.0	599	28
Real I.S. Fund Management GmbH, Munich	Indirect	100.0	43	7
Real I.S. Gesellschaft für Immobilienentwicklung mbH, Munich	Indirect	100.0	1,134	11
Real I.S. Gesellschaft für Immobilien Entwicklung und Projektrealisierung mbH & Co. KG, Munich	Indirect	100.0	4,461	-47
Real I.S. Investment GmbH, Munich	Indirect	100.0	3,176	531
Real I.S. Management Hamburg GmbH, Munich	Indirect	100.0	27	-
Real I.S. Management SA, L - Munsbach	Indirect	100.0	255	14
Real I.S. Objekt Bruchsal Verwaltungsgesellschaft mbH i.L., Oberhaching	Indirect	100.0	23	2
Schütz Group GmbH & Co. KG, Rosbach	Indirect	54.4	7,679	-1,422
Schütz Group Verwaltungsgesellschaft mbH, Rosbach	Indirect	100.0	42	2
SEPA Objekt Bruchsal GmbH & Co. KG i.L., Oberhaching	Indirect	100.0	112	-12
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie GmbH & Co. KG, Oberhaching	Indirect	100.0	6,217	357
SEPA/Real I.S. Objekt Bruchsal Rathausgalerie Verwaltungs-GmbH, Oberhaching	Indirect	94.0	27	3
Süd-Fassaden GmbH, Königsbrunn	Indirect	100.0	81	-
TFD und BGV VI Verwaltungs GmbH, Munich ³	Indirect	100.0		
TFD und RFS Verwaltungs GmbH, Munich ³	Indirect	100.0		
WPA Fonds Partners Sàrl, L - Luxembourg	Indirect	100.0	13	-
WPI Fonds Partners Sàrl, L - Luxembourg	Indirect	100.0	13	-
Other joint ventures				
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft & Co. Holding KG, Munich	Indirect	50.0	158	-22
ABG Allgemeine Bauträger- und Gewerbeimmobilien-gesellschaft mbH, Munich	Indirect	50.0	58	3
BayernImmo 1. Joint Venture GmbH & Co. KG, Munich ³	Indirect	50.0		

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
BayernImmo 1. Joint Venture Verwaltungs GmbH, Munich ³	Indirect	50.0		
CommuniGate Kommunikationsservice GmbH, Passau	Indirect	50.0	3,321	240
Einkaufs-Center Győr Verwaltungs G.m.b.H., Hamburg	Indirect	50.0	27	2
Fay & Real I.S. IE Regensburg GmbH & Co. KG, Oberhaching	Indirect	50.0	539	-3
Fay & Real I.S. IE Regensburg Verwaltungs GmbH, Oberhaching	Indirect	50.0	32	3
German Biofuels GmbH, Pritzwalk ⁵	Indirect	19.9	-3,982	87
German Centre for Industry and Trade India Holding-GmbH, Munich	Direct	50.0	859	-445
Harburg Arcaden Projektbeteiligung mbH, Essen	Indirect	50.0	52	-
MTI Main-Taunus Immobilien GmbH, Bad Homburg v.d.H.	Indirect	50.0	186	56
S-Karten-Service-Management GmbH - Saarbrücken - München, Munich	Indirect	50.0	101	-
TEGES Grundstücks-Vermietungsgesellschaft mbH, Berlin	Indirect	50.0	19	-1
TEGES Grundstücks-Vermietungsgesellschaft mbH & Co. Objekt Berlin KG, Berlin ⁵	Indirect	47.0	-7,185	212
Other associates				
Bayerngrund Grundstücksbeschaffungs- und -erschließungs-Gesellschaft mit beschränkter Haftung, Munich	Direct	50.0	8,947	25
Bayern Mezzaninekapital GmbH & Co. KG - Unternehmensbeteiligungsgesellschaft, Munich	Direct	25.5	38,365	2,904
Bayern Mezzaninekapital Verwaltungs GmbH, Munich	Direct	49.0	43	1
Erste Tinten Holding GmbH, Hohenbrunn	Indirect	21.0	3,487	769
GHM Holding GmbH, Regenstauf	Indirect	40.0	15,530	427
G.I.E. Max Hymans, F - Paris	Indirect	33.3	-28,941	3,845
Neumarkt-Galerie Immobilienverwaltungs-gesellschaft mbH, Cologne	Indirect	49.0	88	-1
RSU Rating Service Unit GmbH & Co. KG, Munich	Direct	20.0	13,813	1,683
Other significant shareholdings of 20 percent or more				
Abacus Eight Limited, GBC - George Town/Grand Cayman ⁶	Direct	48.5	7,759	5,108
Abacus Nine Limited, GBC - George Town/Grand Cayman ⁶	Direct	48.5	7,844	5,192
Abacus Seven Limited, GBC - George Town/Grand Cayman ⁶	Direct	48.5	5,623	2,980
Abacus Ten Limited, GBC - George Town/Grand Cayman ⁶	Direct	43.9	3,083	409
ADS-click S.A., CH - Geneva	Indirect	49.5	2,593	-1,097
Aero Lloyd Erste Beteiligungsgesellschaft GmbH i.L., Kelsterbach	Indirect	100.0	24	-1
Aero Lloyd Flugreisen GmbH & Co. Luftverkehrs-KG i.L., Oberursel	Indirect	66.3	20,405	-5,671
Aero Lloyd Flugreisen GmbH i.L., Oberursel	Indirect	94.0	77	7
Aero Lloyd ReiseCenter GmbH i.L., Oberursel	Indirect	100.0	65	-17
Bau-Partner GmbH, Halle/Saale	Indirect	49.6	-239	-553
Corporate Computer Lease Limited, CCL.Limited, GB - Camberley, Surrey ⁷	Indirect	33.3	3,951	86
Film und Video Untertitelung Gerhard Lehmann AG i.L., Potsdam	Indirect	33.3	-1,997	-495
Fondations Capital I S.C.A., L - Senningerberg	Direct	23.2	223,297	-36,826
GbR VÖB-ImmobilienAnalyse, Bonn ³	Indirect	20.0		
GESO Gesellschaft für Sensorik, Geotechnischen Umweltschutz und mathematische Modellierung mbH, Jena	Indirect	43.1	-353	-

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Name and location of the investee	Type of share-holding	Percentage held	Equity/ fund assets in EUR '000	Earnings in EUR '000
MB Holding GmbH, Lüdenscheid	Indirect	54.6	3,025	1,488
Mediport Venture Fonds Zwei GmbH, Berlin	Indirect	53.8	267	-1,687
mfi Grundstück GmbH & Co. Harburg Arcaden KG, Essen	Indirect	42.1	-	-1,688
Neue Novel Ferm Verwaltungs GmbH, Dettmannsdorf	Indirect	49.0	24	-3
Novel Ferm Brennerei Dettmannsdorf GmbH & Co. KG, Dettmannsdorf	Indirect	49.0	-	-21
RSA Capak alma ve kesme Sistemlerim San. Ve. Tic. Ltd. Sti., TR - Izmit KOCAELI	Indirect	100.0	-64	-6
RSA Entgrat- u. Trenn-Systeme GmbH & Co. KG, Lüdenscheid	Indirect	100.0	1,026	2,179
RSA Entgrat- u. Trenn-Systeme Verwaltungs-GmbH, Lüdenscheid	Indirect	100.0	62	4
RSA Systèmes Ebavurage et Tronconnage S.A.R.L., F - Sarreguemines Cedex	Indirect	100.0	26	-54
Sophia Euro Lab S.A.S. i.L., F - Sophia Antipolis Cedex	Indirect	32.3	1,402	-134
SSC Sky Shop Catering GmbH & Co. KG i.L., Kelsterbach	Indirect	100.0	1,279	825
TRMF Gewerbeimmobilien GmbH, Essen	Indirect	50.0	-	758
Versorgungskasse I BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	19,105	-3,767
Versorgungskasse II BayernLB Gesellschaft mit beschränkter Haftung, Munich	Direct	100.0	15,013	1,783
Structured entities not included in the consolidated financial statements under IFRS 10 due to their negligible importance				
Baserepo No. 1 S.A., L - Luxembourg ⁸			31	-
Bayern Invest Renten Europa-Fonds, Munich	Direct	48.7	21,456	710
DKB Asien Fonds TNL, L - Luxembourg	Indirect	84.1	22,262	-
DKB Europa Fonds TNL, L - Luxembourg	Indirect	75.2	23,925	273
DKB Neue Bundesländer Fonds ANL, L - Luxembourg	Indirect	96.5	19,947	-
DKB Nordamerika Fonds TNL, L - Luxembourg	Indirect	86.7	19,748	97
DKB Ökofonds TNL, L - Luxembourg	Indirect	94.7	14,162	-149
DKB Pharma Fonds TNL, L - Luxembourg	Indirect	76.5	39,802	-326
DKB Stiftung für gesellschaftliches Engagement, Löwenberger Land/OT Liebenberg ⁸			14,360	120
DKB Teletech Fonds AL, L - Luxembourg	Indirect	82.1	9,004	-43
DKB Tele Tech Fonds TNL, L - Luxembourg	Indirect	93.6	18,835	-198
DKB Zukunftfonds TNL, L - Luxembourg	Indirect	77.2	21,514	-130
EK-Fonds der BayernInvest, Munich	Indirect	54.9	16,430	470
MS „Scorpius J“ Schiffahrtsgesellschaft mbH & Co. KG, Hamburg ⁸			-9,617	-1,952
MS „Serpens J“ Schiffahrtsgesellschaft mbH & Co. KG, Hamburg ⁸			-9,514	-1,410

The information is based on the most recent annual accounts of the investees.

Foreign currency amounts were converted into euros at the respective spot exchange rate at the end of the year.

1 A profit and loss transfer agreement has been concluded with the company.

2 The company is both a subsidiary and a structured entity consolidated within the Group.

3 Approved annual financial statements are not available yet.

4 Control through a structured entity of the BayernLB Group.

5 Classified as a joint venture based on contractual agreements.

6 Share of voting rights: the BayernLB Group 0 percent, third party 100 percent.

7 Share of voting rights: the BayernLB Group 41.7 percent, third party 58.3 percent.

8 Structured entities under IFRS 10 with no equity interests held by the BayernLB Group.

Investments in large limited companies (including credit institutions) exceeding 5 percent of the voting rights

Name and location of the investee
AKA Ausfuhrkredit GmbH, Frankfurt/Main
BayBG Bayerische Beteiligungsgesellschaft mbH, Munich
Bayerische Garantiegesellschaft mbH für mittelständische Beteiligungen, Munich
Bayern Card-Services GmbH - S-Finanzgruppe, Munich
Deutsche Factoring Bank Deutsche Factoring GmbH & Co., Bremen
Deutsche Kreditbank Aktiengesellschaft, Berlin
DKB Service GmbH, Potsdam

(81) Unconsolidated structured entities

The BayernLB Group maintains business relationships with structured entities. These are contractual and non-contractual business relationships with entities which are structured so that they are not controlled by voting or comparable rights and the voting rights relate to administrative tasks only. The structured entity's relevant activities are directed by means of contractual arrangements.

Some of the main features common to structured entities are:

- restricted activities
- a narrow and precisely defined purpose
- insufficient equity to fund their own activities
- funding in the form of multiple instruments contractually linked to investors that pool together credit or other risks (tranches)

The BayernLB Group's interests in unconsolidated structured entities include debt or equity instruments, liquidity facilities, guarantees and various derivative instruments for absorbing the Group's risks from unconsolidated entities.

Securitisation vehicles

The BayernLB Group's business activities with securitisation vehicles are mainly in the form of securitisations structured for customers (customer transactions) with the existing ABCP programme Corelux S.A., Luxembourg that was set up exclusively for this purpose. The securitisation vehicle Corelux S.A. purchases trade and leasing receivables from the BayernLB Group's core customers and funds them by issuing asset-backed securities and through credit facilities from BayernLB. This financing has a weighted average term of 4 years (FY 2014: 4 years). The size of the unconsolidated securitisation vehicles with which the BayernLB Group has business relationships is based on the sum of their assets and was EUR 8,172 million (FY 2014: EUR 9,301 million).

Investment funds

The BayernLB Group invests in funds launched by its investment companies Real I.S. AG Gesellschaft für Immobilien Assetmanagement, Munich (Real I.S.) and BayernInvest Kapitalverwaltungsgesellschaft mbH, Munich (BayernInvest). As a member of the Savings Banks Finance Group, Real I.S. is the BayernLB Group's asset manager and fund service provider for real estate.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

It invests to a limited extent in equity instruments, for example, in its capacity as a managing limited partner. In certain cases it makes loans to the investment company's special funds. BayernInvest is the centre of expertise for institutional asset management within the BayernLB Group and a master investment company. A small amount is invested in equity instruments of certain special funds. There are also holdings in the debt and equity instruments of investment funds of providers outside the Group. These investments are usually secured by the fund's underlying pool of assets. Under loan restructuring programmes, BayernLB waived the sum of EUR 2 million in the reporting year (FY 2014: EUR 5 million). In the reporting year, the payment of costs and provision of collateral added EUR 8 million (FY 2014: EUR 7 million) to the value of investments in which the BayernLB Group has no holdings. Income of EUR 1 million was produced on these investments from investor management. The weighted average term of funding for investment funds was 6 years (FY 2014: 7 years). The size of the investment funds with which the BayernLB Group has business relationships is based on their fund assets and was EUR 112,015 million (FY 2014: EUR 92,515 million¹).

Other financing

The BayernLB Group loans to structured entities which may hold a wide variety of assets. In all cases these loans are secured by these assets. This includes commercial real estate, property, project and leasing financing, as well as fund-based financing of commercial real estate. Subordinated loans are made in a limited number of cases. This financing has a weighted average term of 7 years (FY 2014: 7 years). The size of the structured entities in the form of other financing is based on the sum of their assets and was EUR 10,665 million (FY 2014: EUR 15,437 million).

Assets and liabilities from interests in unconsolidated structured entities recognised on the balance sheet

	Securitisation vehicles		Investment funds		Other financing		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Assets								
• Loans and advances to customers	873	577	1,860	1,709 ¹	2,263	2,457	4,997	4,743
• Risk provisions	1	–	90	–	32	–	122	–
• Assets held for trading	825	615	70	85 ¹	87	119	982	819
• Financial investments	122	475	187	174	134	88	443	737
• Other assets	–	–	4	5	–	–	4	5
Liabilities								
• Liabilities to customers	3	3	229	73 ¹	346	251	578	327
• Liabilities held for trading	–	–	21	13 ¹	–	–	21	13
• Equity – revaluation surplus	–	–	2	–	–	–	2	–

1 Adjusted as per IAS 8.42 (see note 2).

1 Adjusted as per IAS 8.42 (see note 2).

Contingent liabilities from interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Contingent liabilities	–	–	4	13	42	48	47	61
Other commitments	726	1,126	104	24	162	16	992	1,166

The maximum default risk the BayernLB Group is exposed to from its business activities with structured entities depends on the carrying amount of receivables from the credit business, assets held for trading and financial investments on their balance sheets. These carrying amounts do not reflect the BayernLB Group's economic risk as they do not take account of collateral or hedges.

The maximum default risk of off-balance sheet transactions is reflected by their nominal value. The nominal values do not reflect economic risk as they do not take account of the impact of collateralisation or securitisation, or the probability of losses that could arise.

Gains or losses on interests in unconsolidated structured entities

	Securitisation vehicles		Investment funds		Other financing		Total	
	2015	2014	2015	2014	2015	2014	2015	2014
Net interest income	18	144	6	5	43	45	67	194
Risk provisions in the credit business	–	–	35	77	14	18	49	95
Net commission income	2	3	38	35	2	2	42	40
Gains or losses on fair value measurement	–	–	–10	–	50	–	40	–
Gains or losses on hedge accounting	–1	–	–	–	–	–	–1	–
Gains or losses on financial investments	–	310	–	–	–	–	–	310
Other income and expenses	–	–	7	–	–	–	7	–

(82) Capital management

The aim of capital management is to preserve capital over the long term.

Capital management is based on a Group-wide planning process that incorporates strategic, risk-based and regulatory factors into a long-term operational plan. Regulatory capital is allocated in the Group planning process to the individual planning units. The planning units (Group units) are BayernLB's defined business segments, Bayerische Landesbodenkreditanstalt, Munich (BayernLabo) and Deutsche Kreditbank, Berlin (DKB). Regulatory capital is allocated to the Group units on a top-down basis approved by the Board of Management, through limits on risk-weighted assets (RWA) combined with an internally set Tier 1 capital ratio of 10 percent.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Under the Capital Requirements Regulations (CRR), BayernLB is subject to the European Central Bank's supervisory review and evaluation process (SREP). As a result of the SREP, BayernLB was assigned a CET 1 ratio at both individual bank and consolidated level which it must maintain at all times under the transitional CRR rules.

The SREP capital ratio is used in BayernLB's capital management. It is used to determine the internal target capital ratio set in the planning process, monitored on an ongoing basis and regularly reported to the committees referred to below.

Management structure

BayernLB's Board of Management is supported in this area by the Asset Liability Committee, Capital Management Committee and RWA Board. The primary tasks of the Asset Liability Committee are managing and allocating the key resources of capital and liquidity, as well as managing the balance sheet structure. The Capital Management Committee and RWA Board support the Asset Liability Committee.

The Capital Management Committee mainly comprises the Chief Financial Officer and senior management from the risk control, financial controlling, treasury and accounting units. Its task is to prepare decisions for the Asset Liability Committee on capital management taking account of framework conditions such as rules set by the owners and regulatory or EU requirements. Capital management deals with, among other things, changes in target regulatory capital ratios, the type and amount of the capital base and the allocation of RWA and entails ongoing monitoring of changes. Hence the Capital Management Committee is an important source of input for the Asset Liability Committee and BayernLB's Board of Management and prepares suitable recommendations for action on matters related to capital.

The RWA Board comprises senior management from risk control and financial controlling, the Group strategy and key business areas. It monitors and manages RWA trends across the Group, particularly RWA limit utilisation at business area level, new concluded business, optimisation measures and RWA productivity. It also prepares decisions on RWA-related topics for the Asset Liability Committee.

Banking supervisory capital and ratios

The BayernLB Group's supervisory capital has been calculated on the basis of CRR/CRD IV.

Own funds are defined as Common Equity Tier 1 capital (CET 1), additional Tier 1 capital and supplementary capital. Common Equity Tier 1 capital comprises subscribed capital plus reserves and the state support mechanism of the Free State of Bavaria, less various supervisory deductions. The additional Tier 1 capital comprises primarily silent partner contributions. Supplementary capital comprises profit participation certificates and long-term subordinated liabilities.

Banking supervisory capital of the BayernLB Group

EUR million	2015	2014
Total RWA	69,606	76,616
Own funds	11,194	11,402
of which:		
• Tier 1 capital	9,859	9,565
• Common Equity Tier 1 capital (CET 1)	9,755	9,565

Banking supervisory ratios as reported

in percent	2015	2014
Total capital ratio	16.1	14.9
Tier 1 capital ratio	14.2	12.5
Common Equity Tier 1 capital (CET 1) ratio	14.0	12.5

The BayernLB Group complied with external capital requirements at all times in reporting year 2015.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(83) Administrative bodies of BayernLB

Supervisory Board

Gerd Haeusler

Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier

Deputy Chairman of the Supervisory Board
of BayernLB
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Dr Hubert Faltermeier

Chief District Administrator
Kelheim

Dr Roland Fleck

Managing Director
NürnbergMesse GmbH
Nuremberg

Dr Ute Geipel-Faber

Senior Director – Client Portfolio Management
Invesco Real Estate GmbH
Munich

Ralf Haase

Chairman of the General Staff Council
BayernLB
Munich

Dr Ulrich Klein

Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Thomas Langer

since 1 November 2015
Member of the BayernLB Supervisory Board
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Wolfgang Lazik

Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Professor Dr Christian Rödl

Managing Partner
Rödl & Partner GbR
Nuremberg

Professor Dr Bernd Rudolph

Professor at LMU Munich and
Steinbeis-Hochschule Berlin

Dr Bernhard Schwab

until 31 October 2015
Member of the BayernLB Supervisory Board
Deputy Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

**Board of Management (including allocation
of responsibilities from 1 October 2015)**

Dr Johannes-Jörg Riegler

CEO
Corporate Center
Deutsche Kreditbank Aktiengesellschaft

Dr Edgar Zoller

Deputy CEO
Real Estate & Savings Banks/Association
Bayerische Landesbodenkreditanstalt¹

Marcus Kramer

CRO
Risk Office
Restructuring Unit
Group Compliance

Michael Bucker

Corporates & Mittelstand

Dr Markus Wiegelmann

CFO/COO
Financial Office
Operating Office

Ralf Woitschig

Financial Markets
BayernInvest Kapitalverwaltungsgesellschaft mbH
Real I.S. AG Gesellschaft für Immobilien
Assetmanagement

¹ Dependent institution of the Bank.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

(84) Related party disclosures

The BayernLB Group maintains business relationships with related parties. These include the Free State of Bavaria and the Association of Bavarian Savings Banks, Munich (SVB), whose indirect stakes in BayernLB are 75 percent and 25 percent respectively, non-consolidated subsidiaries, joint ventures and associates. The members of BayernLB's Board of Management and Supervisory Board and their close family members, and companies controlled by these parties or jointly controlled if these parties are members of their management bodies are also deemed related parties.

The list of shareholdings gives an overview of BayernLB's investees (see note 80).

Relationships with the Free State of Bavaria

EUR million	2015	2014
Loans and advances	5,261	5,513
Assets held for trading	141	196
Financial investments	62	150
Liabilities	83	86
Liabilities held for trading	13	12
Subordinated capital	1,300	–
Liabilities held in trust	4,663	4,738
Contingent liabilities	4	3
Other commitments	965	965

The following were material relationships with companies controlled by the Free State of Bavaria, or which it jointly controls or has significant influence over:

EUR million	2015	2014
Loans and advances to banks	32	36
Loans and advances to customers	277	279
Risk provisions	1	–
Assets held for trading	89	93
Financial investments	30	–
Liabilities to banks	2,912	3,003
Liabilities to customers	53	48
Securitised liabilities	129	128
Liabilities held for trading	4	8
Assets held in trust	396	400

Relationships with the Association of Bavarian Savings Banks

EUR million	2015	2014
Liabilities	98	67

In the previous year the following were material relationships with companies controlled by the Association of Bavarian Savings Banks (SVB), or over which it exercises joint control:

EUR million	2015	2014
Loans and advances to banks	–	160
Liabilities to banks	–	2,159
Securitised liabilities	–	166

Relationships with investees

EUR million	2015	2014
Loans and advances to customers	401	512
• Non-consolidated subsidiaries	282	383
• Joint ventures	36	8
• Associates	83	121
Risk provisions	67	72
• Non-consolidated subsidiaries	62	72
• Joint ventures	5	–
Assets held for trading	1	1
• Associates	1	1
Financial investments	10	–
• Non-consolidated subsidiaries	10	–
Other assets	4	7
• Non-consolidated subsidiaries	4	7
Liabilities to customers	126	166
• Non-consolidated subsidiaries	111	145
• Joint ventures	2	2
• Associates	14	19
Securitised liabilities	2	2
• Associates	2	2
Provisions	2	1
• Non-consolidated subsidiaries	2	1
Other liabilities	1	–
• Non-consolidated subsidiaries	1	–
Contingent liabilities	15	15
• Non-consolidated subsidiaries	15	15
• Associates	1	–
Other liabilities	7	85
• Non-consolidated subsidiaries	3	80
• Joint ventures	1	1
• Associates	3	3

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

An expense of EUR 17 million (FY 2014: EUR 46 million) was recognised for non-recoverable or doubtful receivables in the reporting year.

In the reporting year, capital contributions were made to unconsolidated entities, joint ventures and associates in the amount of EUR 3 million (FY 2014: EUR 20 million). These investees repaid capital in the amount of EUR 20 million (FY 2014: EUR 3 million).

Relationships with members of BayernLB's Board of Management and Supervisory Board

EUR million	2015	2014
Members of the BayernLB Board of Management		
• Deposits	2	2
Members of the Supervisory Board of BayernLB		
• Deposits	1	1

Remuneration of members of BayernLB's Board of Management and Supervisory Board

in TEUR	2015	2014
Members of the BayernLB Board of Management	5,718	4,315
• Short-term benefits	3,944	2,921
• Post-employment benefits	1,774	1,395
– defined benefit plan costs	1,774	1,395
Members of the Supervisory Board of BayernLB	697	663
• Short-term benefits	697	663
Former members of the BayernLB Board of Management and their surviving dependants	4,292	4,590
Former members of the BayernLB Supervisory Board and their surviving dependants	45	11
Pension provisions established for members of the BayernLB Board of Management	7,864	5,634
Pension provisions established for former members of the BayernLB Board of Management and their surviving dependants	107,164	107,694

In accordance with the EU state-aid ruling, the absolute upper limit on monetary remuneration for members of the Board of Management was raised as at 1 January 2015 from EUR 511,000 p.a. to 750,000 p.a. Along with the introduction of a performance-based remuneration system for the Board of Management of BayernLB as at 1 January 2015, the Bank raised the annual base salaries of the members of the Board and introduced a variable remuneration component. The absolute upper limit was not reached in most cases.

The information on variable compensation under short-term benefits is based on the assumption targets are achieved 100 percent. The Supervisory Board is expected to decide on the payout and the exact size of the Board of Management's variable remuneration for financial year 2015 in its meeting in April 2016.

(85) External auditor's fees

The total fees for the external auditors for the financial year comprise:

EUR million	2015	2014
Financial statements audit	4	4
Other certification and valuation services	1	1
Other services	1	2
Total	5	7

(86) Human resources

Average headcounts for the reporting year were:

	2015	2014
Full-time employees (not including trainees)	5,064	6,778
• Female	2,151	3,264
• Male	2,912	3,514
Part-time employees (not including trainees)¹	1,859	1,793
• Female	1,510	1,471
• Male	349	322
Trainees²	111	115
• Female	44	48
• Male	67	67
Total	7,034	8,686

¹ Part-time headcount equated to 1,241 full-time employees (FY 2014: 1,125).

² Including students on a work/study programme.

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Responsibility statement by the Board of Management

To the best of our knowledge and in accordance with the applicable reporting principles for financial reporting and generally accepted accounting standards, the consolidated financial statements give a true and fair view of the financial performance and financial position of the Group, and the management report of the Group includes a fair review of the development and performance of the business and the position of the Group, together with a description of the principal opportunities and risks associated with the expected development of the Group.

Munich, 14 March 2016

Bayerische Landesbank
The Board of Management

Dr Johannes-Jörg Riegler

Michael Bücker

Dr Edgar Zoller

Dr Markus Wiegelmann

Marcus Kramer

Ralf Woitschig

Auditor's Report

We have audited the consolidated financial statements prepared by Bayerische Landesbank, Munich – comprising the statement of comprehensive income (including the income statement), the balance sheet, the statement of changes in equity, the cash flow statement and the notes – and the Group management report for the financial year from 1 January to 31 December 2015. The preparation of the consolidated financial statements and the Group management report in accordance with International Financial Reporting Standards (IFRS) as adopted by the European Union (EU) and the additional requirements of German commercial law pursuant to section 315a para. 1 German Commercial Code (HGB) and supplementary provisions of the Bayerische Landesbank Act (Gesetz über die Bayerische Landesbank) and the Statutes (Satzung) are the responsibility of the parent Company's management. Our responsibility is to express an opinion on the consolidated financial statements and on the Group management report based on our audit.

We conducted our audit of the consolidated financial statements in accordance with section 317 German Commercial Code (HGB) and German generally accepted standards for the audit of financial statements promulgated by the Institute of Public Auditors in Germany (IDW). Those standards require that we plan and perform the audit such that misstatements materially affecting the presentation of the net assets, financial position and results of operations in the consolidated financial statements in accordance with the applicable financial reporting framework and in the Group management report are detected with reasonable assurance. Knowledge of the business activities and the economic and legal environment of the Group and expectations as to possible misstatements are taken into account in the determination of audit procedures. The effectiveness of the accounting-related internal control system and the evidence supporting the disclosures in the consolidated financial statements and the Group management report are examined primarily on a sample basis within the framework of the audit. The audit includes assessing the annual financial statements of those entities included in consolidation, the determination of the entities to be included in consolidation, the accounting and consolidation principles used and significant estimates made by the management, as well as evaluating the overall presentation of the consolidated financial statements and the Group management report. We believe that our audit provides a reasonable basis for our opinion.

Our audit has not led to any reservations.

In our opinion based on the findings of our audit the consolidated financial statements of Bayerische Landesbank, Munich, comply with IFRS as adopted by the EU and the additional requirements of German commercial law pursuant to section 315a para. 1 German Commercial Code (HGB) and the supplementary provisions of the Bayerische Landesbank Act and the Statutes of Bayerische Landesbank and give a true and fair view of the net assets, financial position and results of operations of the Group in accordance with these requirements. The Group management report is consistent with the consolidated financial statements and as a whole provides a suitable view of the Group's position and suitably presents the opportunities and risks of future development.

Munich, 14 March 2016

Deloitte & Touche GmbH
Wirtschaftsprüfungsgesellschaft

(Löffler)
German public auditor
(Wirtschaftsprüfer)

(Apweiler)
German public auditor
(Wirtschaftsprüfer)

114	Statement of comprehensive income	124	Notes
116	Balance sheet	227	Responsibility statement by the Board of Management
118	Statement of changes in equity	228	Auditor's Report
120	Cash flow statement	229	Country by Country Reporting

Country by country reporting pursuant to section 26a, para. 1 sentence 2 of the German Banking Act (KWG) as at 31 Dec 2015

This report shows revenues, number of employees, profit or loss before taxes, taxes on profit or loss and state aid received for the reporting year¹ by country on an unconsolidated basis. It covers the companies fully included in the IFRS consolidated financial statements.

The revenue shown is profit/loss before taxes, less risk provisions and administrative expenses, as reported in the consolidated financial statements. Taxes on profit or loss include current income taxes reported in the consolidated financial statements. The number of employees is shown in full-time equivalent positions.

For explanations of the changes to the data presented in the country by country reporting, please refer to the respective section of the notes.

Country	Revenue (EUR million)	Number of employees	Profit or loss before taxes (EUR million)	Taxes on profit or loss (EUR million)	State aid received (EUR million)
Germany	2,050	6,223	802	-194	0 ²
United Kingdom	64	71	-74	6	0
Italy	6	10	4	-1	0
USA	128	89	88	-2	0
France	0	17	2	-1	0
Luxembourg	25	46	16	0	0

Name of foreign subsidiary/ investee	Type of business	Location	Country
Foreign branches of Bayerische Landesbank			
BayernLB London	Financial institution	London	United Kingdom
BayernLB Milan	Financial institution	Milan	Italy
BayernLB New York	Financial institution	New York	USA
BayernLB Paris	Financial institution	Paris	France
Banque LBLux S.A. i.L.	Other company	Luxembourg	Luxembourg
BayernLB Capital LLC I	Other financial company	Wilmington	USA
BayernLB Capital Trust I	Other company	Wilmington	USA

1 The MKB Bank Zrt. sub-group was sold in full in 2014. As a result, there were changes in the reporting year primarily in the figures for profit or loss before taxes and the details of the foreign subsidiaries.

2 On 5 February 2013 the European Commission ruled that the following measures constitute state aid as defined in article 107, para 1 of the Treaty on the Functioning of the European Union:

- a) the EUR 10 billion recapitalisation of Bayerische Landesbank by the Free State of Bavaria
- b) the EUR 4.8 billion second loss guarantee provided to Bayerische Landesbank by the Free State of Bavaria
- c) the EUR 15 billion in state guarantees provided to Bayerische Landesbank by Germany
- d) the EUR 2,638 billion funding guarantee provided to Bayerische Landesbank by Austria
- e) the transfer to Bayerische Landesbank of capital amounting to EUR 1 billion held by the Free State of Bavaria in Bayerische Landesbodenkreditanstalt



Committees and advisory boards

Locations and addresses

We would like to thank all our committees and advisory boards for their dedicated support in financial year 2015.

- 232 Supervisory Board
- 233 General Meeting
- 234 Audit Committee
- 235 Risk Committee
- 236 BayernLabo Committee
- 236 Nominating Committee
- 237 Compensation Committee
- 237 Trustees
- 238 Savings Bank Advisory Council
- 239 Wirtschafts- und Finanzforum Bayern
(Bavarian Economic and Finance Forum) –
BayernLB Economic Advisory Council
- 244 Locations and addresses

Supervisory Board

Gerd Haeusler

Chairman of the BayernLB Supervisory Board
Munich

Walter Strohmaier

Deputy Chairman of the
BayernLB Supervisory Board
Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Dr Hubert Faltermeier

Chief District Administrator
Kelheim

Dr Roland Fleck

Managing Director
NürnbergMesse GmbH
Nuremberg

Dr Ute Geipel-Faber

Senior Advisor
Invesco Real Estate GmbH
Munich

Ralf Haase

Chairman of the General Staff Council
BayernLB
Munich

Dr Ulrich Klein

Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Thomas Langer

since 1 November 2015
Member of the BayernLB Supervisory Board
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Wolfgang Lazik

Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Professor Dr Christian Rödl

Managing Partner
Rödl & Partner GbR
Nuremberg

Professor Dr Bernd Rudolph

Professor at LMU Munich
and Steinbeis-Hochschule Berlin

Dr Bernhard Schwab

until 31 October 2015
Member of the BayernLB Supervisory Board
Deputy Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

General Meeting

Free State of Bavaria

Dr Markus Söder

Chairman and Principal
State Minister
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Harald Hübner

First Deputy Principal
Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Heiko Bauer

Second Deputy Principal
Senior Government Councillor
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Association of Bavarian Savings Banks

Dr Ulrich Netzer

Principal
President
Association of Bavarian Savings Banks
Munich

Professor Ulrich Reuter

First Deputy Principal
Chief District Administrator
Aschaffenburg

Walter Pache

Second Deputy Principal
Chairman of the Board of Directors
Sparkasse Günzburg-Krumbach
Günzburg

Audit Committee

Professor Dr Christian Rödl

Chairman of the Audit Committee
Managing Partner
Rödl & Partner GbR
Nuremberg

Professor Dr Bernd Rudolph

Deputy Chairman of the Audit Committee
Professor at LMU Munich
and Steinbeis-Hochschule Berlin

Dr Hubert Faltermeier

Chief District Administrator
Kelheim

Dr Roland Fleck

Managing Director
NürnbergMesse GmbH
Nuremberg

Gerd Haeusler

since 1 January 2016
Member of the Audit Committee
Chairman of the BayernLB Supervisory Board
Munich

Dr Thomas Langer

since 1 January 2016
Member of the Audit Committee
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Dr Bernhard Schwab

until 31 October 2015
Member of the Audit Committee
Deputy Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Risk Committee

Professor Dr Bernd Rudolph

since 1 January 2016

Member and Chairman of the Risk Committee

Professor at LMU Munich

and Steinbeis-Hochschule Berlin

Dr Ulrich Klein

since 1 January 2016

Deputy Chairman of the Risk Committee

Under Secretary

Bavarian State Ministry of Finance,

Regional Development and Regional Identity

Munich

Dr Ute Geipel-Faber

Senior Advisor

Invesco Real Estate GmbH

Munich

Ralf Haase

Chairman of the General Staff Council

BayernLB

Munich

Gerd Haeusler

until 31 December 2015

Chairman of the Risk Committee

Chairman of the BayernLB Supervisory Board

Munich

Walter Strohmaier

until 31 December 2015

Member and Deputy Chairman

of the Risk Committee

Chairman of the Board of Directors

Sparkasse Niederbayern-Mitte

Straubing

BayernLabo Committee

Wolfgang Lazik

Chairman of the BayernLabo Committee
Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Ulrich Klein

Deputy Chairman of the BayernLabo Committee
Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Hubert Faltermeier

Chief District Administrator
Kelheim

Dr Ute Geipel-Faber

Senior Advisor
Invesco Real Estate GmbH
Munich

Dr Thomas Langer

since 1 January 2016
Member of the BayernLabo Committee
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Dr Bernhard Schwab

until 31 October 2015
Member of the BayernLabo Committee
Deputy Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Nominating Committee

Gerd Haeusler

Chairman of the Nominating Committee
Chairman of the BayernLB Supervisory Board
Munich

Wolfgang Lazik

Deputy Chairman of the Nominating Committee
Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Professor Dr Christian Rödl

Managing Partner
Rödl & Partner GbR
Nuremberg

Walter Strohmaier

Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Compensation Committee

Gerd Haeusler

since 16 April 2015

Member of the Compensation Committee

since 1 January 2016

Chairman of the Compensation Committee

Chairman of the BayernLB Supervisory Board

Munich

Walter Strohmaier

since 1 January 2016

Member and Deputy Chairman

of the Compensation Committee

Chairman of the Board of Directors

Sparkasse Niederbayern-Mitte

Straubing

Ralf Haase

Chairman of the General Staff Council

BayernLB

Munich

Dr Ulrich Klein

until 31 December 2015

Deputy Chairman of the

Compensation Committee

Under Secretary

Bavarian State Ministry of Finance,

Regional Development and Regional Identity

Munich

Dr Roland Fleck

Managing Director

NürnbergMesse GmbH

Nuremberg

Professor Dr Bernd Rudolph

until 31 December 2015

Member and Chairman

of the Compensation Committee

Professor at LMU Munich

and Steinbeis-Hochschule Berlin

Trustees

Herbert Scheidel

since 1 January 2009

Vice President of the State Office for Taxes

(retired)

Klaus Puhr-Westerheide

Second Deputy

since 1 July 2009

Senior Assistant Secretary (retired)

Norbert Schulz

First Deputy

since 1 November 1991

Senior Assistant Secretary (retired)

Savings Bank Advisory Council

Renate Braun

until 31 March 2015
Savings Bank Director
Chairwoman of the Board of Directors
Sparkasse Passau
Passau

Roland Friedrich

Savings Bank Director
Chairman of the Board of Directors
Sparkasse Bad Kissingen
Bad Kissingen

Dr Rudolf Gingele

Savings Bank Director
Member of the Board of Directors
Sparkasse Regensburg
Regensburg

Eckhard Helber

since 1 April 2015
Savings Bank Director
Member of the Board of Directors
Sparkasse Passau
Passau

Hermann Krenn

Savings Bank Director
Chairman of the Board of Directors
Sparkasse Dachau
Dachau

Winfried Nusser

Savings Bank Director
Chairman of the Board of Directors
Kreis- und Stadtsparkasse Kaufbeuren
Kaufbeuren

Thomas Orbig

Savings Bank Director
Member of the Board of Directors
Vereinigte Sparkassen im Landkreis Weilheim i. OB
Weilheim

Walter Pache

Savings Bank Director
Chairman of the Board of Directors
Sparkasse Günzburg-Krumbach
Günzburg

Dr Klaus-Jürgen Scherr

Savings Bank Director
Chairman of the Board of Directors
Sparkasse Kulmbach-Kronach
Kulmbach

Roland Schmautz

Vice President
Association of Bavarian Savings Banks
Munich

Hans Wölfel

Savings Bank Director
Chairman of the Board of Directors
Sparkasse Fürth
Fürth

Wirtschafts- und Finanzforum Bayern (Bavarian Economic and Finance Forum) – BayernLB Economic Advisory Council

Dr Markus Söder

Chairman of the BayernLB
Economic Advisory Council
State Minister
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Otto Beierl

Chairman of the Management Board
LfA Förderbank Bayern
Munich

Professor Dr Roland Berger

Management Consultant, Honorary Chairman
Roland Berger Strategy Consultants
Munich

Dr Manfred Bode

Chairman of the Shareholders Council
Wegmann Group
Munich

Johann Bögl jun.

Managing Partner
Max-Bögl Bauunternehmung GmbH & Co. KG
Sengenthal

Simone Büber-Monath

CFO
M-net Telekommunikations GmbH
Munich

Dr Dr Axel Diekmann

Shareholder
Verlagsgruppe Passau
Passau

Klaus Dittrich

Chairman of the Management
Messe München GmbH
Munich

Rachel Empey

CFO
Telefónica Deutschland Holding AG
Munich

Dr Hubert Faltermeier

Chief District Administrator
Kelheim

Dr Roland Fleck

Managing Director
NürnbergMesse GmbH
Nuremberg

Alfred Gaffal

President
Vereinigung der Bayerischen Wirtschaft e.V.
Munich

Dr Ute Geipel-Faber

Senior Advisor
Invesco Real Estate GmbH
Munich

Ralf Haase

Chairman of the General Staff Council
BayernLB
Munich

Karl Haeusgen

CEO
HAWE Hydraulik SE
Munich

Gerd Haeusler

Chairman of the BayernLB Supervisory Board
Munich

Josef Hasler

CEO
N-Ergie AG
Nuremberg

Andreas Helber

Member of the Board of Management
BayWA AG
Munich

Ingrid Hofmann

Managing Partner
I. K. Hofmann GmbH
Nuremberg

Erwin Horak

President
Staatliche Lotterieverwaltung
Munich

Georg Huber

CEO
Huber SE
Berching

Daniel Just

Chairman of the Board of Management
Bayerische Versorgungskammer
Munich

Dr Michael Kerkloh

Chairman of the Management
Flughafen München GmbH
Munich

Otto Kirchner

Managing Partner
Fränkische Rohrwerke
Gebr. Kirchner GmbH & Co. KG
Königsberg

Dr Ulrich Klein

Under Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr-Ing. Martin Komischke

until 8 January 2016
Member of the BayernLB
Economic Advisory Council
Chairman of the Group's Management
Hoerbiger Holding AG
Zug

Volker Kronseder

Executive Board Chairman
Krones AG
Neutraubling

Dr Thomas Langer

from 3 February 2016
Under Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Wolfgang Lazik

Deputy Secretary
Bavarian State Ministry of Finance,
Regional Development and Regional Identity
Munich

Dr Klaus N. Naeve

Chairman of the Executive Board
Schörghuber Stiftung & Co. Holding KG
Munich

Dr Ulrich Netzer

President
Association of Bavarian Savings Banks
Munich

Professor Dr Merith Niehuss

President
Universität der Bundeswehr
Neubiberg

Michael Oschmann

Managing Director
Müller Medien
Nuremberg

Professor Dr Matthias Ottmann

Shareholder
Ottmann GmbH & Co. Südhausbau KG
Munich

Rainer Otto

Managing Director
Wirtgen Beteiligungs GmbH
Windhagen

Dr Helmut Platzer

Chairman of the Board of Directors
AOK Bayern – Die Gesundheitskasse

Elisabeth Prigge

Member of the Executive Board
Schaltbau Holding AG
Munich

Dr Matthias J. Rapp

Member of the Management Board
TÜV Süd AG
Munich

Markus Reif

Archepiscopal Financial Director
Archepiscopal Diocesan Authorities
Financial Department
Munich

Jürgen Reimer

Member of the Management Board
Webasto SE
Stockdorf

Angelique Renkhoff-Mücke

Chairwoman of the Board of Directors
WAREMA Renkhoff SE
Marktheidenfeld

Dr Ingo Riedel

Chairman of the Management
Riedel Holding GmbH & Co. KG
Nuremberg

Professor Dr Christian Rödl

Managing Partner
Rödl & Partner
Nuremberg

Dr Helmut Röschinger

Managing Partner
Argenta Unternehmensgruppe
Munich

Professor Dr Bernd Rudolph

Professor at LMU Munich
and Steinbeis-Hochschule Berlin

Dr Eberhard Sasse

President
IHK für München und Oberbayern
Munich

Dipl.-Kfm. Peter Scherkamp

General Manager
Wittelsbacher Ausgleichsfonds
Munich

Dr Jörg Schneider

Member of the Board of Management
Munich Re
Munich

Dipl.-Kfm. Dieter Schön

Managing Director
Chairman of the Board of Administration
Schön Klinik SE
Prien

Dr Bernhard Schwab

Deputy Secretary
Bavarian State Ministry for Economic Affairs
and the Media, Energy and Technology
Munich

Dieter Seehofer

Chairman of the Board of Directors
Sparkasse Ingolstadt
Ingolstadt

Alexander Sixt

Member of the Managing Board
Sixt SE
Pullach

Walter Strohmaier

Chairman of the Board of Directors
Sparkasse Niederbayern-Mitte
Straubing

Axel Strotbek

Member of the Board of Management
Audi AG
Ingolstadt

Dirk von Vopelius

President
IHK Nürnberg für Mittelfranken
Nuremberg

Dr Frank Walthes

Chairman of the Board of Management
Versicherungskammer Bayern
Munich

Dr Markus Warncke

since 1 August 2015
Member of the BayernLB
Economic Advisory Council
CFO
Villeroy & Boch AG
Mettlach

Johann Weber

since 1 March 2016
Member of the BayernLB
Economic Advisory Council
CEO
Zollner Elektronik AG
Zandt

Dr Wolfgang Weiler

Spokesman of the Board of Directors
HUK-Coburg
Coburg

Theo Zellner

President
Bayerisches Rotes Kreuz
Munich

Dr Lorenz Zwingmann

Member of the Board of Management
Knorr-Bremse AG
Munich

Locations and addresses

Germany

Munich Head Office

Brienner Strasse 18
80333 Munich
Tel +49 89 2171-01
Fax +49 89 2171-23578
info@bayernlb.de
SWIFT BIC: BYLA DE MMXXX
Reuters Dealing: BLAM, BLAS, BLAX

Nuremberg Branch

Lorenzer Platz 27
90402 Nuremberg
Tel +49 911 2359-01
Fax +49 911 2359-212
nuernberg@bayernlb.de
SWIFT BIC: BYLA DE MMXXX

Düsseldorf Office

Cecilienallee 10
40474 Düsseldorf
Tel +49 211 92966-100
Fax +49 211 92966-190
duesseldorf@bayernlb.de

Berlin Office

Kronenstrasse 11
10117 Berlin
Tel +49 30 12030-9666
berlin@bayernlb.de

Frankfurt Office

Mainzer Landstrasse 51
60329 Frankfurt am Main
Tel +49 69 2713989-01
frankfurt@bayernlb.de

Hamburg Office

Grosse Bäckerstrasse 13
20095 Hamburg
Tel +49 40 3609038-01
Fax +49 40 3609038-05
hamburg@bayernlb.de

Stuttgart Office

Tübinger Strasse 43
70178 Stuttgart
Tel +49 711 664854-51
Fax +49 711 664854-55
stuttgart@bayernlb.de

BayernLabo

Brienner Strasse 22
80333 Munich
Tel +49 89 2171-08
Fax +49 89 2171-28015
info@bayernlabo.de
www.bayernlabo.de

Europe

London Branch

Moor House
120 London Wall
London
EC2Y 5ET
United Kingdom
Tel +44 207 9555100
Fax +44 207 9555173
info.london@bayernlb.co.uk
SWIFT BIC: BYLA GB 22

Milan Branch

Filiale di Milano
Via della Moscova, 3
20121 Milan
Italy
Tel +39 02 863901
Fax +39 02 864216
info@bayernlb.it
SWIFT BIC: BYLA IT MM
P. IVA 12049080158

Paris Branch

Succursale de Paris
203, rue du Faubourg Saint-Honoré
75380 Paris Cedex 08
France
Tel +33 1 44211400
Fax +33 1 44211444
info@bayernlb.de
SWIFT BIC: BYLA FR P1

Moscow Representative Office

1. Kasatschij per., 5/2, Geb. 1
119017 Moscow
Russia
Tel ++7 495 234 1760
Fax ++7 495 234 1761
moskau@bayernlb.de

America

New York Branch

560 Lexington Avenue
New York, N.Y. 10022
USA
Tel +1 212 310-9800
Fax +1 212 310-9822
newyork@bayernlbny.com
SWIFT BIC: BYLA US 33

BayernLB 2015 Annual Report and Accounts

Publisher

Bayerische Landesbank
Brienner Strasse 18
80333 Munich
Phone +49 89 2171-01
Fax +49 89 2171-23578
Reuters Dealing BLAM, BLAS
BIC/SWIFT code: BYLA DE MMXXX
info@bayernlb.de
www.bayernlb.de

Text/editorial staff/production

BayernLB
Financial Office, Rating & Investor Relations Section
Group Strategy & Group Communications,
Strategic Marketing & Special Tasks Department

Layout and printing

DruckArt c/o Gebr. Geiselberger GmbH
86916 Kaufering

Closing date for submissions: 14 April 2016

The Annual Report is printed on environmentally compatible elemental chlorine-free bleached paper. The CO₂ emissions which resulted from paper consumption at BayernLB in 2015 have been offset by the purchase and invalidation of emission certificates from a certified climate protection project.

The Annual Report can be downloaded as a pdf file from www.bayernlb.com/ir. It is also available in German.

Picture credits

P. 4/5 BayernLB/Tanja Huber
P. 20 BayernLB
P. 22/23 BayernLB/Tanja Huber
P. 24 BayernLB/M. Mundt
P. 25 BayernLabo
P. 26 Deutsche Kinder- und Jugendstiftung
P. 27 Monique Wuestenhagen
P. 29 Michael Malfer
P. 31 fotolia
P. 32/33 fotolia

We thank our customers for their kind support.

The translation of the annual financial statements, comprising the balance sheet, the income statement and the notes to the financial statements, together with the management report and the report by the Supervisory Board of the Bayerische Landesbank as well as the auditor's report is for convenience only; the German versions prevail.

Savings Banks Finance Group in Bavaria

Savings Banks Finance Group Market leader in Bavaria		
• Aggregate total assets (bank business): EUR 408.9 billion • Aggregate regulatory capital (excl. BayernLB): EUR 18.2 billion • Aggregate premium volume (insurance business): EUR 7.6 billion¹		
		
BayernLB	71 Sparkassen	Versicherungskammer Bayern (total insurance business)
Consolidated total assets: EUR 215.7 billion Staff: Bank: 3,186 Group: 7,082 ²	Total assets: EUR 193.2 billion Staff: 42,470 • Branches: 2,245 • Self-service branches: 408 • Advisory centres: 469 Customer loans: EUR 122 billion Customer deposits: EUR 152 billion Market share • Approx. 40% of SMEs • Two-thirds of trade businesses • 50% of company start-ups DekaBank Share of Bavarian savings banks organisation: 14.7% Consolidated total assets: EUR 112.6 billion ⁴ Landesbank Berlin Share of Bavarian savings bank organisation incl. VKB share: 13.6% Deutsche Leasing Share of Bavarian savings banks: 12.54% New business volume of Deutsche Leasing Group: EUR 8.2 billion LBS Bayerische Landesbausparkasse Portfolio of 2.1 million home loan savings contracts with a volume of EUR 62.9 billion Staff: 716 Sparkassen-Immobilien Volume of business brokered: EUR 2.19 billion	Premium volume: EUR 7.6 billion Staff: 6,670 ³ Investment portfolio: EUR 46.8 billion ¹ Germany's largest public-sector insurance provider Market leader in Bavaria and the Palatinate Entities within the Versicherungskammer Bayern Group (VKB) • Composite insurers • Life insurers • Health insurers • Re-insurers
Bayerische Landesbodenkreditanstalt Lending volume (proprietary and fiduciary business): EUR 22.2 billion State subsidised business (number of apartments): 8,941 BayernLB Group companies include • Deutsche Kreditbank AG, Berlin • BayernInvest Kapitalverwaltungs-gesellschaft mH, Munich • Real I. S. AG, Munich as well as many other subsidiaries which offer special services to savings banks		
 		
Association of Bavarian Savings Banks		
Association members: 71 Bavarian savings banks and their owners		

¹ As at: 30 September 2015

² Increase due to consolidation of Bayern Card-Services GmbH

³ Not incl. external sales force

⁴ As at: 30 June 2015

Bayerische Landesbank
Brienner Strasse 18
80333 Munich
Germany
www.bayernlb.com

